Tata Power Co. Ltd. (TATAPOWER)

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Scrip Code : 500400 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
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Symbol : TATAPOWER EQ

Dear Sirs,

Earnings Call Transcripts

Pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, transcript of the audio call recording of the Company's Analyst Call held on
26
th July 2022, on the Una udited Standalone and Consolidated Financial Results of the Company for
the quarter ended 30th June 2022 is attached herewith.
The transcript of recording can also be accessed on the Company's website, from the attached link:
https://www.tatapower.com/investor -relations/inv -info-archive.aspx

You are requested to take the same on record.

Yours faithfully,
For The Tata Power Company Limited

Company Secretary

Encl: as above

"TATA Power L imited Q1 FY23 Earnings Conference
Call"

July 26, 2022

MANAGEMENT MR. PRAVEER SINHA – CEO & MD, TATA POWER
MR. SANJEEV CHURIWALA -- CFO, TATA POWER
MR. JINENDRA PATIL -- FINANCIAL CONTROLLER ,

TATA POWER
MR. SOUNDARARAJAN KASTURI -- INVESTOR
RELATIONS , TATA POWER

Moderator : Ladies and gentlemen, good day, and welcome to the TATA Power Q1 FY '23 Earnings Conference Call. As a reminder, all participants lines will be in the listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference c all, please signal an operator by pressing '*' then '0' on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Dr. Praveer Sinha, CEO and MD of TATA Power. Thank you, and over to you, sir.

Praveer Sinha: Thanks, Ryan. Good evening to everyone, and thanks for joining the call, and I hope all of you are doing fine and taking care of yourself. I'm joined today in the call by my colleague Sanjeev Churiwal a, CFO; Mr. Jinendra Patil – Financial Controller; Soundararajan Kasturi from the Investor Relations and a few other members from our finance team.

We are meeting you after a quarter that has seen significant development in many ways for the energy industr y and as also for TATA Power. We have seen in last few months, unprecedented rise in coal prices accompanied with demand, which has led to short -term power prices going up. At the same time, initiatives like green open access and increased trajectory of RP O by 2030 to 47% will further help in the implementation of renewable projects in the country.

TATA Power has also completed another remarkable quarter with significant progress on various of its strategic initiatives. Besides a very strong operational per formance in all the businesses, we have progressed significantly on the renewable transaction in the last 2 months. The CCI approval for this transaction has been received just today evening, and we expect to receive the first tranche of ■ 2,000 crore in the next few weeks.

On the Mundra front, we have been operating the assets under Section 11, which was passed by Ministry of Power, under which a pass -through mechanism has been provided. At the same time, we have been working with the procurers, especially the Gujarat procurers to finalize the long -term arrangement with them. The merger of CGPL with TATA Power has been completed last quarter with effect from 1st April 2020, which provides us significant operational synergies to our group.

This quarter, we saw a steady operational performance from all our assets in generation, transmission as well as renewable business and very high profit from our coal mines due to higher coal prices. We achieved nearly 90% growth in reported PAT , which stands at ■ 884 crore as compared to ■ 466 crore in the previous year quarter. This is now the 11th consecutive quarter of delivery year -on-year profit growth and is expected to continue in the future too.

We saw a robust year -on-year growth of 48% in revenue, which stood at ■ 14,776 crore this quart er. Similarly, we saw a reported EBITDA for this quarter at a steady ■ 2,107 crore compared to ■ 2,365 crore , which had a one -off impact of ■ 302 crore in the previous year due to the tariff order that we had received in Mundr a.

Our renewables business delivered strong execution in the last quarter as TATA Power Solar commissioned 600 MW AC solar capacity including India's largest floating solar power project in Kerala backwaters. With the wins of 1.7 GW in this quarter, TPSSL has now 1.3 GW of owned projects and 2.3 GW of external orders aggregating 3.6 GW of total larg e scale EPC contracts worth nearly ■15,000 crore, which will be completed in next 12 to 18 months. Due to higher commodity prices, including solar cells and modules and foreign exchange movements, we saw a hit on profitability of the EPC busi ness, but expect that the margins will improve in coming quarters with newer orders and contract manufacturing, which has been tied up to

be done in
India.

We have also signed an MoU with Tamil Nadu government to invest approximately ■3,000 crore for setting up a Greenfield 4GW solar cell and 4GW solar module manufacturing plant in Tirunelveli District of Tamil Nadu and the work is expected to start in the next 1 months' time . The manufacturing plant will help us in supporting the nation's aspiration to create a comprehensive ecosystem for solar manufacturing and fulfilling the n eeds of the solar project as also helping us to improve our margins and having a better control on the cost of solar cells and modules. The first phase of the plant of solar module is expected to be commissioned by June next year. And the second phase of c ells will get commissioned by November next year.

TATA Power's new age business has also delivered promising results in this quarter as we achieved 4x and 2x growth, respectively, in rooftop solar and solar pump business in terms of revenue over Q1 of last year. Margins in rooftop solar has tightened because of the commodity prices and the currency fluctuation. But with the new strategic initiatives, we foresee improvements in the coming quarter. Similarly, TATA Power EZ Charge is also getting a lot of traction in the market space, where we continue to enter new partnerships to create green mobility infrastructure in India. We now have more than 240 E -bus charging points and around 2,400 public EV charging points across 437 cities, which is the largest EV n etwork in the country. We have also signed MoUs with OEMs to enter into strategic partnerships to facilitate a robust EV charging network and accelerate the adoption of EVs across the country. We have also entered an MoU with NAREDCO to set up around 5,00 0 charging stations across new construction project sites in Maharashtra.

This quarter we operated 3 units of Mundra under Section 11 dispensation since 6th May which allows us a full pass -through of the coal cost. This notification is valid till October 22 with an opportunity for extension and with no under -recovery in Mundra. In parallel, our discussions with Gujarat on the supplementary PPAs to implement the compensatory tariff is also underway and that will pave the way for a permanent resolution of the Mundra issue. With the recent phenomen on of power shortages and restart of thermal capacity, we are confident that this arrangement will be converted into a long-term arrangement, which will provide stable power to the beneficiary states.

The continuous effort to bring focused operations leveraging on our experiences from Mumbai and Delhi and investment across the 4 Odisha Discoms is leading to continuous improvement in their operational and financial performance. The technical losses have reduced by nearly 1% to 3% across these Discoms, while AT&C losses have reduced by 4% to 9% compared to Q1 of last year, which is a significant achievement in just last 1 year.

Moving to the balance sheet , the net debt level inched up a little bit in line with our earlier guidance on growth Cap ex. Net debt at the end of Q1 is around ■ 42,000 crore, with Cap ex of more than ■ 2,000 crores incurred during this quarter mainly in our renewables business and Odisha Discoms. However, the healthy growth in the operational profit from the businesses have helped us to improve our debt to underlying EBITDA further from 3.9 in the las t quarter Q4 of FY '22, to 3.6 in this quarter. Due to increase in debt, our net debt to equity stands a little higher at 1.55 times compared to 1.53 times in the previous quarter. We believe with the type of aspiration that we have to grow businesses , we'll be able to maintain a very healthy debt -to-equity ratio.

The beginning of FY '23 has also been very promising for our transmission busines s with our resurgent platform securing the NCLT approval for takeover of South -East UP

Power

Transmission Company Limited, which is developing an intrastate transmission line in UP of approximately 1,500 kilometers along with 5 numbers of 400 kV substation . This is after we recently took over another transmission assets, which is the NRSS XXXVI Transmission, again through the Resurgent platform. Both t hese acquisitions, together has a combined EV of around ■ 6,500 crore and annual revenue of around ■ 900 crore once they are fully implemented. We are actively participating in competitive building for transmission projects, which is an important part o f our growth in the future.

Lastly, we thank all our analysts and investors for their support and the institutional investors all Asia, excluding Japan executive team 2022 poll. With your support, we have been able to once again secure top rankings in several categories, including the best IR program and ESG disclosures outside Mainland China.

TATA Power continues to steadily move towards its long -term aspiration s built on businesses of the future while maintaining a healthy balance sheet. Quarter -on-quarter improvements can be seen in all our operational and financial metrics. And the trend will be visible in the future too. We look forward to your continued suppo rt in this future.

With this, I hand over the call back to Ryan for the question -and-answer session. Thank you.

Moderator : We will now begin the question -and-answer session. Our first question is from the line of Rahul Modi with ICICI Securities. Please go ahead.

Rahul Modi : Sir, just a couple of questions that I had on the 2 EPC segments , we've seen a big loss being booked in TATA Projects. Last year, we did a full year loss of around ■200 plus crore and this time we've actually reported that on a quarterly basis. So, how much do you see the pain coming in or most is done on the projects part? And secondly, a similar question on the solar EPC , do you see in the older order books any provisions that need s to be taken further which can impact margins though you've mentioned that it should improve going forward. Any thoughts on that, please.

Praveer Sinha: So, Rahul, thanks for the question. As far as TATA Projects is concerned, last quarter, we had booked a certain amount of loss and in the whole process we were identifying projects as to what is the cost to completion and if there is any more provisioning that has to be done we did in last quarter and in this quarter so that going forward we do not have to carry any burden of future write -offs that we need to do. We expect that this is the end of the write -offs and provisioning that we need to do. And going forward, they will be making profits. Similarly, in our renewable EPC projects we don't have a very large loss , its some of the projects which were in the last stages of implementation where we had procured modules when the prices were on the higher side and we were expecting that still we will have a small hit. The only uncertain thing that happened was that we also had a Forex hit in the quarter because of the fluctuation in the dollar rate. We expect that now that as we are fully hedged and we will not have an open position , we will be in a much better position to take care of it in the future.

Rahul Modi : So, sir, now we are hedging all our exposures back -to-back , is it, 100%?

Praveer Sinha : Yes. We are now doing that. We had earlier left some open space because the fluctuation was not so much. But now we have done 100%.

Rahul Modi : So, sir, in terms of the contract manufacturing, which you mentioned that we are doing domestically for the modules, how much capacity have we tied up? And in terms of the price variations in that, how are we better placed v /s the imports that we do for the pricing that we are getting?

Praveer Sinha : So, what happens is we've tied up with a couple of manufacturers

over here and as you know that the customs duty for cell is 25% while for modules is 40% , so we have 15% arbitrage as far as if we get it manufactured in India in terms of the customs duties. We have a very competitive terms under which we have tied up. And we do feel that we will be able to take care of our future requirements especially where we have domestic components in terms of manufacturing to meet our future supplies.

Rahul Modi : So, sir, this contracting would be only for the next probably 12 to 15 months till your own capacity comes up?

Praveer Sinha : No, it will be a little longer than that because the capacity that we will have will take some time to stabilize. And secondly, it's no t that all the capacity that we have 4GW , we'll use 100%. So, there would still be some spillover which we will take from the contract manufacturers.

Rahul Modi : So, you expect as a full year basis and the year to come, our solar EPC margins will actually make a comeback and will be a little more steady versus what we've seen in the last 12 to 18 months?

Praveer Sinha : Yes, it will definitely be much better. And once we have our own manufacturing over here, we will definitely be able to improve drastically. Also, a lot of these changes have happened very quickly in last 1 year , the notification for a change of customs duty came on 3rd March 2021 and there were certain projects which were in the pipeline which we had already bid for. So, going forward, we have now switched all projects where we have considered the impac t of customs duty. And hopefully, we'll have much better margins as we move forward.

Rahul Modi : Sir, our receivables have gone up almost by 40% to 50%. Sir, any cause of worry what's led to this, if you can just elaborate?

Praveer Sinha : So, our receivables have gone up because of 3 reasons. First is that we have been over a period of time not received some old payments which we are supposed to get from Andhra and Tamil Nadu and all that. Now that the court order has come and they have been asked to make that payment, we should be able to get that. Secondly, during the month of March, we had imported large quantum of solar modules to avoid buying it from April when the BCD had come in , that is getting liquidated and that benefit will come in this quarter. Lastly, we have also been buying a large quantity of coal from Mundra. And because of the higher prices of coal, there has been little stress on our cash flow. And again, this will get a ddressed in this quarter.

Moderator : Our next question comes from the line of Swarnim M aheshwari with Edelweiss. Please go ahead.

Swarnim Maheshwari : My first question is again on TATA Projects, and you did mention that there were losses, but just wanted to better understand that commodity inflation, of course, is a possible reason. But we have not really seen any other large EPC companies reporting losses at least. So, what's happening? Is there some sort of cleaning before the possible IPO?

Praveer Sinha: This is routine business. And in that, the Board and the Audit Committee always examines that what sort of a provisioning we need to do, especially when we know the cost of completion will be on a higher side. So, that's a standard way of accounting that has been done in this quarter. Secondly, the increase in commodity prices have been there for all companies, all of the companies which have been in construction business, infrastructure companies have seen this sort of trend in last one year. Fortunately, now the commodity prices are coming down. And we will take the benefit of this going forward. So, our ability to now forecast and adjust this is much better and hopefully, we will not have the impact in the future quarters.

Swarnim Maheshwari : Secondly, on this Mundra, if you can just elaborate what exactly is the arrangement that we are continuing under the Section 11? And you mentioned that the extension is applicable to October 22. Is that right?

Praveer Sinha: So, under Section 11, the requirement is th at the generators will generate and offer the power to the procurers and they will be fully compensated for the cost of generation. So, we expect that whatever is the actual cost that will be incurred in producing power will be a pass -through. And this arrangement of course is up to 31st October, but it may get extended. We have been told to be ready in case it gets extended to supply powe r because there has been a huge increase in demand in the last few months. And if the same trend continues, then we might have to continue the operation under Section 11.

Swarnim Maheshwari : So, that would imply no operating losses per se for whatever you are operating?

Praveer Sinha: Yes. And going forward if it continues under Section 11, there will not be a loss.

Swarnim Maheshwari : But sir, at the moment, we are operating about 3 units, whereas the other 2 units are still not getting operated. So, would there be P&L consequences over there for a lower cap acity ?

Praveer Sinha: So, we are offering on a daily basis, full declared capacity. That means all the 5 units 3,800 MW is being offered and then the scheduling is being done by the Discoms. So, we are ready to operate all 5 and we will get paid the fixed cost for operating all 5.

Moderator : Our next question comes from the line of Sumit Kishore with Axis Capital. Please go ahead.

Sumit Kishore : The first one on CGPL. Because there's no slide this time given it has been amalgamated in the stand -alone entity, but I would like to understand here what was the under recovery for CGPL in the June quarter? And given Section 11 was implemented early May, since then, what has been the under re covery? And has there been a capacity change in the recovery because a couple of periods we were not available?

Praveer Sinha: So, Sumit, the Section 11 came from 5th of May so, before that, there has been an under recovery and the details we will share with you later. So, the under recovery has been for the period for 1st April to 5th May. And thereafter, there should not be any under recovery. We are of course before the CERC and the order is expected in the next few weeks. So, the details can be shared with you by Rahul and team.

Sumit Kishore : I understand. But for t he full quarter, you had been sharing a figure on fuel cost under recovery? What has it been for the full quarter? And after Section 11 implementation, has the negotiated tariffs been cost reflective? So, can you confirm that there has been zero under reco very post 5th of May?

Praveer Sinha: So, 5th of May onwards, the tariff has to be determined by the regulator. An interim tariff was given by Ministry of Power based on which we have done the billing for the last 2 months. However, the petition is now before CERC and we still have to hear from them as to what will be the final tarif fs that they will approve. So, once the order comes in the next few weeks, we'll be able to share that. But our understanding is that these are cost reflective tariffs that they will fix because under Section 11 it's a compulsory generation t hat has been done. And hopefully, there should not be any under recovery from 6th May.

Sumit Kishore : So, was the interim tariff cost reflective, and if not have you accounted for the difference as a receivable in this quarter post 5th of May?

Praveer Sinha: So, the interim tariff that has been given only for 4 weeks. So, for the first 2 weeks, it was cost reflective; for the next 2 weeks, it was not cost reflective. The full details have been furnished to CERC and they are examining things. So, concept wise, it has to be cost reflective. That's what is im

portant.

Sumit Kishore : And after the supplementary PPA arrangement gets implemented hopefully sometime in the future, what would it entail?

Praveer Sinha: That is still un der discussion so, it's little premature to say. A lot of arrangements are being discussed under that. And let's wait for some more time before we are able to clearly spell out what would be the arrangement.

Sumit Kishore : You’ve also not published your customary slide on Indonesian coal this time. So, could you please speak about the average HBA coal sold, the net revenue after royalty and net profit per ton? This was a particularly sweet quarter for the stake in Indonesian coal mines. So, we'd like to understand the balance here.

Praveer Sinha: Sure enough. Rahul, w ill share the details with you. As you know, there have been changes in Indonesia also in term s of the royalties and the corporate tax and all. While the license was renewed from 1st January, many of these have been notified in later part of May and June. Hence, the details are still under calculation and the Indonesian government is still working out the arrangement in terms of what sort of taxes, royalty and other shaving of profit has to be done in that. So, whatever details we have, we will share with yo u, but it is still a little interim and finality has not come to it.

Sumit Kishore : Quick follow -up on TATA Projects. The reading earlier that there was a rights issue that was planned by TATA Projects, which compulsorily all stakeholders, including TATA Power would have to subscribe to? What is the status of that rights issue?

Praveer Sinha : There is no plan immediately like that. So, once we take a decision on that, we will share that information. At this stage, there is no decision about anything like th at.

Sumit Kishore : My final question on TATA Power Solar EPC business, where you had mentioned in the last quarterly conference call that the Q4 margins factored in provisioning for elevated module and commodity prices for the existing order book. I unders tand that there has been an FX impact as well but could you speak about the margin profile of the order backlog now that all these things are behind us? And what does this business mean for you on an ROE, ROCE perspective. Given your overall goals under TATA Power 2.0, is this eventually going to be su pportive of profitability? Or is it just going to be a drag?

Praveer Sinha : Absolutely. It means that we have to support and it has to become profitable. So, all of these businesses that we are doing have to stand on its own and on the merit of being profi table. So, the details can be shared again by Rahul, I think he's already shared some of the details, but he can provide you any specific information you require on TATA Power Solar. All these projects have an arrangement on a back -to-back basis in terms o f procurement of the cells and modules. Similarly, we have now done 100% hedging of the currency , so going forward, we don't expect there too much of swing in terms of the profitability of the TATA Power Solar.

Moderator : Our next question comes from the line of Mohit Kumar with DAM Capital. Please go ahead.

Mohit Kumar : My first question is on the Mundra. As I understand, the government of Gujarat has passed the resolution under cabinet, which allows the complete pass -through, and one of the competitors has got the PPA approved from CERC. Are we working on a similar kind of resolution? Is my understanding correct? And how long do you think the long -term resolution will take?

Praveer Sinha : So, the arrangement with us is a little different than with the other suppliers of power in Gujarat as ours is being arranged on a different basis. However, the fundamental thing that is being agreed is that the coal cost has to be a pass -through because the way the coal costs have gone up in the last 1 ye

ar so the pass -through arrangement has to be agreed with. Now there are certain other aspects which are there, which needs to be negotiated and finalized between both the parties, and we are still under discussions with them. So, it's a little premature. But conceptually, the coal cost, whatever is there, it will not get restricted to a certain HBA level, but it will be a full pass -through.

Mohit Kumar : So, as far as the in terim tariff is concerned, are we to expect the fixed charges, which you had bid to get recovered under Section 11?

Praveer Sinha : Yes. So, the concept of Section 11 is that all costs have to be given. So, whether it is fixed cost or variable cost, there cannot be any deductions. In fact, there has to be a certain profit margin also, which has to be procured. So, that is the agreed legal position based on the earlier order. And we are expecting that when C ERC decides on it, it will consider this aspect while determining the tariff.

Mohit Kumar : Lastly, sir, has there been any write -off in the coal mine in this quarter for the Q4 FY '22 given the changes in Indonesian regulation?

Praveer Sinha : No, there has b een no write -off in the coal mines.

Mohit Kumar : Has the last quarter profit for the coal mine been restated or something?

Praveer Sinha : No.

Moderator : Our next question is from the line of Puneet Gulati with HSBC. Please go ahead.

Puneet Gulati : My first question is just again, a clarification on the Mundra side. So, is the understanding correct that under the Section 11, you would also be making sort of profits out of Mundra and not just

be EBITDA neu tral?
Praveer Sinha : So, concept wise, that is what is the principle on which the Section 11 tariff is determined. Now the matter is before CERC, so let us wait to hear from them as to what we will apply under the present context.
Puneet Gulati : And is CERC also considering the profits from your Indon esian mine while calculating this? Or is that separate from the discussions?
Praveer Sinha : That is separate. That has nothing to do with the operations in Indonesia.
Puneet Gulati : My second question is on your Odisha Discoms. So, while YOY , we've seen AT&C losses go down, but on QoQ, they are up. Is there some seasonality that one needs to read into this?
Praveer Sinha : So, the losses, if you compare it to last year Q1 has gone down. And that is the trend that we have seen over there. And the initiative s that we have taken, we expect that this trend will continue in the future.
Puneet Gulati: No, but Q1 FY23 over Q4 FY22 is up, for example, for CESU it’s 35.7% versus 29% in the fourth quarter.
Praveer Sinha : That happens because of the seasonality. So, what happens in the summer months because the supply is more, the demand is more. So, by the time you get the benefit of it. So, that's why in distribution business, we always do a 12 -month cycle rather than doing a 3 -month cycle.
Puneet Gulati : And on your E PC contract on the solar side, what are you now doing to protect your margins? Are the nature of contract different from what they were before?

Praveer Sinha : So, basically, what we need to do is we need to consider what is the forecasted prices of cell and modules and consider now that the customs duty is there, we need to add that. In case, we are getting it manufactured locally through the contract manufacturing, then we’ll need to consider the customs duty for cell and not for the module. So, we need to do a much better projection based on whatever data is available of the future cost of cells module and then take contracts on those lines. Also now we have taken care of the currency fluctuations and the commodity prices have come down. So, you need to protect yourself by tying up on a long -term basis.
Puneet Gulati : But wasn't custom

s duty a part of the change in law, isn't it? Should we expect some benefit coming later?
Praveer Sinha : In some cases, it was there. So, where projects were bid before the customs duty was announced, they were there. But in some cases there were no ben efits, where it was done subsequently because of the delay in supply from China and t he transportation delays and all that where one will not get the customs duty waiver or customs duty pass -through. So, also, it's a basket of projects under which we need to operate.
Moderator : Our next question is from the line of Atul Tiwari with Citi. Please go ahead.
Atul Tiwari : Again on this Mundra Section 11 arrangement. So, which Discoms are the customers for these 3 units under Section 11?
Praveer Sinha : So, right now, we have been supplying it to Gujarat and Maharashtra. But un der Section 11 mandatorily you need to supply and it is mandatory responsibility of all the buyers to take that power or if they are not taking they will still have to pay the fixed cost for that. So, that's the arrangement under Section 11.
Atul Tiwari : And these 2 months bill that you have raised, I mean, have you received any payment from the Discoms? Or they are all still pending and leading to some unfavorable buildup?
Praveer Sinha: Yes. So, they have been paying, both Gujarat and Maharashtra have be en paying. The other states have not paid, but they are waiting for the order from CERC and thereafter we will take a call.
Atul Tiwari : And sir, what will be the current fuel cost of the power that is being generated?
Praveer Sinha : I don't have the numbers, but we can share that number with you. It depends on how the procurement of coal has been done, not that everything comes on HBA tariffs some of them are spot market or distressed sales. So, there is a blend of coal that comes and based on that, the tariff is written.
Atul Tiwari : About ■ 7 to ■ 8, is that rough ballpark, right, I mean fuel cost wise?

Praveer Sinha : Yes. It is in that range I would say ■ 6.50 to ■ 7.
Moderator : Our next question is from the line of Deepika Mundra with JPMorgan. Please go ahead.
Deepika Mundra : Sir, on the receivables part, could you quantify as to what is the additional receivable from Mundra? And similarly, we see that the regulatory assets across the Discoms, some of them have been going up. Can you talk a little bit about that, what's driving the increase over there?
Praveer Sinha : Regulatory asset is basically in the Discoms only whereby there is an arrangement where if the

tariff goes up or the cost of generati on goes up or the cost of power procurement goes up, then you are allowed to take it up with the regulator who subsequently gives it by additional tariff or additional surcharges that has to be charged. In some cases, it is the additional power purchase adjustment costs. So, in case of Mumbai operations, it has gone up. The details of the regulatory assets have been also shared with you in Slide 31. And you can see over there what sort of cost increases have happened.

Deepika Mundra : So, are you likely to r eceive a revised tariff order soon? Or do you think that this continues to build up through the year?

Praveer Sinha : So, what happens is that the regulator allows a certain amount to be adjusted as a part of power purchase adjustment. We've already allowed that in Mumbai, a certain quantum, not the full quantum. Similarly, in Delhi also, there is a power purchase adjustment and a special powers purchase adjustment, which is there in the surcharge. So, the whole objective is that over a period of time, it can be amortized and if it gets delayed then they continue to pay interest for the outstanding regulatory assets .

Deepika Mundra : And on the transmission part, you've mentioned once again about significant opportunities. Could you talk us through whether these ar

e interstate or intrastate projects? And what is the bid environment currently like for transmission?

Pravee r Sinha : So, these are of different types . Some of them are interstate, some of them are intrastate, some of them are green corridors. And there are a large number of projects which are coming up in the next 10 years, something l ike ■ 42,000 crore of projects are coming up. And these are basically to meet the requirement of renewable power to be transmitted within the state as well as interstate. Of course we are participating , but it's a tough market in terms of a large n umber of people who are there & a large number of competitors. But with better technology and use of TATA Projects as in -house partner for implementing, we feel we have a much better chances of winning many of these projects.

Deepika Mundra : And sir, would it be possible to get the Mundra power plant profit/loss for the quarter? And similarly, you mentioned about the coal profit not being of fset. Does that get offset once the supplement ary PPA or the revised PPA gets effective?

Praveer Sinha : It depends what sort of arrangement we come out with. So, at this stage, there is nothing like that, and it’s premature to say anything about this. But as and when it gets decided, we'll share it. The other details, Rahul will share with you on Mundra. Now that Mundra is part of TATA Power, they will have to cull that out and share that.

Moderator : Our next question is from the line of Rajesh Majumdar with B&K Securities. Please go ahead.

Rajesh Majumdar : So, I had a question on the Discom model because we have been at this Discom business for some time now. And at one stage, we were talking about meaningful profits from the Discom business, say, in 4 to 5 years. Now if you look at CESU, it's been around for some time and still it’s not generating any kind of meaningful profit and the profit st ream is also very erratic as someone pointed out. So, when is it that this Discom s model is going to be generating or showing up a reasonable number of profitability that we can see in our business? That was the first question.

Praveer Sinha : Rajesh, the Odisha Discom was the first one, the Central Discom was taken on 1st June 2020, and this was the COVID period. In last 2 years, it has made profit. Last year was the first full year of operation, and it has made profit. I don't hav e the number, but I can tell you that it has made substantial profit last financial year. In this quarter also, it has made profit. And the type of changes that it has brought in the Central Odisha, the same type of changes are happening in the other 3 Discoms also. And all the Discoms last year made profits. So, I think earlier when we had bid, our projection was that first 3 years, we'll not make profit and the fourth year onwards, we 'll make profit. So, we've actually done very well in the distribution in Odisha. Secondly, there are basically 3 profit drivers in distribution business. First is on the Cap ex that you incur, you get a return on equity. Secondly is on the reduction of AT&C loss, and the billing efficiency, you get incentive, if it is better than whatever is the benchmark that has been set by the regulator or the trajectory that has been set. And the third is, if you do any collections of old receivables before takeover, you get a certain incentive on the assets. In all these 3, we have been getting faring well . The Cap ex has been incurred in last few months. The benefit of that will start coming in the subsequent months in the subsequent quarters because the capitalization has not happened that way. Now once that also happens then the profit will become much more robust. And I'm sure in the next 1 year, you will see a bump up in the profit in all these Discoms.

Rajesh Majumdar : So, sir, FY 24-25 will be a reasonable year to assume

some kind of meaningful profits from these?

Praveer Sinha : More than mea ningful.
Rajesh Majumdar : And sir, my second question was probably I missed out first part of your conversation. On the TATA Projects, is this a one -off kind of loss do we take because the revenues are not down but

it is up. It's not as the revenues are down, but still the loss is quite substantial. So, is it like we take it as a one -off here?
Praveer Sinha : So for Tata Projects we have projected what will be the cost to completion and we are booking losses based on that. So, it's not that they have incurred loss already. But on cost to completion basis, we are taking the loss and that is being considered. So, you need to consider it from that aspect. It's not that the revenue has come down. But we expect that when it gets completed, it will incur a loss and we are considering that well.
Rajesh Majumdar : So, it is not a percentage of completion accounting method, is it?
Praveer Si nha: Yes.
Moderator : Our next question is from the line of Girish Achhipalia with Morgan Stanley. Please go ahead.
Girish Achhipalia : I just wanted to understand what is being discussed with the regulator or under the supplement al PPA - is this about the profit sharing under Indonesia, which is being ironed out because the HBA spoke about a certain formula? Or is there something else? And under Section 11, has the regulator completely allowed all profit that you had in Indonesia? So, one clarification on Mundra. And the second thing was on bill discounting , as of 31st of March, I think you had ■ 11.5 billion of bill discounting done and over and above that, the receivables have now gone up. So, has the bill discounting come down? Or what's the level of bill discounting now at the quarter end? And the third one was on Cap ex. We're spending about ■ 10,000 crore on renewables. If you could just break it out for us, does this include the ■ 3,000 crore of module manufacturing and how much commissioning are we expecting out of that balance if ■ 3,000 crore is against the ■ 10,000?
Praveer Sinha : So, Girish, on your first question, I've already replied it 4 -5 times that under Section 11, it's a full pass -through, there is no adjustment. And the regulator order is expected. So, we have to wait for the regulator order to really know what exa ctly the final terms are, but the concept is that and the law is that if under Section 11, if you incur any cost, it has to be fully paid for, both the fixed and the variable cost. Secondly, on the bill discounting, the details, we will furnish you what has been done in terms of the discounting. And what is the third question?
Girish Achhipalia : Breakup of renewable Capex.
Praveer Sinha : Okay. So, that also we'll share with you. You are 100% right that the ■ 3,000 crore that we will incur in the manufacturing is part of the ■ 10,000 crore, and overall ■ 14,000 crore that we will spend in this financial year. And the projects which are ongoing projects, utility -scale projects that we are doing, those wil l be the balance. We've already implemented, I think, 275 MW in the first quarter and there's another 225 MW which we have commissioned in this month. So, all that will be part of the Cap ex that we incur in this financial year.

Girish Achhipalia : So, supplementary PPA, is there a discussion around Indonesian coal profit or there is no discussion? And they will also treat it similar to the regulator?
Praveer Sinha : We are still waiting for a final decision from CERC on the Section 11, and then we will be discussing the supplementary PPA and what sort of arrangement it should have.
Moderator : Next question comes from the line of Anuj Upadhyay with HDFC Securities. Please go ahead.
Anuj Upadhyay : Just a follow -up, on the supplem entary PPA arrangement y ou mentioned. So, this is only with Gujarat, which we would be discussing or we have other states as well on board?
Praveer Sinha : So, at this stage, we are discussing with Gujarat. So, once we deal with them, the understanding is that the similar arrangement can be at executive level.
Anuj Upadhyay : So, the one which we are having with Gujarat is for the same quantum we had with them earlier.
Praveer Sinha : Yes. The quantum is the same with all the 5 procurers.
Anuj Upadhyay : Sir, coming to the EPC side. On the last call, sir, you had mentioned that the new orders which we have booked in the division are now benchmarked with the new module prices. And hence, the margin should improve from the Q1 onwards, but couldn't happe n as on date. Could you just quantify that of the current order book of around roughly ■ 14,000 -odd crore in the EPC, what quantum in the book would be with the new module prices? So, at least we have some kind of clarity on the margin trend g oing ahead.
Praveer Sinha : So, what happens is that the projects which had got implemented in Q1 are the projects which is taking more than a year back . The 16 projects which have come in the last 6 months to 9 months are the projects that have factored in the new module costs and those are on a much higher

margin. For the earlier ones we had projected that module prices could come down in previous
quarters that did not happen .
Anuj Upadhyay : And lastly, sir, as I had mentioned earlier, if you can share the details of Mundra Indonesian
coal, that would be helpful.
Praveer Sinha : Okay.
Moderator : Our next question is from the line of Murtuza Arsiwalla with Kotak Securities. Please go ahead.
Murtuza Arsiwalla : A couple of questions, again, revolving around coal and CGPL. One, there is this ■ 2,000 crore
working capital inc rease that we see on a consolidated level. Could you highlight if any part of
it is to do with CGPL because you may be recording the revenues but not received any of the
cash. That's the first one. Second is, when I'm looking at some of the numbers that ar e there in

the presentation, you're talking about coal cluster profits of about ■968 crore and combined
profits of ■ 500 crore. So, is the math around ■ 460 crore of losses around Mundra, right, the
implicit math? And again, the request to please provide all of the details on CGPL and coal so
that we are better able to appreciate the financials.
Praveer Sinha : Yes. We'll share the details.
Murtuza Arsiwalla : And on the working capital and the computation of loss?
Praveer Sinha : Yes. On that also we'll share the details.
Moderator : Our next question comes from the line of Ankit Patel with L&T Mutual Funds. Please go ahead.
Ankit Patel : I had a question again, on the Mundra side only. Sir, if I see the PLF level that you have reported
at TATA Power level, they remain similar to the Q4. And the revenues have gone up at the
TATA Power stand -alone level, yet the profitability is down at EBITDA level. So, I wanted to
understand whether this current Section 11 the way in which the plant is running, i s it even
profitable?
Sanjeev Churiwala : I think when we look at the stand -alone of TATA Power, it's a combination of various things,
including CGPL, the Mundra Power Plant, right . So, I think it will be difficult to strip down
separately on what's the im pact on the stand -alone on the Mundra plant. But as we have
discussed, we will separately try and work it out and share. Of course, as Dr. Sinha has said that
at the moment we're looking at the CERC rate and that is supposed to be in principle to be a
pass-through, and we have taken up the matter further with CERC to kind of get a revised tariff.
Till that is implemented, it will be very difficult to decode as to what is the exact impact of that.
So, I think you'll have to just wait for some more time and m

aybe in the next quarter, we'll have
a better clarity.
Ankit Patel : The second question was around TATA Projects again. So, in the Q4, also there was a significant
amount of negative booking around Tata Project and our understanding, and I think the
discussion at the time was that probably with some kind of cleanup as well as the amount of
commodity price impact. Now again , in this Q1, there is a booking and you were mentioning
that it is on account of some cost accounting. I want to understand if this is a trend that would
continue throughout this sector? Or this is something that would stop at some point in time?
Sanjeev Churiwala : No. I think, again, Dr. Sinha in reply to the previous question has mentioned that there are certain
projects which we have taken up earlier, and there is a true -up on the cost to completion of that
and to that extent, that our TATA Projects t ook those losses. We don't expect further big losses
to come in the subsequent quarters. And I guess what you see right now is basically that cost to
completion for some of the projects that was taken up earlier, which had, of course, had been

impacted in the previous quarters as well and now, but I think we're almost close to now getting
back to normal there.
Moderator : Our next question comes from the line of Gopal Nawandhar with SBI Life. Please go ahead.
Gopal Nawandhar : I think my question was also on the write -off of the provisioning for the EPC businesses, both
for TATA Projects and Solar. We have been like in the last few quarters been giving this comfort
in terms of like order book, you've already taken some bit of provision, but still it is continuing
for some more quarters. So, just wanted to get some comfort on that. And the second question
was on this ■3,000 crore increase in the receivables. If you can just highlight from which areas
it is coming? Ho w much is from Mundra? How much is on renewable and solar EPC?
Praveer Sinha : So, as far as the receivables are concerned, Rahul, we'll share the details with you. As far as the
EPC for solar is concerned, last quarter, it made a very good profit. It's onl y in this quarter, they
have been stressed. And as we mentioned that this is because of some of the older projects, which
were getting implemented. And we had a huge hit also of the exchange rate. And now that we
are fully hedged it should not happen in the future. Secondly, on TATA Projects, we took a stand

last quarter and this quarter also that we need to clean up all the projects where we have
probability of having losses. And based on our assessment, we have taken a hit last q uarter also
in this quarter. And hopefully, now that all those projects have been identified and the provisions
have been made, going forward, this will not have an impact in the future.
Gopal Nawandhar : And sir, would you like to share, are we still runni ng all 3 units in the Mundra?
Praveer Sinha : Yes, we are running all 3.
Moderator : Our next question comes from the line of Apoorva Bahadur with Investec. Please go ahead.
Apoorva Bahadur : Congratulations on strong results. I wanted to understand in one of the notes to accounts, you
mentioned that an additional revenue of ■277 crore has been recognized from Mundra. So, sir,
this was under the supplemental PPA. Is this correct? And also, is the ■277 crore only for the
current period? Or does it pertain to the additional revenue, which for power supply during the
previous quarter on the supplemental PPA?
Sanjeev Churiwala : This is the revenue accounting because we are running 3 units. So, to that extent, the revenue
have been accounted for. So, there's nothing exceptional about it. We can give you the breakup
of this. That is not an issue.
Apoorva Bahadur : So, this is only for the period between 1st April to 5th May.
Sanjeev Churiwala : Correct.

Apoorva Bahadur : Right. Fair enough. And sir, we are r ecording the full fixed charge for the plant and billing it to
all these states as of now?
Sanjeev Churiwala : Yes. So, we are kind of accounting as per the CERC orders.
Apoorva Bahadur : Sir, also in the distribution business, we are seeing a lot of your private competitors are entering
into the smart metering business. So, any plans for us, given that we have a fairly large franchise?
Praveer Sinha : In the distribution business, we are th e largest in the country with 12 million customers. That is
sum total of all the other private sector players in the country. And the type of understanding
and the knowledge and experience that our team has, we are looking at taking it up in other states
also, obviously the private sector opportunities or there are also the licensing when it happens.
So, we are definitely looking at being the biggest player in the distribution in the country.
Apoorva Bahadur : And on smart metering?
Praveer Sinha : Smart metering also, we have done the maximum smart metering for our customers in Delhi and
Mumbai as well as in Odisha. So, we are now implementing in all the 4 Discoms. And we will
become not only a big player of smart meters for ourselves, but we will a lso do it for various
other state Discoms under the government scheme of RDSS.
Apoorva Bahadur : Sir, last question from my side, and this is on the coal business. So, are we meeting the DMO
obligation? So, basically , wanting to understand that is this a case that this quarter, we also had
the mix benefit as in higher share of export resulting in higher profits?
Praveer Sinha : That's a given thing that you have to meet the DMO obligation. And the DMO obligation is not
right through the year, but in certain months, depending upon the quality of coal that you
produce, the local power company, PL N seeks that much quantity. So, in the month of January,
February, we had supplied a huge quantity of coal under our DMO obligat ion. And that is 25%
of the total capacity of the coal that is mined by us. So, we will meet that requirement and it's
done through the year, not equally but spread out in different months.
Apoorva Bahadur : Sir, so in this quarter we will be below 25% or a bove 25%?
Praveer Sinha : Since we did a lot of supplies, Indonesia works from January to December calendar. So, we've
already done a large quantity this year. And hopefully, whatever is the balancing will be done in
the few months.
Moderator : Thank you. La dies and gentlemen, due to time constraint, we will take our last question for the
day. It's from the line of Rahul Modi with ICICI Securities. Please go ahead.

Rahul Modi : I'll just slip in a quick last question. Sir, maybe repetitive. Just to understand, sir, as you
mentioned that the interim tariff, which was given that was I think the benchmark indices were
different or it was behaving differently. Sir, in the 2 weeks that you said that, obviously, there
was a certain amount of difference. So, are we bi lling as per the actual costs? Or are we billing
as per the interim tariff which you had given?
Praveer Sinha : We are billing as per the interim tariffs. Once the actual cost details are given to CERC and they
determine it and notify it, then whatever is t he difference, we bill too.
Rahul Modi : So, if I'm not understanding it incorrectly, if this is coming in, then we'll have a prior period pull
up on that front? Whatever, for a couple of months or a couple of weeks where we've not been
able to charge the full amount?
Praveer Sinha : Yes. What ever is the actual amount will real happen. So, whether it is up or down, that once let

the tariff order come.
Moderator : Thank you. I would now like to turn the conference over to Dr. Sinha for closing comments.
Praveer Sinha : Thank you to everyone for jo ining in the call. And wha

tever details we could not submit today,
my colleague, Rahul, will share that with you. And in case you have any other queries, please
connect with Rahul and our Investor Relations team. We'll be more than happy to furnish you
the details. Once again, take care and look forward to catching up again with you. Thank you.
And thank you, Ryan, for conducting the call .
Moderator : Thank you, sir. On behalf of the TATA Power Company, that concludes this conference. Thank
you for joining us. You may now disconnect your lines.

Call: Nov 2022

3rd November 2022
BJ/SH -L2/

BSE Limited
Corporate Relationship Department
1st Floor, New Trading Ring,
Rotunda Bldg., P. J. Towers,
Dalal Street, Fort,
Mumbai 400 001.
Scrip Code : 500400 National Stock Exchange of India Limited
Exchange Plaza, 5 th Floor,
Plot No. C/1, G Block,
Bandra- Kurla Complex,
Bandra (East),
Mumbai 400 051.
Symbol: TATAPOWER

Dear Sirs,

Earnings Call Transcripts

Pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the audio call recording of the Company's Analyst Call held on 28th October 2022, on the Audited Financial Results (Standalone) and Unaudited Consolidated Financial Results (with limited review) of the Company for the quarter/half -year ended 30th September 2022, is attached herewith.

The transcript of recording can also be accessed on the Company's website using the following link:

https://www.tatapower.com/investor -relations/analyst -call-recordings.aspx

You are requested to take the same on record.

Yours fai thfully,
For The Tata Power Company Limited

(H. M. Mistry)
Company Secretary

"Tata Power Company Limited
Q2 FY '23 Earnings Conference Call "
October 28, 2022

MANAGEMENT : DR. PRAVEER SINHA – CHIEF EXECUTIVE OFFICER &
MANAGING DIRECTOR – TATA POWER
MR. SANJEEV CHURIWALA – CHIEF FINANCIAL
OFFICER – TATA POWER
MR. JINENDRA PATIL – FINANCIAL CONTROLLER –
TATA POWER
MR. SOUNDARARAJAN KASTURI – INVESTOR
RELATIONS – TATA POWE R
MR. RAJESH LACHHANI – INVESTOR RELATIONS –
TATA POWER

Moderator: Ladies and gentlemen, good day, and welcome to the Tata Power Q2 FY '23 Earnings Conference Call. As a reminder all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentat ion concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
Today, we have Tata Power management team on the call wi th us. I now hand the conference over to Dr. Praveer Sinha, CEO and MD of Tata Power. Thank you, and over to you, Dr. Sinha.
Praveer Sinha: Thank you very much, and good evening to everyone, and thanks for joining for the Q2 Analyst Call. On behalf of Tata Power, I would like to wish all of you a very happy Diwali and also my best wishes for the festive season. Today in the call, I am joined by my colleagues, Sanjeev Churiwala, CFO; Jinendra Patil, Financial Controller; Kasturi and Rajesh Lachhani from the Investor Relations and a few other colleagues from my finance team.
Let me, first of all, start with giving you some background about the consumption of power in the country. What we have seen in the last six months is that there has been a huge increase i n the requirement of power. The peak power went and touched something like 207 to 209 gigawatts and also in terms of energy, the increase has been nearly 12% in the last six months.
Of course, in the last quarter, the demand was a little subdued because of extended monsoon, which actually went right up through September and even in October. This also was a period when we saw that during the month of especially April and May, there was a shortage of coal and during that period, the peak prices of power went up in the exchange.
Since then, there have been much lower peak prices. And also, there is a capping of peak price that has been done by the regulator. During this period, Tata Power has done exceedingly well. In the last quarter, our PAT has grown and als o our revenue has grown and EBITDA has grown.
In this quarter, our PAT has grown by nearly by 85% from INR 506 crores last year to INR 935 crores. Revenue has grown by 49% from INR 9,502 crores to INR 14,163 crores. EBITDA has grown by 18% from INR 1,732 c rores to INR 2,043.
If we look at the H1 data also, we find that in H1 also, like the quarter, the PAT has grown by 87% from INR 971 crores to INR 1,890 crores. The revenue has grown by 49% from INR 19,076 crores to INR 28,939 crores and the EBITDA has gro wn by 1% from INR 4,097 crores to INR 4,150 crores. This growth has been on back of excellent performance by all our businesses, our existing generation business, hydro business, coal business, all of them have done very well.
Our coal mines have also done exceedingly well on back of high prices, of course. Mundra, we have been able to operate the plant under Section 11. And the interim order of the regulator has ensured that we get the full fixed cost and also states, who were not scheduling the power have to pay the fixed cost as we had shown the availability of the plant. And now we are, of course, expecting the order on the full pass -through of coal coast, which will give us a further

improvement in our performance in the subsequent quarters. We have als o seen all our other businesses are doing very well.
Our renewable capacity is today, the utility scale is something like 5,660 megawatts on back of the 850 megawatts of projects that we won in the last quarter. This includes 3,870 megawatt of operating plants and another 1,790 megawatts of projects, which are under different stages of implementation.
We expect that in the coming years, with the type of increases improvements that we have seen in our hit rate in winning

projec

ts. We will be able to add a large quantity of such big projects in different parts of the country and these will not only be just pure solar or pure wind, but will be hybrid projects also.

We also won projects under the EPC route, where we won projects of 125 megawatts from NHPC and 100 megawatt from SJVN and we implemented during this period, 625 megawatts of third -party EPC projects also.

We have a very healthy order book of nearly 3,800 megawatts with a value of nearly INR 15,000 crores. Our 4 gigawatt manufacturing facility is goi ng well. T he work has started at site and ordering of main equipment's have taken place and we expect the rollout of the first of the module from the plan by next year, July -August and the first of the cell by next year December. So that will help us in m eeting our future requirement of cells and modules for our projects and also for the EPC projects and rooftop projects. In the rooftop business, we commissioned 138 megawatts of capacity in this period and we also won 330 megawatt of orders, totalling to I NR 1,233 crores. We are present in more than 265 districts of the country have happened and more than 100 cities.

And we expect that with our present order book of nearly 400 megawatts with a value of maybe INR 1,500 crores we'll be able to grow this business many more times than what we have done in the previous year and quarters. We already have a cumulative rooftop portfolio of about 1,150 megawatts and this keeps on increasing every month and every quarter.

In the solar pump business, we installed nearl y 6,000 pumps in Q2, taking our total installation to 17,000 pumps. And we expect that with more than 80,000 pumps across India, we will have a major presence in most of the states in the country.

On the e -mobility, we added 722 public chargers and we now have more than 3,000 public chargers in different parts of the country including highways. And we have nearly 23,000 home chargers. Apart from this, we have about 240 bus chargers in different cities in the country.

Our transmission and distribution contin ues to be very steady and has been growing at a very fast pace. During the quarter, we took over the South-East UP Power Transmission Company, through the the resurgent platform. And also the work on the NR SS transmission project has

started. And we expect that we will be able to complete all these projects in the next 6 months to 12 months progressively in these locations.

Also, we have been able to push our smart meter initiative and we have nearly 4 lakh smart meters installed in Delhi, Mumbai and in different parts of Odisha and we expect that soon we'll be able to cover in next three years virtually all our customers in these places. Our distribution business in Odisha, which we took over progressively in the last two years, have done exceedingly well.

We have been able to not only reduce the AT&C losses to a very large extent, but have been able to also improve the reliability and customer connect and excellent service being provided to our customers. Many of the legacy issues over there have been sorted out. There were nearly 20 lakh meters that we replaced, which were not working and all were the legacy meters, the electromechanical meter. And that has helped us in improving the billing efficiency and also given the current consumption that is be ing done by the consumers. And the result of that will start coming in the subsequent quarters.

Moving to our balance sheet. We have been able to ensure that our net debt continues to be less than INR 40,000 crore. It's about INR 39,000 odd crores. And thi s is in spite of the fact that we have done more than INR 3,000 crores of capital investment in this year.

Our working capital also has improved because of better collections in all our businesses including our renewal business, and we have started gett

ing the money from some of the states, which earlier where delaying the payment. And we do expect that all the old outstanding will get liquidated in the next few quarters.

Our net debt to underlying EBITDA has improved from 3.6 in last quarter to 3.5 in this quarter.

Similarly, our net debt to equity has also improved from 1.55 to 1.32. And we expect that going forward, we'll be able to maintain at these levels, notwithstanding the fact that there's a large amount of CapEx that has been planned in our renewable transmission and distribution business.

As I had been mentioning earlier, Tata Power has been continuously moving towards a long - term aspiration and the 12th consecutive quarter of good performance shows that a huge amount of foundational changes have happened, which is ensuring that the sustained performance and results are being provided. And I think that the direction of change that we have seen will help us to further improve in the coming quarters. So we have, of course, shared with you the detailed data of our quarterly results.

And I now look forward to have your questions and the floor is now open for Q&A.
Moderator: The first question is from the line of Mohit Kumar from DAM Capital. Kindly proceed.
Mohit Kumar: Congratulations on a good set of numbers. So my first question is on the Mundra short -term arrangement. Is it being extended post 31st October 2022? Have you heard anything from the

government? And secondly, are you booking the tariff completely on cost plus for the quarter , or is there s omething which will still be pursued at CRC?
Praveer Sinha: So thank you, Mohit. First of all, the existing arrangement has been extended up to 31st of December. And it is not sure that anything gets further extended, but the supply under Section 11 continues , and continues up to 31st of December.
Secondly, right now, we have booked the Mundra tariff based on what the Ministry of Power has given as an interim tariff . The difference between the interim and the actual tariff , that is to be decided by C ERC. As we had shared with you earlier, under Section 11, any generation has to be on a cost -plus basis. That means actual costs that you have incurred will be paid to you. And that was the principle on which even the interim order of C ERC came whereby they gave us the full charge for capacity, which is INR 0. 90 and no reduction was allowed. And also states which were not scheduling power, they had to pay because we were showing the availability . So the Section 11 principle is very well laid out. And we expect that once the final order comes, full pass-through of coal will be given to us.
Mohit Kumar: Secondly, sir, what is the status of Mundra long -term draft supplementary power purchase agreemen t, where are we right now? And when do you think we will resolve this entire thing?
Praveer Sinha: So, since the existing arrangement is going on, Gujarat government has been going a little slow on finalizing the Mundra arrangement. So let's wait and watch if the existing arrangement continues then this provides us the opportunity to do the supply of power on cost -plus basis , or
if that does not get extended, then of course the Gujarat government would come forward and finalize an arrangement which is acceptable to both sides.
So I think for the present, we will continue with the existing arrangement. And i f there is something that is required, we will discuss and mutually sort it out.
Moderator: Thank you. The next question is from the line of Swarnim Maheshwari with Edelweiss . Kindly proceed.
Swarnim Maheshwari: Sir, my first question is, during the quarte r, in Mundra, was there any reversal of excessive provision, because posted tariff orders which got effected from 5th of May , before that for about 30 days, 35 days, you were outside the Section 11. So, post this tariff orde

r, is there any excess provision that has been reversed during the quarter?
Praveer Sinha: What had happened when the 5th May, notification came, it talked about that the fixed cost of the capacity charge will be paid as per the PPO or if there's any agreement. Since there was no agreement but notwithstanding that, Gujarat was only paying access INR 0. 70 paisa not the full amount, because they were considering that the interim arrangement that we were trying to sort it out with them, the rebate will be given. But the interim order of C ERC mentioned that full fixed cost or capacity charges would be given. So that reversal has happened in the quarter. But other than that, we have not done any other.

Swarnim Maheshwari: Yes. Sir, what is that amount, sir? If you can quantify, please?
Praveer Sinha: So it's a INR 0. 20 paisa per unit. So whatever we had supplied to Gujarat and Maharashtra and that has been. And to the other states, they have to pay the full fixed cost even if they are not scheduling the power.
Management: And if you see the note s to the accounts where we have very clearly specified the break -up amount, including amount within previous period. In the total amount that we have been able to recognize is INR 461 crores and out of that INR 151 crores pertains to the previous quarter.
Swarnim Maheshwari: Sir, my second question was on the receivable side. So you did mention we expect to see some sort of liquidation in the ensuing quarters, but this is for the second consecutive quarter, we have seen that the receivables have been a bit elevated. So any specific reasons? I understand this is from the likes of O disha and Mundra. But any specific thing that you would want to highlight that, is it some sort of a tricky issue somew here?
Management: So I think a couple of things. As you said that break that its right given that the energy cost has gone up and to the extent the revenues are high, the receivables would also be high. But that doesn’t mean that quality of our receivables are deteriorated . In fact, the overall quantum which

has gone up. So in terms of our receivable days, it is absolutely well within control. The good part is many of our sticky receivables that we've been discussing in the past, for example, Andhra Pradesh and other places, t hey have now started paying us in the ins tallment, including all the disputed amount. So you would see quite a good liquidation happening in the subsequent quarter s coming in .

Similarly, in Mumbai, where there were delay in payment, now they' re also started paying and you'll see that the liquidation also happening the subsequent three to four months. So I think the overall receivables is absolutely within control and as per the plan.

Moderator: Thank you. Participants if you wish to ask a question kindly press star one. The next question is from the line of Dhruv Muchhal from HDFC. Kindly proceed.

Dhruv Muchhal: Sir, you mentioned that there is a gap between the interim tariff and the final tariff based on the fuel cost pass -through mechanism under Section 11. Possible to share what the gap is, to help us understand the potential benefit that is likely to accrue ?

Praveer Sinha: Right now, it is premature. We'll share with you because till such time the final order of C ERC comes. We do not know exactly what we ultimate ly get approved by them. So let's wait for their orders. We expect that order to come in November, and then we'll be able to work out the exact quantum and shares .

Management: And to add to what Dr. Sinha , I think our apologies, again, and there was a lot of discussion in quarter 1 that in our Investor 's deck, we're not giving the separate breakup of our full profit and Mundra profit. And we did mention over there that time there is certain discussions, which is

under progress both at the CE RC level and as well with the COD and we did not want to get into a dispute by putting a certain amount .

The good part is as we had mentioned last time that we will see some claw back happening in quarter 2, which has now happened, the amount of INR 460 crores as we ment ioned. We are kind of also expecting that depending about the kind of order we get, good material amount should come and hit bottom line positively in quarter 3. But at this moment, and as Dr. Sinha said we're not in a position to share you the exact break ups.

Moderator: The next question is from the line of Abhineet Anand from Emkay Global. Kindly proceed.

Abhineet Anand: On the solar EPC side, the order book is quite healthy . I just wanted to understand in the last few months or maybe in the last two quarters, have you seen an increased competition? We saw a major number of contracts that Tata Power won earlier was from state PSUs like NTPC, SJVN and all. Recently, we saw one of your competitors seeking a large project in excess of INR 2,000 crores. And t hey have now a backing of large corporates. So any increased competition that you see in the space?

Management: I think the players are the same. Only thing is what we are seeing is that the bids are coming at a much higher rates , unlike earlier when it went up to INR 1.99 and INR 2, they are now all in the range of INR 2.50 to INR 3, depending on the location of the plant and whether the land is being given , what sort of profile of the generation that is required. S o I think there is much more seriousness and credibility that is coming in the bidding process rather than many who are coming and bidding a number which they are finding it difficult to reach.

Abhineet Anand: Secondly, I understand that obviously Mundra has been merged , is it possible to give some ballpark number what has been the performance of Mundra Corp. in their 1H of '23 ?

Management: We're not giving a separate breakup here. I think it's kind of all merged in the overall generation business. But as I mentioned earlier, definitely all of this kind of partly covered because of the fixed charge that we received , the INR 452 crores program that we did. And of course, the difference between what has been allowed at the tariff and what is actual tariff you'll see on the CERC, s o once we get a clarity on that, we'll have a better understanding on the Mundra profit and the coal mines. For us, both of them are clubbing to one, because it is made for each other.

Abhineet Anand: You mean that Sinha sir also told that this arrangement is till 3Q, least that let's assume current arrangement doesn't continue and your long -term arrangement that you are talking about still takes some time. I mean, what's the larger picture, I mean on some picture that you can understan d on Mundra?

Management: What we need to understand is that even with the present pass -through cost, we are still very competitive in Gujarat. And so they will definitely like to schedule power from this plant compared to many others who are at a much higher price.

Secondly, once the principles are being laid in the C ERC order and all that. So hopefully, around

that only the final discussion and negotiation will take place. It will not be on a principle which
will be very different than what is decided by C ERC. So that's what is our expectation.
Abhineet Anand: And broadly, the principle is near about the cost pass -through, right?
Praveer Sinha: Yes, absolutely right.
Moderator: Thank you. The next question is from the line of Sumit Kishore from Axis C apital. Kindly
proceed.
Sumit Kishore: My first question is that net cash flow from operating activities at consolidated level has reduced
from INR 2,412 crores in H1 FY '22 to INR 2,148 crores in H1 FY '23, if I look at the BSE
fil

ing. What qualitatively explains the decline in the net cash flow from operating activities given
that there has been strong P&L performance?
Management: Are y ou talking about the cash flow from operating activities?
Sumit Kishore: Yes.
Management: At the consolidated level, H 1 FY '23 compared with H1 FY '22.
Management: If you look at the particular sheet, which is a complete long page has a complete various analysis
and there are items which are moving up and down, but we have it, by and large from INR 2,4 00
crores that we see in '21 almost INR 2,200 crores. This side of the business, there will be small
items going up here and there, but we don't see any significant change in the trend.
Sumit Kishore: I mean , I should be ask ing this question, lot of moving parts. It's difficult to decide, sir, because
there are regulatory deferral account , the assets al so swinging. But obviously, the P&L growth
has been quite strong in the first half of the year, thanks to the elevated coal pric e, among other
factors. But somehow, the working capital seems to have gone up, meaning to me?
Management: Yes. So as I said earlier, working capital, if you see it's important to link it with the growth in
the revenue because at various locations will ha ve credit pay , and to that extent, our higher
revenue leads to higher receivables, which are kind of all good and not overdue . So I think there
will be a higher working capital linked to a higher revenue , but in terms of the overall aging of
our debtor tha t our DSO, those are all within control.
Sumit Kishore: My second question is in relation to Slide 18 of the presentation where again, Q2 FY '23
EBITDA before elimination has gone up sequentially from quarter 1. It's gone up INR 3,022
crores and 2798 crore s. However, any issue that increased quite sharply, there almost INR 1,229
crores in Q2 versus INR 691 crores in Q1. So when we look at a segment -wise analysis to try to
understand the performance. This elimination increase is simply too high, and that is driving a
reduction in EBITDA on a sequential basis. So what explains such a sharp eliminations?

Management: Yes. This is basically on a consolidated basis, we have the dividend which will get eliminated
within the two companies, right? So , and of course t hat also reflects that they have received
higher dividends. And to the extent that elimination is purely on account of dividends.
Sumit Kishore: So that basically, a reflection of the higher dividends received from the coal mine?
Management: Yes, you're right.
Sumit Kishore: And finally, on Mundra , following the Section 11, what is the under -recovery basis tariffs that
you have charged so far. So what is it that you're expecting from the regulator to get a cost-
reflective tariff ?
Management: Well, I think this is the indirect way of asking the same question. Given that we are already with
CERC the hearing has happened and the expected outcome very soon. I think it's better to wait
for a couple of months so that we can give you a very precise answer.
Sumit Kishore: Last question is on the solar EPC revenue and margins. So for both utility scale solar and solar
pumps, the revenue seems to have come off a fair bit year -on-year. Margins in Q2 have gone up
sharply on a sequential basis. If you could please help us with that, what explains this volatility?
Management: Yes. I think the observation is absolutely correct and I think this goes back to the quarter one
conversation that on the EPC we had a negative PAT margin. We went back to the drawing board to see how best to claw
back our profits. So a couple of things that we have done is, a,
look at some of the projects which were dragging down our profitability.
We have agreed with the parties to defer those projects and to take the benefit of the reducing
cell-and-module on th

e prices as well as, of course as you are aware, the steel prices also came
down to 25%. So that is one. And because some of the projects were deferred, we were able to re-estimate the cost to
completion, which is resulted in a write -back of some of those positions
that we are making.
I think the better way to look at it is look at the H1 EPC margin in totality, which is close to
about 2% Ideally would like to have a higher PAT margin going forward, but at least the situation
is improved fr om where we were in quarter one.

Moderator: Thank you. The next question is from the line of Koundinya N from JPMorgan. Kindly proceed.
Koundinya N: A couple of questions. Firstly, on Mundra plant. So just trying to understand, you w ere referring to a bit of slowdown on the part of Gujarat Government. Is it got something to do with subdued demand in government in the second quarter? Or how should we look at it?
Management: Subdued demand; no the demand was not sub dued in Gujarat, in fact, we have been operating three plants exclusively for Gujarat during this period. The demand has been very much there. And this is one of the big suppliers. In fact, in terms of single plant, it is the largest supplier of power to Gujarat. And going forward also, our confidence is that those this Section 11 is only

up to 31st December. They will continue to have a similar requirement in next year also and in the summer period and all. So they will definitely come to some arrangement and this month we'll continue to supply and be one of the main suppliers of power to Gujarat in the coming years.
Koundinya N: Sir other than Gujarat, are there any other states that are also asking for power from Mundra , there was some media article quoting that Rajasthan was also looking to tap from Mundra plant. So just trying to understand that part.
Management: So apart from Gujarat, Maharashtra continues to take power and also for a certain period of time, Rajasthan had taken. So these states have been regularly procuring power from Mundra.
Koundinya N: And sir, I think you explained it in previous quarter, but just trying to understand better. So can you help us understand what is the way the accounts are being booked? The tariffs are being booked at the moment from Mundra plant?
Management: So right now, we have booked based on the full capacity charge and also whatever is the notified interim tariff by Ministry of Power. So every two weeks they come up with the notification of the, based on the cost of the IC/ IGD cost of coal . But the final cost of coal will be whatever is the actual cost of coal that we have incurred for operating the plant.
Koundinya N: Just clarifying on that second part, sir. So essentially based on under recovery either on the fixed cost part or on the variable cost. Is my understanding correct?
Management: So on fixed there is no difference. On the variable, there is a difference right now on the -- whatever is the interim notified price and the actual price. That different calculations have been given to CERC. That delta difference whatever is there. And once CERC notifies it, we will account for it.
Koundinya N: And secondly, bookkeeping, sir, what is the dividend amount from the subsidiaries to parent in Q2 and first half?
Management: About INR 1,100 crores in Q2.
Koun dinya N: So INR 1,102 crores.
Management: Yes.
Koundinya N: This is for first half?
Management: That is for quarter two and 1800 for H1FY23.
Moderator: Thank you. The next question is from the line of Aniket Mittal from SBI Mutual Fund. Kindly proceed.

Aniket Mittal: A few questions, basically on the EPC front, in Slide 9 of the presentation, you've mentioned that there has been some plan ned rescheduling of large projects on the EPC. So if you could elaborate o

n that, and which are these large projects that have gotten rescheduled?
Management: I think this is a one -on-one conversation with the counter parties. But I think it's suffice to say that some of the large projects have been rescheduled. And of course, with the consent of the parties. To that extent t hat parties realizes that at the current elevated prices for cells and modules it will not be possible for many players or if you suffice to deliver the project on time. And hence it can be mutually agreed.
Aniket Mittal: So if I were to look at your curre nt order book of almost INR 15,000 crores so how do you look at it from an execution time line perspective? If you could give some color on that?
Management: Execution normally for any such EPC project that we do for the third parties or also for in- house Normally a range from 12 months to 18 months. But depending upon the project by doing the tenant, the period can differ. But on an average, you can presume about roughly 18 months.
Aniket Mittal: We are just trying to understand if there are any delays or projects that have stuck because of this initiative?
Management: This is planned re -scheduling that I was talking about.
Aniket Mittal: The other question is when I look at the numbers for TERPL there seems to be a very large swing on a Y -o-Y basis sitting against the profit of INR 210 crores last year, that being a loss of

INR 29 crores reported this year. So what's the reason for that?
Management: There was a onetime foreign exchange gain , which was booked last year.
Aniket Mittal: It's turning to a loss this year INR 29 crores ?
Management: Are you referring to Slide number 19 of the deck?
Aniket Mittal: Yes, Slide number 19 of the deck .
Management: You're looking at the TERPL shipping company, right?
Aniket Mittal: Look at Slide 18, will find the numbers for 2Q. So against INR 214 crores of profit last year it has come at minus INR 29 crores.
Management: Yes. So we have booked INR 200 crores of ForEx gains last year for the same period.
Management: Yes. That was for sale of shipping that was done since tha t money was at that time pass and roughly when we brought it over here, we booked it at INR 214 crores of ForEx.

Aniket Mittal: Just a related sort of question on the EPC front. So when I look at the renewable capacity that we have under development, which is, I think, 1.8 gigawatts, the commission time line, could you help me on that in terms of...
Management: Most of them are next 12 to 18 months. So our target is that by March '24, most of all of them will take commission, that's the time.
Aniket Mittal: Okay. How much do you plan to do in FY '23? And how much in FY '24?
Management: We can share the details. I don't have it right now. We can give you...
Management: Ballpark for the first H1, we have commissioned 450 megawatt.
Management: The question was on the own facility?
Management: On the total.
Management: Total. That we'll share with you separately.
Aniket Mittal: Okay. And just one last question on Mundra. I understand you can't talk about the difference or the under recovery. Could you help me wit h the average tariff that you realized from Mundra for 2Q and 1H that you've actually booked in your numbers?
Management: It's about INR 550 crores, INR 570 crores right around that. But the notified tariffs have been between INR 6.20 paisa, 248 kilo. So that's the notified, so that's the difference .
Aniket Mittal: So we booked around INR 550 crores to INR 570 crores.
Management: Yes.
Aniket Mittal: And this is for Q2, or this is for 1H?
Management: Q2, because it started 1H fully. It's only part of 1H .
Aniket Mittal: So 550 for 1H.
Management: No, not 550 for 1H. You are mixing up. See, this full modification came from fifth of May. So it is not 1H. It is only part of 1H.
Management:

It's kind of not entirely appropriate in giving you a breakup because i t's a bit complicated now. And it's better to wait for the complete clarity to emerge. And I'm very sure before the next quarter call, we'll have a complete idea as to the exact under -recovery or to what extent we're losing or gaining.
Moderator: Thank you. The next question is from the line of Apoorva Bahadur from Investec. Kindly proceed.

Apoorva Bahadur: Congratulations on the good set of numbers. And thank you for the opportunity. So you spoke on this provision write -back for the solar EPC business. Can you please share the quantum how much did we write back into solar?
Management: We will be able to send you separately because there are many projects and the provisioning right back is on account of various things. So it will be difficult to just quantif y one number and give it to you. I think, as I said in the previous question, that depending upon the time of completion and then towards when the project is getting completed, we do a true work for cost to completion. And normally on a conservative basis, we try and make more provisions to be on the safer side. So given that some of these projects have been rescheduled now, and the cost of cells modules see that started coming down, we have done a revaluation of the cost to completion and find that we are in a position to claw back some of these provisions.
Apoorva Bahadur: Okay, so secondly on your overall green company portfolio, the profitability has been lower year on year. Now I understand that some part of it would be because of finite depreciation and rise in interest costs. But the EBITDA margins also appear weak, especially for TPREL. So can you share the breakup between this operational – I mean, the decline in profitability due to

operational issues and also the impact of INR depreciation and interest costs on the renewable portfolio?
Management: So we'll share with you. If you see our H1, the EBITDA has actually gone up. So it also depends on what sort of wind speed and what sort of solar intensity is there. So in the first quarter we had very good wind speed and better solar intensity . In the second quarter, because of the extended
monsoon, the solar generation was slightly lower . But the details we can share with you. We can
give you that how much the trend change helping.
Apoorva Bahadur: Sir, also, just wanted to check, in this quarter, this Western Odisha Discom number appear quite
strong. So is there any one -off or incentives that were booked in the quarter?
Management: No, we have not booked any incentives. The performance has improved, and as I mentioned to
you, our AT&C loss has reduced. Our billing efficiency has improved, our collection efficiency has improved. I think it's a general performance of the business which has added to and better billing and better being be able to show much better performance in the future quarters.
Apoorva Bahadur: Sir, I understand that just, specific to Western Discom because that appears a bit better than the
other Discom , so we have Discom which we took over around the same time. So anything
specific over there?
Management: So Western Discom has more of industrial consumers. So EHD and HD consumers are very high
over there, and that's why it has been much higher increase in consumption compared to others.
Apoorva Bahadur: So just 1 last question, if I may , and I'm sorry for harping on again with Mundra issue. But just
for sake of clarity, while we notified tariff is around INR 6.20 paise kilowatt per hour we are
booking around INR 5.50 paise since notification came, and this INR 6.20 paise is a further

possibility for further upside, which CRP comes up with a favorable order. Is my understanding
correct?
Management: No, your understanding i

s wrong. And I've mentioned to you that they notify the tariff every 15
days. And the tariff has changed because the pr ice of ICI index coal has changed. It started from
620, it went down to 470 and now it has gone to 596. So it keeps on changing every two weeks.
But when you get the coal, you get coal over a period of time and based on the actual cost of
coal you are goin g to bill them. So that is the delta difference that will happen. And in such time
order of CRC does not come out, it would be speculative to give you a number and say that this
is the number.
Apoorva Bahadur: So sir, the average notified tariff would be a round INR 5.50 paisa?
Management: No. That's what I'm saying. We don't get into averages, and there is a different price on every 15 days basis they are giving. You should then see the 15 notifications that have come. One that I
will send it to you.
Apoorv a Bahadur: Yes, sir, that will be very helpful.
Management: Otherwise, it's there on the Ministry of our website also, you can see over there.
Moderator: Thank you. The next question is from the line of Dhruv Muchhal from HDFC Mutual Fund.
Kindly proceed.
Dhruv Muchhal: Sorry, I got disconnected earlier. Some of the questions have been answered since. So just one question on the Odisha Discoms. We see the performance is improving. We understand the circle developing but we also notice that the regulatory as sets are increasing. So should we understand
this primarily because of the fuel cost? Or is there some other element to this?
Management: So the regulatory asset adjustment takes place on an annual basis. So it's a question of timing of
some of the regulat ory assets, which is there, which will get adjusted at the end of the year. So
it has nothing to do with the fuel costs and all that because in Odisha there is one single tariff
that is a charged there by the generating company.
And we also charge one single tariff on the consumer So this is because of whether it is the
O&M cost or it is on billing efficiency and things like that. So at the end of the year, that's two
of take place, and you will get see that number whether there is an increase or decrease. And
depending upon that, the tariff fixation takes place for the next year.
Dhruv Muchhal: And sir, the second, just a follow -up on one of the earlier questions on the shipping company.
We understand the delta movement because of the FX, but we wanted to understand what's
driving the loss in the current quarter. And probably also in the first half, the profitability is a bit
lower because you understand that we used to understand that this was a leasing arrangement
where the profitability was largely as sured. So just trying to understand what's driving the loss?

Management: So again, the billing that we are doing on shipping is based on the CRC Index. Now once we get

the actual cost of shipping that is there, then we'll be able to decide on it, whether t hat needs to
be reversed.
Moderator: Thank you. The next question is from the line of Ajay Mehta from Wipro Limited. Kindly
proceed.
Ajay Mehta: So my first question, sir, to you is that considering the environment when interest rates are rising,
so what i s Tata Power's plan on reducing the debt because that is still at an elevated level, right?
Even though Y -o-Y we have come down, but still the average debt cost has risen from 6% -odd
to 7% -odd, right? So what is the plan to reduce the debt going forward?
Management: No, I think when you look at the overall net debt of the company, in spite of all the CapEx that
we have done and incremental working capital because of higher revenues, our total net debt is still below INR 40,000 crores.
What is important to l ook at it from a perspective of the
leveraging, some net debt to equity position and our leveraging well below a 1.5, our targeted leveraging was 1.5 w

as the Tata Power level standing at 1. 32, right now as we speak.
Interest level, yes, we are kind of arou nd 7% if you look at the current quarter, and when we
looked at a year back, it was around 6.6%. So we have seen about a 40 bps increase, but that is against almost 190 bps
increase in the base rate, so I think we have been able to manage our
interest rate quite well, including some of the international borrowings that we have done,
including a recent 320 million borrowings that we did our sustainability -linked loans. Together,
we've been able to kind of contain our overall cost of debt quite well.
Ajay Meh ta: And my second question is, I just saw in a notepad there was a cyber attack, right, even though
there's no impact to the financials, and I believe you guys have taken the reports also. So is there any action still pending to
be done which would have an impact on Q3 numbers due to the cyber
attack?
Management: No, there's no impact on the quarter 2 also. Very clearly the financials, the facts systems and all
have been well protected. It is not having an impact, we did not have any financial loss as well.
Our operations, collections was as usual for us. So yes, we don't see anything happening in
quarter 3 as well.
Ajay Mehta: And sir, my last question is what is Tata Power vision is respect to the EV charging, right? I know you guys are
increasing your footprint quarter -over -quarter with increase in the number
of cities being added, number of clients being added, number of apartments, connectivity is
improving. So what is like the path going forward from a next year perspective in terms of the
growth that y ou see in the EV segment?
Management: So our objective is that we need to provide a seamless experience to the customer. And when
we say that, if you are having automobile in your home, you should have a home charger, which
we should be able to provide. If you are traveling intracity, then whatever charging you need to

carry out. You should have a seamless experience over there, then for public transportation, the
bus charging infrastructure.
Now as far as the home charger and the bus charging is there, that is on a cost -plus basis that we
do. As far as the public charger is there, it is on a fee or a subscription model, which is there.
The consumption of that or the utilization of public chargers is much less today because most of the people still continue to
use their home chargers. Also, the penetration of electric vehicle has
not happened to that extent. So we are creating an infrastructure for that over the next two years,
three years when the penetration of electric vehicle, utilization of these charger s should increase
from the present about 2% to about 15% by when it will be able to sustain its operation on its.
Moderator: Thank you. Participants if you wish to ask a question, kindly press star one. The next question
is from the line of Subarni from Sp ark Capital. Kindly proceed.
Subarni : This is Bharani from Spark Capital. Sir, what is your view on the international coal prices over
the next, say, two quarters? And what would be your rationale for that?
Management: Still as globally the coal prices hav e been very high. And we do not expect that it will reduce at
least for next 12 months. So we expect that the coal prices will remain high. Now whether it will
be at the present level or little lower than this, I cannot predict that. But yes, the coal will be in
demand, especially imported coal will be in demand considering the global need for energy
substitute.
Subarni : Could you share the FOB realization per tonne and the gross profit per tonne for the KPC mines
for the second quarter?
Management: We don' t do the sell -off coal over here, so that details we can give you from the KPC reports,
we don't have that with us, we can share with you in the KPC.
Moderator: Thank y

ou. As there are no further questions, I would now like to hand the conference over to
Dr. Praveer Sinha for closing comments.

Praveer Sinha: Thank you, Vivian and thank you to everyone for joining in the call. And in case you have any further queries, any other details that you would require, please connect with Kasturi and Rajesh Lachhani and we will be more than happy to furnish you with it. Once again, season's greetings and all the best.

Moderator: Thank you. On behalf of Tata Power that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2023

9th February 2023
BJ/SH -L2/

BSE Limited
Corporate Relationship Department
1st Floor, New Trading Ring
Rotunda Bldg., P. J. Towers
Dalal Street, Fort
Mumbai – 400 001.
Scrip Code: 500400 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No. C/1, G Block
Bandra- Kurla Complex
Bandra (East)
Mumbai – 400 051.
Symbol : TATAPOWER

Dear Sirs,

Earnings Call Transcripts

Pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, the transcript of the audio call recording of the Company's Analyst Call held on 3rd February 2023, on the Audited Financial Results (Standalone) and Unaudited Consolidated Financial Results (with limited review) of the Company for the quarter and nine months ended 31st December 2022, is attached herewith.

The transcript of recording can also be accessed on the Company's website using the following link:

https://www.tatapower.com/investor -relations/analyst -call-recordings.aspx
You are requested to take the same on record.

Yours faithfully,
For The Tata Power Company Limited

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Company Secretary
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"Tata Power Limited Q3 FY23 Earnings Conference
Call"

February 03 , 202 3

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LIMITED
MR. J. V. PATIL – FINANCIAL CONTROLLER , TATA
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Moderator: Ladies and gentlemen, good day and welcome to the Tata Power Q3 FY23 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Dr. Praveer Sinha – CEO and MD, Tata Power for his opening remarks . Thank you and over to you, Dr. Sinha .

Dr. Praveer Sinha: Thank you Bikram . Good evening to everyone and thanks for joining for the call. On behalf of Tata Power and on my personal self, I would like to wish all of you a very Ha ppy, Healthy and Prosperous 2023.

I am joined today on the call by my colleague, Sanjeev Churiwala – CFO; Mr. J. V. Patil – Financial Controller; Mr. Kasturi and Mr. Rajesh Lachhani from Investor Relations and few other members from my Finance team.

Two days back, the Honorable Finance Minister presented a balanced budget which had lot of initiatives and programs to push the infrastructure sector. The programs were typically in areas of clean energy, renewable energy, battery storage, pump storage opportunity and also the long - term view as to how we will move towards 2030 with 500GW renewable capacity. It is heartening to see that the government is also focused on decarbonizing the economy and I am sure with all these announcements of the government in the budget , we will be able to move at a very fast pace towards using clean and greener energy in our quest to become net zero.

As you may recall, Tata Power is t he first power Company in the Country to announce its vi sion to become net zero by 2045 and we are working towards that goal. The big picture policy support that we

saw in the budget was also about creating the transmission line from L eh-Ladakh to bring clean power, solar power from there into the main parts of the Country. Also, the support through viability gap funding for battery storage of nearly 4000 MW of ours will also help in turning up clean energy into 24 hours clean energy solution.

Let me now start talking about the power demand which we see in last 1 year ha s grown tremendously even in winter months, we are seeing that the peak demand has been in the range of 200 to 210 GW and we can expect that this will continue to grow as summer ap proaches. On overall basis, we find that in the month of January itself, there has been a 12% increase in power consumption and we do expect that this trend will only increase going forward considering the summer months as they approach us.

Also, in the re newable sector, we have seen in the last few weeks that there has been huge price correction especially in the prices of Polysilicon , wafer, cells and modules which will help us to .r.

implement many of the projects which were delayed in last 12 to 18 months b ecause of huge increase in the prices of the solar manufacturing as also in the prices of the various commodities like steel and copper . In the last quarter, we also saw that the Mundra plant could operate at full capacity supplying to the three states of Gujarat, Maharashtra and Rajasthan and the recent orders of CERC agenda that the tariff for Mundra becomes cost effective. The Section -11 order during the period 5th May to 31st December has helped us to ensure that the supply of power takes place on the cost-effective basis and the full passthrough of coal cost is provided and the benefit of this has been considered in our quarterly performance.

Moving to the financials , Tata Power has reported an excellent quarter witnessing strong performance from all the business clusters including our traditional generation business, transmission business and distribution business.

Our PAT has grown consistently for the se 13 successive quarters demonstrating very strong business fundamentals. Consolidated PAT achieved a new record of ■1,052 crores whic h is up by 91%. We have also seen very robust year -on-year growth of 30% in revenue as also a huge increase in our EBITDA by 53% to a re cord ■2,818 crores.

Our renewable capacity during this quarter has increased to 6072 MW with the installed capacity of 3918MW and another 2154 MW under various stages of implementation. During Q3, the renewable Company that is TPREL won a 255MW hybrid proje cts from Tata Power Delhi distribution through e-auction process , as also, it has won other orders from MSE DCL which consists of 150MW order worth ■684 crores. In addition to this, the Company has won a large number of EPC orders and has a large order book of nearly 3914 MW which includes the internal projects also. Our 4GW cell and module factory, construction activity is at full swing and we expect the module plant will be ready by September and the cell plan t will be ready by end of December and we do expect that the module produced from here will be used for the various projects both internal as well as third party that will be implemented by us.

The TPREL rooftop business also has seen very good traction in the quarter and 127 MW of capacity was installed in the last quarter. In addition to this, 102 MW of new orders have been won during this quarter. The rooftop business in fact has a very healthy order book of 368 MW worth ■1,375 crores. The rooftop portfolio has now expanded to 1300 MW cumulatively with installation right across the whole country and with this , we have our footprint i n nearly 275 cities in the country. It was a good quarter for solar pumps also with Tata Power executing nearly 12,000 pumps in Q3. In the December month only, we e

xecuted 6,300 pumps which is one of the highest for Tata Power till now.

We continue to pow er green mobility in the country and have partnered with Indian Army to set up EV charging points in Delhi cantonment ar ea and are in discussions with many more similar cantonments in other parts of the country. On the overall basis, Tata Power energize 900 public .r.

charges during Q3, taking a network of public and semipublic charges to nearly 3100. Tata Power EV charging net work is now present in more than 500 cities with the Company adding 18 cities during Q3. We also have installed more than 6600 home charges in Q3 taking the total number of home charges to more than 30,000 and what we have seen in that there is huge amount of traction and the range concern that people used to have is no more there while using electric vehicle either within the cities or for the latest city traffic.

Our distribution business in O disha is doing very good and continues to give excellent servic e both in terms of reliability and also in customer services in all the four Discoms in O disha. With all our four Discoms report a sharp reduction in AT & C process which is nearly 26% on an average compared to 36% one year back. We expect that O disha Disc om business will continue to host profit in this quarter as well as in the subsequent quarters. We have installed in fact 5 lakh smart meters across Tata Power Discom across Odisha, Mumbai and Delhi which is the highest by any power Company in the Country.

Moving to the balance sheet , I am happy to share that our net debt has reduced further by ■1,350 crores in the December quarter. The fall was driven by the Company’s robust operating performance, lower CAPEX, and the inflow of the outstanding proce eds from divestment of Arutmin and other investments. The combination of healthy growth in the operational profit and declining debt has further improved the leverage ratio. Our net debt to underlying EBITDA has improved from 3.5 in the last quarter to clo se to 3.0 in this quarter. Our net debt to equity has improved from 1.3 in the prior quarter to 1.23 in this quarter. We are committed to maintaining this healthy leverage going forward.

With sustainable development at the heart of our operations, we are p leased to see several agencies acknowledging our efforts . In fact , Tata Power has emerged as the top-ranking power utility in the countries by scoring 67.6 S&P rating with 85 percentile. The Company has also

improved its CDP climate change rating from C in 2021 to B in 2022. Tata Power has also won the Gold Shield award from ICAI award for excellence in financial reporting for 2022.
Tata Power continues to steadily move towards its long -term aspirat ion built on businesses of the future while maintaining a healthy balance sheet. This is clearly visible from the improvement seen in the operational and financial metrics in each passing quarters. We look forward to your continuous support. With this, I w ill ask Bikram to go to the question and answers.
Moderator: Thank you very much , sir. Ladies and gentlemen, we will now begin the question -and-answer session. We have our first que stion from the line of Sumit Kishore from Axis Capital . Please go ahead. .r.

Sumit Kishore : My compliments on the strong quarterly performance. My first question is that revenue for the quarter as per notes to accounts includes an amount of ■4.39 billion relating to earlier quarters, will you please explain the nature of this income and what has flown to PBT and to the PAT level and does this take care of the entire amount that you had to recognize for Mundra UMPP ?
Sanjeev Churiwala : I think this is a very important question , the answer could be a bit complex. You will have

to
kind of just bear wi th me as you would have already seen the broad -based CERC order under Section -11 which talks about complete passthrough of the fuel price. This is for the period starting from May to December. Since we are reporting the quarterly accounts, the amount perta ining to the previous quarter have to be disclosed separately which we have done in the results that you would have seen. I think the better way to look at is yes, for the quarter there is a passthrough which has been agreed upon, but I think since that al so has a previous quarter results, you have to look at the complete 9 months results, yes, of course there would be backlog that we still need to resolve for and that is why we are working on the revised PPA to ensure that our losses comes down further.
Sumit Kishore : But that does not answer my question, what is the impact at the PBT and PAT level for the amount of ■4.39 billion just pertaining to earlier quarters?
Sanjeev Churiwala : So, I think this fully goes into PAT subject to tax of course. The reason is very clear that the cost was absolutely booked in the period when the power was supplied and we were looking at this differential tariff now which we have receive now.
Sumit Kishore : So, what is the update on Mundra UMPP now, I assume that there was new under recovery versus fuel cost in Q3 or what was the set off which was given fo r the profits that you earn in the Indo coal mine and was there any under recovery at all against capacit y charges and how is the present quarter playing out now that the Section -11 benefits have seized and so what is the outlook or how far is the final outcome?
Sanjeev Churiwala : So, there are couple of questions that you have bundled together , A is the capacity charges which as per the C ERC order under Section -11 have to be completely passed on to the producers, so yes that will be getting. There is energy charges which is to ensure there is a complete passthrough of fuel while I use the word complete pa ssthrough of fuel, there will be small element of under recovery because besides fuel there are various other cost elements which is also there, so there will be some under recovery and of course there is one element of mining profit sharing as well which is part of the CERC order and that to the extent of the profit mining share we will have the under recovery .
Sumit Kishore : So, how is it progressing now that in January and for the Q4 quarter, how do the benefits continue or whether the discussion is ongo ing and when is the outcome expected? .r.

Sanjeev Churiwala : Yes, the discussions are ongoing and given that the Section -11 notification earlier with the MOP and now rectified by CERC, we wo uld expect that the revised PPA to be almost on similar lines, but the discussion is ongoing right now.
Sumit Kishore : So, the amount which has been additional bill for prior quarters, has that been recovered from the states or is there any dispute regarding those amounts?
Sanjeev Churiwala : No, I think there are couple of things again here , A- is the amount that we have to receive on account of Section -11, the billing has happened now in the month of January, so it is not reflected at the recovery in December, those recovery will happen now and of course for the p revious period that is till the H1, their amounts which is to be recovered across various items, so that is

why I am saying it is very difficult for us to kind of respond on the phone, but what we can do is for those who are interested, you can drop a mess age to Rajesh and Rajesh will provide you the details.

Sumit Kishore : So, benefits under Section -11 has still not been recognized, so these amounts for prior period which are flowing into profit are then relating to what exactly?

Sanjeev Churiwala : No, the Section -11 revenues have been fully reco

gnized that is what I am trying to tell you, the amount that was pertaining to the earlier period ■439Cr to your earlier question is a complete passthrough in the PAT because the cost that was incurred was already recognized in the previous period.

Sumit Kishore : Just my last question on the TPSSL business, the order book at ■154 billion is indeed quite strong, but revenue for the quarter, if I look at the s olar utility scale solar EPC business excluding rooftop and pumps is below ■8 billion absolute terms and it is down year -on-year, so I understand that certain projects have got deferred, but what is the outlook here and the extent of deferrals seems to be pretty high?

Sanjeev Churiwala : So, let me try and decode this item by item, if I look at on a 12 -month rolling basis, especially on the large -scale utility, we almost installed about 1 GW purely and almost 500 MW at the current quarter in the pipeline, so for the full year, you can expect about 1.5 GW which is pretty decent thing . Wh en it comes to the EPC , that is where we have gone slow very strategically and deferred some of the projects for the subsequent quarte rs because we have seen the prices of module and cells were very high and of late as you are already seeing the prices are significantly coming down and to that extent you will get those benefits in the subsequent quarters, so that was more of a strategic intent. On the pumps, we took a very strategic position of choosing the state that we want to supply and choosing the kind of SKUs that we want to supply, this was again on account of high prices of modules and cells , the things now recovering , we will accelerate further now. .r.

Moderator : Thank you. The next question is from the line of Mohit Kumar from DAM Capital. Please go ahead.

Mohit Kumar : My first question - can you confirm the operational capacity of renewable s and under construction capacity and the timelines, when do you expect this capacity to come up in the sense what the capacity expect to come in FY23 and FY24 and expected EBITDA with portfolio at 375 level of the entire capacity?

Sanjeev Churiwala : We already have an installed capacity of 3.9 GW of the large scale. The total in -pipeline is about 2.4GW. We expect commissioning of 500 MW in the fourth quarter, so for the full year, you should see a close t o about 1.5 GW of addition in the large scale project. The timeline as I said 500MW will already get commissioned in the current quarter out of 2.4 GW and the way the period goes, th e balance will start commissioning next year over various quarters. The y are in various stages of implementation and hence normally you can expect between 12 months to 18 months for the project that have just been won and the one that are in the pipeline most of t hem will get executed next year.

Mohit Kumar : Secondly, can you please explain the coal volumes, I understand the coal volumes are slightly soft side in CY22 , can you expect this coal volume to pick up in CY23?

Sanjeev Churiwala : Coal volume in what sense to pick up, would you just explain that?

Mohit Kumar : Million t on in Indonesia mines?

Sanjeev Churiwala : Are you talking about coal mining?

Mohit Kumar : Yes, volumes, million ton, what was the volume for the 9 months and do you expect this to pickup in the remaining part because what has happened last year I think it was very subdued ?

Sanjeev Churiwala : I think there had been sporadic rains over there which has definitely impacted a bit of mining, but they are in the process of planning for the next year now. I would suggest you drop us a mail and we kind of let you know as to what kind of plans they will have once we kind of k now it, for example, KPC normally every y ear would have a mining plan of 50 million ton ne and it is plus minus 10% depending upon the various things including

the demand supply gap, logistics issues, it could be rains and what not, but give and take normal ly or every calendar year they expect to kind of mine about 50 million ton nes.

Moderator : Thank you. We have the n ext question from the line of Puneet Gulati from HSBC. Please go ahead. .r.

Puneet Gulati : My first question is again on Mundra, now that Section -11 is quite clear , done and dusted , can you provide some sense of profitability at EBITDA level for Mundra and other important metrics for that 9 -month period?
Sanjeev Churiwala : I would request you can drop a mail to Rajesh and as we have said in the previous call, Mundra is no more a separate Company for us, it is part of the Tata Power, so we do not call out the separate item for that , but as I said to the previous question, I t hink we are still under recovery because of the mining profit sharing and of course this order for CERC is only for the period of May to December and at such period of April and May we still have a higher losses, so for us on YTD basis, we still have signi ficant under recovery and we just hope that a new agreement that we are proposing or discussing should take care of this because unfortunately we have burnt lot of cash in this business over the year .
Puneet Gulati : But the order of CERC was quite clear in some sense that 30% of the coal that you take for Mundra, only to that extent you will have to share the mining profit, in that context you should actually be making decent EBITDA, isn't it?
Sanjeev Churiwala : No, if you only look at the quarter because t his order pertains to a period beyond the quarter, yes, but then to the extent that we are sharing the mine's profit for the c oal that we have been consuming.
Puneet Gulati : It was only 30% of the coal that you are consuming, not for the full also, right?
Sanjeev Churiwala : Yes, 30% of the coal.
Puneet Gulati : So, would it not have rendered the Section -11 period strong EBITDA number?
Sanjeev Churiwala : Yes, what happens is, it is important to again not just look at the quarter because. ..
Puneet Gulat i: Sir, I was talking about the full Section -11 period starting from May to December, some sense because that is the number one can expect, right, if Section -11 will continue in the future as well?
Sanjeev Churiwala : That is correct, at the EBITDA level, yes, but the better way to look at it is how does it look like for the entire 9 months of duration, wherein we have various kind of arrangements. So, I think what is also important is to look forward, we should not be making any under recoveries and that is main point of discussion right now for us.
Puneet Gulati : I will take it separately, but on the Tata Power Solar, how should one think about the EBITDA margin, so you explained about the potential revenue growth, how should one think about the margin profile of this business? .r.

Sanjeev Churiwala : You are talking about Solar Rooftops or?
Puneet Gulati : No, the Solar EPC business?
Sanjeev Churiwala : Solar EPC normally we have been targeting at a PAT margin of 5 to 7% and again that is on the portfolio level. Some of them will give lower and some of them will give higher to an aggregate level that is what we want to target. If you look at our business for the first 9 months, it h as maintained lower than that because of course we had pretty higher cells & module prices and as a result we have planned current deferment of the projects to the subsequent quarter, but on a consistent basis, our aim is to kind of have at least 5% PAT margin of the EPC business.
Puneet Gulati : Yes, but if I have my numbers right, I think Q2 had come down to almost stabilized number, it has a nice 9% PAT margin and the Q3 is back to 3% PAT, so I thought problem should

have
been solved by Q2 and now we are on a steady path?
Sanjeev Churiwala : Yes, so if you look at the three quarters put together, YTD I think it is (+3%).
Puneet Gulati : YTD is fine because Q1 was that with the negative loss-making quarter?
Sanjeev Churiwala : Correct, that is when we decided to take a certain call including deferring some of the project including reaching out to the procurers , to renegotiate the prices and everything else and to that extent, we see some better things coming in quarter 3 and hopefully with the dip in the module and cell prices that w e see now , we should be able to improve our PAT . We are therefore kind of saying that we target 5% EPC margin, PAT margin.
Moderator : Thank you. We have the next question from the line of Anupam Goswami from BOB Capital Markets. Please go ahead.
Anupam Gos wami : Sir, I will take the Mundra operational numbers later on, but my question is on this quarter, now that the Section -11 has seized to operate, do we see any breakeven sort of position in Mundra in our new PPA or do we actually see some profit coming also in the Mundra unit?
Sanjeev Churiwala : You are talking about the fourth quarter, starting from 1st of January?

Anupam Go swami : Yes, fourth quarter after the Section -11.
Sanjeev Churiwala : Yes, our intent is to see that is their PPA can be signed in the line of Section -11, that is the principle that has been set in Section -11, so to that extent of mining profit, yes, there m ight be under recovery, but even if that happens I think we will have a big relief given the big quantum of losses that we have been taking in the past. .r.

Anupam Goswami : So, overall, to the bottomline to say that there will be some under recoveries continuing in Mundra and maybe the losses will narrow down, but entirely some profits will not reflect if I just summarize in one line, will I be correct in this?
Sanjeev Churiwala : So, the idea is to recover the fuel cost, the idea is to kind of see that we keep on gettin g our capacity charges, but to the extent of the mining profit that we have to share , it will have some impact.
Anupam Goswami : And sir, your capacity charge and fuel cost currently coming at what level sir, if you can give me a ballpark sort of number?
Sanjeev Churiwala : We will not have it readily available, but in principle we were looking at the fuel cost passthrough, but if you drop a message to Rajesh, he might take th ose numbers and share it with you.
Moderator : Thank you. We have the next question from the line of Dhananjay Majhi, an Investor. Please go ahead.
Dhananjay Majhi : Can you please update why there is a drop in the revenue in transmission and distribution system from the last quarter?
Sanjeev Churiwala : I think if the breakup between transmission and distribution, transmission is more of a consistent business so we don 't have a profit. When it comes to distribution business, we have kind of done some cleaning up with respect to the expected credit loss, which is kind of looking at the past receivables and trying to recover that and if not try and take some hedge on the P&L.
Dhananjay Majhi : And in capacity utilization, current capacity utilization?
Sanjeev Churiwala : Current capacity utilization of which business?
Dhananjay Majhi : Average current capacity utilization?
Sanjeev Churiwala : Are you talking about the Mundra plant or if you are kind of looking at each segment separately if you look at the Investor's Deck which has been uploaded th ere we have given the complete breakup .
Moderator : Thank you. We have the next question from the li ne of Balasubramanian A. with Arihant Capital. Please go ahead.
Balasubramanian A. : Congratulations for great set of numbers, my first question is regarding CAPEX in solar modules, I think the current capacity is around 635 MWt

, so what kind of capacity addition is .r.

expected in next 2 to 3 years, what kind of CAPEX amount, if you could throw some light on that?
Sanjeev Churiwala : I think in the previous strategy deck that is already uploaded in the website; we have kind of said that our intent is to kind of do 2GW to 3GW every year. We are presently refreshing th at strateg y, but yes our plan is to kind of invest big time into solar and almost 80 to 90% of our CAPEX that we are p resently allocating is going to our green business so I think that trend will continue.
Moderator : Thank you. We have the next question from the line of Rajesh Majumdar with B&K Securities. Please go ahead.
Rajesh Majumdar : Sir, my first question was regarding our module capacity, so I have a basic question now that the module prices have corrected to 21 cents or so, what is the feasibility of setting up a plant versus importing modules, so that the prices can be the correct more hypothetically to slightly more lower levels, is there a long -term viability of this module plant or rather we import at low prices?
Dr. Praveer Sinha: So, let me try to respond to this, first of all when you import modules, you need to pay basic customs duty, so today the customs duty is 40% , so even if we are seeing the reduction in the prices of modules it will always be much higher than what is the price at which we will be manufacturing because what we will be doing we will be bringing the wafers, making the c ell and the module and on wafer the re's no customs duty. So, there is an arbitrage and I think the cell and modules that we will manufacture will be much more competitive even with the very

low prices often the imported modules that we get fro m China or any other country.
Rajesh Majumdar : Is it significant arbitrage sir or still it is like with the falling prices , it would be 10 -15%? Some ballpark numbers I am looking for .
Dr. Praveer Sinha: I just mentioned to you 40% differential on customs duty, even if theoretically the ir prices are 20% lower than Indian prices , it would still be more than the Indian price when it is imported .
Rajesh Majumdar : And sir, my second question was we will see considerable increase in the renewable additio ns now going forward hopefully since the prices are falling and there is renewed focus in the sector, but what I have seen is that despite a year of sterling profits from the joint ventures and strong cash flow, our debt is going up, so in the event of our renewable additions going up to say 2 - 2.5GW per annum will there be significant increase in the debt level on the current level or you think it would be sustainable?
Sanjeev Churiwala : Yes, I think the way to look at is when we look at on a consolidated level we do capital allocation across our various businesses. As we speak to you and also as you see in the deck, net debt has actually gone down by ■1,300 odd crores in the current quart er, so we have landed with the total .r.

debt position of about ■38,000 odd crores. So, yes, we will be kind of allocate our capital and the allocation is in the solar right now, in the renewable businesses, but we are mindful of leverage our total debt, that is how we manage it.
Rajesh Majumdar : So, you don't see there is an impediment for the long -term growth of renewable business in this business?
Sanjeev Churiwala : Absolutely not and I think it is again not a correct idea to only look an absolute debt when the business is really growing, I would rather encourage everyone to talk about the leverage, because finally what matters is leverage, finally what matter is the cover at least and if you compare our business given that we are in the infrastructure space to any other pl ayer we have far-far strong balance sheet .
Mo

derator : Thank you. We have the next question from the line of Anupam Goswami from BOB Capital Markets. Please go ahead.
Anupam Goswami : Sir, my question is on the overall vision of the Company , where do we see in the growth oriented factors, where do we see the capacity growing and which segments, is it only the renewable segment that we are trying to grow or are we looking at some transmission lines in those network because that was also our plan at one time and we haven't seen any movement over there yet?
Dr. Praveer Sinha: In the last two years if you see we went and took over the four distribution companies. We added 9 million customers, who are earli er existing 3 million, so there has been a huge capacity addition in distribution . If we look at our transmission business, last year we went ahead and bid out two of the stressed assets and both those projects are now under implementation. So, we have bee n quite aggressive in terms of adding capacity in our distribution and transmission business . As we have been earlier also sharing with you that there is a cut off that we consider for any of these projects in terms of what sort of returns we are looking at and while we have been bidding for some of the project as the prices or evaluations that they are going , we don't feel it will meet our overall objective. So, we are very concerned if the margins are not there and any bid that we do , we ensure that it me ets our overall long -term return metrics . So, apart from the renewable , we are definitely doing lot of work in distribution and also in the space of transmission and as and when good opportunity comes, we will be bidding for all those projects .
Anupam Goswami : Sir, renewable at what run rate, are we adding capacity or we look ing at?
Dr. Praveer Sinha : This year, we have already won more than 2 GW of renewable capacity which consists of solar and solar plus wind and all these projects will get implemented in next 12 months to 18 months.
Anupam Goswami : And going forward like FY2 4 and FY25, should we look at a similar run rate of addition? .r.

Dr. Praveer Sinha: Yes, absolutely as this excludes the group captive, so that also is going at a very fast pace and you can expect at least 500 MW to 800 MW of group captive getting added every year.
Anupam Goswami : So, about FY26 or 27 we will reach about 8 GW to 9GW of capacity if I am not wrong?
Sanjeev Churiwala : No, it will be much more than that. Today, we already have, we are having installed capacity o f 4GW, under construction is 2 GW and there is another one at 0.5 GW where we are , one where work has not started, so we are already at 7.5 GW, so we keep on adding 2 GW unless the group captive we will be much higher than the number that you mentioned.

Anupam Goswami : Sir, my last question is now that Mundra revising PPA will come, down the line do we see any growth or increase in dividend payout?
Sanjeev Churiwala : This is a decision that the board and the shareholders take, so let us see how the overall performance is there and what they feel about .
Moderator : Thank you. We have the next question from the line of Bhavin Vithlani with SBI Mutual Fund. Please go ahead .
Bhavin Vithlani : Could you help us the capital already incurred towards manufacturing of solar wafers and the solar module as well as cells ?
Dr. Praveer Sinha: We will be spending nearly ■3,400 crores so that is the CAPEX plan for that business.
Bhavin Vithlani : The rough estimate of what percentage of this has already been incurred.
Dr. Praveer Sinha: Right now, it is basic civil work that is going on and some advances have been given against t he equipment, so very difficult at this stage to give you an exact number, but this is something which is under implementation and based on the milestones the payments are being released to the sup

plies.
Bhavin Vithlani : Just a follow -up on this, the news reports about China government banning the export of solar value chain from wafers and before that in such a case, do we have a plan B of alternate sources versus China?
Dr. Praveer Sinha: There is no ban on any supply of this. They ar e actually setting up huge capacities and for them it is very necessary that they keep on supplying globally to meet the growth of renewable power. So, the type of capacity additions that they are doing it is very important for them to continue supply to a ll large users of renewable power.
Moderator : Thank you. We have the next question from the line of Abhineet Anand from Emkay Global. Please go ahead. .r.

Abhineet Anand : Just trying to understand the profitability for the quarter and 9 months, so we have made a profit of ■1,050 crores and it includes around ■439 crores of the Mundra stock that we are talking about, so is it fair to understand that if I subtract that number that could be the adjusted PAT or are there more adjustments to this?
Sanjeev Churiwala : So, are you talking about subsequent quarters?
Abhineet Anand : No, I am just talking about 3Q sir, so we have reported ■1,050 crores profit?
Sanjeev Churiwala : No, what is happening is because of the profit for the quarter, while at Tata Power l evel we had a deferred tax asset given that we have profit now , we have the reversal of the deferred tax asset, so while you are looking at that more than ■439 crores, there is also reversal of ■431 crores in deferred tax asset, so by and large there is value point at the overall profit.
Abhineet Anand : So, largely the reported number is the adjusted profit you are saying that , right?
Sanjeev Churiwala : In a way.
Abhineet Anand : Second is, if I have to arrive at the mining profit, correct me if my understanding is right, I have to add the investment Company 's losses and profit of the coal companies, is there anything else that needs to be done?
Sanjeev Churiwala : I guess that is t he right approach.
Abhineet Anand : So, if I have done that I think probably for the quarter, we made ■724 crores odd profit versus ■560 crores last year on a Y -o-Y basis?
Sanjeev Churiwala : Yes, so what happens is again you have to look at the tax regimen, the re's holding tax, there are various other things that needs to be counted. What you can do is, you can get it back with Rajesh and he will be able to share some more details and I think there is something already as part of your Investor's Deck which is uploaded. That will also give you some understanding .
Abhineet Anand : Yes, I have just reading that out only because there are two coal parts, one is the invested compan ies and other is the coal mines?
Sanjeev Churiwala : Yes, it is at Slide # 19.
Moderator : Thank you. We have the next question from the line of Atul Tiwari from Citi. Please go ahead.
Atul Tiwari : Sir, just one question on Mundra UMPP , so now that Section -11 as of now is no longer operative and the new supplemental PPA has yet not been signed, so could you share for the current quarter .r.

what is the PLF of the plant and on what basis are you billing both the fixed cost and the fuel cost and what are the under r ecoveries if any?

Sanjeev Churiwala : Well, we don't have an answer for the simple reason that you would expect the agreement to be signed soon as Dr. Sinha already said in some of the previous questions and it shows a sign, we would definitely want to run the plant and at least give Gujarat 48% and I am sure the other states will also follow, so we will try and look at it positively rather than we really worry about what is going to happen .
Atul Tiwari : Also, the only current PLF at least is the plant like running at high

PLF or the PLFs are low?
Dr. Praveer Sinha: Right now, only one unit is operating and in that also 48% of the power is going to Gujarat, so it is a very small quantity that is being done, but as soon as we are able to come to an arrangement with Gujarat, we will be able to ramp up the generation and supply them the full 1800 MW capacity .
Atul Tiwari : And sir, this week itself, there was a news item that the government may be continuing to invoke Section -11 again in the sometime during the summer, so have you heard anything on this and is it likely that the Section -11 could be kind of extended again?
Dr. Praveer Sinha: We have also h eard, we have also read in the newspaper and this statement was given by the Minister, so let us wait and see.
Moderator : Thank you. We have the next question from the line of Girish Achhipalia with Morgan Stanley. Please go ahead.
Girish Achhipalia : I had few questions on renewable, as per Slide # 29 because PLF is actually down to 10% I think it is the lowest ever, what has really happened is can you just clarify and if there is any one -off here?
Dr. Praveer Sinha: What typically happens is the winter months are the low PLF months and this is typically every year also if you see during these months, November, December is low wind speed and it will pick up now. It will pick up from summers .
Girish Achhipalia : Y-o-Y also said it is down 400 basis points?
Dr. Praveer Sinha : Compared to previous year, it is actually down to the same quarter. Yes, you know the climate change that keeps on happening. This year, the monsoon rains went up to mid-October , in fact up to end Oc tober and that is why the wind speeds were very low. We expect that they will make up in the subsequent month. We had also seen that in both quarter 1 and quarter 2 this year the .r.

wind speeds are very good and on the cumulative basis, t here is a huge difference between last year and this year.
Girish Achhipalia : Then in terms of debt that is likely to be repaid in the next 12 months on renewable how much is it and what is your rate of interest that you are getting on new volumes and ren ewables?
Sanjeev Churiwala : I think it all depends on the CAPEX plan that we have and of course ….
Girish Achhipalia : I am referring to the CAPEX plan that you have for the balance under construction capacity, how much are you bidding your new debt and if you have to refinance any debt, how much is the refinancing likely, what is the repayment likely?
Sanjeev Churiwala : I think in fact all the current borrowing tha t we have recently done, it all.
Girish Achhipalia : If you could share the number sir?
Sanjeev Churiwala : It all ranges between 7.5 % to 8% depending.
Girish Achhipalia : Because I was referring to the debt amount also, so what is the debt amount you will have to repay or refinance?
Sanjeev Churiwala : See, that we will have to calculate and gi ve you, but all I can tell you is our average majority period is very good and to that extent we are not kind of really worried, but we do have the details available and unlike many other players in the market , our complete borrowings is mostly domestic lo ans and the short -term kind.
Girish Achhipalia : So, your majority is how long sir, is it 3 years, 4 years, 5 years now like for the current portfolio?
Sanjeev Churiwala : I think it is little above 5 years of the overall portfolio and the current one we have started looking at even higher tenure, there's the news in the market, we need ■1,000 crores borrowing at about 7.9% and about 8% for 10 -year tenure. The 5 -year rates are right now about 7.5 % to 7.6 %, so that is why I was saying that our rate of borro wing will range between 7.5 % to 8%.
Girish Achhipalia : And the module cost that you are, CAPEX that you are incurring now what will be the module cost for that

? How many cents would it work out to roughly , manufacturing cost ?
Sanjeev Churiwala : Are you talking about the manufacturing capacity?
Girish Achhipalia : Yes, new capacity that you are building and which would come up?
Dr. Praveer Sinha : There is still some way to go, so it is too early to give any idea of what will be the manufacturing cost becau se it all depends at what price we get these cells and then we get the wafer s, so but .r.

what we can tell you is that we will be very competitive based on the projections that we have seen and our manufacturing cost that we have planned. We will be very compe titive in the Indian market.
Girish Achhipalia : And sir, can you just explain this deferred tax profit that you just h ad mentioned , I couldn't follow why is it coming and what is it about and why should it, is it extraordinary or not an extraordinary and why?
Sanjeev Churiwala : I think I just give you some context . At Tata Power level, which is the Tata Power standalone, we had carry forward losses coming because of this merger of the CGPL plant acquitted last year, we had a huge amount of carry forward losses. To that extent, we have deferred tax assets created in the books. Now, as and when we are getting the profits, the deferred t ax assets are unwinding. So, if you see a higher unwinding it is a good situation which means th at we are having higher profits as simple as that, but then this is no n cash and you know it doesn't really impact our cash position.
Girish Achhipalia : But is it extraordinary or not an extraordinary accordingly?
Sanjeev Churiwala : This is ordinary because if you have profits, you will have deferred tax asset also.
Girish Achhipalia : The revenue that you have realized for Mundra , for prior period, post tax would actually be the recurring profit, there would not be any other investment?
Sanjeev Churiwala : So, the profit that we have realized and it is kind of going to PAT that is because of the Section - 11 CERC order , now depending upon from 1st of January, if they are able to sign the revised ….
Girish Achhipalia : I think I am referring to the quarterly profit for this quarter, I am not going for quarter 4, so quarter 3 profit minus the prior period post tax will be the recurring profit for Q3, that is my understanding, so correct me if I am wrong there and if I have to make any other adjustment?
Rajesh Lachhani : Girish, so since we have carry forward losses are at standalone basis, we have actually no tax, but because we have created the deferred tax assets, as and when we realize further, we will be consuming some of the deferred tax assets .
Girish Achhipalia : But sir, said that this is not an extraordinary and hence I am just trying to reconcile that?
Rajesh Lachhani : Yes, that is right, we will get the profit, this will come. The deferred tax as such will be consumed. So, this is ordinary profits, so we will consume the deferred tax assets.
Sanjeev Churiwala : So, Girish , maybe we are not very clear of the question, well I will again attempt. You can still put that question to Rajesh and we will try and decipher that and come back to you with a very .r.

clear -cut answer . None of them are exceptional or extraordinary. As and w hen we get profits in the standalone Tata Power books and given that we had the carry forward losses and deferred tax assets, these deferred tax assets will get reversed and this is the non -cash item. It will not impact the cash flows.
Girish Achhipalia : Now, I wanted to understand CAPEX for last, so what has been the CAPEX plan for 9 months that you had and for full year how much is spending and for FY24 if you can just give us a broad breakup of different businesses, what could CAPEX be?
Sanj eev Churiwala : For this whole year,

we kind of eyeing at ■8,000 to ■10,000 crores and depending on how much we can accelerate in the coming quarter is when we land up and of course given the size of the solar capacities that we are trying to put up which i s about 2 to 3 GW, you could expect anything above ■10,000 crores will be the CAPEX spending next year . Now, we are still working on the plan for the next year, but yes, you can at least expect that kind of CAPEX to come in.
Moderator : Thank you. We take last question from the line of Anshuman Ashit from ICICI Securities. Please go ahead.
Anshuman Ashit : Sir, please correct me if I am wrong, so during the initial remarks, Praveer sir had mentioned that there had been some assets that we had sold during this quarter, so which were these assets and what was the consideration a mount ?
Dr. Praveer Sinha: No, these assets sale was not done in last quarter, we got the money in the last quarter . We had done the asset sale in way back in 201 5, the Arutmin coal mine, so some of the money which was to be received from them, we received in the last quarter .
Sanjeev Churiwala : So, I think if you see the cash flow we have abou t ■420-odd crores that has come in quarter 3 and YTD I think we have recovered close to ■730-odd crores and that is I would say good progress because this was the sales that we have done a couple of years back and we had engaged with the buyer to get back our money.

Anshuman Ashit : So, is there an y further amount which is pending from Arutmin?
Sanjeev Churiwala : Yes, there is a small amount which is pending that we would expect to come in the next few months.
Anshuman Ashit : Sir, what is that amount, how much is that?
Sanjeev Churiwala : We don't ha ve the exact proposition there but let us expect that anything between ■200 to ■300 odd crores should come in . .r.

Anshuman Ashit : And sir, second question on Tata projects, so this has been another quarter where the subsidiary has posted a loss, so sir, how should we see this because the fluctuation quarter -on-quarter seems to be quite high and can we see some stability because now t he commodity prices also have stabilized a bit, so can we see some stability going forward in Tata Power ?
Sanjeev Churiwala : Yes, I think you are bang on while there have been losses, the losses are not as volatile as was in the last year and we have very clearly ment ioned that we did a lot of clean ups, t here have been some onerous contracts that were making losses which they are not trying to kind of wind up losses ahead, but yes, I think looking at the current order book of Tata projects, it seems that the wor st should be over now and we think the Company would be in a recovery phase in the next year.
Anshuman Ashit : So, we can expect some margin improvements going forward?
Sanjeev Churiwala : Yes, we a s the shareholders would also love to see those improvement s.
Anshuman Ashit : Sir, one question is on TPDDL - Delhi distribution, so the power projects cost and it is a passthrough, but it has increased significantly over the past 1 year, so should there be any concerns in terms of regulatory asset build up or any other thing, how should we look at this and is there any discussion on this front as well ?
Dr. Praveer Sinha : So, they get something known as power purchase adjustment. Right now, I think they are getting nearly a 20% increase in terms of power purchase adjustment, so every quarter they give the details to the regulatory commission and based on that the commission approves PPAC. So, I think at presen t they are virtually neutral in terms of power purchase cost increase .
Moderator : Thank you. Ladies and gentlemen, that was the last question. I now hand the conference over to Dr. Praveer Sinha for closing comments. Over to you, sir.
Dr. Praveer Sinha: Thank you everyone for joining t

his call and in case you have any further details, please connect with my colleague , Rajesh and Kasturi , and I am sure we will be able to provide you all the required information in detail. Take care once again and it was a pleasure interacting with all of you.
Moderator : Thank you very much , sir. Ladies and gentlemen, on behalf of Tata Power that concludes this conference. Thank you for joining us, you may now disconnect your lines. .r.

Call: May 2023

9th May 2023
BJ/SH -L2/

BSE Limited
Corporate Relationship Department
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001.
Scrip Code: 500400 National Stock Exchange of India Limited
Exchange Plaza, C -1,Block G
Bandra- Kurla Complex
Bandra (East)
Mumbai – 400 051.
Symbol : TATAPOWER
Dear Sirs,

Earnings Call Transcripts

Pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, the transcript of the audio call recording of the Company's Analyst Call held on 4th May 2023, on the Audited Financial Results (Standalone and Consolidated) of the Company for the quarter and financial year ended 31st March 2023, is attached herewith.
The transcript of recording can also be accessed on the Company's website using the following link:

https://www.tatapower.com/investor -relations/analyst -call-recordings.aspx

You are requested to take the same on record.

Yours faithfully,
For The Tata Power Company Limited

(H. M. Mistry)
Company Secretary

"Tata Power Limited
Q4 FY 2023 Earnings Conference Call "
May 04, 202 3

MANAGEMENT : DR. PRAVEER SINHA – MANAGING DIRECTOR – TATA POWER LIMITED
MR. SANJEEV CHURIWALA – CHIEF FINANCIAL OFFICER– TATA POWER LIMITED
MR. JV PATIL – FINANCIAL CONTROLLER – TATA POWER LIMITED
MS. KASTURI – INVESTOR RELATIONS – TATA POWER LIMITED
MR. RAJESH – INVESTOR RELATIONS – TATA POWER LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Tata Power Q4 FY '23 Earnings Conference Call. As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please s ignal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Dr. Praveer Sinha, Managing Director, The Tata Power. Thank you and over to you sir.

Praveer Sinha: Good evening, everyone, and thanks for joining the call. I'm joined today by my colleagues, Sanjeev Churiwala, CFO; Mr. JV Patil, Financial Controller, Kasturi and Rajesh from the Investor Relations and other members from my finance and corporate communica tion team. As all of you are aware, India's power demand continues to be very, very robust. In fact, the power demand grew by nearly 7% in the last quarter, but by nearly 9% in the full year. And this has seen growth right across all areas, summer generati on grew by 8%. Renewables grew by 18% on a year -on-year basis. And this is expected to continue in future also. Normally, the ratio of power generation growth to our GDP growth used to be 0.94 in the last decade. But in the last 5 years, we have seen it to increase 1.11. And we expect that with more and more of the economic activity in the country, this will possibly get enhanced in the coming years.

We have seen that the international thermal coal prices have reduced considerably from a high of $400 it has come down to less than $200, and it will further stabilize as we move during the current year. And this also demonstrates that the price of power will, over a period of time, come down, especially those plants, which are operating on imported coal. We hav e seen the government is pushing for renewable capacity addition and they recently came out with an order, whereby they are targeting to auction nearly 50 gigawatt of renewable capacity, which includes solar, wind and hybrid solutions storage. And this wil l get added in , this will be bid out in this year as also in subsequent years. So a huge amount of push is being given by the government. They have very clearly brought out, which will be the agencies which will carry out the bid and how they will do t his bundle or power along with their existing generation capacities, especially NTPC , NHPC and some of the other public sector undertakings. On Mundra, we are pleased to inform you that our plant is operating four of the five units. The fifth one i s under maintenance and under Section 11. And barring Haryana all these states are drawing full capacity of power from this. And as you are aware, under Section 11, we get a full pass -through of cost of power generation. That means the coal cost as well as the full fixed cost and all other related cost is a pass-through. And on similar lines, we will get it now and similar order was issued earlier in January by C ERC for the last section 11 period.

Moving to the financials. The Tata Power has again reported a very good quarter, which has shown an excellent performance from all our businesses, our existing generation business, coal, gas and hydro have done very well. And so also our existing transmission , distribution and new areas of renewable EV charging. An d this has shown that we have, again -- this is the 14th consecutive quarter in which we have shown an increase, our PAT for the quarter is INR939 crores , which is higher than the last year.

Similarly, the revenue has grown in this quarter as also our EBITDA, which has increased by 38% to INR3,101 crores . For the whole year, Tata Power reported a very strong revenue of INR56,000 crores, which is nearly 32% increas

e from the previous year. And the previous year itself was an increase of m ore than 30% from the year before.

And with the EBITDA of nearly INR10,000 crores for the first time we are crossing an EBITDA of INR10,000 crores and a PAT of INR3,810 crores. Our renewable capacity growth continues to be there. We have nearly 6,600 megawatts of renewable projects. out of which we have installed 3,927 -- and the balance, 2,669 is in the various stages of implementation. And hopefully, in the next 12 to 18 months, all of them will get completed.

During the quarter, TPREL, which is the renewable arm for the developing utility -scale projects, our own projects got orders of 200 megawatts from MSEDCL as also the green shoe option from TPDDL of 2 55 megawatt. We continue to get a large number of orders for our solar EPC business, and we have nearly a n order backlog of INR17,000 crores, consisting of 4 gigawatt of projects to be implemented.

Our plans to set up 4 gigawatt cell and module manufacturing plant in Tamil N■du is on track, and we expect the modules line to be ready by September, October and the cell line by the end of the year. So we are very much on track, and this has been one area of concern of how do we ensure that the uncertainty of supply as also of price is taken care. And hopefully, once the cell

and module line comes, we will be much better and better to execute these projects within the cost that we have built.
Our rooftop business is seeing very good traction. We installed nearly 300 megawatt in Q4. And we also won new orders of 400 megawatts in the quarter.
We have a very good order backlog of nearly 468 megawatt of worth nearly INR1,900 crores.
We have seen that during the year, our rooftop business has grown many times -- and we did a total installation during the year of 718 megawatts with a revenue of near ly INR2,770 crores.
And as all of you are aware, we used to be a very small player in this market, but we have done very well in this market. Our Cumulatively, in fact, our solar rooftop portfolio has expanded more than 1,600 megawatts, and we are the larg est and biggest in the market at present.
And this is right across in commercial buildings, industrial buildings and also residential business. We have also, in the last quarter, installed nearly 4,000 solar pumps, and we have nearly 97,000 solar pumps running right across the country in various states, which is the highest by any clients in the company.
In the green mobility space, we continue to grow and have a lot of partnerships. We recently signed up with the Coimbatore Municipal Corporation a nd also with GAIL. And we have more than 3,778 public and semi public EV chargers and nearly 3 9,000 home chargers, and we expect that this will grow in the coming years by adding public charges as well as fleet chargers and home chargers.

In our T&D business, we continue to perform very well and have been given a huge number of awards in different areas, whether it is in terms of transmission operations in Mumbai or the distribution business in Delhi, Mumbai and in Odisha .
And all our distribution companies have been doing exceeding ly well. Specific mention is to the Odisha distribution business, where all the 4 disco ms have reported very huge reduction in AT&C losses, and what we have seen is that during the quarter, the PAT from the Odisha DISCOMs has increased by nearly 30%, and for the whole year, the Odisha DISCOMs have reported a PAT of nearly INR253 crores. We have also been ver y conscious that our balance sheet should be very healthy, and our debt has been reduced by nearly INR2,800 crores in the March quarter, and our debt is now INR35,328 crores. This is because of very healthy operating performance, equity infusion by our str ategic partner, and also working capital release.
So, a lot of our investment, and last ye

ar we did nearly INR6,600 crores of investment, has come from the internal accruals and the savings that we have done, and we expect that going forward, when we are t argeting that in FY 2024, we will do an investment of nearly INR12,000 crores, which includes the investment in the new manufacturing plant, renewable projects, both group capital as well as utility scale our existing transmission and d istribution businesses in Delhi, Mumbai, Odisha, will be able to get most of this money from our internal accruals and with operating profit that we make.
Acknowledging our efforts on debt reduction, S&P Global Ratings have upgraded Tata Power's consolidat ed credit rating from BB to BB+, and standalone credit rating from BB - to BB with a very stable outlook. Tata Power has also been awarded the India's Best Annual Report Award by Free Press General in Grant Thorton for 2021, for the quality of fina ncial reporting and the disclosure.
Tata Power continues to be moving steadily in its long -term aspiration to build various businesses which give sustained performance, as has been seen in the last so many quarters, and this is also visible in the improvem ents that have been seen in various operational and financial metrics in each of the quarters and in each of these businesses.
I do look forward for your continued support in this direction, and I look forward to answering your questions, which between San jeev and me, we'll try to respond.
So, with that, I request Faizan to open the floor for Q&A.
Moderator: Thank you very much. The first question is from the line of Sumit Kishore from Axis Capital. Please go ahead.
Sumit Kishore: Good evening, Dr. Sinha. M y first question is on the other income in the P&L for Q4. It seems to have gone up to INR8.7 billion versus INR2.59 billion in Q4 FY ‘22. What's driving the increase?
Sanjeev Churiwala: I'm Sanjeev Churiwala here. Let me take this question. When you look at Q4, I'll also draw your attention to the full year as well. Particularly, a big amount that you see is on account of dividend from Arutmin. And since so many people have been tracking Tata Power stock, as you're aware

that a few years back we had sold our stake in Arutmin mines and we were kind of waiting to get our full contribution back. I'm happy to report that a large chunk of the consideration, close to about INR900 crores have bee n received now. And we are in the process of winding up this complete transaction.

In the process, we also had about INR500 odd crores of shareholders' loan line that has been converted to dividend in our favor. And because this is a non -core asset sitting in the book, this is reflected in other income. So that is one. Second of course, this is the profit that you see. And there are two other transactions that are also written here. What you see, net of everything, is possibly a one -off item of INR183 crore s positive. So that is because we also had, because of the situation that during January, February, March, we hardly ran our Mudra plant and there were some pay -or-take obligations for some of the logistics shipment providers, we have provided some penalty for them, about INR100 odd crores .

And Tata Projects was also in the process of cleaning up. And as such, Tata Projects posted higher losses. On account of that, we had to provide INR232 crores . But I guess when I look at the overall as a year, which is a lso important for you to consider because this will have a bearing as to how we look at it next year. While we have this INR512 crores dividend from our footprint, this is more of a one -off. But we also had a hit of almost INR478 crores , almost equivalent, because of Tata Projects' losses, which will not incur. And for the full year, we took almost close to INR200 crores of provisioning.

This is just provisioning for an onerous contract, a

ssuming that the shipments that we had promised will not happen. And as a take -and-pay obligation, we have taken a provision. Now that the Section 11 notification is imposed and all our plants are running, hopefully we will be able to do many of the shipments as we go forward. And likely there could be a possibility of some reversal also happening.

Sumit Kishore: What is the provision related to shipments? I did not follow that.

Sanjeev Churiwala: We have a back -to-back tie -up for bringing our coal from Indonesia to our Mudra plant throughout the year, assuming that all the 4 and 5 units will be running. But given that during the year, as you are aware, that we had PPA, we had Section 11 notification till December and for January, February, March, we had hardly run the plant, we were not able to use those shipments. And as su ch, we had to contractually provide for that, assuming that this is an onerous contract. Now, from April onwards, we see all the 4 units running, hopefully we will be able to meet the contractual obligation.

Sumit Kishore: Just to clarify, both the Tata pr oject's hit, as well as this hit on shipping costs, will not be part of other income, obviously. They will be appearing in their respective places as share of associate income and the share of above the EBITDA like.

Sanjeev Churiwala: Yes.

Sumit Kishore: My second question is related to the JV and associate profit in Q4. The share of profit has fallen sharply to INR179 crores in Q4, versus what we did in the first three quarters of FY23, which is close to about INR3,000 crores. The customary slide on breaku p for JVs and associates has been

removed from the presentation deck. Can you provide color on performance of Indocoal and Tata projects in particular? Especially Indocoal, because it's such a significant portion of your business.

Sanjeev Churiwala: Let me give you some high -level color on this. Q4 has been a significant quarter in terms of what we see happening on overall coal prices globally, especially the Indonesian coal prices. We have seen a softening of the Indonesian coal prices hap pening. But where currently the regulations in Indonesia are, they're still supposed to pay a royalty basis a certain fixed slab. That the government has now changed. While the prices were falling down, the Indonesian coal mines had to pay still h igher royalty. That is now, hopefully in the next two, three months, we'll start seeing some reversal and improvement happening over there. So that is one. Second is, as I said, on the part of Tata projects, for the full year, we have booked our share of J V losses of about INR480 crores and about INR200 odd crores in the last quarter. So as a result of that, you'll see a softening in our JV overall profits.

Sumit Kishore: What is the outlook there, given you own 47% stake in that company?

Sanjeev Churiwala: I think Tata projects kind of looks like have been able to clean up a lot of past losses, legacy losses. Tata's sons have now infused INR1,500 crores in that business. And to that extent, our stake, which is 48%, is now diluted to 31%. But given the current planning, we are looking forward to Tata projects making some profit in F ’24. So against a loss that we have booked of INR480 crores in F ’23 full year, we are expecting some profit to come in next year. So to that extent, yes, it will benefi t us.

Sumit Kishore: When did your stake reduce to 31% and so Tata Power has not infused any equity in Tata projects?

Sanjeev Churiwala: No. So the stake reduced in the month of April.
Sumit Kishore: April '23?
Sanjeev Churiwala: April '23, yes.
Sumit Kis hore: Tata's sons have infused INR1,500 crores?
Sanjeev Churiwala: Yes.
Sumit Kishore: Okay. I've just one more question on Mundra. If you could give us some sense on EBITDA for Mundra UMPP in Q4 and FY '23 and fuel cost under

recovery per kilowatt hour o ver this period.
Any color on receivables which are outstanding under Section 11, which have been booked but not yet realized?
Sanjeev Churiwala: So Section 11, actually means a full cost pass -through. And to that extent, we have started the four units already. But during the year, as you see, we were under various different regimes. We were earlier under PPA and then there was a special requirement to start the plant wherein the certain rate was agreed. Then we had Section 11 for a period. Then we, in the last three months, under PPA. So it's quite a complex working. To kind of just narrate everything on the call itself, I would request you to drop us a mail and Rajesh should kind of get back to you with some better clarification.

Sumit Kishore: Sure. Thank you.
Sanjeev Churiwala: But yes, I think what is also important to note that as of now, our four plants are operating under Section 11. And the Section 11 is as of now till June. And given the past range, we would expect that this to be extended to S eptember, October.
Sumit Kishore: So just the total receivables that are due to you for Mundra UMPP, after imposition of Section 11 last year, the bulk of the fiscal was under Section 11. So are you getting those cash flows from the associated?
Sanjeev Chu riwala: We are continuously getting our cash flows. And even in the latest appeal, C ERC said to do all these DISCOM 's to pay up 50%. So our net dues is not a very, very significant amount. So, to that extent, we have LCs with us. We also carry LCs with us.
Praveer Sinha: I think the total amount due is about INR300 crores.
Sumit Kishore: How much?
Praveer Sinha: Yes. Section 11, the amount is INR400 crores.
Sumit Kishore: Okay. Thank you so much. And wish you all the best.
Sanjeev Churiwala: But we have been receiving this amount even in the month of April itself. We have already received, close to INR150 -odd crores. So we don't see any concerns with respect to our receivables.
Sumit Kishore: Sure. Those were my questions. Thank you.
Sanjeev Churiwala: Thank you, Sumit.
Moderator: Thank you. The next question is from the line of Puneet from HSBC. Please go ahead.
Puneet: Yes, thank you so much. And good to see performance improving with debt remaining under control. My first question is, is the understanding correct that in terms of pass -through, when you say pass -through, you are still assuming the 30% share in coal profits to be passed on to the customer and you'll retain the balance 70%?
Praveer Sinha: No. See, we have to go as per this sectio n 11 order issued by C ERC. So what it says is that whatever is the cost of coal, you will be given. On the mining profits, if you bring coal from KPC and use it in Mundra, to that extent, you will have to pay 30% of your share of the profit. So this is onl y for the quantity of coal that you bring from Mundra, bring from KPC. So if you do not bring, you will not. So last year when the section 11, we did very small quantity. I think about 15% was only brought from KPC. The rest was from outside. This year, th ere is no coal that has come from KPC. So there is virtually no impact of the profit sharing.
Puneet: Okay. That's very interesting. And any progress that you're seeing with your off -takers now, given that there is expectation of high power demand going in to summers. Any progress on how the Mundra PPA will be redone?
Praveer Sinha: Right now, the section 11 is till 15th of June. So hopefully by that time, the procurers will find light. Because till that time, in any case, we will be operating the plant u nder Section 11.

Puneet: And would the understanding be correct that section 11 implementation is the best case scenario that you have?
Praveer Sinha: Yes, absolutely. Becau

se Section 11 gives me a full pass -through of the cost without any issues.
Puneet: That's great. My second question is on the Odisha. The profitability is indeed quite good. Are you worried on account of any reserves, or is the collection also going on quite nicely?
Praveer Sinha: So Odisha, in the last quarter, we had a collection in ea ch of the DISCOMS in the range of 140% to 150%. And for the whole year, the collection has been nearly more than 100%. So I think, Odisha has done exceedingly well in terms of the collection. And if you see the trend, it has been able to clear virtually a lot of the old outstanding. And of course, we had the ECL provision and based on that, we have already cleaned up a lot of receivables which are not expected. And that is primarily because there were issues on the way the billing was done. There were a lot of customers who were not there and were still billed. So I think the cleaning of operations has been done. And what you see as a profit, is a profit after considering all these things. So hopefully from next year, we will not have any such impact on our profitability. And we will see the real profit coming out of Odisha.
Mind you, when we had bid, at that time we had considered that for the first three years, we will have no profit. We will have losses. In fact, the cumulative losses that we had co nsidered was a very large number. Which right from year 1, we have been making profits. So it's actually a big turnaround story.
Puneet: Okay, that's very good to hear. Thank you so much. Lastly, in the renewable business, given that incrementally a lot of bids are going towards round the clock kind of model, are you prepared to bid for similar projects in terms of ability to capture storage, trading, etcetera?
Praveer Sinha: Yes, absolutely. We have very strong solutions on round the clock solutions. And w e have now already offered a number of solutions, which is a combination of solar and wind. We are also now in the process of offering solar, wind, and storage. We are actually now implementing a project on a third -party EPC basis of solar and storage. So we are very much equipped. We are also working on our home storage projects. As you are aware, we already have hydro power plants, and we are working on that. So we will definitely be coming with very attractive solutions and very cost -effective solutions to consumers to provide them. 24x7, round the clock, peaking powers, as is the requirement of the customers.
Sanjeev Churiwala: If I look at what is in the pipeline, which is about 2.7 gigawatts, it's almost kind of more tilted towards hybrid at the moment . We already have 1.4 gigawatts in the pipeline, and this is happening for the first time because we have seen many hybrid bi ds coming up, and our wind ratio has been great. So to that point, as Dr. Sinha said, as and when we keep on bidding, we will be w orking towards it.
Puneet: I didn't see you participating in the round -the-clock project, which is why I asked, but it's great. Thank you so much for this clarity.
Moderator: Thank you. The next question is from the line of Rajesh Majumdar from B& K Securities. Please go ahead

Rajesh Majumdar: Yes, sir. Thanks for taking my call. Sir, I had a question on the Renewables hybrid project. What are the current discovered tariffs versus the fall in the module or the sale prices? Where are the ROEs now at t he current discovered tariffs, or some color on that?
Praveer Sinha: No color can be given on this because it all depends on where you are setting up the project. If I set up in Rajasthan, it has a different context of tariff. If I set up in Gujarat, it ha s different. In Karnataka, it is different. So it is very difficult to have the same brush to say what sort of tariffs will come in which state. Also, it depends on what is the cost of land in those areas

and what sort of wind speeds and what sort of solar intensity is there. There is no generalization that can be done.
As regards the cost is concerned, we had seen the cost of modules go up to $0.32 to $0.34. It has come down in the range of about $0.22 to $0.23. So, I think it has come down drastically. S o, also the cost of cells and cost of wafer, polysilicon everything has come down because of more demand, more manufacturing capacity that has been set up, not only in China but in other parts of the world, including ASEAN countries and also capacity addit ions, which are expected in the country. So, I think we are moving in the right direction. The Slide 19, which has been shared with you will give you a much better perspective.
Rajesh Majumdar: And sir, what is the current PLF being realized in the hybrid projects versus the PLF we were getting earlier on standalone solar, for example, or even in the solar projects themselves, have the sale has gone up compared to what we were getting last year or something like that?
Praveer Sinha: The PLF for different lo cations, again, depends on what sort of weather conditions are there. So, if the weather conditions are good in some places it has gone up, some places, the weather has not been very good. Also extreme weather conditions we have been seeing in the month of April, last few days of the month, there was a lot of rain and the cloud cover, so the generation has not been good during that period but the balance of the month, it was very good. So, it all depends on how it is changing. Also, we have given the slide which gives you the operational highlights,

which is Slide 27, you can see that the availability of all these plants.
Rajesh Majumdar: Sure, sure, sir. And sir, just one question on TPSSL. It seems that the profitability has gone up, but the sales is down. So, is that just because of some kind of completion of projects in Q4, the operating income is down from INR3,481 to INR2,958 but is the EBITDA is up from INR77 to INR85 and the PAT is also substantially up?
Praveer Sinha: Yes, you're absolutely right tha t we were a little selective in terms of executing the projects. And that's why our, we didn't execute some of the projects because the cost of the mod ule was a little higher. And I think that was a good decision because by deferring those projects, we will be able to get the benefit of lower cost in the future. And also, some of the high profit margin projects were complete d in the last quarter, which has given us better EBITDA margins.
Rajesh Majumdar: So, will the steady -state margins go up a little bi t in TPSSL it safe to assume that compared to what you have been changing in the past?
Praveer Sinha: That's what is our game plan. So, we definitely expect now that the prices are coming up, our margins should go up in the future.

Rajesh Majumdar: Fine. That’s quite helpful. Thank you.
Moderator: Thank you. The next question is from the line of Bharanidhar Vijayakumar from Avendus Spark Capital. Please go ahead.
Bharanidhar Vijayakumar: So you mentioned that for the fourth quarter, the Ta ta Projects loss was about INR200 crores. Am I right, sir?
Sanjeev Churiwala: Yes.
Bharanidhar Vijayakumar: So what would be the profit for the coal companies in the quarter?
Sanjeev Churiwala: So I think if you can send the mail we can share separately wi th you. So, I think what you see the JV profits, gives an indication on softening of the coal prices and the softening of the profits. But if you need specific details, we can share with you offline separately .
Bharanidhar Vijayakumar: Sure. My second question is on Mundra. Now since the Section 11 was operational from mid of March, but we were not operating for a reason that we were waiting for some deals to come in. So, what has changed now that we have started the operations?
Pr

aveer Sinha: Because the money came consequent to the decision. So they paid the money and a very small amount o f Section 11 payment is due now. So virtually, all the money has come and that is why we have started the plant. And so also the other states Punjab and Haryana, has been asked by Aptel to make payment in two weeks time. So, that’s why we started from 16th of April…
Bharanidhar Vijayakumar: Okay. So, could you quantify the amount that came in? And was it in receivables, which was realized as cash in cash?
Praveer Sinha: It will get reflected in this quarter because this order was issued in, I think, ar ound 16th April. So, it will get reflected in this month, of this quarter results.
Bharanidhar Vijayakumar: Okay. My final question is on the other income clarification, you gave. So, net profit booked on consideration got for Arutmin sale. You said it's I NR512 crores. Am I right, sir? Which is booked in...
Sanjeev Churiwala: As I clarified to I think, Sumit, we have sold this Arutmin mine about a few years back, and we were supposed to get a total remaining consideration of close to about INR1,200 crores. W e have been able to now receive a major consideration already in this year. So we are in the process of winding up this transaction. There was a shareholder loan of INR512 crores that’s outstanding, which has been converted to dividend. And given tha t this is a noncore asset to that extent that INR512 is treated as part of the other income.
Bharanidhar Vijayakumar: Okay. So what is remaining to be incurred in a similar fashion in the future, sir?
Sanjeev Churiwala: No. So now what is remaining is to kind of get the remaining amount, which is close to about $27 million, $28 million. So we are hoping that money should also come very soon. And thereafter, we will close the transaction.

Moderator: Next question is from the line of Girish Achhipalia from Morgan Stanley. Please go ahead.
Girish Achhipalia: Sir, actually, a few things. So, why have we stopped disclosing the coal profitability from this quarter? We ’ve been doing it for several quarters now.
Sanjeev Churiwala: The coal profitability is kind of reflected in the JV profits that we are sharing, but we ’re not exclusively giving exact numbers for the coal mines because that ’s not warranted. But if you need separate details, you can just drop in the mail, you can always share.
Girish Achhipalia: But sir, we ’ve been giving it for several quarters now. How do we understand the results because there ’s been a big number on your profits for several quarters now …
Sanjeev Churiwala: The whole process there is that we ’on't l ook at our coal mines on a stand -alone basis.

Girish Achhipalia: Absolutely. T 'at's why I want to look at it completely. T 'at's why I want to look at Mundra because you stopped giving Mundra and now you stop giving coal ' I'm wondering what next because TAT A Power is always known for very strong disclosures.
Sanjeev Churiwala: Yes. So, disclosures...
Girish Achhipalia: Initial slides also going down, sir. Pardon me, but I mean, like for example, I mean, I 'an't reconcile your renewable business, TPREL and WR EL. Why would revenues be down Y -o-Y in Q4?
Sanjeev Churiwala: I think there are a couple of questions that is there. A is our disclosure in terms of the presentation this time you see, we have made a dramatic change in terms of simplifying the overall presentation in the...
Girish Achhipalia: Coal is the part of the disclosure, right? Coal is an inherent part of our profitability.
Sanjeev Churiwala: Yes. So Mundra is now not a stand -alone company. Mundra is part of Tata Power Company itself. So, we are not segregating Mundra from there. And then...
Girish Achhipalia: Disclosing the o perating parameters on Mundra as well, right? And coal also, you were till last quarter, you were

disclosing everything.
Sanjeev Churiwala: No, I think what we have very clearly said also that...
Girish Achhipalia: In quarter three, there was slide 20 and slide 21. There were two slides.
Sanjeev Churiwala: Yes, 'ou're right, Girish, but we 'on't want the number to be misused by the competition on the...
Girish Achhipalia: W'at's the competition here, sir? In terms of competition pardon me, but 'ho's the competition here...
Sanjeev Churiwala: Well, I think we can always have these different views. But the fact is, if you need the details, we can provide to you.

Girish Achhipalia: Sir, tell me what is the renewable, why is the renewable revenue down Y -o-Y for TPREL and WREL?
Sanjeev Churiwala: Last year, we had a one -off revenue and profit that was both removing the one -off Y -o-Y is higher.
Girish Achhipalia: What is the one -off, sir, please? Can you help us? Because the slides 'on't have any details.
Praveer Sinha: Okay. And that we can give you, the one -off is basically because last year, we got some orders, which was order from the regulatory commission because of that, we have taken .
Girish Achhipalia: Yes. Do we know returns over here please?
Praveer Sinha: Yes, INR182 crores.
Girish Achhipalia: Across two entities, TPREL and WREL?
Praveer Sinha: Yes, yes. These are the two entities because the others are very small ones. And...
Girish Achhipalia: If this is a revenue impact, what is the PAT impact here on this level?
Praveer Sinha: This is not the revenue . This is the PAT impact , Revenue impact is about INR350 crores. But we can check and let you know. I don't have it off hand, but that's correct. I know the PAT number is INR182, but the revenue number I can share with you.
Girish Achhipalia: Okay, sure. And then capex we will have incurred capex of INR7,656 crores as per your cash flow. Can you help us like how much has the renewable gross block gone up by? And where the other broadly where the money has been spent out of that INR7,656 capex that you have incurred this year. And what's the outlook for FY...
Praveer Sinha: It is not It's some it is 62 67. So out of that, we can give you a...
Girish Achhipalia: I'm referring to your consolidated cash flow statement on page number 12.
Praveer Sinha: Got it because we do the elimination in the assets because...
Sanjeev Churiwala: I can give you much broad number. Our total capex on the console all put together is about INR6,500 -odd crores roughly give and take. And if you look at our renewables in spit e of some of the deferrals that we have done, our total capex is close to about INR2,500 -odd crores.
Girish Achhipalia: Okay. And what is the outlook for FY'24, please? For capex?
Sanjeev Churiwala: We already have in the pipe see, if you have already see n the disclosures, we have commissioned about close to 4GW. In the pipeline, we have close to about 2GW.
Praveer Sinha: 2.6
Sanjeev Churiwala: Yes, 2.6, 2.6GW, and our order book as of now is about close to INR17,000 crores, right? So, hopefully, we'll have a much higher capex in FY'24 next year or the current year.

Girish Achhipalia: How much should I assume, sir, for my modelling total?
Praveer Sinha: Our total capex, sir, for FY'24 is about INR12,000 crores, which consists of about IN R3,000 crores for the manufacturing plants. And they would be about, I would say, INR4,500 crores in the renewables for group captive as well as for utilities scale. So, that's the type of numbers that

we have. And then we have, of course, capex for our tr ansmission and Odisha Discom and Mumbai and Delhi Discom. So, that's what. And then there is some capex which is there for our FGDs for the coal business.

Girish Achhipalia: So, is it fair to assume, given that your operating cash flow was this year INR7,1 00 crores, and if you were spending INR12,000 crores next year, next year also you will have a free cash flow negative year? Is that a fair comment to make?

Praveer Sinha: It's a wrong assessment. I told you that this year also we will whatever capex we di d from our free cash flow. Similarly, next year also I will do my capex more or less to the free cash flow that I have.

Sanjeev Churiwala: If I could also add, while you were looking at the free cash flow that is available, for example in ‘23 full year, w e had an operating cash flow close to about INR6,500 -odd crores, but at the same time we also separately received equity infusion of INR4,000 -odd crores, which is also kind of sitting with us, right? And this equity will be utilized next year for t he purpose of our capex.

Girish Achhipalia: Okay, understood. So, INR12,000 crores of capex is what you are saying for FY’24? Understood sir. Thank you so much.

Sanjeev Churiwala: We want to deliver a higher operating cash flow and also use the existing eq uity to kind of draw down to deliver our capex aspirations.

Girish Achhipalia: Okay, thank you.

Moderator: Thank you. The next question is from the line of Abhishek Maheshwari from Sky Ridge Wealth Management. Please go ahead.

Abhishek Maheshwari: Yes, hi. Thank you for taking my question. So, one simple question. When we talk about Section 11 where it gives us a full cost pass -through, do we also get a margin for that or is it only just cost that we are recovering?

Praveer Sinha: So, we get the full fixed cost. So, whatever is our fixed cost , we get the full fixed cost. So, that is assumed to have a built -in margin.

Abhishek Maheshwari: Okay. And secondly, regarding the Section 11 only, right now it's applicable till June. Is there any possibility of this becoming permanent going ahead or, you know, too soon to make any assumption?

Praveer Sinha: It will not be permanent but it will again, if the summer condition continues and there is a shortage of power, then it may get extended. Lik e last year also, it started from 5th May onwards to 30th June got extended till 31st of October and then got extended up to 31st December. So, it

all depends as to what is the demand supply and what sort of weather conditions are there and very difficult to predict what will happen.

Abhishek Maheshwari: Okay. And one question regarding the capex plan that we were discussing previously. What capex are you planning to spend on transmission and distribution in FY’24? I'm sorry, I missed it. You have already m entioned.

Praveer Sinha: So, I mentioned to you that 3000 will do on the manufacturing. We will do about 4500 for our renewable projects and then we have some capex for our generation business GD and all that. And you can consider maybe about INR3000 crore s-3500 crores but exact numbers we can give you separately.

Abhishek Maheshwari: Okay. Got it. Understood. And one last question. Regarding your...

Praveer Sinha: And we will be able to provide you with that but approximately it is in this range.

Abhishek Maheshwari: Okay understood. And just one last question regarding the module manufacturing project. You know, I think previous participant had already asked, you know, how will the economics be affected now that the solar module and wafer costs, everything is going down. Is your internal IRR also changing or is it more or less the same since the realization as well as the realization as well as the costs both are going down?

Praveer Sinha: So, when we had considered the manufacturing at that time, the cost of module was $0.18 with 40% basic customs duty. With that also we were making very good returns. So, now the module prices are still $0.21 -$0.22. So, we would still be doing very good.

Abhishek Maheshwari: Okay. Great. Thank you very much. All the best.

Moderator: T

hank you. The next question is from the line of Harshil Solanki from Equitree Capital Advisors. Please go ahead.

Harshil Solanki: Hi, team. Good evening. My question is on the solar pump side. Sir, any update on the price revision that is expect ed in the KUSUM Scheme?

Praveer Sinha: I don't know that. If it happens, we will let you know. Can't predict these things.

Sanjeev Churiwala: It all depends on the bidding process and I think you should hear the financial year ending has just happened. And I think in the next one quarter we will get to know the new prices as well.

Harshil Solanki: Okay and what is the internal expectation on the price hike? What are we expecting? How much

percentage?
Praveer Sinha: Price hike on?
Harshil Solanki: There is a revised price. How much percentage increase are we budgeting sir?
Praveer Sinha: See t hat is the business we do if we get prices to our requirement. If we will not get we will not go and do that.

Harshil Solanki: Okay. Got it. Thanks.
Moderator: Thank you. The next question is from the line of Rajesh Majumdar from B&K Securities. Please go ahead.
Rajesh Majumdar: Thanks for taking me again. I actually got confused with one figure. You mentioned that the RE capex is going to be only INR 4500 crores. Am I reading something wrong here? That means you are going to be adding just about 1GW this year? Or is there something I am reading wrong? If you are going to be adding just 1GW and you are going to be expanding the module capacity, the tota l India additions will be just about 10GW this year? Or am I reading this wrong?
Praveer Sinha: I am not able to make out. Can you take this question offline with Rajesh tomorrow?
Rajesh Majumdar: Yes, sure. Okay. Thank you.
Moderator: Thank you. Ladies a nd gentlemen, we will take that as a last question. I now hand the conference over to the management for closing comments.
Praveer Sinha: Thank you, everyone. I know you still have a lot of questions. My suggestion is please connect with Rajesh and we'll t ry to respond to all the questions you have. Also, on some of the aspects on the details which have been shared, if you feel that you want more details, more micro information on that, we should be in a position to share that. It's just that there are cert ain requirements in terms of governance where we would like to share information in a way that is more acceptable to the market and also to the stakeholders. So that's why these changes have been made. But the purpose of changes is to bring more transparen cy and to make it simple to read.
And many a times many of the analysts have got back that it is very confusing. So a lot of effort has been made by Rajesh and team to come up with the revised presentation. But we always keep on improving and your feedback will be useful for us to improve and provide more data and information which is relevant and useful for your requirement. So, we look forward for your comments on that and we look forward for your feedback which will help us to make it much more and much simpler and much more detailed as is required. But in any case whatever you would require we will furnish that. Offline you can connect and we will be more than happy to provide. Once again thank you everyone for joining and take care and hope to catch up soon in person.
Moderator: Thank you. Ladies and gentlemen, on behalf of the Tata Power, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2023

August 14, 2023
BJ/SH -L2/

BSE Limited
Corporate Relationship Department
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001.
Scrip Code: 500400 National Stock Exchange of India Limited
Exchange Plaza, C -1,Block G
Bandra- Kurla Complex
Bandra (East)
Mumbai – 400 051.
Symbol : TATAPOWER
Dear Sirs,
Earnings Call Transcripts

Pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, the transcript of the audio call recording of the Company's Analyst Call held on August 9, 2023, on the Audited Financial Results (Standalone) and Unaudited Cons olidated Financial Results (with limited review) of the Company for the quarter ended June 30, 2023, is attached herewith.

The transcript of recording can also be accessed on the Company's website using the following link:

https://www.tatapower.com/investor -relations/inv -info-archive.aspx

You are requested to take the same on record.

Yours faithfully,
For The Tata Power Company Limited

(H. M. Mistry)
Company Secretary

"The Tata Power Company Limited Q1 FY24 Earnings
Conference Call "

August 0 9, 2023

M
ANAGEMENT : DR. PRAVEER SINHA – CEO & MANAGING DIRECTOR ,
TATA POWER LIMITED
MR. SANJEEV CHURIWALA – CFO, TATA POWER
LIMITED
MR. J. V. PATIL – FINANCIAL CONTROLLER , TATA
POWER LIMITED
MR. SOUNDARARAJAN KASTURI – INVESTOR
RELATIONS , TATA POWER

Moderator : Ladies and gentlemen, good day and welcome to the Tata Power Q1 FY24 Earnings Conference Call.
As a reminder, all particip ant lines will be in the listen- only mode and there will be an opportunity for you to ask questions after the presentation concludes.
Should you need assistance during th e conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Dr. Pravee r Sinha – CEO & Managing Director, T he Tata P ower . Thank you and over to yo u, sir.
Dr. Praveer Sinha: Thank you. Thank you very much and good afternoon to all the analysts who have joined for the call . I have with me my colleagues Sanjeev Churiwala – CFO, J V Patil – Financial Controller, Kasturi and Rajesh Lachh ani from the Investor Relations and other members from the finance team.
Just to give you a little background on the power sector globally and in the country , during the first quarter that is during the period April, May, June this year, there were extreme weather cond itions. We had heavy rains right through these months and we saw that we also had the cyclone in the W estern part of India impacting Gujarat. We also had the extreme weather conditions in Odisha where large number of times the Kalbaisakhi , which is lower l evel of cyclone, came over there due to extreme heat conditions and due to all these reasons, the consumption of power during the last quarter only increased by 1.5%, which was not expected based on the earlier trends , in fact the month of February had seen very high temperature. We were expecting much higher growth in consumption. We also saw how globally the coal prices have come down and to that extent , today imported coal is available in large quantity and at a much lower price compared to last year. We also saw that the prices of solar material that is solar cells and modules and wafers have come down drastically and we expected that with more capacity addition that will take place in China and some of the other countries in Southeast Asia, t here will be an oversupply and there will be much restrained prices of cells and modules going forward.
As far as Tata Power is concerned, this is the 15th consecutive quarter in which we have shown a growth in our PAT. For this quarter , the reported PAT is Rs. 1,141 crores compared to Rs. 884 crores . And if we see the PAT before exceptional items , which is in the core business , it is Rs. 906 crores compared

to Rs. 884 crores . Our revenue has virtually remained flat , Rs. 15,003 crores compared to Rs. 14,776 crores . But there has been a huge improvement in the EBIT DA, which has grown to Rs. 3,005 cror es compared to Rs. 2,107 crores, 43% growth, showing the robustness of the core business of Tata Power . We have also seen that during this quarter , all our businesses have done exceedingly well. Whether it is our existing generation business, all of them have performed much better than the previous years and the benefit of efficiency and improved cost control , the results are there for all to see.
Similarly, our Mundra plant has operated during this quarter under section 11 and it continues to do that till 30 th September . And if the heat conditions continues, it may get extended and to that extent , our operations at Mundra are cost reflective and our losses are very restricted over there. Our core business , of course, t hough it is doing very steady because of the prices coming down has reduced profit compared to last year, but the reduction in profit in coal business has been more than made up by our existing operations in our generation business, Mundra as also in our renewable and in our T&D business where all our businesses are virtually

getting stabilized and the improvements that have happened over there because of fundamental business, w hich has become much more robust. We will see this continuing in future quarter and is the precursor of the improvements that we would see

subsequently .
In our transmission and distribution business, our Odisha business has
stabilized to a large extent, notwithstanding the fact that we had a very tough 3 months wherein we had to do huge amount of restoration activ ities and field
activities to take care of the weather conditions, but I think again the Odisha
business has stabilized and future quarter performance will be much better for
us to see. O ur EV business also has been doing consistently very well. Our
operations right across the country , we have nearly 4,400 public charges,
50,000 home charges and large number of bus charges that we are putting. We are putting one of the largest number of bus charges, nearly 1200 in
various cities in the country under E SL tenders that was won by our OEM
partner , Tata Motors.
If we look at our other area, our balance sheet has improved. O ur debt equity
ratio continues to be at 1.1 and our working capital has improved over the
period of time, w hich has helped us to ensure that we are within all the financial
metrics that we have planned for ourselves, though the debt during the period increased because of the huge CAPEX that we have planned this year, Rs.

12,000 crores. We would still be within the ceiling of 3.5 for the net debt to
underlying EBITDA. D uring the quarter , we have also seen that our ratings
have improved. B oth ICRA and CARE have upgraded their credit rating from
AA stable to AA positive and this is a reflection of the performance of the
company in better management of them financially.
We have also been awarded in a number of places, whether it is in terms of
employer brand or also in areas such as corporate governance, and I think it
all demonstrates and shows the good performance of the company in all
(Inau dible) 08:24 . I'm sure Tata Power , the way it has been steadily improving,
its performance will continue to do that in future quarters also and we'll maintain
a very healthy balance sheet going forward. All our existing operations and the growth areas will continue to perform well in the future also and I'm sure we
will continue to get your support in meeting all the objectives of the company.
With this, I will ask Yashashri to open the floor for questions and answers .
Moderator: Thank you very much, sir. We will now begin the question- and-answer session.
We have our firs t question from the line of Sum it Kishore from Axis Capital.
Please go ahead.
Sumit Kishore: Good evening Dr. Sinha. My first question is on the solar EPC business. The
solar rooftop revenue is down year -on-year. Solar pump is also down and the
quarterly run rate for the utility scale solar EPC business revenue booking is significantly low as compared to the 170 billion order backlog that you have
there. So, how would you cite this performance relative to the FY 25 and FY 27
targets that you had given us on scale up for solar EPC business ?
Dr. Praveer Sinha: So, this is a timing issue. One is on solar pumps , by design, we are going slow
because the orders under the KUSUM program have not come. Also, the
margins in the KUSUM program in the earlier ones were very low and hence
we have decided that we will wait for the revised KUS UM program to come
before we go full out. As far as our rooftop is concerned, our business has done
very well in this quarter, the margins have improved tremendously. And we expect that the order backlog that we have, we will be executing in the subsequent quarter with much better and higher margins because the
emphasis is now that we should improve our margins in all these business ,
having established ourselves in

more than 460 cities with our channel partners
and that's what you would see in our PAT and EBITDA for the rooftop business .
Similarly, on our EPC projects, you would see that our margins have improved,

though we have not executed too many orders because the full benefit of lower
prices of cells and modules which we are now going to get , will get reflected in
Q2, but more in Q3 and Q4 because now we have ordered all of them and they
will start coming from the month of September onwards. So, you will see that
on an overall basis, we will be doing very well in all these businesses and the real improvement and the benefits you would start seeing in this subsequent

quarter .
Sumit Kishore: Sure. My second question is on Mundra. We see that the plant availability despite S ection 11 being in work was just abo ut 54%. In fact, down on a year -
on-year basis. So, why is that and is there any update on the Mundra P PA
resolution ?
Dr. Praveer Sinha : So, one of the units is down, there was a transformer failure in one of the units,
so only four units are operating out of the five. And t hen we started operating
under S ection 11 from 15th of April because we were wanting to first resolve
the SPP A issues, but since S ection 11 was already imposed, th ere was a delay
from the procurer side to finalize it, and then we said we'll operate it under
Section 11. So, I think this quarter you will see our availa bility will improve
drastically. Incidentally , the plant is operating, all the four units are operating.
And being a low cost or one of the most efficient plants on merit order, it is
being scheduled compared to all the other plants nearby plants in Gujarat. So,
I think you will see much better performance in terms of both availability and
PLF. But yes, in the first quarter we missed the first 15 days and that's why y ou
see a lower availability and P LF.
Sumit Kishore : What is the implied equity value of Tata projects for the fund raise which has
happened? In Tata projects, what is the implied equity value for 100% equity
stake?
Mr. Sanjeev Churiwala: So, basically if y ou're talking about the number of shares that is held
by TPCL that has come down from 47.78% to 30.81% and the book value per
share is about Rs. 110 per share.
Sumit Kishore: I'm not talking about the book value. I'm talking about the total implied equity
value for Tata projects ?
Mr. Sanjeev Churiwala: I think we have a stake holding of about 30.81, so 31% which is at a
book value of 110. So, you can simply multiply this by almost like 3.5x, t hat
would be the total book value of the shares.

Sumit Kis hore: I will take that separately. Finally, my question is on Rs. 100 odd crores of
income that you have booked from Maithon. That is a non- recurring income,
right? So, we should be adjusting it in the profits?
Dr. Praveer Sinha: No, it’s not non- recurring , I would say this is the nature of the business it is
because across our various procurers, we keep on having this discussion on
the tariff adjustments and the relief that we sought. For example, in this
particular case, during the COVID, of cour se, the plant utilization was low and
we had to s eek relief and they ’ve given us the relief. It just takes time and
normally every year you will have something or the other coming up, right? So,
we don ’t classify this as a non-recurring. But Yes on one par ticular plant, it may
be non- recurring, but it will have some other plants across the entire thermal
generation capacity across procurers every year you will have something or
the other c oming up and that ’s the nature of the business.
Sumit Kishore: Fair enough. Over next 5 years, how do you foresee demand for group captive
renewable capacities from Tata G roup companies, especially Tata? That ’s my
last qu

estion. Thank you.
Dr. Praveer Sinha: There is lot of opportunity now, especially there has been an amendment in
the policy both on group captive as well as on open access where anything
more than 100 kilowatts you can supply under open access and group captive,
the definition has been widened . So, you would find that all the new plants of
Tata Group which are coming, whether it is the electronics plant or the battery
plant or any of the other new semiconductor initiatives, the growth of Tata
Motors in their new plant , EV plant which is coming up in Sanand. So,
everywhere you will find that we will have a huge opportunity and we will
virtually be having 100% renewable supply to all these customer s. But apart
from that, we are also getting huge opportunities outside and we can share
there’ s a very large list of group captive customers which we have tied up in
last quarter and we continue to get it on a regular basis and you would see that
our group captive business this year will be quite substantial.
Moderator: Thank you. We have our next question from the line of Mohit Kumar from IC ICI
Securi ties. Please go ahead.
Mohit Kumar: Sir, first question is on the solar pumps. I understand that there is a new S ECI
bid which is up for bidding. Can you just explain is there any change in tender

terms compared to the last tender which afforded by ESL and what are the
timelines for the bids?

Dr. Praveer Sinha : So, the solar pump, the last big bid happened was in 2020 and thereafter the bids have still not happened now. ESL is not doing the bids t hat mandate has been given to S ECI. So, we still have to see now what sort of new bids are coming, but what has also happened is that there are number of states which are coming up with the different combinations of these, not just solar pumps but the rural electrification of grids like Maharashtra is coming up with a huge plan to set up nearly 7000 megawatts of solar generation in rural areas, which is very close to existing grids, so that the evacuation of power takes place and the purpose is that it will supply to the local areas in the rural area for pumping purpose as well as for local supply to the other types of consumers . So, I think different combinations of the KUSUM program will come, which I think will help a much better penetration of solar in rural areas.

Mohit Kumar : Is it that you are less optimistic about the solar pump in the near term? Is that right fair assessment?

Dr. Praveer Sinha : Not that . It will go certain modifications because the earlier programs were not so successful and hence each one of them, KUSUM had three components, KUSUM A, B, C . We are seeing that the K USUM C initiative will possibly get more traction compared to the K USUM A&B.

Mohit Kumar : So, my second question is, how much is the capacity you expect on the renewable side to install in FY24 and FY25?

Dr. Praveer Sinha : There are two parts. One is capacity bid out and capacity installation. Now , the installation of FY24 and 25 will be all those which will bid out in the previous years and you have seen MNRE has also given extension up to 31
st March f or
the projects, which were ordered in ' 21-22 and also for DCR project s up to 30th September 2024. So, I think many of the projects , which could not come earlier because of abnormal increase in project cost, increase in cost of cells and modules , those will get executed in this year. The ones where the bidding is being taken place will take about 24 months to come up, so they will only come in more in FY 26 and 27.

Mohit Kumar : I am asking sir our capacity, so how much you expect to install in FY24 and FY25, is it possible to give the number?

Dr. Praveer Sinha: I don 't have that number. We can check from MN RE's website or some of the people who carry out these report s which to … Ou

r number is I think this year
we are targeting to set up nearly 2.5 GW, which partly is for us and partly is the

third party. So, that's the type of number that we are lookin g that we will set up this year and as I mentioned to you, we have nearly 4 GW order, which is under execution which includes for us also and outside, some of that will get into FY25 .

Moderator: Thank you. We have our next question from the line of Puneet Gulati from HSBC. Please go ahead.

Puneet Gulati: My first question is on the Odisha discoms. Can you help us understand how to read this? You know your performance versus AT&T losses, till last quarter, I think you were trending below the trajector y and now this this quarter it seems you are above the trajectory. How should one read that , if you can give some more color there?

Dr. Praveer Sinha: So, as I mentioned to you last quarter, because of the extreme weather conditions, the billing efficiency and collection efficiencies were impacted and that is why when you have to see the distribution business, AT&T losses, you have to see on a 12- month rolling basis and not on 3-month basis because some of the supplies that takes place in summer months, the collection happens in the subsequent months and some of the earlier collections, which were now there that gets adjusted. So, I think you have to see more from a 12-month cycle rather than just seeing on quarter -to-quarter because many of these things get you if there is a lesser collection in one month; in the next month, you end up doing 105% or 110% collection and that will get reflected in the subsequent quarter .

Puneet Gulati: Understood. And second question is on the Tata Power EPC busines s. This quarter also, margin seemed to be a bit lower. What would that be attributable to and where do you think will these margins ultimately ….

Dr. Praveer Sinha: So, I think the worst is behind us as far as the EPC business is there . We were under tremendous stress because there were some legacy orders, which we had to execute. Now that the prices of cells and modules have come down, you will see most of it getting reflected in Q3 and Q4. Q2 also , you will start seeing early stages of improvement. So, you will actually see all the improvements coming in the subsequent quarter and we'll be able to do a much better margin going forward.

Puneet Gulati: But I thought that hump was crossed last quarter itself when you reported almost 10% EBITDA margin, so what..?

Dr. Praveer Sinha: So, I think there are some rollovers which were there, which could not get completed in the month of March. They rolled over to April, May and that's what it is and that is why you do not see too much of topline also compared to what we would have otherwise done. So, going forward, you will find that our top line will also improve and the bottomline will also.

Puneet Gulati: And lastly, you are one of the best capitalized firms in terms of available equity for renewable power. How are you positioning yourself in the S ECI bidding as well? Do you think the current tariffs have become attractive enough for you to participate or y ou think the expected IRR is still low from those ?

Dr. Praveer Sinha: We have our band within which we operate and we ensure that we bid within those bands. W e have seen last year we won a large number of orders nearly 2.6 GW of order that we have won and most of them were hybrid orders. They were not pure solar or pure wind. In any case, we don't bid pure wind. We only bid either pure solar or hybrid solution. So, you will find that the returns in complex solutions of hybrid are much better c ompared to the returns in pure vanilla solar or pure vanilla wind.

Puneet Gulati: How is company prepared in terms of the more complex bi

ds which are coming in from dispatchable power etc.?

Dr. Praveer Sinha: You see, other than solar and wind, we have not gone for s torage. We will now go now that you would have heard that yesterday we went and signed the Mo U for setting up pumped hydro. Now , we will be in a position to offer combined solution with storage also. So, I think those projects we will be able to get much better returns .

Puneet Gulati: And what is the timeline one should think about those pumped hydro projects ? Still MoU, I presume?

Dr. Praveer Sinha: Yes, but then the benefit for us is that these will come up on our existing hydro plants. We've already done a lot of work. We actually have been working on that for more than last 6 to 9 months and I can tell you that we will possibly be one of the first ones who would come on line.

Puneet Gulati: And how much capacity can you build on y our existing hydro plants?

Dr. Praveer Sinha: Right now , we have planned 2, 800 and this is only at two of the reservoirs. We have 6 reservoirs. So, we've not actual ly gone for the full potential.

Puneet Gulati: So, 2.8 GW on just two reservoirs?

Dr. Praveer Sinha: Yes.

Moderator: Thank you. We have our next question from the line of Apoorva Bahadur from Goldman Sachs. Please go ahead.

Apoorva Bahadur: On this pump storage projects , just wanted to understand what would be your capital cost?

Dr. Praveer Sinha: So, see typical if you do a Greenfield pumped hydro, it would be about Rs. 7 crores to Rs. 8 crores . Since we already have the reservoir, we have the dam over there for storage, so our cost will be less than Rs. 5 crores.

Apoorva Bahadur: These are all closed loop or open loop?

Dr. Praveer Sinha: This is all closed loop.

Apoorva Bahadur: So, secondly on Mundra, just wanted to understand at what coal price will we operate Mundra even without S ection 11?
Dr. Praveer Sinha: Well, let's see. Right now, we are under discussion. So, our objectiv e is that something similar to S ection 11, we should be in a position to negotiate and
we will work out and let you know once it's decided.
Apoorva Bahadur: So, sir, just wanted to clarify in case Section 11 is not extended and the global coal prices declined, right? Will we operate the plant or will we put it, I mean
we won't use it then ?
Dr. Praveer Sinha: I'm optimistic that the S ection 11 will get extended and during the extended period, we will be able to find out a mutually acceptable solution.
Apoorva Bahadur: Understood, sir. Sir, I think last question. Can you share the margin profile for group captive and rooftop projects that we're doing?
Dr. Praveer Sinha: They are very good margins , I can tell you that and that's why you see there is a lot of focus now on group captive project s and once these results start
coming, we'll be able to show you more. Right now , these are very early stages
of group captive projects, but I expect by end of this financial year, we'll have
some of them operating and you will be able to see the EBITDA.

Apoorva Bahadur: And just for the projects that we're doing for Tata Group, I mean, if you can quantify the margins over there?
Dr. Praveer Sinha: We don't give the margin, but I can tell you those are good margin projects.
Moderator: Thank you. We have our next question from the line of Subhadi p Mitra from Nuvama Institutional Equities. Please go ahead.
Subhadip Mitra: My first question is with regard to the coal profitability . If I look at the numbers based on the JV and the associate numbers, whi ch I understand has the
majority of the coal profits, clearly there is a decline on a Y -o-Y basis ; however,
on a Q -o-Q basis, the number seems to have improved. So, is it possible to
get some color as to did we see better volumes on a Q -o-Q

basis on the
realizations or on the margins?
Dr. Praveer Sinha: We'll share that with you because the coal company has its own working in terms of how much of mix of coal that they are supplying. So, happens that in
some quarter it is more of high CV coal and less of l ess CV coal that they
dispatch . In some quarters, they supply more of low CV coal and less of high
CV. So, it depends on what sort of mining mix they have and the profit comes
based on that.
Subhadip Mitra: Understood. Secondly, in terms of the upcoming renewable bids, right, so there is a plan to auction out maybe 50 GW of renewables every year by the
government. Along with that, you also have your own plans on the captive
power side, on the C &I side or on rooftop. So, as a strategy, how would you
look at your annual renewable capacity addition, would you have an internal
target of any number to that one?
Dr. Praveer Sinha: Yes, there is a number, but we play between the utility scale and in terms of group captive and wherever we find we have a better margin, we do that. We
are typically looking at something like 2 GW to 2.5 GW of capacity addition
every year .
Subhadip Mitra: 2 GW to 2.5 GW of capacity addition every year ?
Dr. Praveer Sinha: Yes. But it's a mix of group captive and utilities.
Subhadip M itra: Of course and the pumped hydro related opportunity , now that we have a ready 2.5 GW of opportunity there, that would be over and above this run rate of 2.5?

Dr. Praveer Sinha: Yes, that is to support the renewable power. So, typically it's in the 3:1 ratio. So, if I put a 2 GW of pumped hydro, it can support 6 GW , 3-3.5x, so 6 GW to
7 GW of r enewable capacity for giving firm 24/7 power.
Subhadip Mitra: Understood. It is going to be a combination of hydro plus solar plus wind or more of solar plus hydro. How does the configuration work ?
Dr. Praveer Sinha: Depending upon what sort of requirement is there from customers. In some cases , it may be just solar and wind, but in some cases w e will give a good
combination whereby we can give them 24/7 100% power .
Subhadip Mitra: Last two questions from my side. Firstly, on the EP C side of things, again with

such a large quantum of tendering activity expected over the next few years and so you would be sensing a large opportunity again opening up on the E PC side. So, any thoughts on how large this opportunity can be or what kind of market share you would like to take here? And also, what do you feel are the sustainable margins ?

Dr. Praveer Sinha: So, again for us, the first priority is to meet our own internal requirement. So, whether it is the group captive or it is the utility scale, we will meet that requirement and I mentioned to you that we are looking at 2 GW - 2.5 GW . Thereafter , we will look at opportunities , which are third-party opportunity and again it will be all dependent on what sort of margins we are getting and what sort of returns we will have in there. Also, now earlier we used to do EPC projects with land. Now we don't do with land, so we do more projects where the owner provides us the land and we develop the project for them. So, it's again a place where we are very careful and there's a very calibrated growth that we will have.

Subhadip Mitra: Understood. Lastly, on the Tata Projects stake sale. I think this question came up earlier as well. So, while you did mention that I think the book's value was around 110 per share, what was the price at which the transaction was done, is it possible to know?

Mr. Sanjeev Churiwala: So, I think the way to look at it is we have not sold any stake, right? Because we did not participate in the right s issue . Our overall shareholding dropped from 48% to 31% and because Rs. 1,500 crore of additional equity was infused by the Tata Group, to that extent the book value per share incre

ased. As a result, we had to book the profit that you see as an exceptional item, which normally should be in the OC I balance sheet , but because this is

not in subsidiary but more of an associate, we had to book it in the P&L . But this is a non- cash item as such has no implication on the cash of the company.

Subhadip Mitra: Understood. So, this infusion of capital by Tata Group w as again done at book value or at a higher number ?

Dr. Praveer Sinha: But at a certain valuation.

Subhadip Mitra: Would it be possible to know that number or that's not available?

Dr. Praveer Sinha: Yes, I think it's already there as part of the release by Tata Project itself, so we can forward that release to you separately.

Moderator: Thank you. We have our next question from the line of Bharanidhar Vijayakumar from Spark Capital. Please go ahead.

Bharanidhar Vijayakumar: Just trying to understand if the investment into pump storage opportunity would attract the regulated return of 16.5%. Is it the case?

Dr. Praveer Sinha: No, this we will combine with our renewable business. So, it has nothing to do with this. It's not on a regulated basis that we are going to supply.

Bharanidhar Vijayakumar: So, then it will not be also for just peaking purpose, it will be round-the-clock kind of a…

Dr. Praveer Sinha: It can be anything. It can be for peaking, it can be round -the-clock, depends on what sort of combination we will do.

Bharanidhar Vijayakumar: And what is th e update on the supplementary PP A for Mundra?

Dr. Praveer Sinha: Right now , we are under S ection 11, so let's see till what time it goes. Once it gets over , then we will look at the supplementary PPA.

Bharanidhar Vijayakumar: And on the Mundra side, you mentioned that given variable cost has fallen and it's attractive for the disc om to schedule on merit order dispatch. This is for the power of the plant. What would like the variable cost per unit right now that is in your 1__FY24 from Mundra?

Dr. Praveer Sinha: I think it's around Rs. 5, but I don't have exact numbers, but it's around that number.

Moderator: Thank you. We have our next question from the line of Gaurav Kumar from TRG Corporate Ventures. Please go ahead.

Gaurav Kumar: My question is Tata Power is s pending in the EV space, so can I know that how much does the EV station contribute in your revenue?

Dr. Praveer Sinha: So, there are three businesses. One is the home charger, which we provide

against the return. The 2nd is the bus charger where again it is on a return
basis that we do. And the third is the public charger where it is on a revenue
basis in the sense if the utilization is more, we get higher revenue. If it is less,
we get it. So, there are two which has a guaranteed return, including the fleet
charges, while the one is a public charger which is based on the demand
supply.
Gaurav Kumar: And you also install ed EV charging setup in restaurants and resorts as well.
So, what is the revenue sharing structure? I just wanted to know that you have
installed more than 4, 000 EV charging points. So, I just wanted to know what
the revenue share is expected and how much revenue do you intend t o
generate in coming future ?
Dr. Praveer Sinha: The typical arrangement with most of the people, whether they are in
restaurants or shopping malls or any public parking place or it is in petrol
stations depends on the owner of that place. In some places , it is a revenue
sharing. In some places , it's a fee that you have to give on a monthly basis or
yearly basis. So, different places have different models and we work on those
lines. And of course there is a presentation that that has been put. You c an
see the details of each of these charger s.
Moderator: Thank you. We have our ne xt que

stion from the line of Sumit Kishore from Axis
Capital. Please go ahead.
Sumit Kishore: The question is what is the price of RE , RTC, wind, solar , hybrid with storage
along with it. So, at what tariff do you think is viable right now?
Dr. Praveer Sinha: See, it all depends where you are putting up. If you are putting up in
Maharashtra, it has a different ; if you are putting up in Rajasthan.
Sumit Kishore: Rajasthan, which is very sunny or take a site which is windy and sunny.
Dr. Praveer Sinha: Every place in the country is sunny, right? You tell me where it is not sunny.

Sumit Kishore: So, the idea is more generically to see how low that tariff has come?
Dr. Praveer Sinha: So, I would say a Rs. 3 range is a good range. People who have gone and
done crazy numbers, they are struggling to execute those projects and the
margins are impacted. So, in a better sunny place, better wind speed, it can be
2.80 or 2. 70. So, a Rs. 3 plus minus 10% is a good reference if you want to,
but it's a very thumb rule sort of it.
Sumit Kishore: But if you want to include storage along with it, say battery energy storage
systems or pump storage hydro, for round- the-clock power, s o then where
would you see the RE, RTC tariffs?
Dr. Praveer Sinha: Sumit, this is more an academic question, so let me give you a very generic
answer or maybe a Rs. 5 tariff will be something that is there. But it all depends
what sort of , see you want 4 hours of battery backup or you want 2 hours of
battery backup, it all depends on that . So, very difficult to say number and say
that this is the correct number and we cannot deviate , it is a different
arrangement.
Sumit Kishore: And just one question on t he EPC business. We find that most of your utility
scale EPC order book which is third party is PSU focused. So, how is the risk
sharing on price of procurement of modules between Tata Power and your PSU customer ?
Dr. Praveer Sinha: No one shares the risk, excepting that if there is any change in law that happens, the good thing with PSU
is that you get paid on time. Many of the other developers don't pay on time and that's why we have been very averse to
bidding for non PSUs .
Sumit Kishore: So, you basically take the risk of procuring modules and the volatility of prices
in modules?
Dr. Praveer Sinha: Absolutely, excepting for change in law . If there's any change in law , that takes
place that we get protected.
Moderator: Thank you. We have our next question from the line of Gopal Nawa ndhar from
SBI Life Insurance. Please go ahead.
Gopal Nawandhar: So, receivabl es actually has gone up quarter -on-quarter. So, can you just
ascribe which business this relates to?

Dr. Praveer Sinha: So, receivables is a function of business growth. Also, many of them are little
cyclical in terms of like I mentioned to you that in summer months, the

consumption in the distribution areas increases, but the rece ivable comes in July month. So, May or June will be very high consumption and payments will start coming in July and August. So, that's the cycle that you have. A lso, some of the cycles of some of the supplies that comes to us. We need to make payment depending upon what is the market condition. Sometimes we buy some of the material and stock it with us . So, there what happens is the receivables that we get change, but I think over a period of time our receivable number of days has reduced dr astically .

Gopal Nawandhar: And the second question is that we have seen correction in the cell and module prices. Obviously , it should help our existing order book in terms of execution. My question is on our plant, which we are putting for cell and module, how should one look at that project I RR and whether the final product which comes out of these plan

t s will be competitive enough to comparable with the import or you will need some more support from the government to replace the import ?

Dr. Praveer Sinha: So, the cell and module, you know that there is a basic customs duty . On module, it is 40% and on cell , it is 25%. So, that gives the protection to the domestic manufacturer to the extent of the difference at which you would procure and pay the duty vis -à-vis what you manufactur e over here. A nd in the Indian context, many of the plants, including our plant, we've got the PLI benefit and some of the other state incentives. So, I think we are going to be very competitive. We are going to be very efficient and we will be much better place compared to the imported modules that others would.

Gopal Nawandhar: I'll just try to rephrase and understand the point is maybe say 6 months, 9 months back when we started these projects, the prices were different. And now prices have come off. So, what will help you in terms of reducing the cost or versus what maybe?

Dr. Praveer Sinha: The prices of the raw material also have reduced. See 6 months back, the wafer prices were Rs. 90 a Kg. Now it is Rs. 40 a Kg. So, everything has gone down. So, production cost will come down to that extent and you will be much more competitive.

Gopal Nawandhar: And the last bit on the wind side, we have seen signif icant reduction in the PLF year-on-year. Generally this is a high seas on month. So, 3% reduction year -

on-year, we have seen on the wind PLF. How should one look at it this in terms because there is?

Dr. Praveer Sinha: Again, you should look at it all on a 12-month cycle. This year, the wind speeds in the month of June were very bad, but in July, it has got up. Last year, the June month was very good, but M ay was bad. So, these are things which are because of extreme weather conditions, things are changing, but on an overall basis , it is not happening. You have seen that Mumbai has got rain, what it was expected to get in the month of July itself, but August there is no rain. In June, there was very little of rain, so I think on an overall basis, whatever rain it has to get, the precipitation is more or less the same, but yes, it changes what used to take three months to fill up, t oday it takes maybe 2 months or 1.5 months to fill up . So, that is what it is.

Gopal Nawandhar: So, there is no overall change in the assumption or there is no structural change in the pattern?

Dr. Praveer Sinha: No. If you see on a 12- month rolling basis, if you see it on a 1 month or 3- month basis , you will find a change.

Moderator: Thank you. We have our next question from the line of Apoorva Bahadur from Goldman Sachs. Please go ahead.

Apoorva Bahadur: Sir, regarding the adverse weather events in Odisha, so is it sort of allowed as a force majeure in terms of the impact on performance? Also, the incremental CAPEX that you would have to incur or is it something that the company has to take a hit?

Dr. Praveer Sinha: So, it is not a force majeure condition unlike full -fledged cyclone that takes place. So, what happens is the regulatory, the system allows any of these type of CAPEX that you need to incur and you incur those CAPEX a s a part of your annual plan.

Apoorva Bahadur: And sir , the impact on performance that it has, is that allowed under the handover agreement or?

Dr. Praveer Sinha: No, the impact on performance, you need to catch up on that.

Apoorva Bahadur: And how will the c ommission look at this performance? Will it look at it on a rolling basis or a cumulative basis or what?

Dr. Praveer Sinha: Everything is on a yearly basis, nothing is on quarterly basis.

Apoorva Bahadur: So, in case there's a bad weather event at the end of the year and because of that the perfor

mance is hamper ed, will be penalized ?

Dr. Praveer Sinha: So, you have to wi thin the 12 -month period until and unless I told you that if it is a declared cyclone or a declared extreme weather condition, so if it is declared, then they would consider it suitably, but if it is not a declared weather condition, then they don't consid er.

Moderator: Thank you. We'll take our last question from the li ne of Rajesh Majumdar from B&K Securities. Please go ahead.

Rajesh Majumdar: I have only one question. How should we read the profits of the share of associates in JV for this quarter? It has gone up on a sequential basis. So, what is the coal price approximately for the quarter? And should we take this as a sustainable run rate going forward, is there any change in the royalty tax which is incorporated in this also? Yes, that's it.

Mr. J.V. Patil : So, mainly actually , there is a change in quantity . Actually , there is a slight increase in quantity of sales this quarter and in addition to this, because the prices have come down, so the cost of production also has been minimized.

That effort has been put in by our coal JV partner. Those are the major things which have resulted in an increase in profit from our coal companies as compared to the Q4. And in addition to that, definitely the last year previous year, there was Tata projects losses that is not there in this year. The losses have reduced substantially. If you remember last year , it was actually Rs. 240 odd crores. So, this year it is hardly anything. So, those are the two major things.

Mr. Sanjeev Churiwala: I think I'll request you to have a look at Page number 32 of the uploaded i nvestors deck . It has the complete breakdown.

Moderator: Thank you. I now hand over the conference to D r. Praveer Sinha for closing comments. Over to you , sir.

Dr. Praveer Sinha: Thank you. Thank you very much to all of you for joining on this call. If you have any more questions, please get in touch with my colleagues, Kasturi and Rajesh, and we'll be more than happy to share the details. And I do look forward to having interactio n with you during the next few months and we will

also have interaction with all the analysts like last year. Once we fix up the date, we'll inform you about this. Thank you. Thank you for joining us .

Moderator: Thank you, s ir. On behalf of the Tata Power, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2023

November 14, 2023

BSE Limited
Corporate Relationship Department
1st Floor, New Trading Ring
Rotunda Bldg., P. J. Towers
Dalal Street, Fort
Mumbai – 400 001.
Scrip Code: 500400 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No. C/1, G Block
Bandra- Kurla Complex
Bandra (East)
Mumbai – 400 051.
Symbol : TATAPOWER

Dear Sirs,

Earnings Call Transcripts

Pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, the transcript of the audio call recording of the Company's Analyst Call held on November 8, 2023, on the Audited Financial Results (Standalone) and Unaudited Co nsolidated
Financial Results (with limited review) of the Company for the quarter and half year ended
September 30, 2023, is attached herewith.
The transcript of recording can also be accessed on the Company's website using the following link:
https://www.tatapower.com/investor -relations/inv -info-archive.aspx
You are requested to take the same on record.

Yours faithfully,
For The Tata Power Company Limited

(H. M. Mistry)
Company Secretary
FCS 3606

"Tata Power Limited Q2 FY-24 Earnings Conference
Call"

November 08, 2023

MANAGEMENT : DR. PRAVEER SINHA – MD AND CEO, TATA POWER
MR. SANJEEV CHURIWALA – CFO , TATA POWER
MR. J.V. PATIL – FINANCIAL CONTROLLER , TATA
POWER
MR. KASTURI SOUNDARARAJAN – INVESTOR
RELATIONS , TATA POWER
MR. RAJESH LACHHANI – INVESTOR RELATIONS ,

Moderator : Ladies and gentlemen good day and welcome to the Tata Power Q2 FY24 Earnings Conference Call.

As a reminder all participant lines will be in the listen -only mode and t here will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call , please signal an operator by pressing ‘ *’ then ‘0’ on your touchtone phone .

Please note that this conference is being recorded .

I now hand the conference over to Dr. Praveer Sinha – MD and CEO Tata Power. Thank you and over to you.

Praveer Sinha : Thank y ou, good evening to all of you and thanks for joining the call. On behalf of Tata Power, I would like to extend my best wishes to you and your family for a very happy and safe Diwali in advance. I'm joined today with my colleague Sanjeev Churiwala – CFO , Mr. J.V. Patil – Financial Controller , Mr. Kas turi and Mr. Rajesh Lach hani from I nvestor Relations and other members from my Corporate Finance and Corporate C ommunication team.

At the outset let me talk a little bit about the power sector. We have seen that the power demand in the last quarter has gone up by maybe 13% compared to the previous year and this increase in demand has been seen right through in this financial year. We have seen on a cumulative basis , there has been a growth of more than 10% this year as was seen last year where the growth has been 10% compared to the previous year . I think the cumulative growth in last 2 years is nearly 22% which is a record. The peak demand of power was 241 GW which was really more than 10% of the previous yea r and we see that this demand continues to be very high even in the month of October. We expect that this will continue for at least another 2 years considering that the demand has gone up, not only for the industries but also for our commercial and indust rial consumers and including residential consumers where a huge demand of air conditioning load has led to this surge in demand. Because of these reasons , the Ministry of Power has been trying to ensure that there is adequate supplies of power in the count ry and has extended the S ection 11 so that all the imported coal -based plants continue to operate and supply power. As also they have mandated that the domestic coal plants also use up to 6% of the imported coal for purpose of blending , so that there is no shortage of power in the country. I think this has given good results in the sense that the country has been able to meet the enhanced power requirement where many of the other countries have struggled to do that.

Moving to our financial performance ; I am extremely pleased to share that this is the 16
th
successive quarter in which we have shown profit growth , and this has been based on very strong fundamentals of all our existing businesses , including new businesses in renewable and distribution . This year in this quarter the consolidated PAT is 1,017 crores which is a 9% increase compared to last year. Similarly , the revenue growth has been 9% and the EBITDA growth has been 51% because of much better performance of all the plants including the Mundra p lant. And

what we have seen is that in the half year our Revenue has gone up over ■30 ,000 crore s which if you remember 3 years back used to be our annual revenue. O ur EBITDA has also grown to more than 6 ,000 crores , 6092 crores in the first half of the yea r and our PAT has grown by 6% on a half yearly basis to 1,924 crores. T his has been possible because of large number of initiatives taken by Tata Power. We have been steadily working on our renewable capacity where capacity additions have taken place durin g this quarter and today our clean energy portfolio stands at 5500 MW which is nearly 38% of our installed capacity. This is on back of n

early 3200
MW of solar , 1000 MW of wind and the balance being hydro and off gas plants and with another 3760 MW under i mplementation which will get completed in next 2 years , we will achieve an installed capacity of 9300 MW clean energy which will be nearly 50% of our total capacity. So , we have actually set up a very ambitious target that by 2030 we'll have 70% of our ins talled capacity will be clean energy. I think we'll be able to achieve it because this does not include the 2800 MW of pumped hydro which we will be setting up in our hydro plants starting mid of next year when the work will start, and it will get executed in 36 months thereafter. In all our renewable business , including large scale EPC business , our own utilities as well as rooftop and group captive we have seen huge growth and there is a huge pipeline of projects which are under implementation. We have al so been able to start the trial production from our 4.3 GW cell and module plant. The first of the module units have started trial production and we expect in next 2

to 3 months they will stabilize the module production and the cell production will start in the month of January and will stabilize by March- April. So , one of the big challenges of supply chain management and having a much better control on the input cost for solar plants will be taken care of once this 4.3 GW plants get fully operational. In fact , we are the first one in the PLI scheme who have been able to start production and we do hope that 4.3 gigawatt which will become the single largest manufacturing of solar cell and module plant will not only get opera tional but will operate at a very high yield s and throughput.

Our other business, especially in our EV charging has also been doing very good. We have nearly 62,000 home charge rs and we have nearly 4 ,900 public chargers. We've also been able to implement lot of bus charging facilities starting from Kashmir up to various cities such as Jammu , Srinagar and we have in Delhi , Jaipur , Ahmedabad , Bangalore and Mumbai. So , I think with widespread projects for bus charging we'll see more and more public transporta tion also going t hrough EV. Our Orissa DISCOMS have been doing very good and we have a PAT of nearly 90 crore s in Q2 and 154 crore s in H1 . We have been taking huge number of initiatives to clean up the data after the implementation of ERP as also moving aw ay from provisional billing which is in few cases less than 5% which will help us to bring better control and visibility in the billing and collection division . We have till now replaced nearly 25 lakh meters in last 3 years and it really shows that how di scipline is being brought in doing the right billing and collecting from the consumer.

Our balance sheet continues to be very sturdy with the net debt declining by nearly 1, 140 crores in Q2 and our net debt stands at a very heavy 36, 609 which means that o ur net debt to underlying

EBITDA is 2.65 and our net debt to equity is 1. 02 which is I think a benchmark for infrastructure industries. We expect the CAPEX to pick up significantly in the second half with large number of projects planned in Q 3 and Q 4 and we will be able to see many of them getting implemented and the benefits of that will start extending to us especially in the utility scale and group capt ive project i n the subsequent years . We have been able to tie up the arrangement with the Zambia unit where we had a 120 MW hydropower plant which was not able to conclude the power purchase arrangement and receipt of payment. That has been resolved and the company has received a payment of USD102 million out of which our share is 50%. So , we've recei ved the payment of USD51 million and all this has led to a very solid balance sheet, and this has also led to the upgradation of Tata Power's credit rating from B a2/Stable to B a1/Stable .

As you would have noticed Tata Power is continuously working to stabilize its operations and bring consistency in the performance and every quarter, we have shown improvement in our performance because of the stable operations of all our existing and new businesses . This w ill go a long way in making the company much more s table and with a very healthy balance sheet. We would also be closely monitoring all our financial and operational metrics to ensure that there is consistency in the performance in the future quarter. With this I would request Yas hashri to open the floor f or questions.

Moderator : Thank you very much sir. Ladies and gentlemen , we will now begin the question -and-answer session. The first question is from the line of Puneet Gulati from HSBC .

Puneet Gulati : Can you elaborate a bit more on what you are seeing in terms of profitability for Mundra and the coal mine separately as well?

Sanjeev Churiwala: Hi Puneet and hi everyone. This is Sanjeev Ch uriwala , CFO for Tata Power. First of all , let me wish all of yo u a very H appy Diwali in advance. I think in our previous calls , lot of questions have been asked on the Mu ndra and the coal mines. So, what we have done this time for the benefit of all of you , we have included a separate slide which gives you the cluster wise performance. If you have access to that deck , if you go to slide # 36 and #37, all the details are available for you. But just for the sake of your understanding , this year when we see our EBITDA going up by 51% and PAT going up by 9% , that is in spite of our coal mining profits significantly going down. Last year for the same period, the coal pricing was close to about $135 to $140. And we are now witnessing coal prices of about close to ab out $80. So , our coal profits have significantly come down. But that has been most compensated for by profits coming from all our core business , including overall generation business , our existing thermal business , including transmission , distribution rene wal, new businesses like in Odis ha and renewal . I think which is a big shift that we're kind of delivering our PAT almost 80% of that plus is coming from the core profit and we want to continue delivering that . When it comes to Mun dra, Mundra is just a cos t-plus model under S ection 11. So, we are recovering all the cost. So , it's just a little , under a

normal PPA would have had a loss and under S ection 11 it's just a cost recovery. Of course , there is no lo ss but it's almost a break even on the PA T as well.
Puneet Gulati: So, you are breakeven at PAT as well .
Sanjeev Churiwala: Yes.
Puneet Gulati: And secondly on the renewable side , there have been a lot of bids which happened during the first half of this year. How are you positioning yourself for that opportunity or do you think the pricing is still quite tough and competitive intensity too high? If you can elaborate a bit, there.
Sanjeev Churiwala: Our strategy is very clear. We're kind of still looking at delivering 1.5 to 2 GW of renewable on an average. Even this year we will be commissioning close to about 1 GW of renewable. We already have a very healthy pipeline in terms of the prints that we had including our group captives. So , our focus when we look at overall solar , it's a combination of group captives , rooftop and large -scale projects put together. In both of them we have a healthy pipeline and that of course includes hy brid and as well as RTCs . There's a combination of all of that.
Puneet Gulati: So, you don't want to build further pipeline right now the way some of the other peers have been talking about building 10 -20 GW of potential pipeline ?
Sanjeev Churiwala: When it comes to the long-term pipeline , in case we have set an aspiration that we will be delivering (+15) GW in the next couple of years.

As we speak , we already have a commission ed capacity of 4. 2GW and about 3.6 GW is in the pipeline . So overall we're talki ng about an 8 GW commission ed and under pipeline. So, I don't think that we are not building it up. We are kind of sticking to our aspirations and most likely with our aspirations for the pump storages , coming through in the next few years' time we're like ly to want to exceed that target that we have set for ourselves.
Puneet Gulati: And lastly what stage are you on your pump storage business? Do you have all approvals , environment clearance in place or still applying for the same?
Praveer Sinha: All the approvals have been applied for , some have been received and we expect all our approvals to be in place by March -April 2024 and that's why we are saying that we will start the work by mid of next year. Since this is in our existing reservoir and existing location where we have the hydropower plants , there's no fresh land acquisition or anything that is required, and we will be able to complete it in 6 months. So that's our timeline that we are looking. So mid '27 we will have the pump hydro plants operating.
Moderator: We have our next question from the line of Apoorva Bahadur from Goldman Sach s.

Apoorva Bahadur: If I see the financials , the trust energy has r eported meaningful swing in profits. So just wanted to understand what's driving this and how should we view this business in future ?
Sanjeev Churiwala: Yes, I think when you look at the trust energy , the way we are reporting here is basically entity wise. Best if you look at the cluster wise performance. But what is t rust energy , trust energy is simply nothing else but with the shipping company . The more coal we bring in which is part of any case our coal cost , it is the profit attributed to the trust comp any. But Best is to look at Mundra and the coal companies together. If you go to slide #36 and # 37, you can look at here go to # 37 which is H 1. If you look at the line which says Mun dra, Coal and Shipping this gives you the combination of all the things which includes the Mu ndra, which includes the shipping and which includes the coal mines profit.
Apoorva Bahadur: So, it is completely linked to the volume of freight which we are moving and not to the shipping rates at all.
Sanjeev Churiwala: Yes, correct. It's largely related to the volumes .
Apoorva Bahadur: So, every q uarter whenever Mu ndra operates more sort of trust we will make a higher profit. Understood.
Sanjeev Churiwala: So actually , that is kind of a cost -plus model. We will not look at that very small amount si tting over there. It's best to look at the Mu ndra, coal and shipping which if you look at s lide #37, I'm sure you have access to that. You will find all the combined numbers here.
Apoorva Bahadur: So secondly also if I see the sam e slide , I think eliminations used to be quite significant historically , I think that number is down meaningfully. I believe some part of it could be attributed to probably not utilizing own coal at Mundra. But if you can throw some light.
Sanjeev Churiwa la: Elimination is basically all the intercompany things . We are an integrated company. So , while the overall numbers are only coming down not going up in terms of elimination, but the fact is it all depends , higher the intercompany transactions there will be higher elimination. So , I think the best way to look at is post elimination because otherwise the numbers are sitting in the drawers and thereafter there's an elimination. This is more of an accounting entry.
Apoorva Bahadur: And I think lastly on the realization of dues from KPC sale and also from Itezhi I believe that sits in reduction in the unbilled revenue in your cash flow.
Sanjeev Churiwala: You're looking at a particular slide?
Apoorva Bahadur: The Itezhi tari

ff order like maybe a resolution which happened I think 1 61 million for us and
also the receipt of ….

Praveer Sinha: That is not in the previous quarter , so Itezhi will come in the subsequent quarter. So, it is not in the previous quarter.
Apoorva Bahadur: And for Arutmin we have received already.
Praveer Sinha: Yes. Arutmin money has been received, and your question was ITPC , ITPC has received the money from its procurer that is ZESCO, and we have received our dividend this month. So , nothing is reflected in September, but that profit will be reflected in Q uarter 3 and will not be shown as receivable because we have already received the money.
Moderator: We have our next question from the line of S ubhadip Mitra from N uvama.
Subhadip Mitra: My first question is that in a scenario where we are looking at S ection 11 benefits continuing for an entire fiscal year , would Mundra still be at net break even or would there be profits?
Sanjeev Churiwala: I think as of now under Section 11 the whole idea of S ection 11 is cost passed through. So eventually the purpose is , that whatever is the cost and the overhead to be able to recover fully in the tariff and hence you will likely see a breakeven scenario.
Subhadip Mitra: So, this is at the net level. So maybe at the cash l evel there might still be some cash profits. Is that the right understanding ?
Sanjeev Churiwala: When we're looking at overheads and all you kind of include all the Ind -AS adjustments , you look at your depreciation. So yes , on a P AT level it will be neutra l. On a cash level it will be slightly positive.
Subhadip Mitra: And with regard to the long-term resolution on Mundra , are we looking at it following the lines of the S ection 11 tariffs or thereabouts?
Praveer Sinha: Something very close to that. So that the tariffs become more cost reflective, and this is under discussion, but I think somewhere close to that.
Subhadip Mitra: Secondly with regards to the renewable business profit which has certainly offset the loss of profit from coal and UN DP in this quarter. So, on the renewable piece clearly , it's visible that I think the EPC side of the business is throwing up a good amount of profitability. So, I just wanted to understand that for this business we are still looking at doing more third -party sales and hence this can continue to become be a growth center.
Praveer Sinha: For renewable typically you would see that , we have a huge pipeline 3800 MW of projects which we need to commission apart from the rooftop that we ne ed to sell. M any of the projects will get completed in the next two quarters. So, I think you can expect very good performance by the

renewable business next two quarters as also in the next 12 to 18 months when many of these projects will get commissioned . But I think with a renewable business you will see a huge improvement over a period of time.
Subhadip Mitra: But my question was that , if we are continuing to do more of self EPC then in the consolidation it will get knocked off. So only the third -party related EPC would actually start showing up as your profits and the consolidated numbers , just wanted some clarity on that.
Praveer Sinha: Even when we do our own projects , there is a profit in that. So , they work as separate entities. So, the EPC business will have a profit from execution of those .
Sanjeev Churiwala: In fact, even in this current quarter , more than 50% of the business and the profit that you see , is basically coming from third party. I think it's a combination of third pa rty as well as in house .
Subhadip Mitra: And on the coal front , with the recent uptick in the international coal indices , would you again see a jump back to coal profitability over the next couple of quarte

rs?
Sanjeev Churiwala: I think all indicators are showing that the coal prices possibly globally are stabilizing now. We have seen a sharp drop every month over the last 6 to 9 months. In fact , when we compare over 12 months from about $ 135-$140 it comes down to $80 and over the last few weeks we are seeing the price stable in that quarter. It's unlikely that we will see a big swing going forward but you never know what will happen . We never predicted this kind of high prices ear lier and then such a sharp f all drop again. So, it's very difficult to predic t. But as of now we're kind of thinking that it should remain range bound.
Subhadip Mitra: Last question from my side. This would be with regard to the large tendering activity that we're seeing on renewables , whether it's solar or hybrids etc. Is there any ballpark target number that you have or market share number that you have in terms of winning across this market size of maybe 30 -35 GW.
Praveer Sinha: The only ballpark is that there should be good return from them. That is what it is. If it is not a good return, then there is no point in taking orders. And you have seen that many of the developers took orders at Rs . 2 and 1. 99 and all that and have lost money. So, the only ballpark

is we should get good re turns and also , we are now leveraging more towards hybrid project. So ,
it's not just pure solar or pure wind but they are solar and wind combination. They are solar wind
and storage combination which we won yesterday. So, we will be moving more towards com plex
projects which require a combination of solar and wind and once we have our pumped hydro
then we will be giving 24/7 renewable power.
Moderator: We have our next question from the line of Sumit Kishore from A xis Capital.

Sumit Kishore: My first ques tion is regarding the trajectory of margins expected for T PSSL , once the 4.3 GW
module cell manufacturing capacity will be commissioned by the end of the year. So, for next
what will be the bump up that you expect in margins here?
Sanjeev Churiwala: I think when we look at EPC business per se , while in Q uarter 2 we are about 4%. That's too in
a very difficult environment situation where the cells and module prices have moved
significantly. Our desire is to kind of deliver an EPC margin on 4% , about 5% of the EPC
business when it comes to cells and modules , of course it's a combination of largely using in
house where we ensure that whatever cost we have incurred which is roughly about (+ 4,000)
crore s, we get a decent return on that. We will ens ure that the cost -plus markup happens to get
back our return. We'll not link it directly to the EPC business per se, but we will be setting it up
as a separate profit center.
Sumit Kishore: But ultimately it will get used up in your EPC projects as well a s your in-house projects and it
would be reported under TPSSL is that right?
Sanjeev Churiwala: No, when the manufacturing business starts , so the rate is for almost two thirds of the production
which is 3 GW, that will be used of course in house. So TP SSL will buy that material from our
new manufacturing plant and then it will basically be billing to our last scale utility project. And
that's the way we want to do so. We already have a new company called T P Solar which is in
Tamil Nadu where this 4.3 GW setup is coming through and of course that company might also
sell 1 to 2 GW depending upon the need international market and domestic market and whatever
profit it comes over there will be sitting over there.
Sumit Kishore: Could you give us a sense of the capital cost for the project as well as number of hours of storage
that you would have in your projects in Maharashtra and the associated RE that you would have
to set up pump storage.
Praveer Sinha: I think you're asking about pump storage.
Sumit Kish

ore: Yes.
Sanjeev Churiwala: I think we have already tied up with the Government of Maharashtra for 2.8 GW which will be
setting up in the next 3-4 years. Of course , it is basically to cater to round the clock delivery of
renewable energy and depending upon the model either we can sell the storage capacities or ti e-
up separately . But that will depend once we commission the plant as to what is the need of the
hour. But ye s, again that will be a separate profit center and will be delivering its own profit.
Sumit Kishore: What is capital cost sort of targeted for this project? How does the project mechanics work?

Sanjeev Churiwala: So, as of now the cap ex that they are planning is roughly about ■13,000 crores in terms of the
capital outlay.
Sumit Kishor e: And are there any non -recurring items in Q2 ? We see some other income from partial sale of
Unit 6 equipment of T rombay of ■52 crore s and what is the treatment of this Rs. 2.3 billion of
Arutmin sales proceeds?
Sanjeev Churiwala: Arutm in sales is part o f the consideration. It's nothing to do with the P &L. That's purely the cash
flow that has come because Arutmin was sol d many years back which was the final , last leg of
the consideration which is now coming. So, there's no impact of that on the P &L.
Sumit Kishore: The only P &L impact is on the other income for this Trombay Unit 6?
Sanjeev Churiwala: Yes, that's Unit 6 , ■50 odd crores .
Sumit Kishore: There is no other non -recurring item in this regard.
Sanjeev Churiwala: No, there is nothing.
Moderator: We have our next question from the line of Anuj Upadhyay from Inves tec.
Anuj Upadhyay: Question relates to the ■ 1158Cr of EPC project which we have canceled off. Could you just
elaborate further which project exactly it was and why the need to cancel it off now considering
the fact that the module prices have almost come down significantly ?
Praveer Sinha: These projects were basically where we had to do third party E PC work and the client was
supposed to provide us the land and they could not pr ovide us the land and the other c learances
which were required to set up these projects. So that's why it was decided that we would terminate, and we have come out of
them. Other than that , all the other projects were of course

going and implemented.

Anuj Upadhyay: And considering your earlier remarks to question which was asked by a few of my colleagues , is it a shift in a strategy that our focus would largely be catering to most about the C &I (Commercial & Industrial) category of consumers rather than th e DISCOM from the IPP scale? Because the scale of t endering which has been happening in the first half and the rate of the project winning which we are having specifically for the IPP side doesn't match. On the other hand, we have been getting good orders from the C &I on the rooftop…. So just to understand, is there any strategic shift or calculated bidding which we are doing?

Praveer Sinha: Our stand has been consistent. Those places where we will get better margin , we will execute those projects. We have seen that in group captive we have been able to get much better margin

and that's why we are doing and also some of the utility scale that we have won, w e have won large projects in Delhi and from Delhi DI SCOM and then from Mumbai DISCOM and some of the o thers. We have been doing those projects. Those are typically hybrid projects. So, I think focus is that we need to get better margins. Those are the type of projects.

Anuj Upadhyay: And on the O disha we have been seeing Western O disha again reporting hig h AT &C losses. Is this something cyclical or seasonal impact which actually has led to a drop in the profitability as well over there?

Praveer Sinha: So, O

disha what is happening is as I mentioned to you a lot of cleaning up operations have been going on i n terms of the number of consumers and the type of billing. And you have seen that in last 3 years we have replaced 25 lakh meters and discontinuing the provisional billing and cleaning up the books. So that's what we have done and hopefully by the next tw o quarters we will have completed all the four platforms and many of the consumers who were earlier so -called ghost customers they have been doing. So , I think you would see that we bring huge amount of consistency in the Odisha operations and also ensure that proper billing and proper collection takes place.

Anuj Upadhyay: And lastly on the Mud ra. So , till when the S ection 11 will be enforced as on date and our expectation going ahead considering the fact that the co mpany is moving into a deficit zone.

Praveer Sinha: Mun dra right now is till June ‘ 24 and as you rightly mentioned that there is a huge demand of power, and this is expected to continue next year also. So , I think for next 2 years it looks like there will be a shortage of power and there will be huge demand and we expect that if we have to meet 100% requirement some of the imported coal plants have to operate under S ection 11.

Anuj Upadhyay: If I just chip in for last question, you mentioned ■13,000 odd crores as overall CAPEX for the PSP project. So, it includes the renewable capacities as well which will be filling the PSP plant or it's only the PSP equipment or the setup for which you have mentioned 13, 000 crore s.

Praveer Sinha: This is only the PSP. The energy that will be required for mopping up will be a separate investment which will come in the renewable basis.

Moderator: We have our next question from the line of Rajesh Ma jumdar from B &K Securities.

Rajesh Majumdar: I had a few questions. First question is on the regulated equity which is at about ■11,850 odd crore s as of 30th September , so c onsidering the CAPEX you're planning for the next 5 years on the existing operations as well as O disha DISCOMs and pumped hydro, where should we see this in regulated capital for FY27 -FY28 ?

Sanjeev Churiwala: I'm not clear. So , I think if you're looking at the regulated equity , this depends upon the kind of CAPEX s that is required to be done and the percentage of money that will c ome to the equity. There's no direct correlation per se. It all depends upon the opportunities that we will ha ve in the next 3 years. For example, this year if we're doing a CAPEX of let's say 12, 000 odd crores and we look at 25% -30% of equity coming in, we'll also have to look at the cash flow. So , I think it's a combination of various things. This per se on the regulated equity we will not be able to decode and give you a perfect answer. But yes , if you see between Q uarter 2 of ‘23 and Q uarter 2 of ‘24 from 10 ,900 c rores this has gone up by roughly about 1, 900 c rores . Of course , to that extent we contribute equity , it will keep on going up. And this is mind you all regulated equity which will be giving us return of (+ 15%).

Rajesh Majumdar: So, the pumpe d hydro storage will not be a part of this regulated equity income, or it will be separate?

Sanjeev Churiwala: No, pumped hydro storage will not be part of the regulated equity. This will be separate. It is no t regulated.

Rajesh Majumdar: How do we look at the economics of this pump hydro if we see it as a separate business?

Sanjeev Churiwala: The approach to hydro feasibility is very simple. That will enable us to kind of deliver the RTC

ambitions that India has. Because pure solar or pure wind will have its own limitations on a
large -scale deployment and very clearly given that we are putting up this on our own reservoir
our CAPEX cost and our per unit cost should be very , very competitive.

Rajesh Majumdar: So, we would be targeting the 15% ROE here also or more than that , as per the internal IRR rate of return that we target in projects.
Sanjeev Churiwala: As Dr. Sin ha said anything that we do have to deliver us the cash , deliver us the return so till such time that is delivered we will not touch any project.
Praveer Sinha: That is the minimum.
Rajesh Majumdar: And my other question was on Mundra you mentioned that we are breaking even now. So, are we breaking even at the cash level or at the PA T level? Because we have a lot of non -cash expenses as well on the interest and depreciation. So where are we breaking even at the cash or the PA T level?
Sanjeev Churiwala: We are break even at the PA T level. You can say there's a slight improvement on the cash side because we'll have various adjust ments for Ind -AS and the depreciation that you can add back.
But by and large it's not much of a difference. So, I think best to kind of consider that the PA T

level , if we continue with Section 11, we like to ensure that we are at a breakeven at the PAT level.
Rajesh Majumdar: And my last question is do we have any merchant power sales from our existing operations? Because the merchant power rates are very lucrative, we see lots of competition plugging in the merchant power market. And do we have any cap acities there and do we plan to increase the capacities there?
Sanjeev Churiwala: So, we have merchant power sales from our two locations. One is Haldia, t he entire capacity is for merchant capacity. Another is at Prayag Raj where there's a small quantity of merchant sales .
All put together we do not have huge capacit ies on merchant.
Rajesh Majumdar: Totall y how many megawatts would be there on the merchant right now?
Sanjeev Churiwala: About 300- odd put together.
Rajesh Majumdar: And we don't plan to incre ase this significantly or do we plan to?
Praveer Sinha: No plan.
Moderator: We have our next question from the line of Atul Tiwari from Citi Group.
Atul Tiwari: So, for this PSP project has the PPA been signed, or do you plan to keep it open like on m erchant?
Praveer Sinha: The PPA will be signed with the renewable company, and we will package it as a 24/7 renewable power source.
Atul Tiwari: Okay so your own renewable arm will sign the PPA. But then there has to be ultimately an end party who will be taking this power? So, I am asking whether do you have visibility of a guaranteed offtake from this or how does it work? That is the question.
Praveer Sinha: Right now , we have not tied up but there are large number of people who are interested including Tata Steel with whom we recently signed the group captive of 900 odd megawatts. So , there are a large number of people who are interested. We need to be 100% sure as to when we will be able to offer this power. At that stage we will sign it.
Moderator: We h ave our next question from the line of Girish from Morgan Stanley.
Girish: I had a question to the CFO. So basically, on slide number 34 we have table B which is the gross revenue EBITDA and P AT and then the elimination. What I observe is at EBITDA line an d PAT level there is a YoY decrease in elimination of 1000 crore. I wanted to understand which entities are attributing to a lower decline negative number in EBITDA and P AT.

Sanjeev Churiwala: That is correlated to the dividend. Depending upon the dividend that we have at a consol level it is eliminated. If you go to Slide #39, you'll find the workings over there.
Girish: And this is part of the standalone entity only ?
Sanjeev Churiwala: Yes, it is p art of the standalone entity.
Moderator: We have our next question from the line of Puneet Gulati from HSBC.
Puneet Gulati: My first question, in presentation you talk about a c

ancellation of order. Is there any penalty associated with it and has that already been accounted for?
Praveer Sinha: There's no penalty. These are all third -party PC orders and all . We have cancelled it because as I mentioned to you, they could not comply to their requirement of giving us land and some other benefits.
Puneet Gulati: I'm taking the ■1,158 crore number was canceled by IPP.
Praveer Sinha: I didn't say IPP. These are people who wanted projects to be implemented. There can be a large

number of other people also.
Puneet Gulati: I'm just trying to understand, so who initiated the cancellation? Did you have to initiate, or did they have to initiate , the off taker and if they paid any penalty for that or if w e had to pay any penalty for this .
Praveer Sinha: It's mutually negotiated , I think.
Puneet Gulati: And no, it wouldn't have impacted the P &L at all?
Praveer Sinha: No.
Puneet Gulati: Secondly on the Mundra when you say breakeven what is the underlying debt that you assume for calculating interest ?
Praveer Sinha: We will have to look at the Mu ndra standalone nu mbers and the debt over there. But the usual debt that stays in the Mu ndra roughly about 11, 000 to 12,000 odd crore s which is there to support the business over there which includes both long term and short term. Which is all long term , short term , commercial paper , term loans all put together.
Puneet Gulati: No, specifically for the Mundra profitability. When you attribute that breaking even there is an interest , so that's on the entire 11,000.

Sanjeev Churiwala: About 11, 000 odd crores of debt.
Puneet Gul ati: So, this full debt is assumed not the way it was earlier positioned separately under the SP V.
Sanjeev Churiwala: No, M undra as a plant , has its own debt portfolio and we calculate basis that.
Moderator: We have a next question from the line of Noel Vaz from Union Mutual fund.
Noel Vaz: I just had one question on the upcoming cell and module line. I just wanted to know what exactly is the expected cost of production at this facility.
Praveer Sinha: Cost of production is still being worked out. So, it' s a little too early to say what will be the actual cost of production. Maybe by February -March we may be in a position to give you the exact cost of production.
Moderator: We'll take the next question from the line of Gaurav Kumar from TR B Corporate Ventures.
Gaurav Kumar: I just wanted to know about your home automation and smart switches business and how is this business doing and what are your plans to scale up this business?
Praveer Sinha: These are still work in progress where we are trying to come up with new products as well as new solutions. These are still very small numbers where we are trying to test the market and its viability. At this stage we may not be in a position to give you any specific details.
Gaurav Kumar: So, you are operating this b usiness as a separate strategic business unit, or does it come under consumer business?
Praveer Sinha: It comes under Tata Power.
Gaurav Kumar: My next question is regarding supplementary PPAs that you were about to sign with the state government of Gujara t and other states as well. So, have you signed this supplementary PPAs?
Praveer Sinha: No, we have not signed. We are now operating under S ection 11. So, it's not been signed. We are waiting for .
Moderator: We'll take a last question from the line of Amit Bhinde from Morgan Stanley.
Amit Bhinde: I wanted to understand that when Mundra was consolidated with standalone , it was expected that tax will be there on the standalone entity , but we see that the tax is reflecting at around 20 %-25%. S o why is that and what should be the outlook on that? And the second question I want t o understand is your CAPEX plan for F24 and ' 25.

Sanjeev Churiwala: The CAPEX plan for the next year we are still working on our strategy. We'll let you know as and when we complete that. With respect to the tax, it is largely around the deferred tax reversal , we do not pay any tax at the T ata Power standalone level. As I said on a standalone basis, we do not have any cash tax payment because they are carry forward losses. So, what we woul d see is the deferred tax reversal only. So, t here's no cash tax outpu t.
Amit Bhinde: And just on the CAPEX for this year. Next year , I understand you are still on the planning . For this year in H2 what should be ?
Sanjeev Churiwala: I think in H 1 we have spent close to about 4500 odd crore and possibly for the full year we might land up anything between 11 ,000 odd crores (+/-10%).
Moderator: I would now like to hand over the call to Dr. Sinha for closing comments. Over to you sir.
Praveer Sinha: Thank you everyone for joining for this call. And in case you have any further queries please connect with my investors relation s team. You know both Rajesh and Kas turi and we'll be more than happy to furnish. We've tried to make the presentation much more simpler based on the feedback. So, keep on giving us your feedback and we'll try to make it more analyst friendly.
And once again wishing all of you a very happy Diwali and hopefully we'll catch up soon and

thank you Yashri for arranging the call.
Moderat or: It was my pleasure, sir. T hank you. O n behalf of the Tata Power Limited , that concludes this conference. Thank you for joining us and you may now disconnect your line.

Call: Feb 2024

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ebruary 15, 2024
BJ/SH/L2/
BSE Limited
Corporate Relationship Department
1st Floor, New Trading Ring
Rotunda Bldg., P. J. Towers
Dalal Street, Fort
Mumbai – 400 001.
Scrip Code: 50040 0 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No. C/1, G Block
Bandra- Kurla Complex
Bandra (East)
Mumbai – 400 051.
Symbol : T ATAPOWER

Dear Sirs,
Earnings Call Transcripts
P
ursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, the transcript of the audio call recording of the Company's Analyst Call held on February 9, 2024, on the Audited Financial Results (Standalone) and Unaudited Consolidated Financial Results (with limited review) of the Company for the quarter and nine months ended December 31, 2023 is attached herewith.
The transcript of recording can also be accessed on the Company's website using the following link:
https://www.tatapower.com/investor -relations/inv -info-archive.aspx
Y
ou are requested to take the same on record.
Y
ours faithfully,
For The Tata Power Company Limited
Vispi S. Patel
Company S ecretary
FCS 7021 G
TATA
TATA POWER
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Registered Office Bombay House 24 Homi Mody Street Mumbai 400 001
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Website: www.tatapower.com Email: tatapower@tatapower.com CIN: L28920MH 1919PLC000567

"The Tata Power Company Limited Q3 FY24 Earnings
Media Conference Call"

February 0 9, 2024

MANAGEMENT : DR. PRAVEER SINHA – MANAGING DIRECTOR & CHIEF
EXECUTIVE DIRECTOR , THE TATA POWER COMPANY
LIMITED
MR. SANJEEV CHURIWALA – CHIEF FINANCIAL
OFFICER , THE TATA POWER COMPANY LIMITED
MR. JINENDRA PATIL – FINANCIAL CONTROLLER , THE
TATA POWER COMPANY LIMITED

MR. KASTURI , INVESTOR RELATIONS TEAM, THE TATA
POWER COMPANY LIMITED
MR. RAJESH LACCHANI – INVESTOR RELATIONS
TEAM, THE TATA POWER COMPANY LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Tata Power Q3 FY'24 Earnings Conference Call.
As a reminder, all participant lines will be in the listen -only mode. T here will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Dr. Praveer Sinha, M.D. and CEO of Tata Power. Thank you. And over to you, sir.
Dr. Praveer Sinha: Thanks, Darwin . Good evening to everyone and thanks for joining the Q3 FY'24 Analyst Call.
I'm joined today by my colleague , Sanjeev Churiwala – CFO; Mr. Jinendra Patil – Financial Controller; Mr. Kasturi and Mr. Rajesh Lakhani from Investor Relations and other team members from the Finance Team .
We have already shared the details with you, but just for the benefit of everyone, there are a couple of issues I thought I'll bring to everyone's notice. One is that the power demand in the country has grown at a very fast pace. We have seen a nearly 10% dem and surge in the last quarter and during the last nine months also the growth has been nearly 9% to 10%. This higher demand is expected to continue in future quarters and future years also, considering that there has been a huge surge in demand in all sect ors, whether it is the commercial, industrial or the domestic residential sector as also in villages where we see that consumption has increased tremendously because of the government's Saubhagya Scheme . What we are expecting is that with the increased dem and in power, Tata Power will continue to provide supply of power from all its existing assets.
Coming to this Quarter :
This is the 17th successive quarter in which we have shown PAT growth, thereby demonstrating that solid business fundamentals are there of the company. And this is especially heartening because the majority of the profits have come from the core businesses, unlike previous years when we used to get a large quantum of profit from our non-core business, especially the coal business. This quarter we have a PAT of Rs.1,076 crores, which is nearly 2% higher than the last quarter. And similarly, our EBITDA has increased by 15% to Rs.3,250 crores.
On a nine -month basis :
Our EBITDA has jumped by nearly 34% to reach an all -time high of Rs. 9,342 crores. Similarly, our adjusted PA T before the exceptional items has gone up by 4% for the nine months to Rs.3,000 crores. And this is on the back of robust performance by all our core businesses including generation, transmission, distribution, renewables and also some of the new areas that we have gone into in EV charging as also in the rooftop solar. While we make huge progress in our various

businesses, our commitment to ne t zero continues to be there and we will become net zero by 2045, which as a utility, we were the first one in the country to announce.
During this quarter, our Renewable business commissioned 72 MW of renewable capacity and 343 MW of capacity in our utili ty scale projects in the last nine months, and with our green portfolio and clean portfolio becoming nearly 5,600 MW. This of course includes our hydro, thereby accounting nearly 39% of our capacity in the clean generation capacity area.
We have won number of projects during this quarter, namely the 1,316 MW of RTC project, and this is the first RTC project that we have won from SJVN, which is a combination of solar, wind and battery storage, and with this, our project pipeline has become 4,752 MW. Over and above our existing 4,200 MW, we will have nearly 9,000 MW of renewable projects which we would be setting up.
With all this, we do expect that in the next quarter we

should be in a position to cross 10,000
MW of renewable projects and move to nearly more than 50% of our capacity coming from renewable sources.
Our Solar EPC business has again reported a very good performance during this quarter, both in terms of revenue and EBITDA as also as our utility business where nearly orders of 612 MW worth 2,849 crores has been received in this quarter. Rooftop business continues to see excellent traction with nearly 146

MW installed and nearly 87 MW of orders won in Q3.
During the last nine months, we have installed 350 MW of rooftop solar. And why I'm emphasizing t his is, considering that Government of India has recently announced that 1 crore houses will be provided with the rooftop solution. Once the details are out and we know exactly what sort of capacity is being envisaged, we expect a capacity addition of near ly 30 to 40 GW of rooftop opportunity in the next two to three years, and that's where I think Tata Power will play a very, very important role going forward. In all our renewable businesses, we have seen huge amount of growth and we do expect that this tr end will continue in the future quarters also.
In our manufacturing plant, out of the 4.3 GW of solar cell and solar module, the 3 GW of solar modules have been commissioned and the manufacturing has started at our plant, and the 4
th
GW of module manufact uring will start in next two to three weeks. Similarly, on our 4.3 GW of cell line, the first cell is expected to be out in the month of April and the plant should stabilize to the full capacity by June, July.
We do expect that going forward there would be large number of projects including the rooftop solar project of the government, 1 crore rooftops has been announced, which will use local make solar modules and thereby we will have great opportunity going forward to meet the production that comes from th is plant.

During this quarter, we have energized 412 public EV chargers and with this our total number of EV chargers which are operating, installed is much higher, is operating at 5,300 and this is also on back of nearly 73,000 of home chargers and 690 of bus chargers, which are operating.
We have recently tied up with Indian Oil Corporation to use their outlets to put nearly 500 of fast and ultra -fast EV chargers at different locations.
Our T&D business has been doing consistently very good. In the last quarter, we won two bids of worth Rs.2,300 crores. This is the 344 circuit kilometer Bikaner Neemrana transmission line and the 80 circuit kilometer Jalpura Khurja line with a total investment of nearly Rs.2,300 crores, and all these projects will get completed in next 24 months.
Our Odisha discom continues to perform very well. It has been a very challenging experience, but the teams over there have ensured that be tter quality service and reliability is provided to the customer and that has been demonstrated by not only good service to the consumer, but also in terms of financial performance whereby in Q3 the PA T has gone up by nearly 75% to Rs.63 crores and on a nine-month basis it has become Rs.217 crores.
We have also installed nearly 3.6 lakh smart meters in Odisha and replaced nearly 27 lakh meters in Odisha out of the 95 lakh consumers over there. This has helped us to improve our billing efficiency and collect ion efficiency, and the results will start being seen in the subsequent quarters.
Our balance sheet remains very steady in spite of the increase in capital. We have spent nearly Rs.3,600 crores in the last quarter. In spite of all this, our net debt has increased only by Rs.2,000 crores and is at a very healthy level of Rs.38,600 crores.
Our leverage ratios are very healthy. Our net debt to underlying EBITDA is 2.86, in the previous quarter, it was 2.7 and our net debt -to-equity has been virtually stable at 1.0x level. We do ex

pect
that our increase in CAPEX in the future quarters will also help us to generate better EBITDA and profitability for the company.
During the quarter, the company also received $50 million out of the pending receivables of $125 million from the investment done in Zambia, and we expect that the balance will also be collected in next 12 to 14 months as per the arrangement agreed with the discom in Zambia.
Acknowledging all these efforts, CRISIL has upgraded Tata Power credit rating fro m “AA-Stable to AA-Positive and India Ratings has upgraded from AA/Stable to AA+/Stable, which I think is two notches improvement in last one year.
As the Tata Power continues to move forward with the better performance and consistent performance, we do ex pect that our new investments which is in our renewable business, transmission and distribution as also the pump hydro project which will start in later part of this

year, will start showing much better consistent and stable performance for the company in the future.
I thank you for all your support. And this is especially required considering that Tata Power crossed the market cap of ■1 lakh crore a few days back and continues to improve its performance going forward. I believe that all our existing operat ions will continue to do well in future, and we look forward for your continued support.
I will now ask Darwin to open the floor for question-and -answer.
Moderator: We will now begin the question -and-answer session. The first question is from the line of Sumit

Kishore from Axis Capital. Please go ahead.
Sumit Kishore: My first question is, over the past one year, Tata Power has commissioned about 353 MW of RE capacity. What is the expected phase out of commissioning of close to 4.75 GW renewable project pi peline here on, how much is expected in FY'25 FY'26 would be?
Management: As you rightly said, when we look at our YTD commissioning is 353 MW, normally we do a big commissioning towards year end. So, the last quarter is supposed to be a big quarter for us where we would expect another 250 to 300 MW of commissioning happening. But looking at our current bid, which is in the pipeline, while we're still working on our overall strategy, but looking at the date of commissioning, in '25, we could commission anyt hing between 1.5 GW to maybe closer to 2 GW and in the subsequent years from the existing pipeline, another 2 GW plus will get commissioned. As you will have seen, the numbers as of now is smaller. That's because it was a strategic decision that we took ma ny months back given the very high cells and module prices to defer some of the projects so that the cells and module prices could return to normalcy. Luckily, that strategy has worked, and as you are aware that the prices of cells and modules have come do wn and to that extent, we have back -end profits in many of these projects that we are executing now.
Sumit Kishore: So, a related question now with the cells and modules prices having collapsed and you are at the brink of commissioning your expanded c ell and module capacity, would it make sense to use this output for utility scale projects in India at present without implementation of ALMM and what are the margins that you could expect to make on the manufacturing side in FY'25 as you ramp up your manufacturing capacity?
Dr. Praveer Sinha: So, as you are aware, the ALM M will kick in from 1st April. So, many of the projects where they were given the concession till 31st March, if they have not got completed, then they will have to only procure Indian make modules. So, that's where our benefit is there. The international prices have crashed. But I do expect that with this condition and also the new opportunity of 1 crore houses, which will have only domestic make modules, we will have a great opportunity.
In fact, there is now huge demand th

at we are seeing from various of the CPSUs and various of

the other procurers who want to set a project in the next financial year that they would like to tie up on a long -term basis from us. So, we don't expect that we will have any challenge in supplying modules from our factory and our margins to that extent will be quite protective.
Sumit Kishore: So, would it be reasonable to expect margins closer to 15% in manufacturing of cell plus module or is it early to talk about that?
Dr. Praveer Sinha: Well, I would always expect more than that.
Sumit Kishore: Finally, a question on the line that we see on your cluster wise summary, has there been significant improvement in Tata Projects in Q3 on a year -on-year basis or even quar ter-on-quarter, which is driving some improvement in this quarter?
Dr. Praveer Sinha: Tata Projects has made profit in the last quarter, and this is the second quarter in which they have made profits, so last two quarters they have made profits and Tata Pr ojects will surprise you going forward because all the projects where they had to make provision for the under -recovery or losses has been completed, and hereafter, it is only that will happen in Tata Projects.
Sumit Kishore: Has it been a significant incr ease in profit from Tata Projects in this quarter, if you could give us the absolute numbers … maybe, Sanjeev?
Sanjeev Churiwala: I think the way to look at it there is a significant reduction in the losses. So, if I look at the nine months operations, what I had as the losses last year versus the profit I have, the difference is almost close to Rs.220 crores. To that extent Tata Projects have come a long way. In the last two quarters, we are starting to see the profits coming in and this is a kind of curren t working that is happening there, I think it's on a transformational path.
Moderator: The next question is from the line of Puneet Gulati from HSBC. Please go ahead.
Puneet Gulati: My question is with respect to the future commissioning for Tata Power Renewables. Since ALM M will come in place, what kind of module price do you expect post 31st March 2024? I'm sure you would have tied up for those already. If you can give some color on the module prices there?
Dr. Praveer Sinha: I can't do prediction of the module prices What will happen. But I can only tell you that there will be huge demand for domestic make modules after the ALM M is fixed from 1st April. So, I think the commissioning of the plant has happened at the right time and we will have a huge upside because of the market demand that will take place.
Dr. Praveer Sinha: From Tata Power Renewables perspective, the consumer of these modules, where you intend to commission 1.5 to 2 gigawatts has something being tied up for FY'25?

Sanjeev Churiwala: The o ther way to look at it is, when we look at our large scale utility business, we already have 4.8 GW of project under pipeline. And this pipeline consists of all the various bids that we have won. So, when we look at, since the module prices considered in t he bid versus our cost, we will definitely have margins over there. So, we're not immediately concerned as to how the market will behave. The past couple of things will have to be kind of taken into consideration in the BCD of the cells and the modules will continue. To that extent, the price parity will continue to happen in spite of the Chinese cells and modules prices dropping . As you're aware, most of the cells and manufacturing facility have been put on the backing of the PLI and the state incentives, right? So, that will also count when we're looking at our returns. So, I think we're in a very good position that we have commissioned a part of our modules, we already have a healthy pipeline of projects coming in, we have

the protection of the BCDs there, as well as the incentive put in together. So, I think at least we don't see a concern going forward, but you never know what happens after one year, two years, but definitely, our pipeline is quite healthy as of now.

Puneet Gulati: If you comment on what is the progress in pump storage, have you placed orders for equipment, etc.,?

Sanjeev Churiwala: The pump storage as we had announced on 28th November, we are completing the feasibility and getting into the progress. Any pump storage to take easily four to five years to get commissioned and hence at the moment we're trying to tie up with the various things. At the right time when we have the proper approvals from the board, we will be coming back to you with more details.

Puneet Gulati: Lastly, on transmission projects also, you've once again started an initiative towards bidding for that. How is the competitive intensity there, if you can give some color and what kind of IRRs are you aiming for there?

Sanjeev Churiwala: I think the way we look at the transmission business, 50% of the bids on the market presently is still with PGCIL and then the overall private sector market share is close to about 10%. We have essentially won two bids and I think we continue to work on further bids coming in, because as and when you develop a portfolio of bids, you're in a position to kind of dictate better pricing in the marketplace from your vendors and suppliers. And of course, we want to ensure that we are getting good competitive returns on this bids a nd without that we're not bidding.

Moderator: The next question is from the line of Subhadip Mitra from Nuvama. Please go ahead.

Subhadip Mitra: My first question is with regard to the captive solar module manufacturing. Given that you're setting up let's say roughly about 2 gigawatts of capacity every year, is it right to assume that you would be looking at roughly 50% of module sales for your captive usage and the balance 50% would go to the external market, be it rooftops or otherwise?

Dr. Praveer Sinha: When we are talking about 2 GW of our own utility scale, we also would be doing third- party EPC and there would be some quantity that would go. Similarly, we are already doing something like 300 plus MW of rooftop which we expect to increase to 500 MW. I also mentioned to you now that the big opportunity has come from the 1 crore houses to be provided with rooftop solar. So, I think we have a huge opportunity, both to supply within the country, as also maybe supply some quantity outside the country. So, we will have to see what sort of market opportunities are there and what sort of prices and returns we are seeing and then we will take a call based on the market requirement.

Subhadip Mitra: Secondly, on the transmission side, given that there is such a lar ge opportunity opening up over there, is there any target you have in mind as to an X percentage market share or X quantum of projects that you would like to keep on winning every year and ramping?

Dr. Praveer Sinha: We don't look at investments on those principle of market, but we are more interested in what sort of returns we can get from these projects. So, we don't want to just for the sake of market share or just for winning projects, take any project for any margin. So, for us, if it is not meeting the threshold of returns, we would not take such projects. Opportunities are phenomenal, whether it is in transmission or renewable or it is in any of the other areas that we have seen, but for us the guiding principle will be what sort of return is there and what sort of risk and reward are there.

Subhadip Mitra: What is the ideal threshold for returns that you typically look at?

Dr. Praveer Sinha: Very difficult to say, but you have seen how we have been in a regulated business. Anything above that is the minimum

that we would expect.

Subhadip Mitra: I will refer to slide #41 of your presentation where you've given the nine months breakup of the income, EBITDA and PAT cluster wise. So, firstly, thank you very much. This is very helpful for us to understand it in detail. Secondly, just wanted to understand the last line over there which is the other segment. That includes Tata Projects, NALCO and other eliminations. At least we are able to decipher is that out of the overall hit that has come from the coal fr ont, maybe there's a 1,200 crore kind of hit that's coming over there, so while the renewables and the transmission pieces have all contributed maybe 300 crores and offset that hit, there is a large benefit that is coming from that others piece, almost abo ut 1,000- odd crores and maybe 225 crores of that is Tata Projects as you mentioned. If you can throw some more light on this because that's a very large piece of business?

Management: We are in slide #41. Are you referring to the line which is others including -?

Subhadip Mitra: I'm referring to the 4th line from the bottom. Others including Tata Projects, NALCO and inter cluster elimination. So, the YTD FY24 number is -413 and the YTD FY'23 number is negative 1,426. That's a 1,000 crore gap over there.

Man agement: Let me explain you. This is basically the dividends that we received from various associate and a joint venture company. So, to that extent this will also include the dividend from our coal mines, which we are not spelling out specifically out here. But what you can see is on a YTD basis, to that extent, it is lower by 1,000 crores and that has been fully mitigated from income from the core businesses which is coming from our renewable, T&D, transmission and our distribution businesses.

Subhadip Mitra: Probably, I'll take this offline with Rajesh.

Moderator: The next question is from the line of Sudhanshu Bansal from JM Financial . Please go ahead.

Sudhanshu Bansal: How do you see that trajectory of coal prices and power demand for next two to three years? Secondly, any color on the Mundra PPA will be very helpful, sir?

Dr. Praveer Sinha: On this power demand, I think you have seen the last two years CAGR has been 10% and I do expect that this sort of demand will continue in the subsequent years also. As far as the Mundra is concerned, the plant is operating under Section -11 and this is applicable up to 30
th of June. We
are in activ e discussion, but since the Section -11 is already in force, there has been a little bit of delay in finalizing, because this will eventually be applicable post the Section -11 period gets over. So, we do expect something on similar lines will get finalized much before the Section -11 period gets over.

Sudhanshu Bansal: And, sir, about the coal prices?

Dr. Praveer Sinha: Well, the coal prices is very difficult to say. I don't think there is anyone who can predict what the coal prices will be there, but what we have seen in the last six months is that the coal prices have stabilized, and it is expected to be in the same range, provided there are no other geopolitical changes that takes place.

Moderator: The next question is from the line of Apoorva Bahadur from Goldman Sachs. Please go ahead.

Apoorva Bahadur: Sir, wanted to understand this dividend. I think Rs.416 crores we have recognized. Is it one -time and what sort of cost this payment?

Sanjeev Churiwala: If you see, this is the turnaround story of one of our associate companies joint venture in Zambia, where we have hydro plant which has been underperforming for many, many years and there were tariff disputes which has now been settled. And because the tariff could have been settled, the company is now making profits and has decided to declare a dividend of $100 million and we have received $50 million in this particular quarter. But

that profit, which is reflected on PA T
as Rs.311 crores is less than offset by the one -time gain that we had because of Section -11 in the same quarter last year. So, net-net is about Rs.30 -odd crores. So, it's not really impacting the extent the bottom line.

Apoorva Bahadur: No, no, I wanted to understand that, will this be a recurring feature of Rs.416 crores benefit? What's the annual PAT typically now that we have received?

Sanjeev Churiwala: So, let's put it that way that given that this is an accumulation of the profit which they are now distributing, of course, we have received a bigger number, but this company is capable of declaring a yearly dividend or maybe $25, $30 million going forward. So, yes, we would think that there will be some recurring income coming through every year, but this company has just revised, right? So, we're kind of at the moment and see how the perfor mance shapes up to be able to give you a very confident answer. Maybe four quarters down the line we will have better comfort. But the good part is this company where we were not kind of looking at any cash flow coming through, have been revised and at least we are receiving a $50 million to that extent, of course, the company's return profile improves.

Apoorva Bahadur: Second question is on the pump hydro projects. Wanted to check at what stage are we in terms

of CEA approval? Has the TPREL been concurred and all the approvals in place?
Management: All the documents have been submitted, whether it is for TPREL or for environment clearance and all, and these are going through various motions of approvals in the various departments. So, we do expect that by t he 1st Quarter of next financial year, we will have major approval and hopefully in the later part of this year, maybe by third quarter of the next financial year, we will be in a position to start work.
Apoorva Bahadur: By around mid of CY'25, we expect t o start work and then it will take another 4 -5 years. So, I believe I saw in the PPT something '27, '28 is what we are guiding for the commencement.
Dr. Praveer Sinha: We are trying to stick to some sort of similar timeline.
Apoorva Bahadur: So, are we beg inning work before we are getting all the approvals civil work and all?
Dr. Praveer Sinha: No. We will start work only after we get all the approval and that's why I'm saying that maybe in the third quarter of FY'25, we will possibly start work.
Apoorva Bahadur: For these pump storage projects, how much of capacity tied up for group captives with the Tata group, any color on that?
Dr. Praveer Sinha: Those are still being discussed and we will figure it out.
Apoorva Bahadur: Last question is on this module manufacturing. If you could share the cost structure, what are final cost for these modules or how much closer are we to the Chinese prices without the duties and with the duties as well?
Dr. Praveer Sinha: As I mentioned to you, these modules are on a di fferent putting altogether compared to what prices you see in other countries, because this is the DCR and any module that comes from

outside, there is a custom duty and also they're not approved in the list of module manufacture. So, this has to basically cater to the local requirement within the country and we need to do the pricing based on that.
Apoorva Bahadur: What would be our cost?
Dr. Praveer Sinha: Those details are being worked out and once we are ready with that possibly in next quarter we will be able to give you some idea.
Moderator: The next question is from the line of Satyadeep Jain from Ambit Capital. Please go ahead.
Satyadeep Jain: Just one question is on the pump storage. If you are close to starting construction in the next few quarters and let's say if you don't sign up the capacity b

efore you start construction, as you look at financing, I understood previously banks were somewhat unwilling to lend to untied RE capacity is that for pump storage. If you do start construction before tying up, raising finance, is there any challenge on that front, just want to understand how do banks lend on these projects?
Dr. Praveer Sinha: So, what we are seeing is that there is a huge amount of bids which are coming up. In fact, the next few weeks and months we are expecting nearly six to seven GW of bids which are coming which are the TPREL bids. So, we are seeing huge demand. There is also huge demand from industrial and commercial users where they are looking at 24/7 power and this will be a packaged power of solar, wind and pump storage so as to give 24/7 availability of power. So, we do not expect that we will have any challenge in tying of this quantity of power.
Satyadeep Jain: So, just want to understand, you'll basically tie -up this entire 2.8 G W before you start construction, right?
Dr. Praveer Sinha: Not necessary. We will take a call on that. So, let's see how the market evolves. But yes, some quantity will definitely get tied up, but maybe not 100%.
Moderator: The next question is from the li ne of Aniket Mittal from SBI Mutual Fund. Please go ahead.
Aniket Mittal: Firstly, on the TPREL side, when I look at the nine -month numbers, excluding other income, the EBITDA margins at about 77%, which clearly has been on a downward trajectory despite capacity additions that we have been doing. Just wanted to understand over the years what's the reason for the decline in EBITDA margins over here, and over the next three years as we commission capacity, how should we look at the EBITDA margin for TPREL?
Dr. Praveer Sinha: EBITDA margin is dependent on the project cost. As you have seen, now that the module prices have come down and large -scale projects will come in the last quarter as well as in the subsequent two quarters you will see a huge improvement in EBITDA.

Aniket Mittal: So, for the coming, let's say two years, if we commission the remaining capacity, what sort of EBITDA margin should we look at for TPREL?
Dr. Praveer Sinha: I won't be able to give you guidance at this stage, but definitely it will be much better than what we were doing it one year ago.
Sanjeev Churiwala: If you look at this business and also the industry the EBITDA margin would be in the range of 75%, 80% given that this has a mix of both solar and wind. And this particular quarte r normally

third quarter the wind is always low in terms of the generation. But yes, what we feel is once we go live with our cells and modules and with all the projects that are in the pipeline, this will keep on improving in the coming quarters. Delibera tely as of YTD as I said in the earlier discussions that we only have commissioned 363 MW and of course to that extent the fixed cost absorption did not happen that much. But in the coming quarter, we will have further commissioning happening and bigger commissioning will happen in the first two quarters of the next year. So, you will see sequentially the improvements coming in.

Aniket Mittal: In terms of commissioning, I think you mentioned 1.5 to 2 GW for FY'25. How much would come in FY'26?

Sanjeev Churi wala: Given a current bid pipeline and the COD commissioning, definitely as of now, we would expect another 2 GW to come in, and if we're able to win something more in the coming quarters, this can go up to 3 GW. But yes, definitely 2 GW is for sure that w e will be commissioning in '26 also.

Aniket Mittal: On a medium to long term basis, what's the optimal capital structure that you're looking for in terms of let's say the debt -to-equity or debt -to-EBITDA?

Sanjeev Churiwala: It's a very complicated answer b ecause again, you have to think about whether you're lo

oking at a consol level, are you looking at the specific platform level, because at a platform level -

Aniket Mittal: At a consolidated level.

Sanjeev Churiwala: Yes, at a consol level, presently our d ebt-to-equity is about one -time, right, and with all our planning, we don't think that will go anything beyond 1.5 to 2 times in the near future, right. But at the entity levels where we plan the bid, the issues will be different. But finally, what we do intend to ensure is that with all our non-core, that we will keep on selling from time -to-time equity raise if at all that has to happen, we keep debt -to-equity definitely below two.

Aniket Mittal: Lastly, in the 4.8 GW of under -construction projects, what are the wind capacities?

Sanjeev Churiwala: If you can go to Slide #9, you will have the breakup of that.

Aniket Mittal: This slide actually includes hybrid as well, right, which should also have a wind component in it?

Sanjeev Churiwala: Yes.

Aniket Mittal: So, if I were to take the wind component in the hybrid as well, I just want to understand how many capacity of wind that you have under construction right now including the component in hybrid?

Dr. Praveer Sinha: We will give you that.

Sanjeev Chur iwala: But I think it's better to look at when we're bidding for solar separately and for wind separately. But when we win bid for the hybrid and also for the RTC, it's a various combination that we need to do for solar, wind and battery, right. So, we wil l have to look at it in that sense as a combined sense because the installed capacity and the TPA capacity will also differ. So, my urge to all of you would be not to break -up that, otherwise it will become more and more complicated.

Aniket Mittal: Probabl y, look to get that offline.

Moderator: The next question is from the line of Anuj Upadhyay from Investec. Please go ahead.

Anuj Upadhyay: Sir, first question relates to your standalone business. So, the decline in profitability, is it purely because of lo wer dividend income or there's some other factor as well because our sense was Mundra under recovery would have gone significantly due to Sec .11. But in spite of that, the profit is down to nearly one -third.

Sanjeev Churiwala: Basically, the profits that we get from our coal mines have significantly come down and that is what is contributing to a lower standalone. But for us it is always looking at the consolidated picture.

Anuj Upadhyay: Your margins across the EPC continue to remain quite volatile. This quarter we are back to close to 5% kind of a margin. Last quarter probably you have given a guidance at a low margin order book the execution has been completed. So, now we would be executing projects where margins are relatively closer to double digit or somewhere in the range of 7% to 9%. So, any comment on that sir?

Sanjeev Churiwala: Are you talking about the EPC margin?

Anuj Upadhyay: Yes, EPC.

Sanjeev Churiwala: In the EPC, our targeted margin is close to 5%, but as you are right, the market has been very volatile, especially because of the commodity prices, FX, cells, modules, it is now stabilizing and we think with the current bidded pipeline, we can still target that 5% kind of EPC margins.

Anuj Upadhyay: So, this applies even to our current order book. Over there as well we are targeting close to 5%,

6% kind of an EPC margin.
Sanjeev Churiwala: We're talking about PA T margin of 5% on the EPC business, that's correct. But of course, that is what we're targeting in. It could be a little higher or lower depending upon how things move.
But when we do a particular bidding, we kind of target EPC margin of 5%.
Anuj Upadhyay: Any possibility where Mundra can participate in the open market? Currently, whatever selling has been hap

pening, I believe is unde r Section -11. But is there any possibility where we can participate in the merchant market provided we are venturing into a scenario where the Company is going to participating ?
Dr. Praveer Sinha: I think Mundra today is operating at full capacity and all the procurers are taking it because it's a very efficient plant. And if they don't buy it from Mundra, then they will have to buy from the market at a much higher price. So, none of the procurers need to leave the opportunity to schedule power from this pl ant. So, I don't think the procurers will have an opportunity to sell outside. But in case they don't take power , then of course, we have the freedom to sell in the open market.
Anuj Upadhyay: Lastly, can you just mention the offtake price from Mundra, lik e what is the generation cost and what price they're selling to consumer?
Dr. Praveer Sinha: It's there in the in the schedule. The Gujarat SLDC releases on a daily basis, the merit order. I can check and let you know.
Sanjeev Churiwala: Also, I think it's basically a cost-plus markup for us. So, to the extent what matters to us this is a pecking order, so that all the procurers can take our power. Beyond that I think the cost doesn't matter because it's still under Section -11 for us.
Anuj Upad hyay: Just wanted to get a sense, if at all we get an opportunity in the open market and that could be our cost and the spread on the machinery?
Sanjeev Churiwala: It's available. We can provide you separately, but it will not actually serve a purpose because it's all cost -plus markup. So, depending upon the coal prices and other things, it will just move up and down. So, it's kind of an arithmetical formula.
Moderator: The next question is from the line of Puneet Gulati from HSBC. Please go ahead.
Puneet G ulati: My question is on your EV charging business. Are you aware whether Tata Motors is also engaging into the EV charging business and how does that fit into the collaboration with Tata Motors?

Dr. Praveer Sinha: I've not heard about that. We cater to fu ll Tata Motors requirement whether it is for the four wheelers or it is for buses. I don't know of any other opportunity that Tata Motors is working on EV charging. All their present requirement whether it is for home charging, public charging, bus chargin g, free charging is being done.
Puneet Gulati: And secondly, if you can comment a bit on the profitability even on a YoY basis was a little weak for the renewables business despite adding significant capacity. How should we think of it, is it a function of part utilization, higher depreciation?
Dr. Praveer Sinha: So, what happens, as Sanjeev mentioned that it's very difficult to do on a quarter -to-quarter basis because there are certain periods in a year in a certain quarter when you have better radiation, and you have better solar generation. Similarly, there are certain periods during which you have better wind speeds and better wind generation. So, I think you need to do it on a 12-month basis rather than just trying to do it on a quarter -to-quarter basis .
Puneet Gulati: So, what was weaker this time on the wind part?
Dr. Praveer Sinha: Beg your pardon, sir.
Puneet Gulati: So, if you can comment on what was weaker this time in terms of solar or wind, where was the PLF lower?
Dr. Praveer Sinha: See, what happens is for us, what is important metrics is the availability of the plant and all the availability, whether it is solar or wind, are very, very high, it is benchmarked in the country. So, our abilities of the solar plant is virtually 100% and wind is also in (+98%). Secondly, we have shared what is the PLF for the solar and it's in slide 49 you can see.
Puneet Gulati: This other income part of 45 crores versus 106 crores, I thought that was generally operational income, but what e

xactly is that if you can throw some light there?
Sanjeev Churiwala: It will be a combination of some operating income, scrap, some interest income on investments, combination of that. But if you really see for the quarter, the number is quite small, 45-odd crores
Puneet Gulati: Correct, versus the 106 crores previous quarter.
Sanjeev Churiwala: Yes.
Moderator: The next question is from the line of Mithil Bhuva from unlistedindia.com. Please go ahead.
Mithil Bhuva: Coming to Slide #40, if I see Mundra Coal on shippi ng, the profits are down from Rs.924 crores to Rs.89 crores. Now, just to understand that because of the lower coal prices, the profits are

down, right?

Sanjeev Churiwala: Yes, that's correct.
Mithil Bhuva: And so Mundra is just a cost pass -through, which means that we are not benefited by the lower coal prices?
Sanjeev Churiwala: In a way, whatever coal we are procuring that cost plus the markups, that is pass -through. Drop in coal prices to that extent doesn't benefit, it's kind of more on a rolling basis . On an annualized basis you're right. But then what matters to us is the contribution that comes from coal mines, which is a PA T contribution, that has significantly dropped. As a result, you see overall lower profits from generation in coal and hydro.
Mithil Bhuva: I was asking this because we have invested more than Rs.25,000 crores in the Mundra and coal business, and if the profits are to remain at this level, then we won't generate sufficient cash profits to repay our debt, right, that's the concern a ctually?
Dr. Praveer Sinha: See, you need to look at it from a loss -making today we're at. So, to that extent, I think we need to look at it in totality rather than just looking at it in terms of what sort of returns.
Mithil Bhuva: But in the future, can w e expect good profits from standalone Mundra also or the cost pass -through will be very minimal only?
Dr. Praveer Sinha: Like in today's scenario, when we have Section -11, it's cost -neutral. So, whatever the actual cost of generation is getting paid to you. In future based on what sort of CEA we enter with them; we will have to see what sort of returns is able to do.
Sanjeev Churiwala: To your question, if I add, there are two approaches; a) when you look at the PA T contribution coming from the coal mines, that is perfect. But on top of that, you also get the dividends, right, which on a consol basis gets netted off. But when I look at the cash flow, a significant cash flow comes from the dividend perspective.
Mithil Bhuva: My second question is like the management has guided that the revenue will double in the next three years to around 1 lakh crores. Can you just give a brief on like where the revenue is going to rise actually, because in the last three years the revenue has risen only in the Odisha discoms mainly. So, can you just give a brief of where the revenue is going to rise in the next three years?
Dr. Praveer Sinha: I think the presentation that we have made in the analyst meet, if you see that, it will give you a very good idea that where we are pu tting the CAPEX and where both will come. So, I think it is a direct correlation to that.
Sanjeev Churiwala: I think part of the question we try to answer in our renewable pipeline itself. We're talking about 2 GW of commissioning happening in next year and 2 GW happening at '26. So, currently we are at 4 GW and then the 4 GW itself we are talking about 9 GW in t he next three years ’ time, right? So, I think to that extent that will contribute a big profit. Plus, I think the new

manufacturing also we spoke about, the commissioning of the cells and modules, that will also start contributing towards profit. The oppor tunity in rooftop solar is big for us. We will also look

at that. So, I think it is a well thought-through strategy in terms of looking at where we want to reach in our aspiration three years down the line and we're tracking on that.
Moderator: Ladies and gentlemen, we will take that as the last question. I would now like to hand the conference over to Dr. Praveer Sinha for closing comments. Over to you, sir.
Dr. Praveer Sinha: Thank you to everyone for joining in the call. And in case you have any further queries, you can contact our Investor Relations team and we will be more than happy to share with you. The presentation has been made quite detailed, but if there is any further improvement that you would like in this presentation or any more details, plea se connect with us and I'm sure with your support we have been able to get a market cap of more than 1 lakh crores and we are now looking for next milestones, and I'm sure you will support us in this direction. Thank you, everyone and take care and good ni ght.
Moderator: On behalf of the Tata Power Company Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: May 2024

May 13, 2024
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Earnings Call Transcripts
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uant to Regulation 46(2)(oa) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, the transcript of the audio call recording of the Company’s Analyst Call held on May 8, 2024, on the Audited Financial Results (Consolidated and Standalone) of the Company for the quarter and financi al year ended March 31, 2024 is attached herewith.
The transcript of recording can also be accessed on the Company’s website using the following link:
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You ar
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Yours Sincerely,
For The Tata Power Company Limited
Vispi S. Patel
Company Secretary
FCS 7021
Encl: As above
Page 1 of 18 “The Tata Power Company Limited Q4 FY 24 and
Annual FY 24 Analyst Conference Call ”
May 8, 2024
MANAGEMENT: DR. PRAVEER SINHA – MANAGING DIRECTOR & CEO,
THE TATA POWER COMPANY LIMITED
MR. SANJEEV CHURIWALA – CHIEF FINANCIAL
OFFICER , THE TATA POWER COMPANY LIMITED
MR. J.V. PATIL – FINANCIAL CONTROLLER , THE
TATA POWER COMPANY LIMITED
MR. KASTURI SOUNDARARAJAN - CHIEF TREASURY
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COMPANY LIMITED
MR. RAJESH LACHHANI – INVESTOR RELATIONS
TEAM, THE TATA POWER COMPANY LIMITED

The Tata Power Company Limited
May 8, 2024

Page 2 of 18
Moderator : Ladies and gentlemen, good day, and welcome to Q4 FY '24 Earnings Conference Call for Tata Power.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “*”an d then “0” on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Dr. Praveer Sinha – MD and CEO, Tata Power. Thank you, and over to you, Dr. Sinha.
Dr. Praveer Sinha : Good afternoon to everyone, and tha nk you,, for the introduction. We have with me my colleagues, Sanjeev Churiwala, CFO, Mr. J.V. Patil – Financial Controller; Mr. Kasturi and Mr. Rajesh from the Investor Relations and some of my colleagues from Corporate Communications and Finance team.
Before I share with you some of the salient features, let me just briefly cover about the power demand in the country :
Last year, like the previous year, the demand of power grew by nearly 8%, both in terms of the peak demand as well as in terms of energy. But what we have seen in the last 2 months, month of March and April, even before this summer has really started, there has been an increase of

nearly 10.5% in terms of energy and peak also reached a level of 224 -gigawatt on 29th of April. And this on a c orresponding basis last year was 208. So, there is a huge increase in demand. The expectation is that we will have a peak of 260 -gigawatt, and there is lot of work that needs to be done to ensure that this peak demand is met as also the energy requirement is also met.

We have, from our side in Tata Power, taken all steps to ensure that all our plants operate at full capacity, all our coal -based plants, whether it is domestic coal -based, have full availability of coal, as also our imported coal -based plants at Mundra and in Trombay have full availability of coal, and we will be producing at 100% of ability all these plants.

Similarly, a ll our thermal plants are operating at full capacity, and we do expect that in the coming months, these will be able to generate enough quantity of power for the requirement of the consumers. We have tied up in our distribution business also, the total quantity of coal. And we do expect that the power that is required for all the distribution companies will be adequate to meet. In fact, we have seen in the month of April, we have nearly 25% growth in demand in many of the places in Odisha, including Bhubaneshwar, and we have be en able to successfully cater to that. And, in fact, some of the places in Odisha, we have seen that this is the second consecutive year of growth of demand by nearly 20%, 25%. So, I think we are well poised to meet the demand, though it is growing at a ve ry, very fast pace.

On Tata Power :

We have shared with you both the Q4 results as well as the annual FY '24 results, and the details are already there. The presentation has also been uploaded, and I am sure you would have got time to go through that. I am not going to repeat the numbers, but I will just take you through some of the important aspects of our business. Our coal -based and hydro plants, our generation businesses have done exceedingly well in the last quarter. They have performed at full capacity , and that is why it gets reflected in the higher revenue as well as higher EBITDA and PAT for all these businesses.

Similarly, in transmission and distribution :

We have seen our transmission businesses have also done exceedingly well. Our distribution business in Odisha, Delhi and Mumbai and Ajmer have also performed exceedingly well. There were a lot of challenges. In Odisha, we have been able to overcome most of them. And going forward, you woul

d see a substantial improvement in the finan cials of Odisha because we have been able to clean up a lot of issues, which were there about the earlier billing and their collection. And what you would see now is a huge improvement of the performance of Odisha DISCOMs. In fact, within a short span of 3 years, all the 4 DISCOMs have started making profit. And this is much better than what was initially planned when we had bid for these projects.

Coming to our Renewable business :

I think we have done exceedingly well in this year, many of the projects, wh ich we could not do it in FY '22 and '23, whether they were third -party or our own utility scale, we have been able to implement. We have a huge backlog of projects, both third -party and utility scale, which we will be implementing in the next 24 to 36 mon ths. A lot of it is planned in FY '25. We expect nearly 4-gigawatt of projects that will get implemented in FY '25, out of which nearly 2.5 will be third - party and 1.5 will be our own utility scale. And then, we will be doing the balance of 5-gigawatt balance in FY '26. So, a lot of capacity addition will happen.

We have also been able to commission our manufacturing facility in Tirunelveli. Our 4 -gigawatt module plant is commissioned, and it's fully operational. And our cell plant of 4 -gigawatt will start getting commissioned from next month. And over 3 months, it will stabilize and reach the peak capacity of 4 -gigawatt over there. So, we will start then producing 100% domestically manufactured cell and module, which is a requirement for many of the bids e xcluding the rooftop program of the government.

We have also done exceedingly well in our rooftop business in the last quarter, and the performance has shown not only very good margins, but also very good quality of service that has been provided to the cu stomers. And we continue to have a leadership position in rooftop.

And with the PM Surya Ghar Yojana program, we expect that we will play a very, very active role going forward in the market to create the rooftop solar for the consumers under the governmen t scheme. So, we are expecting that our renewable business will really start showing great results in FY '25 onwards.

Similarly, in our EV business, we have nearly 86,000 home chargers, and we are #1 in the market with more than 5,500 public chargers and n early 900 of bus chargers. And our emphasis has been that the EV chargers, bus chargers, home chargers and the public chargers will support the e-mobility initiatives of the government and many of the OEMs with whom we have tied up.

Coming to our some of the other initiatives :

We are the only power company in the country, which has taken the science -based target initiative. And we have a very, very robust plan to implement it over a period of time. Similarly, we have taken a lot of initiatives in our other operations, including HR where we have been awarded a number of recognitions, we have got in terms of the best employer. Our credit rating also has improved in the last quarter, and it is today AA+.

So, I think what you would see is that all in all, the p erformance of the company has improved drastically. We do expect that this will continue. We also expect that the Section 11, which was up to 30th June has now been extended up to 15th of October. And with the type of demand of power in the country, we exp ect that we will be able to continue generating from Mundra plant. And since in merit order, it's still very, very attractive, it will continue to schedule power to the beneficiaries under the sale.

So, we are very confident that whatever we have done this year, and, in this quarter, we will continue to work on that. A very strong foundation has been made in the company. This is the 18th consecutive quarter in which we have shown a growth in profit. And the strong foundation and th

e fundamentals of the comp any will ensure that our performance in the future also continues to have similar trend. And we look forward to your continued support in this direction.

I would now request Nirav if any questions are there, you can ask.

Moderator : Thank you very much. We will now begin the question and answer session. The first question is from the line of Puneet from HSBC. Please go ahead.

Puneet Gulati: My first question is with respect to the Tata Power Solar company. Rooftop seems to be a big opportunity. Do you have a ny target revenue from that for the same? And the second part of the same business is, how should one think about margins from TPSSL?

Dr. Praveer Sinha : So, let me try to respond to this. One is that based on the scheme that the government has announced, the m ain benefit is to consumers who use 1, 2 or 3 kilowatts of rooftop solar. The trend that we have seen based on the people who have registered, the first 1 crore household, more of it is 3 and 2 -kilowatt. So, what we can expect is the average of about 2.5. So, it means about 25 to 30 -gigawatt of rooftop has to be implemented in the next 3 to 4 years.

And considering that we already have a market share of nearly 20%, we are looking at something near to that. Mind you that we already have more than 2 -gigawatt of rooftop solar already installed in the country, so we have the largest penetration with 20% market share. And the #2 in this is someone with a 2% market share. So, we have a huge gap between us and the next one of players in that range. And we expect that we will maintain our leadership.

Puneet Gulati : But do you expect any constraint in terms of DCR availability of modules there? Or you think you'll largely do based on your own capacity?

Dr. Praveer Sinha : So, we are setting up this plant only for meeting the DCR obligations for the home purpose that we will be able to use it for our own utility scale group captive as well as for rooftop opportunity if that comes out.

Sanjeev Churiwala : Puneet, Sanjeev Churiwala here, just kind of wanted to tell you and all the analysts on the call that every quarter, including this quarter, we upload a very comprehensive financial analysis deck. This time, the upload is about 66 slides that you will find all the segmentation, dissection, range to help you do a much better analysis. We just want to thank that the quality of the analysis that is happening of late has significantly improved, which gives the reader of those reports, including all our investor s, a good confidence on where the company is performing. To your question on how is the solar rooftop EPC and other EPCs are doing, you can look at the Slides #35, #58. And there are a lot of slides, which gives you a complete insight into that.

Puneet Gul ati: Correct. It talks about roughly 8% margin. Is that the margin that we should be running with?

Sanjeev Churiwala : So, if you look at the EBITDA margin, yes, it's about 7.6%. For the full year, it's about 6%. Our endeavor is on the PAT margin that we wo rk on a 4% to 5% PAT margin. That is what we have always been telling. This quarter, we had landed up with 4.3%. And all of you are aware that the market was quite choppy at the beginning of the year. But with our own module, cell manufacturing now going l ive and the cell and the module prices coming in, we are confident that we'll be delivering the margin expectations that we have. So, both our EPC business as well as the solar EPC overall is doing phenomenally well. As you can see, over the last 5 years, it had a CAGR of 17%, you can expect perhaps a better growth coming in.

Puneet Gulati : Okay. And in terms of just disclosures, can you also talk a bit about your Coal Infra business and Tata Projects, what kind of profits are they contributing?

Sanje

ev Chu riwala : So, Tata Projects is quite a turnaround this year. In fact, when we look at the Quarter 4 numbers itself, the profit for this quarter is about Rs. 37 crores , and it was a significant loss -making company until last year. This year, for the full year, the company has now completely turned around with a very solid order book position that the company is making profits. So, hopefully, with the order book that we have, we are sure that Tata Projects will be delivering better results going forward as well.
Puneet Gulati : And also, can you talk about how much more money should we expect to come from the ITPC dividend and also Arutmin?
Sanjeev Churiwala : Sorry.
Puneet Gulati : Sir, how much more money should we expect to come from ITPC dividend, which came in this quarter as well along with Q3? And also how much balance remains from Arutmin that can still come to us?
Sanjeev Churiwala : So, Arutmin, we have already sold, and that disclosure is already made in the notes of accounts. The sale was signed up a few years back, and we were expecting the sales proceeds to come. So, that has come last year and this year. And accordingly, in Quarter 4 , that investment in the books is now transferred. So, we don't have anything coming from Arutmin.
Puneet Gulati : Nothing coming from Arutmin. Okay.
Sanjeev Churiwala : Yes. When we look at ITPC, ITPC is a good turnaround story for us. We had last year entered into a settlement agreemen t with ITPC, which was duly acknowledged by the regulatory bodies over there. As a result of which we have received $90 million of dividend this year in cash. We also expect around $40 million to $60 million of dividend next year as well. Besides the compa ny is making about $30 million of profit now every year. So, hopefully, we would expect $10 million to $15 million of dividend on an ongoing basis.
Puneet Gulati : So, $10 million ongoing and $60 million for next year.
Sanjeev Churiwala : Yes. So, $40 millio n to $60 million is what we're targeting. That will include the entire dividend for next year.
Puneet Gulati : Okay. So, including the $10 million.
Sanjeev Churiwala : Yes. $10 million is going forward as a run rate.
Puneet Gulati : And lastly, if you can als o share if there are any remaining tax benefits from the merger of CGPL? What is the quantum of that?

Sanjeev Churiwala : Sorry. Could you repeat that?
Puneet Gulati : What is the quantum of tax benefit that is remaining from the merger of CGPL?
Sanjeev Churiwala : You're talking about the carry -forward losses and business losses?
Puneet Gulati : Yes.
Sanjeev Churiwala : It's of significant amount. And of course, given our profitability is improving every year and we have business profits also, busin ess income also, that is resulting in inflation of this carry -forward losses and as business. But of course, this is a tax position. So, if you want, we can send you the breakup separately.
Puneet Gulati : Sir, just the unabsorbed number remaining , if it is available ?
Sanjeev Churiwala : Yes. It's schedule processing.
Moderator : Next question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.
Mohit Kumar : So, my first question is on the utility scale or renewables. Sir, last year, I think there was a huge bidding which happened in the industry. But I think we didn't participate in most of them. How to think about the way forward for FY '25 and FY '26?
Dr. Praveer Sinha : See, last year, there were nearly 50 -gigawatt of bids, which were supposed to come. Of course, all of them could not come. We expect this year also that the government has plans to make 50 -gigawatt of bids. So, there are a large number of bids coming. We ourselves won a large quantity of business, especially the ones which are t he bids, which are hybrid bids or the fixed duration renewable energy that i

s FDRE -based. So, we do expect that this year also, many of those type of bids will come, hybrid as well as the ones with solar, wind, BESS solely. And we will actively participate in all of them. We, of course, expect that since these are little complex things, there would not be too many players who have the capability to execute projects like this, and thereby, we will be in a much better position to bring better bids, as also wi n with much better margins.
Mohit Kumar : My question was about the load. Our participation was very selective last year. Was there any particular reason for us to not participate aggressively in the bids?
Dr. Praveer Sinha : We always have been selective. For us, it's about getting good margins. And we have earlier also expressed that it's not a question about participating and winning, but it's participating in right

bids, and winning them at good margins, and we will continue to have similar fo cus in the
coming years.

Sanjeev Churiwala : And if I could add, if you have a look at Slide #24, you'll get a trait in terms of how the reverse auctioning tariffs have moved significantly. And as such, we have actively participated in the bids. In fact, th e bid position that we are into today, we already have a 5 gigawatt plus of project execution in the pipeline, which was never the case. And to that extent, we have a pretty healthy bid position also last year. Overall, we have won close to about 1.8 gigawatts, and largely that will be complex, which is a combination of hybrid as well as FDRE projects. So, I think we are in a much better position than we were a few years back. So, I do think that the comment that we are not active, which is correct, in the sense that, yes, we have not participated deliberately into pure solar or pure wind because we are chasing better returns.

Mohit Kumar : My second question is on the 4 -gigawatt solar module capacity, which should be up and running in the next couple of quarters. Do you still intend to use the entire capacity for captive? Or do you think there is a market outside your own requirement?

Sanjeev Churiwala : Yes, of course, there's a market outside as well. So, as and when we are ramping u p, as of now, we have sufficient contracts ourselves to kind of deliver this module themselves. But yes, as and when we ramp up, we will also look at opportunity of selling outside.

Mohit Kumar : My last question on the rooftop solar scheme. Have you got an y color on the implementation? Is it right to say that there'll be no bidding like solar pump because solar pump, I think, it was not to the desired way, right?

Dr. Praveer Sinha : So, you are asking about solar pump or rooftop solar?

Mohit Kumar : My question i s on rooftop solar scheme. Is there any color on the implementation, how this will get implemented because the solar pump scheme, I think everything were not to the desired way, right?

Dr. Praveer Sinha : No, I think rooftop solar is more of a bilateral arrange ment between you and the consumers. And there is a certain amount of subsidy that is provided by the state government or central government. Now, the new scheme, of course, there's a central government subsidy. And in some cases, the state governments are topping up with some subsidies from their side also. So, we will be executing that. There is a portal, which has been created, where people have to go and register. And then, we will execute through an arrangement whereby we will respond to the consumers and implement the project, and they will get the payment of subsidy directly from the government.

Sanjeev Churiwala : All of these are summarized in Slide #34. We've kind of decoded the entire scheme in a very simple fashion to understand for everyone. We're kind of very bullish about this scheme.

Moderator : Next question is from the line of Vijayakumar from Avendus Spark. Please go ahead.

Bharanidhar Vijayakumar : So, my first question is on the recent RBI regulations on project financing where they have aske d lenders to provide more, which is likely to have some impact on cost of funding in the future. Though it is in a draft stage, what is your sense on how this will impact us, if at all? That's my first question.

Sanjeev Churiwala : So, I think the scheme ha s just come out, the draft, and we have looked at the scheme very initially. A couple of very high -level observation that comes in is the requirement to make up provisioning during the project stage. And this could take up the financing cost a bit more. Bu t that's more on a project financing basis. With smaller projects, we normally do. Our funding is largely on a corporate loan basis, which we take at the bank holding company level. So, I think we are kind of comfortable to that.

The second big requirement is about the company owning about 50% of the land before they could disburse. I would think that would bring a bit more of a discipline in terms of companies who won't go for bids without the land and land up into a problem. So, hopefully, that will bring a little more discipline in the way execution happens. But yes, we have been given 3 months. We're also trying to understand that better and make appropriate representations.

Dr. Praveer Sinha : This is still a document for discussion, so I think it is too pre mature to say anything what will eventually come out. So, let's wait and watch rather than trying to really judge based on what has been provided.

Bharanidhar Vijayakumar : My second question is on your Mundra coal and shipping cluster wise numbers disclose d in the PPT. So, for this quarter, we are seeing that the EBITDA and the PAT for this cluster is lower than the last quarter. So, can you give a color of how the Mundra separately is performing and how the coal is performing, what contributed to this sequ ential drop in profitability?

Sanjeev Churiwala : So, I think quarter -wise number is very, very difficult to decode because a lot of changes keeps on happening. But I think the best way is to look at on an annualized basis. On an annualized basis, the entire Mundra plant has run on Section 11 throughout the year, which is cost plus. And as we have mentioned earlier, we're trying to work on a cash breakeven point.
Bharanidhar Vijayakumar : And how about the sales and realization and, say, gross margins at the coal mining business side?
Dr. Praveer Sinha : Coal mining, if you see the last year, the coal prices, especially in FY '23, was very high. Of course, now the coal prices have stabilized. So, this is the trend that we have been seeing for the last 6 months , and it may remain in the same band for some more months. So, the huge increase in coal prices and the dividend payout, which we saw, that was possibly a one -off and may not happen in near future.

Bharanidhar Vijayakumar : So, the cluster -wise PAT at the f ull-year level comes to around about Rs. 600 crores. So, would this be like a number that we can expect in the next year also?
Dr. Praveer Sinha : If you see for the year, it's there in I think in Slide 7. You can have a look in that and see that how this coal type of projection is expected.
Moderator : Next question is from the line of Satyadeep Jain from AMBIT Capital. Please go ahead.
Satyadeep Jain : Three questions. First was on the impairment you've taken on the renewable energy assets. Can you talk about wh at drove that impairment?
Sanjeev Churiwala : Yes. So, this impairment we have taken on the acquisitions that we did for one asset. And during the acquisition, we had paid a goodwill of about Rs. 1,600 crores. During that time, it was allocated over 22 diff erent assets. Overall, when we do the impairment test there i

s a surplus available. So, that's not a concern. But in some of the assets, there's a need for unwinding of the goodwill, which is a noncash winding up, which is shown as an exceptional item. So, this year or this quarter, we have provided for about Rs. 100 -odd crores. And given that this is more unwinding and the goodwill at some point of time needs to be unwinded, we're kind of expecting Rs. 100 crores, Rs. 150 crores of unwinding happening ever y year, which is, again, a noncash charge and is reflected as an exceptional item.
Satyadeep Jain : Just on another staff paper on the power market pricing. You also have some exposure through Haldia and through Prayagraj in the merchant market. And also in the FDRE, also, you're oversizing the capacity. So, there is some excess generation. Any initial r ead? I know it's still early stage, it's still for discussion. Any early stage, maybe, thoughts on that? And when you look at renewable power excess generation, how do you have figured out the variable cost in that excess generation through FDRE?
Sanjeev C huriwala : No, I think FDRE is a combination of solar, wind, battery. You cannot decode a separate variable component as yet. And what we really look at during the bidding as to what is the appropriate cost and what kind of returns we need to generate. So, I think it's too early to talk about the variable cost on that. As you spoke about the merchant power, right?
Satyadeep Jain : Yes.
Sanjeev Churiwala : Yes. So, we have about 300 -megawatt of overall merchant power available from Haldia and from some of our o ther plants. And of course, the operations have been good this year. Hopefully, depending upon the energy's demand -supply situation, we are positive that we should be able to continue to earn good money from our merchant sales.
Satyadeep Jain : The C ERC staff paper, would this have any implication of that?

Sanjeev Churiwala : CERC what?
Dr. Praveer Sinha: That is on the DSS.
Satyadeep Jain : It’s in a way, capping the merchant power, if you read it correctly, the price that you offer for merchant power?
Dr. Praveer Sinha : See, the merchant power, already there is a cap. Earlier, it used to be, 2 years back, Rs. 20. Then it was reduced to Rs. 12, and now it is at Rs. 10. So, at this stage, there is no discussion on capping it, the merchant power. Because if you cap i t, then no one will generate it where ECR is higher than the merchant power rate. So, I think these are general discussions that keeps on happening, but there is no plan as such to use the merchant power rate.
Satyadeep Jain : Just 1 quick question if I can squeeze on the pump storage. I know you're starting construction soon. Any thoughts or developments on contract signings for that?
Dr. Praveer Sinha : We are in the process of obtaining all the approvals. And also, we will start the process of bidding for the civil, electromechanical and balance of plant. We expect later part of this year to start the construction activity.

Moderator : Next question is from the line of Amit from H.G. Hawa & Company. Please go ahead.
Amit Agicha : My question was regarding the us age of CRR, capital redemption reserve, which can be taken to give bonus shares, which will help to save the interest expense. Anything would help?
Sanjeev Churiwala : What is your specific question?
Amit Agicha : My question is like, is the company planning to use the capital redemption reserve to issue bonus shares so that the debt can be redeemed, and the interest elements of the expense can be saved?
Sanjeev Churiwala : Well, it's a hypothetical discussion for us because we are not releasing any bonus shar e. So, we have not examined it. But if you're kind of wanting to understand the implications of that, we can work it out and discuss with you separately.
Moderator : Next question is from the line of Sumit

Kishore from Axis Capital Limited. Please go ahead.
Sumit Kishore : My first question is that in the last annual meet, you all had laid down a plan to double revenue, EBITDA and profit over FY '23 to '27 timeframe. FY '24 has ended with a 10% consolidated revenue and 12% reported profit growth. And in the r enewable, EBITDA, profit growth was in single digits. So, I mean, at this stage, would you review the roadmap of FY '27 growth and basically sum it up for the 3 main business segments you are in?

Dr. Praveer Sinha : So, when we had presented, we had said in 5 y ears' time we will be doing that. And we are on track, and so we will be doing that. All the capacity add that we mentioned, more than 5 -gigawatt of renewables. Our returns from the manufacturing plant are in project, the pumped hydro projects. So, all these will start generating revenue and the profit.
Similarly, our projects in transmission, where 2 of them are in very advanced stage of implementation and will get operational by end of this year, and another 2 by next year. So, I think all of them, wha tever we have plans, we are very much on track to deliver what we had presented last year in the analyst meet.
Sumit Kishore : Sure. My second question is regarding DISCOM privatization over the next 1 year. Do you have any expectations of progress in priva tization of DISCOMs? And what opportunities are on the anvil?
Dr. Praveer Sinha : Yes, we are expecting, based on our discussion, that large number of states are planning to go for something similar to Odisha. Many of them have gone and seen in Odisha, the type of changes and type of improvement and how it is a win -win for everyone, the consumer benefits by getting better service, better reliability, better customer experience. And the tariffs have not gone up because whatever loss reduction happened, the benefi t went to the consumer.
The government has benefited as they don't have to incur any further financial losses in running.
And the DISCOM has benefited because it has been able to generate enough cash to provide better technology and services to the consume r. So, I think it has been a win -win for everyone.
And many of these states are now looking at replicating similar opportunity. And I do expect that post the election, many of the states will take up these initiatives .
Sumit Kishore : Is there any large sta te, which is looking….
Dr. Praveer Sinha : I am looking at all the states. So, apart from Odisha, there are 27 states. And apart from Delhi, there are 8 union territories. So, all of them are my potential candidates.
Sumit Kishore : And with the sharp dip in battery energy storage, stand -alone BESS bids, where do you see the load following feasible FDRE rate now? So, do you see this following and presenting a viable alternative to setting up greenfield thermal capacity in next 2 to 3 years?
Dr. Praveer Sinha : Well, as you know, we have seen the FDRE projects are going to be the new future. And the number of bids that are expected are very large, where you get a certainty of getting renewable power. There is huge pressure. It is not only ab out supply, but there is a huge pressure from the customer side also that they want to transition to clean energy, whether it is industry or commercial or even residential consumer. So, there is a strong awareness level, which has been

created. And I do ex pect that going forward, more and more people will insist on getting green power, and it is not that we can supply any power to them, and they will take it.
Moderator : Next question is from the line of Subhadip Mitra from Nuvama. Please go ahead.
Subhadip Mitra : So, just carrying on from I think Sumit's earlier question on your targets of doubling profits over the next 5 years, by FY '27. So, my question is that is there a

certain targeted amount of renewables that you are looking to add, let's say, overall on an annual basis in order to reach that target because the assumption was that a larger quantum of your FY '27 profits would now come from the green energy piece.

Dr. Praveer Sinha : So, let me tell you that in FY '20 -'21, we had a revenue of nearly Rs. 28,0 00 crores, Rs. 29,000 crores. This year, we have crossed Rs. 60,000 crores. We used to have a PAT of nearly Rs. 1,200 crores, Rs. 1,300 crores. We increased it to Rs. 2,200 crores. And this year, we are Rs. 4,000 - plus crores. So, we had, at that time, said that we will do it 4 times. Not many people believed us. We have in 3 years doubled it, more than doubled. And whatever we have said last year we have said with full conviction that we will deliver it. So, please take it on what we have said. We have a tr ack record of demonstrating and we will demonstrate it.

Subhadip Mitra : And with regard to the dividend, let's say, the prior year's related dividend that we have received from ITPC. If we adjust for that number, what would have been the growth in the prof its for the current year?

Sanjeev Churiwala : I think we will not be able to adjust for it for a simple reason because we also had another dividend last year. If you look at on a like -for-like basis, we had a higher dividend last year, right? To that extent , like -for-like basis, it will only go up.

Subhadip Mitra : Sir, if I understand it correctly, last year, the higher dividend would have come from the coal - related operations, whereas this year, it's come from this ambient entity. Am I right in understandin g that?

Dr. Praveer Sinha : Yes, partly, not to the full extent. And as mentioned earlier by Sanjeev is that this is part of the old payment that we are getting. There's still some balance that we are still due. And also, these companies are now making profits, so we will start getting dividend from those profits also. So, yes, these will be over and above our 3 main businesses that is generation, transmission and distribution and renewable. They will also supplement in terms of the profitability.

Subhadip Mitra : Understood. And sir, lastly, with regard to the regulatory assets, both at Delhi and in Mumbai, that number has been growing every year, do you foresee a scenario post -elections where there will be some relief on both these parts?

Dr. Praveer Sinha : So, Delh i, the regulatory assets have reduced by more than Rs. 800 crores. In Mumbai also, we expected because of the tariff increase that has been done in the month of March. In this financial year, we will reduce by another Rs. 1,200 crores to Rs. 1,300 crores. And Delhi, last year what has happened will continue in this year also. So, I think the trend of the reduction of regulatory asset has already started, and it will get amortized in the next 2, 3 years.

Moderator : Next question is from the line of Rajesh Ma jumdar from B&K Securities. Please go ahead.

Rajesh Majumdar : My first question was on the net debt level. There seems to be some kind of working capital release in this quarter of Rs. 2,150 crores. What is this pertaining to?

Sanjeev Churiwala : So, I think, again, a quarter -wise number can be misleading. The way I would really explain is when I look at the complete full year, my average working capital is close to about Rs. 3,500 crores and significantly lower as compared to all the past years. A cou ple of reasons. As, I think a lot of financial discipline has gone in, in terms of how we are collecting receivables. We have a big presence with the retail customers in our DISCOMs, and there's a lot of efficiency built up, which has happened.

Also, with respect to support from the procurers, all the timely payments are also happening. So, all of this put together plus lot of supply chain and inventory management has led to

a significant reduction in our working capital. And of course, as a result of that, if you see why we have done Rs. 12,000 crore CAPEX this year, almost an all -time high CAPEX for the full year, our debt levels are almost constant, and our debt equity is almost 1x. So, I think there is a very healthy and comfortable debt position and cas h position.

Rajesh Majumdar : Yes, I was coming to that. So, basically, what would be our comfort level of debt for the current year and the CAPEX for FY '25?

Sanjeev Churiwala : Well, the CAPEX is something that we have already said that and some of you alr eady alluded to that, that we are kind of spending more CAPEX in the current year as compared to what we had done in the past. We already have a renewable pipeline of 5.4 -megawatt, will be executed over 2 to 3 years' time. So, that would lead to a signific ant CAPEX of almost Rs. 15,000 crores to Rs. 20,000 crores every year. So, this is kind of maybe a little higher than what the CAPEX that we have mentioned during the investors call.

Rajesh Majumdar : And in targeting our debt equity at some kind of level, what will be the enhanced CAPEX then?

Sanjeev Churiwala : No, I think debt equity, while we are standing at 1 .0 time, which is a very, very healthy situation, then ideally any debt equity of 1.5 is fine with us. But I think while debt equity is in our mind, most of that, I think, improving our cash flows every year so that we can self -fund a large part of the CAPEX is what we are working at.

Rajesh Majumdar : And sir, my second question was on the wind assets. We've seen some kind of improvement in the new equipment in terms of CUF of the wind turbine generators. So, given that and the fact that the tenants have also gone up, will be aggressively getting into wind projects in the future? Any direction on that?

Sanjeev Churiwala : So, for the FDRE and the RTC complex project that we do, it's all a combination of solar and wind, right? So, we cannot be in pure solar. It' s always a combination of solar, wind and battery storages. So, yes, the answer is yes. It will always be combination of all this. And to that extent, whatever wind power needs to be deployed, we'll build those capabilities.

Rajesh Majumdar : And any IRR nu mber on the revised tariff and capacity utilization on wind, solar, etc, any new IRR ranges that you can guide on versus what used to be 1 year ago?

Sanjeev Churiwala : The tariff is going up, and I think that there's a bit of a sanity in the market in term s of what returns we are targeting. But yes, every company depending upon their cost of capital, interest rate will have their own definition of what returns they want to target. We don't play on a low return kind of target. And for all the project wins th at we have done so far, we are kind of looking at a good return on them.

Rajesh Majumdar : 15% plus, is that a right number to arrive at?

Dr. Praveer Sinha : I would say better than mid -teens because that's the type of return we get in our distribution and transmission business. So, yes, we definitely look at much better returns compared to others.

Moderator : Next question is from the line of Dhruv Muchhal from HDFC Asset Management. Please go ahead.

Dhruv Muchhal : Sir, the developer order book, the developer under construction renewable projects that we have is about 5.5 gigawatt, including hybrid, and you're guiding for about 1.5-gigawatt commissioning, I think, for FY '25. So, would it be fair to assume the remaining about 4 gigawatt would get commissioned in FY '26?

Sanjeev Churiwala : It will be a combination of 24 months, 36 months. So, yes, I suppose definitely, we're targeting 3.5 to 4 gigawatts by '26, and the remaining early 2026 probably. So, yes, 2.5 years is something that we can, as of now, assume. A quarter here and there, something that happens, but that'

s the
plan.

Dhruv Muchhal : And sir, when you give these hybrid numbers in the order book, I mean, in the under -construction portfolio, for the hybrid projects, I mean, does it include wind plus solar, and that capacity is the total capacity or it's just the AC capacity that we are quoting?

Sanjeev Churiwala : So, the one that we quote is the installed capacity, right? And the installed capacity for an FDRE or a hybrid or an RTC is kind of 3x of the PPA capacities.

Dhruv Muchhal : Got it. So, this is the installed capacity number that we are giving. Perfect. That's helpful. And sir, secondly, would it be possible to give what is the EBITDA run rate for the current RE portfolio, I mean, the commissioned RE portfolio, which is about 4.5? On an annualized basis, assuming these projects were running throughout the year, what would be the EBITDA run rate?

Sanjeev Churiwala : We will give you much more than that, if you look at Slide #57.

Dhruv Muchhal : So, I was looking at that slide. So, for example, project got commissioned in fourth quarter, the EBITDA only for that quarter is considered . Next year, it will be the full EBITDA. I was just trying to understand what would be the run rate EBITDA or the commissioned capacity.

Sanjeev Churiwala : I think the way you have to look at it is look at the generation units, right? And this is a generat ion unit, you can calculate the first unit thing because, otherwise, to decode which date this particular capacity was commissioned becomes too complex a thing. And of course, for your modelling , if you need any help, we are more than happy. You can reach out to Rajesh separately. He can help you build upon that.

Dhruv Muchhal : Yes, sir, because run rate EBITDA is a thing, I think it's a common concept in renewable companies globally, and I think even some of the Indian companies, which helps us adjust for the seasonal or quarterly commissioning volatilities in the renewable portfolio, but, sure, probably we will discuss it offline.

Moderator : The next question is from the line of Gopal from SBI Life Insurance. Please go ahead.

Gopal Nawandhar : My question w as on this impairment, which you have taken for WREL portfolio. So, this is on account of what, sir? Is it like the PPA remaining lives are coming down, that is the reason? Or how do you compare it?

Sanjeev Churiwala : So, let me just give you a conceptual reply. When we won this asset, we kind of paid a Rs. 1,600 crore goodwill. And then this goodwill kind of allocated over the 22 assets that we have. Overall company as a whole, we have a surplus position. But on the certai n few assets, because of various reasons, there will be an impairment because the goodwill amount that's allocated to those assets during that time was done out of certain different assumptions. And of course, this is a common part that everyone knows that over a period of time, those assumptions may hold good or not good.

But I think what is important is this is more of an unwinding of the goodwill, which is a noncash charge and an exceptional charge. And this unwinding absolutely will keep on happening ev ery

year because we have Rs. 1,600 -odd crores, so you can assume about Rs. 100 crores to Rs. 150 crores of unwinding you'll see in the current year and going forward as well.
Gopal Nawandhar : And so what is the remaining life of PPA for WREL?
Sanjeev Churi wala : They have various assets, So, we'll will have to get into the detail of it.
Gopal Nawandhar : So, there are changes in the thought process of the government in terms of putting more thermal capacities. We, in the past, have always indicated that we wi ll focus more on renewables. And even there are thoughts on basically UMPPs and all. So, will you ever consider a change in your thoughts on adding more coal ca

pacity in the future?
Sanjeev Churiwala : Well, we stay focused on what we have already communica ted, so there's no change in our plans.
Gopal Nawandhar : And sir, what we've seen in the last year, almost 40 -gigawatt of ordering was done in renewables. What is that we have won out of that?
Sanjeev Churiwala : So, I think roughly a little less than about 2-gigawatt is what we have won. But I was as earlier explaining, we are not now doing a pure -play solar or pure -play bids, which is that consists of a large chunk of that 40 -gigawatt. We are largely focusing on the complex space.
Gopal Nawandhar : Okay. De spite there is an improvement in the pricing?
Sanjeev Churiwala : Yes. If you see the Slide #24, you'll get an understanding on the kind of pricing that is moving. And of course, FDRE complex bids, not everyone can do that. And to that extent, we are more confident that going forward, we will continue to have a portion of bids there. For example, last year, out of 40 -gigawatt, I think the hybrid on average is only 10 gigawatts. Another 10 -gigawatt, we have close to about 2 -gigawatt bid already.
Gopal Nawandhar : And sir, on capacity addition side also, this year, I think we hardly added 600 -megawatt in the renewable portfolio. So, do you think this share can go up? Are there any on -ground challenges, which is restricting us in terms of adding more capac ities? What is that restricting us?
Sanjeev Churiwala : Last year, if you remember, the prices of the cells, modules, availability of land and various regulations, there were a lot of challenges that were there. And hence, we decided to deliberately push o ut some of the projects, right? And to that extent that has really helped us to sort of deliver at the bottom -line ambition that we have. But yes, we have basically about 5.4 -gigawatt in the pipeline. And one can expect 1.5 to 1.2 -gigawatt getting commissi oned in the current year and a much bigger capacity getting commissioned in the subsequent years.

Gopal Nawandhar : And lastly, sir, on T&D side, on these transmission projects, do we have any targeted market share or any value in mind because last year, ou t of Rs. 40,000 crores, we won only Rs. 2,300 crores. So, do we have any aggressive plan for the next year on transmission side?
Dr. Praveer Sinha : No. So, we are now looking at some of the states very aggressively. We won 2 of them. Again, we are selective. B ecause considering the timeline in which it has to be implemented and ROW (Right of Way) issues in many of the places, we have been very cautious. So, we will bid, of course, but we will be careful in the type of bids that we give, and we will create a good portfolio of transmission projects.
Moderator : Ladies and gentlemen, we'll take that as the last question. I'll now hand the conference over to Dr. Praveer Sinha for closing comments.
Dr. Praveer Sinha : Thank you, everyone, for joining for this analyst ca ll. In case you have any further questions, please connect with my colleagues, and we'll be happy to respond to you and also help you in making it more easy. We have tried to make the presentation much simpler and much friendly in terms of providing as muc h detail as possible. But in case there are any further improvements that you would like, please inform us, and we'll try to incorporate that in the future presentation. So, thank you, and take care. All the best.
Sanjeev Churiwala : Thank you.
Moderator : On behalf of Tata Power, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2024

August 12, 2024
BSE Limited
Corporate Relationship Department1
stFloor, New Trading Ring
Rotunda Bldg., P. J. TowersDalal Street, Fort
Mumbai – 400 001.Scrip Code: 500400National Stock Exchange of India Limited
Exchange Plaza, 5thFloor
Plot No. C/1, G BlockBandra-Kurla Complex
Bandra (East)
Mumbai – 400 051.Symbol :T A T A P O W E R
Dear Sir/Madam,
Earnings Call Transcripts
Pursuant to Regulation 4 6(2)(oa)! of!of!the Securities and Exchange Board of Ind ia!(Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, the transcript of the audio call recording of the Company's Analyst Call held on August 6, 2024, on the Audited Standalone Financial R esults! and Unaudited Consolidated Financial R esults! of the Company for the quarter en ded!June! 30, 2 024!is attached herewith.
The transcript of recording can also be accessed on the Company's website using the following link: !
https://www.tatapower.com/content/dam/tatapower aemsitesprogram/tatapower/pdf-root/company -financials/
analyst-call-transcript/fy-2024-25/Tata%20Power%20Q1FY25%20earnings%20call_tr anscript.pdf
This is for your information and records.
Yours Sincerely,
For The Tata Power Company Limited
Vispi S. Patel
Company Secretary
FCS 7021
Encl: As aboveVISPI
SAROSH PATELDigitally signed by VISPI SAROSH PATEL Date: 2024.08.12 13:29:23 +05'30'
"The Tata Power Company Limited
Q1 FY25 Earnings Conference Call "
August 6, 2024

MANAGEMENT :D R.PRAVEER SINHA –CEO &M ANAGING DIRECTOR –
THE TATA POWER COMPANY LIMITED
MR.S ANJEEV CHURIWALA –CHIEF FINANCIAL
OFFICER –THE TATA POWER COMPANY LIMITED
MR.J . V .P ATIL –FINANCIAL CONTROLLER –THE
TATA POWER COMPANY LIMITED
MR.K ASTURI SOUNDARARAJAN –INVESTOR
RELATIONS –THE T ATA POWER COMPANY LIMITED
MR.RAJESH LACHHANI –INVESTOR RELATIONS –THE
TATA POWER COMPANY LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to The Tata Power Company Limited (Tata Power) Q1 FY '25 Earnings Conference Call. As a re minder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Dr. Praveer Sinha, CEO & Managing Director of Tata Power.
Thank you, and over to you, sir.
Praveer Sinha: Thank you, Dorwin. Good evening, everyone and thanks for joining for the Analyst Call. I'm joined today by my colleague, Sanjeev Churiwala, CFO; Mr. J.V. Patil, Financial Controller; Kasturi and Rajesh Lachhani from the Investor Relations and few of my other colleagues from Finance and Investor Relations team.
It's a proud moment for us to once again share with you that Tata Power's performance this quarter has also been very good and this is the 19th consecutive quarter in which we have shown increase in our capacity. And that goes to prove that how consistent our performance has been, the good foundation that has been laid continues to support the company for improving its performance quarter over quarter. Then we are looki ng at the market, we find that the demand of power has grown by nearly 11% in the last quarter. And it continues to be very, very robust going forward also.

In the last budget announced by our honorable Finance Minister. There are four things that she
mentioned, which has a huge impact on us. The first is the focus on the PM Surya Ghar Program.
And as all of you are aware, we have already got more than 1 lakh rooftop solar installations. And with the focus of the government to install nearly 1 crore in next 3 to 4 years. We are poised
to really be the market leader and take the pole position when implementing rooftop solar right
across the country.
The second point that was mentioned that the government will be coming up with the policy to
support the pumped hydro storage. As all of you are aware, government has been supporting
many of the FDRE projects, especially considering that while going forward while we will have
the infirm power from solar and wind, to make them firm battery storage or pumped storage will
happen. And that's why government of India has seen that many of the firm storage projects,
which are there in the pipeline should get implemented quickly.
As you are aware that in Tata Power, we have already taken initiatives. We have given 2,800
megawatts out of which the 1,000 megawatt should po ssibly start in this year, later part of this
calendar year once we get all the necessary approvals. And the other 1,800 megawatt should
start by mid of next year.
The third announcement, which the government -- the honorable Finance Minister made was,
they will come up with a policy, which will en courage private sector participation in small

modular reactors. In this regard, we are discussing with the concerned authorities in the
government and the company involved in such activity. And we do hope that we will play a
very, very important role once there is a clarity on the technology and the fuel and...
Moderator: Sorry to interrupt, but the audio for you have been very low, not audible.
Praveer Sinha: So I think on smart modular reactors, there will be a lot of activity that will happen. And we will
definitely examine them objectively to see the op portunity that we have and how in our quest to
move towards the renewable energy. This can support us going forward. We also have seen in
the budget that the honorable Finance Minister mentioned about some of the duty reduction on
the green energy space, and those will benefit the industry g

oing forward.
We have already shared the financial details. I will not go through that. But just a couple of
things. First is that our 4 gigawatt cell and module plant is progressing very well. The module
plant, which was commissioned in the last financial year has now stabilized and is producing at
full capacity. And we have already shared with you that performance in the first quarter has been
good. And now that it has stabilized and the quality has improved, it will further improve in this
quarter and subsequent quarters.
Our cell plant is ready to get commissioned in this month, the first 2 gigawatt will get
commissioned. And in next month, we will have the next 2 gigawatt commissioning and we
expect that it will get stabilized in the next 2, 3 months and the full capacity will start getting
produced from the third quarter onwards.
We have also now finalized an agreement to execute a 600 megawatt hydro plant in Bhutan with
Druk Green Power. This is a project which will produce power in Bhutan and partly will be
consumed in Bhutan, especially during the winter months. And in the summer months, it will be
sold in India. And the preliminary work on the statutory approval, land has been acquired and work will start in the later part of this calendar year. And this will require an investment of nearly
INR6,900 crores. We will have 40% equity in this project, with the responsibility of sale of
power in India has also in project implementation and operations.
We have shared with you about some of the other initiatives that the company has taken,
especially in terms of the execution of projects . And in this quarter, we have already spent
INR4,000 crores of capex with nearly 60% in the renewable and balance 40% in transmission
and distribution. And the results of that in terms of the returns will start showing in the next
quarter onwards.
We have a very ambitious plan of INR20,000 crores investment in this year and we are on track
to implement that. And all our initiatives in renewables, which includes our rooftop
manufacturing, utility scale, third-party EPC are going very well. Similarly, in the transmission, our projects are getting implemented. The two projects where we had started, which was under
stressed assets which we took over, the Part A of that project is alread y commissioned and started
giving us returns.

The Part B is under implementation and will get completed in this financial year. The two
projects that we won in the bids, in the TBCB bids last year, they are under implementation and
will get implemented and become operational in FY '26. We have recently won another
transmission project. This is an intra-state project. This is a 765 kV line in Odisha, and we will complete that in 24 months as

per the condition of the contract.
All our businesses have done excellent performance, has given very good results. And we find that quarter-on-quarter, our results are improving because of the strong foundation of each of these businesses. And we expect that this will continue to improve going forward.
Our balance sheet is very, very steady in spite of large capex that we have incurred. And we do expect that our net debt, which has gone up by INR4,300 crores to INR42,000 crores will be very, very calibrated when we look at the financial metrics of net debt to underlying EBITDA, which is less than 3x and our net debt to equity is less than 1.1x.
So I think all these are very good signs and acknowledging all the efforts that the company has made. We have got upgraded in terms of our credit rating from AA+ to AA plus stable, both from ICRA and CARE. And this will help us to further bring down our financing costs and to that extent to improve our profitability.
With these remarks, I would like Dorwin to open the floor for questions and answers.
Moderator: The first question is from the line of Sumit Kishore from Axis Capital.
Sumit Kis

hore: My first question is that RE auction volume which one as per your presentation has been 20 gigawatt plus...
Moderator: Sorry to interrupt Sumit, the line for you is not very clear. I request you to please move to an area with better network.
Sumit Kishore: Yes. As per the presentation, RE auction volumes in Q1 have been 20 gigawatt plus. You also mentioned that solar cell and module prices have been falling while auction tariffs have risen. I just wanted to understand why has Tata Power not seen an increase in solar and hybrid RE pipeline in Q1 FY '25? Even the EPC order book for utility scale solar has not grown quarter-on-quarter from March '24. So just wanted to understand any thoughts behind these numbers?
Praveer Sinha: So as you are aware, we have more than 5 gigawatts of utility scale renewals, which is under implementation, which includes some of the enterp rise orders also, which is the group captive for Tata Steel and some of the other industries. In addition to this, there is nearly 3 gigawatts of third-party EPC, which is under implementation. So we have nearly 8 gigawatt of projects, which is under implementation now.
And we are fully tied up for all the projects for this financial year where we expect to do more than 3 gigawatts of implementation and next year of 4 gigawatts. So we wanted to ensure that first we implement all these projects, at least, major quantum of these projects get completed in this year, before we started bidding for new projects going further.

Also, what we have found is that while the re newable projects can be implemented in 24 months, the availability of evacuation arrangement transmission lines are taking much longer. And we expect the new set of transmission lines to only come in FY '27 and '28. So that's why we don't want to take a project and then get stuck with th em, which stuck because of the transmission or the evacuation arrangements not being available.
So we will definitely look at accelerating some of these projects. But our objective is that we will be participating more in complex and hybrid projects and FDRE projects then just lean in our solar and wind projects. And you will see in this quarter, a large number of hybrid and FDRE projects are going to come, and we will be aggressively bidding.
Sumit Kishore: This is very clear. The 3 gigawatt commissioning that you mentioned in FY '25 and 4 megawatts next fiscal includes both self Tata Power own projects and third-party projects?
Praveer Sinha: Absolutely right. So the 5 gigawatt of our own and 2 gigawatts to 2.5 gigawatts of others.
Sumit Kishore: Got it. The second question is on Delhi Distribution business in Q1 where we have seen an operating profit increased sharply to INR554 crores versus INR321 crores in Q1 FY '24. Is there any onetime tariff order impact, if you could please elaborate?
Praveer Sinha: Yes. There is a onetime tariff order impact of INR163 crores and that has been established.
Sumit Kishore: Okay. Just a last question is on your cluster-wise consolidated EBITDA numbers. So if I look at Solar EPC plus TP solar, which is the new disclosures including plus others, including elimination. It is actually all in year-on-year despite the TP solar, 4 gigawatt module facility being available for the full quarter. So I understand the intersegment elimination between solar EPC and TPC solar. But why is th e total EBITDA for solar EPC plus TP solar plus others lower on a year-on-year basis?
Praveer Sinha: See, the best way to look at them is on a 12-month cycle because what happens is certain activities gets completed in different quarters. So in one quarter, it may be that only the steel structures have consented. In the next quarter, the solar modules have gone up. It's very difficult to keep a track on a quarter-to-quarter basis. But if you see on a 12-month rolling basis, you will find that it has only improved.
Modera

tor: The next question is from the line of Puneet Gulati from HSBC.
Puneet Gulati: Congrats on good performance. My first question is on your pumped storage. Can you talk a bit about where you are in terms of approvals, et cetera? And what all more do you need before you

start construction?
Praveer Sinha: There are three parts of this. One is the land acquisition and various internal studies and approvals, all that has been do ne. So all the private and the government and the forest land has been obtained. The second component is about the approval from CEA and other CWC and other authorities. We have got all approvals except in one, which we expect that we will get in August.

The third is the environment and forest. There al so, most of the approvals have been received. And we expect the balance approvals to come by Se ptember, October. So that's why in this year, we will start the construction activity. The preliminary work relating to the project has already started and we expect that the project will be completed in 44 to 46 months.
Puneet Gulati: And have you placed orders for the equipment yet?
Praveer Sinha: The bidding process is going on and hopefully by October, we will finalize the order.
Puneet Gulati: Okay, that is helpful. And on Bhutan, if you can talk a bit about the time line of completion and the role that we will play. So execution will be your responsibility there?
Praveer Sinha: So execution is a joint responsibility of Druk green and Tata Power. Already, the order for civil construction work has been given and the diversion tunnel work has already started 2 weeks back. So we will get the benefit of 5 months in that.
Secondly, once the civil work order is reinstated over there, we expect the work to start in later part of this calendar year. We will now be working with the banks on financial closure and also a tie-up of sale of power. And we expect that in next 3 to 4 months all this will be completed.
So our expectation is that within 5 years, we will be able to complete this project.
Puneet Gulati: Okay. And just a small accounting. There was just a negative working capital impact of some INR2,500 crores this quarter, if you can comment a bit on what does that relate to?
Praveer Sinha: Yes, there are some payments which we were expecting from some of our large EPC projects that we were executing. That got differed. Some of it has been collected in the month of July and balance in August and September...
Moderator: The next question comes from the line of Mohit Kumar from ICICI Securities.
Mohit Kumar: My question is on the solar manufacturing. Where is this profit on the module sitting in which entity?
Praveer Sinha: This is in TP Solar.
Mohit Kumar: TPSSL, right? Am I right?
Praveer Sinha: No, TP solar.
Mohit Kumar: That's not as part, the details are not there, understood.
Praveer Sinha: It is in renewables, it is in the Item 3 in re newables. You would see the TP solar 4.3 gigawatts cell and module manufacturing plant.
Mohit Kumar: Understood, sir. My question is, is it fair to say that we'll not be able to consume entire 4 gigawatts for the manufacturing during our pipeline. Do you think we'll open to external sales? And is it a case to expand the capacity?

Praveer Sinha: I mentioned to you that we have already 5 gigawatt of our own projects, which we have to implement and another 3 gigawatt of third party. So I have already 8 gigawatt of capacity, which is tied up. So for the next 2 years, I'm already full. And -- but if there is any additional capacity we will have, we will look at the opportunities, especially projects on DCR modules. And also, if there are good export opportunities, which are available, we can definitely examine.
Mohit Kumar: Understood. My second question on the solar rooftop. Have you seen the guidelines from the government or in the pub

lic domain, do you see any uptick on the -- in the inquiries? How do you think about this business for the rest of planning for the year?
Praveer Sinha: There is a huge uptick. And it is something to the extent of 10x more than what we saw last year. So great opportunity. It's a question of ho w quickly we can convert them and execute these orders.
Mohit Kumar: And do you think we'll see the traction in a meaningful term?
Praveer Sinha: Beg your pardon?
Mohit Kumar: When do you think you see a meaningful accretion in the revenues from solar rooftop?
Praveer Sinha: I think by fourth quarter usually starting third to fourth quarter.
Moderator: The next question comes from the line of Satyadeep from Ambit Capital.
Satyadeep: First question is on the capex, there's a signif icant step-up in the capex guidance of INR20,000 crores this year versus last. And I believe wha tever we allocate pumped storage in Bhutan, may not be that material. So I just want to, is it po ssible to outline where is all this capex going across different businesses?
Praveer Sinha: So just to give you a little general idea, out of INR20,000 crores, about 55% to 60% will go to renewable, which includes the renewable manufacturing plant and also the utility scale projects

that we will execute that the two captive projects that we will execute. Another 30% will go to our Transmission and Distribution business, the various projects and also the ongoing
distribution in Delhi and Odisha. And about, I would say, about 15% -- 10% to 15% will be in
our thermal and some of the new investments that we are doing in pumped hydro and the Bhutan
project. So that's is the approximate sort of indicative numbers that is there.
Satyadeep: Okay. Just wanted to understand the SMR, there se ems to be some excitement around there, i.e.
we should believe the capex cost for SMR is somewhere around INR30 to INR40 crores. Can
you outline maybe discuss what is driving this optimism around SMRs?
Praveer Sinha: The details are still to be out and it will be very premature at this stage to guess what will be
their capex and what will be their cost of fuel and things like that. So lest wait for this type of
structures that the government is proposing to come. And let's examine it and then we will be in
a position to share our view on the same.

Satyadeep: Okay. Just one quick question on rooftop solar. Are you seeing any increase in competitive
intensity in your own expectations earlier, I beli eve you were looking at 30% market share has
been toned-down to 20%. It seems like overall competitive intensity. Are you seeing more
players enter this segment given the opportunity size?
Praveer Sinha: So there are very fragmented players. Those are I wo uld say, not really competitor in that sense.
So whatever, whoevere is looking for quality products, longterm, we have 50% to 60% market
share actually in those sectors.
So I think no one has the type of market access and the product quality as we have. So I think
we are in very good position as far as rooftop solar.
Moderator: The next question is from the line of Apoorva Bahadur from Goldman Sachs.
Apoorva Bahadur: Sorry, you briefly touched upon the possible constraint on transmission sort of impacting
renewable execution generally. So just wanted to check like what type of transmission capacity
do we have in hand for executing future projects?
Praveer Sinha: I think the type of capacity is that has been planned is among us and in the sense they are talking
about how to add capacity of nearly 150 gigawatts in 2030. And the bidding process for rate and
execution, ROW are huge challenges. So I think it will be very important that these are planned
in such a way, that they come along with the execu tion of these projects in different parts of the
country. And that's where also there is an opportunity for companies like us who are also in
transmission to take a

much larger pie of the opportunity that will come.
Apoorva Bahadur: Sir, I meant from our renewable capacity development perspective. Do we have, say, any surplus
transmission capacity beyond our renewable pipeline today? Or is it adequate for what we have
in hand?
Praveer Sinha: So this is just adequate for all these new capacitie s that will come up in the next 2 years. And
that's where we have to add more capacity, more transmission lines have to be set up. And FY
'27 onwards more and more lines have to come with. So you want 50 gigawatts of renewables
to come in FY '27, then you will have to create that sort of transmission arrangement to evacuate
that power.
Apoorva Bahadur: Understood, sir. And do we have surplus land bank for renewables already in place or...
Praveer Sinha: The Tata Power, yes, we continuously keep on acquiring land at the various locations and we
have a large land bank. Some of them we acquired, some of them we take it on long-term lease.
So that's an ongoing process and as I mentioned to you that we are now looking more of hybrid solutions, solar and wind sites
we are looking at. And we continue to keep on adding as the
demand increases.
Apoorva Bahadur: Sure, sir. Last question from my side is on the PPA for the Bhutan project. You mentioned that
the arrangement will be such that power will be sold in Bhutan during winters and India in
summers. So what type of an offtake agreement are you looking at over here?

Praveer Sinha: Like a standard PPA will be there for any IPP. And this will primarily be for 25 or 30 years. The
agreement is for 30 years. So we typically have a 30-year PPA for hydro plants, as is already
being done for many of the plants which are developed in India and also developed in Nepal. So
this will be primarily catering to the summer months from May to October, and it will actually meet this requirement of power of
the country going forward.
Apoorva Bahadur: Sir, what type of returns are generally built in?
Praveer Sinha: Well, nothing less than what we get in CERC.
Moderator: The next question is from the line of Rajesh Majumdar from B&K Securities.
Rajesh Majumdar: Congratulations on a good set of numbers. Sir I want to harp on the nuclear...
Moderator: Sorry to interrupt Rajesh, but the line for you sound muffled. I request you to please change the
handset mode?

Rajesh Majumdar: Yes. So as I was saying congratulations on a good set of numbers, sir. And just to harp on the nuclear modules a little bit. Would it be possible to give us an idea about the speed to delivery time in these modules? Like typically, what would be the kind of construction time for these SMRs?
Praveer Sinha: First of all, thank you. But I really don't know what to tell you very frankly. We are still waiting to hear from the government and also the iden tified public enterprise who would be working with us. So this is, it's very, very preliminary. And let's wait, I think, another 2, 3 months, we will get better clarity on this.
Rajesh Majumdar: Okay. Sir. And my second question, sir, would it be fair to assume that our growth in the Renewable Business will be fueled mostly fro m the whatever group in-house capex that is happening as well as the rooftop solar becau se you yourself opined that a large amount of transmission capacity would be coming in only in '28 and '29. So that would be normal hindrance to our ability to bag projects, other kind of projects. Is that a correct assumption?
Praveer Sinha: No, no, it's not a correct assumption. I mentioned to you that we have 8 gigawatt under implementation, which will come in FY '25, '26 and some of it in early part of '27. Now for '27, '28, the evacuation have to come. So if we get any new project for that, the evacuation has to be tied up. And it's important that the evacuation lines are planned for FY '27 and '28. So we will be taking a large number of projects, but w

e'll go further complex and hybrid projects like solar and wind or FDRE projects with storage. And all these projects will come up in the year by '27, '28. And you will find that these are not only for utility, but also for enterprise and industries with whom we will be tying up.
Rajesh Majumdar: And sir, my last question is, see, we've seen a large amount of investment by JSW Steel on the renewable front, wherever you've not seen a similar kind of move from Tata Steel taking place because they have their own issues regarding Eu rope, et cetera, which are getting sorted and probaly at some stage they will do it. Do you se e that coming as a kind of a large sector over, say, 1 or 2 years? The decarbonation ri ght from Tata Steel in particular?

Praveer Sinha: We have already signed an agreement with them to make -- to provide them 966 megawatts of hybrid projects. Part of it will get commissioned in this financial year and balance in the next financial year. Apart from that, we've already executed some of the projects for them of nearly 100 megawatts. And another 100 megawatts is under finalization. So I think Tata Steel is going very aggressive and they will be in the forefront and the Tata Power will provide them all support for clean energy.
Moderator: The next question is from the line of Ketan Jain from Avendus Spark.
Ketain Jain: Sir, my first question is on what is the status of solar pumped business? Like how much have we installed in FY '24 and the first quarter?
Praveer Sinha: So, we have not installed any more solar pumps in this year because th e last order, which was given in FY '22 and whatever order was given, we have completed that. The new set of orders have not come and so we have not seen it.
Ketain Jain: Sir, in the module manufacturing, what type of r ealization can we expect in domestically, like in our facilities coming on?
Praveer Sinha: Very difficult at this stage to sa y that the plant is still stabilizing. And we'll be able to share more details maybe in quarter 3, once the plant has stabilized for this.
Ketain Jain: Understood. Sir, what is the view on power distribution reforms and what opportunities are likely to come at our way?
Praveer Sinha: So there are some states who are examining this proposal and we do expect that in next 2, 3 months, some of them will be formally come out with the proposal. Our seniors to submit the proposal, I'm sure you will come to hear of that.
Ketain Jain: Any state names you can?
Praveer Sinha: That the states have to be informed, I cannot give you...
Ketain Jain: Okay. And my last question on the section level. So when do you think section-11 will be reintroduced again?
Praveer Sinha: It's already in other operations. It's there until 15th of October. And we expect either that will get extended or we will find any amicable solution.
Moderator: The next question is from the line of Vishal Periwal from Antique Stockbroking.
Vishal Periwal: Yes. Sir, Vishal Periwal from Antique Stockbro king. So a couple of clarification. One is, you mentioned that you'll be doing 3 gigawatts this year, 4 gigawatts next year. So this is under the asset and we will be the asset owners? Is it in a ddition to the EPC, the separate line item for the site?

Praveer Sinha: So I mentioned that 5 gigawatt of our own we will be doing and 3 gigawatts offer third party. So totally, we will be doing about 8 gigawatts. More than 3 gigawatts we will do this year and

more than 4 gigawatts, we will do in FY '26. So that's the broad plan that we have.
Vishal Periwal: Okay. So maybe I'll just clarify. So this include s we are the asset owners and also it includes where we are doing EPC for others?
Praveer Sinha: Absolutely right.
Vishal Periwal: Okay. And what will the breakup be there in ter ms of our where we are asset owners, what is the addition in this yea

r and next year?
Praveer Sinha: We'll be able to provide you separately. I don't ha ve it in the breakup right now, but I'm sure we'll be able to provide you that.
Vishal Periwal: Sure. Sure, sir. Sure. And maybe one last thing. In the entity-wise consolidated performance, so elimination, which comes in that slide. So if one has to understand from which subsidiary it is largely coming in elimination?
Praveer Sinha: So elimination primarily comes from whatever you do utility scale for yourself. So that is the elimination or any rooftop business that you do. So that is anything within the company is the elimination.
Vishal Periwal: Okay. So the solar EPC is something wh ich particularly coming to that. Okay.
Praveer Sinha: Absolutely right or maybe dividend.
Vishal Periwal: Okay. Okay. Sure, sir. I will get in touch maybe with the team separately for a bit more details.
Praveer Sinha: Yes, you can connect with Rajesh and Kasturi. I am sure they will provide you all the information.
Vishal Periwal: Sure sir. Sure, this is helpful.
Moderator: The next question is from the line of Amit Bhinde from Morgan Stanley.
Amit Bhinde: I just wanted to understand is there any capacity apart from Prayagraj where we have a possibility of selling it on merchant? And if so, in Quarter 1, how much did we sell and the kind of EBITDA we could have made on that one?
Praveer Sinha: So our Haldia plant is a merchant plant. So it's 120 megawatts and I think the 20 megawatts is given to Tata Steel, balance 100 megawatts to merc hants and so also our Prayagraj is nearly 150-megawatt is available for either short term or me rchant sales. So yes, these are the two plants which have merchant sales.
Amit Bhinde: How much would have been the sales approximately and any EBITDA number that you can help us with on that?

Praveer Sinha: That number, we'll be able to provide you separately. I don't have it readily.
Amit Bhinde: Sure. And another thing that I want to understand is, given the transmission opportunity ordering that's happening, how much would be the balance sheet capability to build for a transmission rate, at that time when you are already looking aggressively to bid for renewables in the coming quarter?
Praveer Sinha: There are so -- we'll bid both of them aggressively. I mentioned to you that we are also doing a large amount of capex in our transmission business and we'll continue to do that.
Moderator: The next question comes from the line of Mittal an d sorry, -- this is Anuj Upadhyay an Investec Capital.
Anuj Upadhyay: Sir you also mentioned about the evacuation facility from the Bhutan project, would be on us. Could you elaborate further on that? Would the re turn on the transmission evacuation facility will also be on a regulated basis or or how exactly is this being placed?
Praveer Sinha: So there are two parts of the transmission system. One is the transmission system within Bhutan up to the India border. So that will be done by the Bhutan Power Corporation. And that's the investment that they will do and charge the projects.
The other is the India side of the transmission, which, of course, has been already implemented in the large transmission system has alre ady been implemented. And whatever are the transmission charges, one has to pay but the HPO policy of Government of India says that any project which comes up, up to 2030 may not be re quired to take ISTS charges. So this project should be able to meet that requirement.
Anuj Upadhyay: Okay. And any guidance on the capex, sir? Or does the capex for the hydro project includes transmission capex of cell or is purely for the plant per se and transmission capex, is this right?
Praveer Sinha: Yes, this is only for the plant that the transmission is not being done by us. So we have not kept that capex.
Anuj Upadhyay: Okay. And your share of profitability was slightly down during the quarter across the JV and

the
associate. So was not the profitability across the Indonesian coal with full impact or it was some other line?
Praveer Sinha: Yes, coal companies profitability has been comi ng down because the coal prices are not going up and they have stabilized at certain level. So this is the profit that the coal company has been able to share.
Moderator: Thank you. Ladies and gentlemen, we will take that as a last question for today. I would now like to hand the conference over to Dr. Praveer Sinha for closing comments. Over to you, sir.

Praveer Sinha: Thank you. Thank you very much, Dorwin, and thank you to everyone for your questions. In case we have not been able to respond to all your questions or you still have some additional

questions, please connect with my colleagues from the Investor Relations team, Kasturi and Rajesh and I'm sure we'll be able to provide you all information.

We have over a period of time improved the way the presentations have been made but we continue to expect feedback from you so that it can further be elaborated and becomes more friendly in terms of analysis and assessment. So please continue to give us your feedback and we'll try to give you as in terms of presentation as possible. And thank you, everyone, for joining.

Moderator: Thank you. On behalf of The Tata Power Company Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Nov 2024

November 5, 2024

BSE Limited
Corporate Relationship Department
1st Floor, New Trading Ring
Rotunda Bldg., P. J. Towers
Dalal Street, Fort
Mumbai – 400 001.
Scrip Code: 500400 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No. C/1, G Block
Bandra- Kurla Complex
Bandra (East)
Mumbai – 400 051.
Symbol : TATAPOWER

Dear Sir/Madam ,
Earnings Call Transcripts

Pursuant to Regulation 46(2)(oa) of of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, the transcript of the audio call recording of the Company's Analyst Call held on October 30, 2024, on the Audited Standalone Financial Results and Unaudited Consolidated Finan cial Results of the Company for the quarter and half year ended September 30, 2024 is attached herewith.

The transcript of recording can also be accessed on the Company's website using the following link: Quarterly & Annual Financial Reports - Tata Power Investor Resource Center

This is for your information and records.

Yours Sincerely ,
For The Tata Power Company Limited

Vispi S. Patel
Company Secretary
FCS 7021

"The Tata Power Company Limited
Q2 FY25 Earnings Conference Call "

October 30, 202 4

MANAGEMENT : DR. PRAVEER SINHA – CEO & MANAGING DIRECTOR ,
THE TATA POWER COMPANY LIMITED
MR. SANJEEV CHURIWALA – CHIEF FINANCIAL
OFFICER , THE TATA POWER COMPANY LIMITED
MR. KASTURI SOUNDARARAJAN – INVESTOR
RELATIONS , THE TATA POWER COMPANY LIMITED
MR. RAJESH LACHH ANI – INVESTOR RELATIONS , THE

TATA POWER COMPANY LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to The Tata Power Q2 FY 25 Earnings Conference Call.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th e call, please signal an operator by pressing "*" and then "0" on your touchtone phone.
Please note that this conference is being recorded.
I now hand the conference over to Dr. Praveer Sinha – MD and CEO of The Tata Power Company Limited . Thank you and over to you sir.
Dr. Praveer Sinha : Thank you , Rayo, and good evening to everyone and thanks for joining for the call. On behalf of Tata Power and on my personal behalf, I would like to extend my best wishes to all of you for a very Happy and Safe Diwali.
I have over here my colleague, Sanjeev Churiw ala – CFO along with Mr. Kasturi and Rajesh from Investor Relations. We have already shared the Presentation with you , but just wanted to take yo u through few important issues.
First is the last quarter we saw abnormal monsoon and which extended not only right through the quarter but also extended in October and due to which , the consumption of power was very muted. We of course expect that because of the impact of the long monsoon, the winter will be little severe and there will be an extra demand of power during winter months. Section 11 has been extended due to this reason because there is an expectation that many of the plants, especially co al based plants, will be under maint enance during this period when the demand is less. Also, many of the hydro plants will not be in a position to generate during winter months and hence the demand of power from the operating coal plants will continue to be there.
We have already shared with you that this quarter our PAT before exceptional items was up by 51% to Rs. 1533 crores and EBITDA was up 23% to Rs. 3800 crores. Similarly in the first half of this year the EBITDA has jumped by 17% to reach Rs. 7158 crores and PAT is also up by 41% to Rs. 2721 crores.
Some of the important things that have happened in this quarter, one is that our 4.3 gigawatt manufacturing plant for cell and module are operating. Our module plant is operating at full capacity at 4.3 gigawatt. Our cell plant, the first 2 gigawatt of cel l has already started production and is now getting stabilized and will be fully stabilized by end of November. The second 2 gigawatt also is going to get commissioned in November and hopefully by end December they should be stabilized and producing at ful l capacity. So you will see mass ive improvement in the performance of the manufacturing plant from next quarter onwards. You would also be happy to note that this plant is showing very good initial signs in terms of productivity and yield for

the module plant . As also in the cell plant where we find that the efficiency of the cells being produced is possibly the highest in the country at this stage and with much better yield. We would also take the opportunity to invite you to visit the plant and w e will coordinate your visit to the site in November or December so that you can see for yourself the way the plant is operating and how state -of-the-art that facility has been created.
We continue to do well in our large utility scale projects as well as first party EPC and you will see large quantity of these projects getting implemented in Quarter 3 and Quarter 4 . In fact, there is a very large quantity expected to be commissioned before March this year , especially most of the third party projects will get commissioned before that. You will also see that our work in rooftop solar has really picked up pace. We are not only one of the biggest in the country , but our penetration

in various states have increased tremendously. We have huge traction in terms of order and execution of these rooftop projects in many states. And we have committed that we will be doing 10 lakh of rooftop in Odisha. Similarly, 10 lakh rooftop in UP and 10 lakh roof top in Rajasthan apart from many other states where we are working very closely especially in Kerala and Chhattisgarh and few of the other states also to see that our penetration of rooftop increases in line with the PM Surya Ghar program and many of the i nitiatives that we have taken to increase our channel partner will start showing results in the third and fourth quarter.
Our transmission and distribution businesses continue to do well. Four of our projects in transmission are under implementation. Two of them will get commissioned in FY25 and the balance too in FY 26. Similarly, we have recent ly won another big project, 765k V transmission line in Odisha from Paradeep to Angul. That will also start work in next few months and we

expect to take many more new transmission projects which are coming in different parts of the country in the next few quarters.

Our business in pumped hydro where we had earlier shared with you last year we had taken you to the site is also picking up pace. The first 1000 megawatt , our board has approved the proposal today and we will start the work over there from 1st January 25. The project has received all the necessary approvals accepting one approval which we expect within November, December and some of the activities have already started, the construction activity and full -fledged work will start from January. Similarly, the 6 00 megawatt of Bhutan project which we have signed the shareholder agreement and we will be starting work from January of 2025. In fact, already the diversion tunnel work has started at site and we do expect that it will pick up lot of pace once all the documentation and the financial closure i s achieved within November -December.

We are also working on our 1800 megawatt pumped hydro project at Shirawta and hopefully by mid of next year , the work should start once all the necessary approvals are in place. Our Odisha Discom continues to do well. Of course it had been badly impacted during the monsoon months and then we had the cyclone also last week , but they have been able to very quickly restore work and restored the network which was appreciated by the people as well as the government. And I

think the way the whole business has been structured, we will possibly be able to replicate this sort of an arrangement in many other states which are in discussion with us about distribution opportunities.

Our r ating because of a ll the initiatives that we have taken has improved tremendously . Both ICRA and CARE have enhanced our rating as also S&P Global which has upgraded the rating to BBB negative from BB positive which is actually sovereign rating and we do expect that the way the company has been able to take care of its balance sheet . It will improve further by one notch or two notch in the coming quarters. I do believe that the way the company is today structured and focused on various businesses includ ing new businesses like EV and rooftop and the businesses in our renewable space and clean energy space , we will be able to give unique solutions to customers of providing them 100% renewable power and the company has developed many solutions for that. And this will not only be for the RTC and FDRE projects for Discoms , but also for many of our commercial and industrial customers with whom we are working very closely to provide them 100% clean energy solution. So I strongly believe that The Tata Power Company Limited will continue to do exceedingly well in the future quarters based on the strong fundamentals and foundation it has laid for itself and do look forward for your

support in this direction.

I would now request R ayo to open the floor for questions and answers and would be happy to respond to.

Moderator : Thank you very much. We will now begin the question and answer session. First question is from Mohit Kumar from ICI CI Securities. Please go ahead.

Mohit Kumar: My first question is The Tata Power Company Limited solar system manufacturing capacity. So how are you thinking about this capacity? Is there any plan to expand the capacity or integrate backward? That's the first question. And the related question is how long do you think it will take to stabilize your cell line?

Dr. Praveer Sinha : So as I mentioned to you, we are in the process of stabilizing our cell line. And the task before us is how quickly we can stabilize, how do we improve the yield, how do we improve the efficiency. So this is a big task in our hand. We want to make it the b est in terms of all operational parameters and financial parameters in the country and we are right now focused on completing these activities before we decide on any new steps in future.

Mohit Kumar: Understood sir. It's good to see sir that pump ed storage project is taking off the ground, but my question was a large, b id was conducted in Maharashtra in recent past. It seems that we didn't participate in the tender. So how are you thinking about tying up this Pumped Storage Power Plant, which we are undertaking?

Dr. Praveer Sinha : So our objective is that we will bundle this from storage power where we will be producing nearly 8 hours of peaking power along with solar and wind to not only Discoms under the FDRE and RTC project , but also to many of our industrial and commercial consumers who are looking for clean energy solutions. And I think we will play a very, very critical role in supporting many industries in the country who are looking at clean energy as their input for the activities that they carry out. So w e have huge number of inquiry for all these type of projects and we will soon be tying up with many of them.

Mohit Kumar: My last question on this is solar order book. The accretion in solar order book has been on the lower side. We are at 150 billion or Rs. 15,000 crores. Is it the opportunity which is low or it is competitive intensity which has gone up in recent times especially for third party solar order ?
Dr. Praveer Sinha : So there are two parts of this. One is that we have a large order book of third party, which we are trying to complete within this financial year. And you will see that March, a major quantity of our third party order book we will complete. The second is ou r own more than five gigawatt of renewable projects are there , which are under various stages of implementation. We want to complete those also so that in FY26, all these projects are completed. And then we build up a pipeline of projec ts for FY27 onwards. So that's what is our plan. We decided that we will only go for complex projects that is hybrid solar and wind or hybrid projects and storage projects of solar wind and pump storage or battery storage. So we have been very calibrated in the way that we have been bidding and we will continue to focus on those type of projects which bring greater value to the consumers.
Moderator: Thank you. Next question is from Sumit Kishore from Axis Capital. Please go ahead.
Sumit Kishore: My first question is, what would be the phase out of the RE capacity addition for under construction projects on your books in FY25 and FY26?
Dr. Praveer Sinha : So our phase out , we have already given that how much c apacity we will be adding in FY 25 an d what capacity will come in FY 26. All the so called nearly 5 gigawatt of under construction projects will get completed by FY 26. That is our plan on which we are working. And this also share d with you in our presentation.
Sumit Ki

shore: So you had mentioned 2 gigawatt to be commissioned in FY25 on the prev ious call. Is that on flag?
Dr. Praveer Sinha : We had said that our yearly run rate will be about 2 to 2.5 gigawatt and that's what we are working on.

Sumit Kishore: So what was the capacity utilization for your module manufacturing facility in Tamil Nadu in the second quarter? And could you please speak about the end use of the modules manufactured? How much is for your internal project requiremen ts and how much is third party?
Dr. Praveer Sinha : So we will be able to share those details in our presentation. I think it's already there. I don't have the breakup, but y es, right now it is virtually equally divided between rooftop solar, third party and our own projects and going forward we will try to complete most of the third party in third and fourth quarter and thereafter most of the quantity that we will produce will go for our own utility scale projects and rooftop projects.
Sumit Kishore: And there seems to be a significant increase in your approved regulatory assets in The Tata Power Company Limited Delhi Distribution Limited.
Dr. Praveer Sinha : So, there was lot of regulatory asset amount which was not approved earlier. Now that all of it has been approved, the liquidation plan is being worked out by the regulatory commissions which will get amortized in next 2 to 3 years.
Sumit Kishore: Good to hear that. Just the last point. Are there any non -recurring items that you like to call out for Q2 either in other income or any other regulatory ….
Dr. Praveer Sinha : So, Sanjeev will respond to this.
Sanjeev Churiwala: Yes. So non -recurring I don't know , but we call it one -off because as Dr. Sinha said and you also alluded to that at The Tata Power Company Limited Delhi we have received approval for our regulatory assets, right? And there's a liquidation plan that will happen in the next 2-3 years. We already have some liquidation in quarter one and some liquidation in quarter two . And when you look at that one -off, we had at TPDDL Rs. 170 odd crore of liquidation, which is shown as part of the income i n our distribution business. And then we also had a dividend that we have received from ITPC of Rs. 220 odd crores and this dividend most likely, well this is a dividend that is an accumulation of the past profits we have received, but more than likely that we will still continue to have recurring dividends coming from ITPC in the subsequent years. It's a good recurring item to have and good one -off to let you know.
Moderator: Thank you. Next question is from Aditya Vikram from Digita l Research. Please go ahead.
Aditya Vikram: It seems the profit for Q2 and the EBITDA for Q2 has been aided by lower fuel cost. Do you see it sustainable or you think it will again go back to the normal rate?
Dr. Praveer Sinha : Fuel cost does not move the profit up and down. It is the regulatory environment, normally you get cost plus, right? So it is not because of the fuel cost that the profits are moved up and down. It's because most of the clusters really performing well. And when you look at our renewable

cluster, the profitability for the current quarter is Rs. 300 crore versus Rs. 186 crore in the

previous quarter , is up by 61%. Our generation cluster, our transmission distribution cluster, they all performed well.
Moderator: Thank you. The next question is from Satyadeep Jain from Ambit Capital. Please go ahead.
Satyadeep Jain: A few questions. One was on Mundra . Maybe what's the update there after the availability was down in the second quarter? Any latest update? And we've seen extension of Section 11 and that keeps happening every few quarters. But there's nothing, no update on supplementary PPA. There have been solar plus thermal aw

ards and MSEDCL here and different types of awards.
But why has there been delay on the supplementary PPA? So just on Mundra overall.
Dr. Praveer Sinha : One is that the Mundra plant suffered damage of the coal conveyor system due to heavy rains on I think 27th of August and whole of September we could not operate the plant , but within a period of one month , the conveyor system was repaired and it is now operating at full capacity. So the whole of October it has operated at more than 90 % availability. There is one more pump that has to be repaired , which has already been repaired and so we do expect that Mundra in November -December should do about 95% to 97 % of ability. So it will catch up and meet the yearly 80 % requirement. Secondly, the discussions h ave been going on with the state governments on SPPA. Since the Section 11 continues to get extended, the SPPA discussions also have not been able to get concluded. But I do expect that we should be in a position to close this issue on SPPA with the states within next few months. Of course, the Section 11 helps us to get full pass through cost of the Mundra plant and hence something on similar lines are being discussed with the five procured states for finalizing.
Satyadeep Jain: Mr. Sinha, I think the delay is mainly because of Section 11 being extended so there is no urgency. Is that the main reason for delay in supplementary PPA ?
Dr. Praveer Sinha : Not urgency but yes, it is getting little extended because of that. I expect that hopefully there is now sincere effort that is being made from all sides that we should quickly finalize the SPPA and move on with the agreement which can be there right up to complete the SPPA period of this project.
Satyadeep Jain: Second question is on the Bhivpuri PSP, it is largely a Brownfield , so we thought the CAPEX would be relatively lower at somewhere between 4.5 to 5 Cr. It seems like there's a cost inflation there and maybe some change in configuration from 6,000 -megawatt hour to 8,000 megawatt. What is driving that maybe capital cost inflati on for this brownfield project?
Dr. Praveer Sinha : What happens is each project is dependent upon the local site conditions. And since the site over here is an existing site and also the level of water from where the penstock will come, the alignment of it has to be done in such a way that it is sustainable for a long period of time.

Secondly, many of the pump storage projects of 6 hours , we are designing over here for 8 hours with opportunity to enhance that also. So I think every project has a peculiar and specific requirements and that's why the cost has been worked on those lines a nd these are updated cost, these are not cost which are initial cost, this is the final DPR which has been done through various iterations. So we expect that we will be able to complete the project not only at this cost or may be little lower than this cost.
Satyadeep Jain: Given the 44 -month timeline, it's safe to assume that this project will commission sometime in FY29 and maybe the other projects, we cannot use this cost as a benchmark for the remaining 1800 megawatt cost. Is that fair?
Dr. Praveer Sinha : There may not be too much of difference because that project also hopefully should start by mid of next year and we are in the process. But as I mentioned to you , each project has a specific design and architecture and we need to consider their topography, their condition before we can take a call of what actually. So thumb rules are just good enough for initial discussion, but when you do a fina l one, it takes some more time.
Satyadeep Jain: Just one quick question. On the EPC, I think recently the target was about Rs. 11,000 crores of revenue in FY27. Given the order book and you're looking to execute within the next two years, is there a possibility of risk to

that Rs. 11,000 -crore target that you had for EPC revenue in FY27?
Dr. Praveer Sinha : We will share with you some more updated information when we have the analyst meet in December. So the way the business has moved, you will see that with more and more pipeline of projects, our own projects coming in, our focus is more on our own projects rather than third party EPC because we would like to conserve resources and use it for our own purpose .
Moderator: Thank you. Next question is from Murtuza Arsiwa lla from Kot ak Securities. Please go ahead.
Murtuza Arsiwalla: Yes, two questions. One, actually, the Delhi piece has already been addressed. On this Bhivpuri project against the project costs of Rs. 5,600 crore, is there any indication of what could be the potential revenue on an annual basis for this project, any return profile that you can talk about?

Second smaller piece but on Odisha, the second quarter seems to see some drop in PAT if there is anything out there th at is non -recurring or one -off?

Dr. Praveer Sinha : So Bhivpuri, we will be able to share more details but the returns on all these projects we had already mentioned are definitely what we get in our regulated business , so nothing less than what we get in our regulated business. I think the team is there. The second is you are right that Odisha last quarter was a very tough quarter in terms of collection because of rains over there, access to many locations especially in remote and semi urban areas was difficult and the collection got impa cted. I think they will catch up. September collection has been very good. I think October

also it will pick up pace. And hopefully this quarter and coming quarter, whatever collection shortfall ha s been there will be made good.

Moderator: Thank you. Next q uestion is of Sudhanshu Bansal from JM Financial. Please go ahead.

Sudhanshu Bansal: This, like, in last two quarters, we have been doing around 250 to 260 megawatt of the solar capacity addition. And on a yearly basis, we want to do around 2 to 2.5 gigawatt. So how we are planning to scale up this number to this thing is the first question, sir ?

Dr. Praveer Sinha : So many of our projects which we were supposed to execute in Q2 and Q3 have got delayed because our DCR line, our cell line got delayed. We will catch up and do all that in Q3 and Q4. So most of the other work at the site have been completed including bala nce of plan t. It is just that once the DCR modules are ready, we will be able to . So you will see much faster pace of execution in Q4 once the modules are available. Similarly, many of the other projects which we are trying to pre -pone, which were part of FY26, you will see the results in Q4. So you will see a huge amount of capacity added, which will happen between now and Q4.

Sudhanshu Bansal: Okay, second is like few quarters back we changed our strategy to focus on the captive renewable capacities. So any assessment that how much this our group captive can become in terms of the size maybe in 2 years, 3 years?

Dr. Praveer Sinha : I think the details have been shared with you earlier. We will give you the updated numbers once we have the next round of analyst meet. But Sanjeev, you would like to add anything?

Sanjeev Churiwala: Yes, if you look at the slide 32 of the presentation that is uploaded, against the total order book of Rs. 15,000 odd crores , almost 50% of the order book is for the The Tata Power Company Limited Group companies. And you would expect more in the pipeline to come through. But yes, we are working on a strategy going forward. So when we are meeting up again somewhere in November to December , we should be able to give you more update, but I think the trend that we have earlier mentioned will continue with the similar trends.

Sudhanshu Bansal: Just last question that there was a media news t

hat like we have come out with some tender for wind WTGs for 3 gigawatt. Any color on that in terms of prospective bidder s in the timeline for ordering?

Dr. Praveer Sinha : Well, we examine all these bidders based on merit. So we do a technical and commercial evaluation of them. And based on th ese costs , we decide on the suppliers for these equipment.

Sudhanshu Bansal: Sir, any timeline that when we wa nt to place orders on anything?

Dr. Praveer Sinha : I think before December we would like to place orders.

Moderator: Thank you. Next question is from Vishal Periwal from Antique Stock Broking. Please go ahead.

Vishal Periwal: My question is on the adjusted PAT number, a couple of one -offs that you mentioned. So the slide 52 has that exceptional item of Rs. 440 crore. So that's a cumulative number to take to come to adjusted PAT.

Dr. Praveer Sinha : Yes, so you're talking about the exceptional item, right, which is Rs. 440 crore in the bottom line. So that is a one -off exceptional item, and that is happened because 23 companies or subsidiaries of TPRE L got merged into TPRE L. And because of that, there's a small stamp duty implication of Rs. 140-odd crore, which is a cash out go. That will happen in any case after a year, after all the assessment happens. And there's about Rs. 330-odd crore roughly on account of deferred tax write -off because post-merger , the tax regime will be different and then the existing tax write up had to be done , but it's all non -cash and one time.

Vishal Periwal: At EBITDA level, there is no exceptional that you have. So, Rs. 3800 odd crore is the recurring sort of EBITDA for us, is that correct?

Dr. Praveer Sinha : Yes, that's correct.

Vishal Periwal: And then second is on the slide 32, where you have given a breakup of the EPC order book that we have. So what is the difference between The Tata Power Company Limited Group line item and Group Captive? So earlier it was not there, so we have separated this. So what is the difference in this?

Dr. Praveer Sinha : This is the EPC work that the EPC division would be doing for the various group companies within the Tata. For example, if we are executing work for Tata Steel or Tata Motors, all of that, we will follow it with this bracket.
Sanjeev Churiwala: And the group captive is the group captive which we do for group does not mean Tata group , it can be a group captive for any third party also.
Vishal Periwal: And in terms of a megawatt of this 15000 to 64 , it will be how much?
Dr. Praveer Sinha : Yes, it's this would be very difficult to say because it would be a mix of various types of projects, but I would say about 4-gigawatt , 3.5 gigawatt .
Vishal Periwal: And one last thing. So in terms of the project that we have, slide 9, where we have talked about total pipeline and further 21,668 megawatt that we have. So Bhi vpuri is not yet added in this particular number. Is that right?

Dr. Praveer Sinha : Yes. So this was made before the board meeting. So Bhi vpuri got approved today in the board meeting. So that will get added. Hydro is included in this. So Bhivpuri is not added, you will get Bhivpuri , you need to add 1000 megawatts. So it will become 22 ,688.
Vishal Periwal: Bhutan is there, hydro 600 megawatt.
Moderator: Thank you. The next question is from Santosh Kesari from SK KHUF . Please go ahead.
Santosh Kesari: I just have one question about our borrowing profile. What is the plan for debt reduction in the next 2-3 years, which you can just elaborate ?
Dr. Praveer Sinha : So I think the way we're narrating is the kind of leverage ratio that we want to have and the coverage that we want to have. Standing as of now, our debt equity is in a very, very comfortable zone. So we don't think there is any need for us to

reduce debt further but to ensure that our debt ratings are on a very healthy scale and our leverages are very very healthy as compared to our peers.
Santosh Kesari: Okay, so it may go up also. Does it mean that? Depending on the projects we have or the expansion plan we have?
Dr. Praveer Sinha : Yes, so the idea is to maintain a healthy debt equity and the debt coverage and ens ure very high ratings for that.
Santosh Kesari: So, sir, what is the comfortable debt equity ratio you prefer to have? Something like below 1.5?
Dr. Praveer Sinha : As of now, we are going around that. So, assume 1.5 x to 2x for an infra company is a very healthy ratio to be in.
Santosh Kesari: Yes, sir, I agree for a power company it is so. But generally, all the Tata Group companies are debt-reverse now over the past few years. So that's why this question came through.
Moderator: Thank you. Next question is from Amit B hinde from M organ Stanley. Please go ahead.
Amit Bhinde: Just one question on your solar module manufacturing business. Last quarter you reported about Rs. 1000 crores of revenue on that and 614 megawatts. I think roughly your realization was coming to around 20 cents or so and margin of around 11 %. This quarter I see margin is close to 9% and if you can help us with the megawatt and in the market, we are hearing that some of the sales are happening at around 14, 15, 16 cents as w ell. So how is our realization?
Dr. Praveer Sinha : We have given our details in slide #52. And you can see over there. So our production has increased in the second quarter. And of course, our margins are based on how we can be competitive in the market. But definitely not what price range that you have mentioned. It is

linked to the quality of the product and what sort of guarantee and warranty you are giving for that and what is the efficiency. So I think we definitely command a premium in the market vis-à-vis many others who do not have the quality and the ba ckup of services that we offer.
Amit Bhinde: Can you help us with the megawatt sold this quarter because I can see on slide 52 revenue , EBITDA etc. you have provided .
Dr. Praveer Sinha : We will provide you the megawatt. It is not an issue.
Sanjeev Churiwala: I think that the only thing that I would also want to add is we are still in the ramping up stage. So I think when you calculate the margins in the sense, we will not give you a right indicative number. Quarter 3 will be a better number to look at.
Dr. Praveer Sinha : So we h ave done 830 megawatts in this.
Amit Bhinde: 830 megawatts, right now. So ballpark , would you target around 10 % to 12% of margin?
Dr. Praveer Sinha : It is the range we are looking at. A gain it depends on what sort of market penetration we are looking at and again many of these things are stabilizing, many of the things also will be impacted once we start getting the state government support and incentives that we are suppose d to get.
Sanjeev Churiwala: And also one thing I would like to mention, it is very difficult for us to kind of compare this with

another plant which is in a standalone sale in the market . Here right now, most of our production line is dedicated to our pipeline that we have. And the overall profit that we're looking at is a composite profit tha t we're making against those bid s and the cost that we use. Right now, there's a cost that has to be supplied and there's a transfer pricing margin , right. So I think on a standalone basis, I'll not be able to compare with other people who are producing to sell in the market.

Amit Bhinde: Another question that I have is on your Mundra coal and shipping cluster. So if I look at your EBITDA that's been mentioned Rs. 516 crores, if I remove the shipping EBITDA, the balance EBITDA is close to around Rs. 437 crores which I assume is for Mundra plant. We had l

ower

sales, so implied EBITDA per unit is coming pretty high 1.2 etc. versus 0.45 in the Q1 using the same logic. So why should that increase so much?

Dr. Praveer Sinha : Our coal profits have kind of almost f lattish every quarter , right and you are looking at the PAT for the quarter, right?

Amit Bhinde: So Rs. 516 cross of EBITDA in the Mundra coal and shipping cluster. So I'm just looking at Q1 F25 over there and the current quarter. We are generating Rs. 437 crores implied EBITDA on

Mundra it seems versus 263 cross in Q1 whereas our generation was down . Is there any one -off that you have realized in terms of ?

Dr. Praveer Sinha : It's not a one -off. Basically what happens is the way this plant runs and the regulatory power plant runs, you have to look at your annual utilization and your fixed costs is accordingly apportioned over 12 months. Right now, because we received Section 11 approval, to that extent there is a probe happening this quarter, which we will get normalized in the subsequent quarters. We can give you the working separately if you need.

Moderator: Thank you. Next question is from Rajesh Majumdar from B&K Securities. Please go ahead.

Rajesh Majumdar: So my first question was actually on the solar cell plan t. Does it make sense to export cells and use imported cells for our module plan t because we've seen a number of companies who are exporting cells and generating much more EBITDA and EBITDA percentages than what we are generating right now. That was my first question.

Dr. Praveer Sinha : So the response right, the way the regulation presently works, we have to normally use ALM modules and DCR modules, so which means for most of the pipeline projects we will be using our own modules and cells. And hence right now we are not looking at an ex port, but yes when we fully ramp up, we can assume that 25% to 30% will be exported and rest will be used internally .

Rajesh Majumdar: And the balance you will be importing for the module plant. Is t hat correct?

Dr. Praveer Sinha : No, we said 25 %-30% will be exported and the rest will be used internally for our own asset under construction.

Rajesh Majumdar: Off the sales, right? Modules will still be made in -house for domestic sales, right?

Dr. Praveer Sinha : Both modules and cells will be made in -house onl y.

Rajesh Majumdar: And when you say 25% exports, you are in cluding modules as well, is it?

Dr. Praveer Sinha : Yes, the export would be of modules.

Rajesh Majumdar: And sir my second question is on Delhi Discom again . Slide #50, if we look at it, the PAT has gone up by about Rs. 180 crores. So is that the right one time impact of the trueing up order on the P&L?

Dr. Praveer Sinha : Yes, that's correct. That's the one of trueing up on the P&L.

Rajesh Majumdar: And about Rs. 275 crores on the EBITDA and Rs. 180 on the PAT. Is that correct?

Dr. Praveer Sinha : 238 and 170. Rajesh, just a clarification that 170 is before minority. So after minority, the impact should be only Rs. 85 crores.

Moderator: Thank you. The next question is from Swati from JM Financial. Please go ahead.

Swati: I just wanted to understand what is the potential capacity utilization that we can reach, let's say once our module and cell facilities have stabilized?

Sanjeev Churiwala : Around 97 %-98%.

Swati: And could you also say, so if I look at your cluster wise breakup that you have given, this within the renewables cluster, others include, does it include all of the TP solar sales as well as some of EPC or is it some of TP solar and some of solar EPC?

Sanjeev Churiwala : So others basically, the elimination that takes place for our own projects. So that's what it is.

Swati: I just wanted to understand what is this? What is exactly coming into thi

s others including
elimination? This Rs. 3400 crores that we have of revenue in Q2. What is that exactly that 3000? What does that attribute to? Is it the EPC? Is it the solar? Is it a mix of the two?

Dr. Praveer Sinha : Yes, so maybe I'll help to address . In RT C business , the EPC does a lot of work for TPREL. Similarly, the sales and modules is sold internally to TPREL. On a console basis, all of this gets eliminated. And what you see is a pure plain revenue, EBITDA and PAT.

Moderator: Thank you very much. That was the last question. I would now like to hand the conference back to the manage ment team for closing comments.

Dr. Praveer Sinha : Thank you very much. Thank you to everyone for joining in the call. And if you still have any questions, please connect to Kasturi and Rajesh and we'll be happy to respond to them. And you all have a safe Diwali and enjoyable Diwali. So we look forward to connect with you . Possibly in December we'll have the site visit to the 4.3-gigawatt plant. And I do look forward to meet many of you over there. Thank you, thank you very much.

Moderator: Thank you very much. On behalf of The Tata Power Company Limited , that concludes the conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Call: Feb 2025

February 7, 2025
BSE Limited
Corporate Relationship Department
1st Floor, New Trading Ring
Rotunda Bldg., P. J. Towers
Dalal Street, Fort
Mumbai – 400 001.
Scrip Code : 500400 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No. C/1, G Block
Bandra -Kurla Complex
Bandra (East)
Mumbai – 400 051.
Symbol : TATAPOWER
Dear Sir/Madam ,
Earnings Call Transcripts
Pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, the transcript of the audio call recording of the Company's Analyst Call held on February 4, 2025 , on the Audited Standalone Financial Results and Unaudited Consolidated Finan cial Results of the Company for the quarter and nine months ended December 31, 2024 is attached herewith.
The transcript of recording can also be accessed on the Company's website using the following link:
Quarterly & Annual Financial Reports - Tata Power Investor Resource Center
This is for your information and records.
Yours Sincerely ,
For The Tata Power Company Limited
Vispi S. Patel
Company Secretary
FCS 7021
Encl: As above

"The Tata Power Company Limited
Q3 FY25 Earnings Conference C all"
February 4, 202 5

MANAGEMENT : DR. PRAVEER SINHA – CEO & MANAGING DIRECTOR , THE TATA POWER COMPANY LIMITED
MR. SANJEEV CHURIWALA – CHIEF FINANCIAL OFFICER , THE TATA POWER COMPANY LIMITED
MR. J.V. PATIL – GROUP FINANCIAL CONTROLLER , THE TATA POWER COMPANY LIMITED
MR. RAJESH LACHHANI – HEAD INVESTOR RELATIONS , THE TATA POWER COMPANY LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Tata Power Q3 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Shoul d you need assistance during this conference , please signal an operator by pressing star, then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conf erence over to Dr. Praveer Sinha , CEO & Managin g Director of Tata Power.
Thank you, and over to you, Dr. Sinha.
Praveer Sinha : Thank you for joining i n the call. I'm joined with my colleagues over here, Sanjeev Churiwala, CFO; Mr. J.V. Patil, Financial Controller; Mr. Rajesh La chhani from Investor Relations and other the members from our Finan ce and Investor Relations team. As all of you are aware, last 9 months, the demand of power has gone up, but not to the extent what we had witnessed in the previous few years.
But we do find that in last 1 month, the demand of power has increased. And we are expecting that this year, the summer will be much more intense compared to the last year where we had a very long monsoon. Considering that, we do expect that there will be a peak demand of nearly 265 to 270 gigawatt. Already today, it was more than 230 gigawatt. And summer has still not started. So we do expect huge demand of power in the coming year.
Secondly, during the recent budget, hono urable Finance Minister came out with a lot of initiatives and programs in the power sector. Some of the important ones are that the budget for PM Surya Ghar has been enhanced for this year as well as for next year and that gives us a lot of opportunity to increase our rooftop program, especially the PM Surya Ghar program in many of the states, where we have tied up with them for taking it forward.
The second big announcement by the Finance Minister was about nuclear power that the Nuclear Power Act will be amended which will allow private sector investment in nuclear power. As we have shared with you earlier, we will definitely be exploring this opportunity as and when it comes.
We are expecting the government to announce the amendments to the act and also the policy wherein we will get an idea what sort of foreign investment, what sort of foreign technology, what sort of Indian technology will be provided and also issues about th e sourcing of fuel how to reprocess the spent fuel and storage of the fuel. So many of these are still gr ey area s and we expect that in the coming months, more details will be shared at. At that stage, we will be able to come out with our action plan on it .
Of course, as an initial comment , we are very keen to pursue this. We strongly believe that this will support us in our clean energy initiatives and we can use this along with o ur renewable power to supply 24/ 7 clean power solutions to our customers, both utilities skill as well as the C&I customers. We have already shared with you the performance highlights of the company. This is the 21st consecutive quarter in which we have shown the PAT growth.

And this demonstrates the strong performance of each of our businesses. And each one of them are now getting consolidated and stabilized in terms of their performance. Our PAT for the quarter has gone up. Our EBITDA has gone up. And both have also gone up on a cumulative basis in the last 9 months and this trend will continue going forward.
We have, during this quarter, commissioned a number of projects. These are large renewable utility scale projects for ourselves as well as large number of projects have been commissioned for third party. And those details have again been shared with you. A nd this has supported us in showing very

good performance of our renewable business.
Our EBITDA for the renewable business itself has gone up by 38%. And also our PAT has gone up for renewable business in this quarter as well as for the full 9 months. During this quarter, we have seen a huge amount of growth in our rooftop business. For the first time we crossed in the quarter, INR 500 crores of revenue with a very healthy EBITDA and PAT. And you will see that this continuing in the subsequent quarter where because the benefit of creating the whole supply chain arrangement, the benefit of ha ving large channel partners and our reach into the market. And the product quality and service that is being offered is being appreciated by the consumers and we actually get a premium in the market for the supplies that we are making. Our cell plant which we had take n many of you and shown our cell and module plants are performing very well. Our module plant has -- we got production done in the last quarter and also in the 9 months. And our cell plant which was commissioned in the month of November, the first 2 gigawatt is now more or less stabilized.
The second 2 gigawatt also has been commissioned in January and is under stabilization process. And we expect that within February, it will get stabilized and will be able to produce at full capacity during the next financial year. We have also seen our pe rformance in our distribution business, stabilizing our Odisha operations have stabilized and we are doing a very good work in terms of building efficiency, collection efficiency and AT&C loss reduction.
And the performance in third quarter has been much better than compared to last year and the previous quarter. And also the fourth quarter will be, again, much better than the third quarter and second quarter and also compared to last year because many of these things, initiatives in

terms of technology, in terms of our interventions which we have carried out, will start showing better results.
Our transmission business, again, we've done a huge amount of work. We won four bids and construction activity of all those four projects are going up -- going on. And we expect that in FY '26, all of them will be completed excepting one 15 months a nd the benefit of t hat in terms of revenue, EBITDA and PAT will start coming from FY '26 onwards.
During th e last 9 months, we have spent c apex of nearly INR12,000 crores, which was the total capex that we spent in the previous financial year. And we have plans to spend another INR10,000 crores in this quarter. So we'll have end of the year total capex of nearly INR22,000 crores. And these are all in the various projects that we are implementing, whether it is in the

renewable space or it is in group captive or it is in the manufacturing of 4 gigawatt or it is in our transmission and distribution projects.
And many of them are based on an ROE basis. So once implemented and capitalized, we'll start getting the return on them. As also those which where we have bid out, we will start getting returns on them also based on the returns that projected at the time of bidding. Our debt today is -- our net debt is about INR 44,700 crores and our debt to equity is 1.1:1 and our debt -- net debt to underlying EBITDA is less than 3.
So in terms of the financial metrics, we continue to be very good and we do expect that we will maintain the discipline of meeting the financial metrics based on the performance of the company. As we move forward, we are committed to our overall goal that we will achieve 70% of clean energy by 2030. We are already at 43% and the various projects which are under implementation, we should be in a position to meet those targets.
I now look forward to have your questions. And with me is the company's CFO, Sanjeev Churiwala and we'll try to respond to most of them. I now request D orwin t

o open the Q&A --
open the floor for Q&A. Thank you.
Moderator: Thank you very much. We will now begin the question and answer session. We have the first question from the line of Mohit Kumar from ICICI Securities. Please go ahead.
Mohit Kumar : Good evening sir and thanks for the opportunity. So my first question is on the nuclear power business. What is your expectation of the new business model? Is it fair to expect that this will be a cost -plus kind of model? And the question is that, do you think the time line of the small model nuclear rea ctor can you reduce to 3 to 4 years?
Praveer Sinha : See, we still do not have details, but whatever little that we know of the whole process of approval, and these are nuclear plants, so they have a very stringent requirement of getting approval not only from the forest and the environment aspect, but also from the Atomic Energy Regulatory Board.
It all takes about 24 months. And thereafter, the construction period is 4 to 5 years. So it's a little longish, but I can assure you that these projects are today becoming very common in various parts of the world. And I think that many of the new technol ogies coming in, we should be in a position to implement it much faster in the country. But these are very early days. Let's get more details, and then we'll be able to share with you the real time lines and implementation for that.
Mohit Kumar : Understood. My second question is, sir, have you heard anything incrementally on the approved list of module , is it being prepared o r do you think it will get published over maybe with a delay of 4 to 6 months? And how do you think about the implementation of this?
Praveer Sinha : So already the module approved list of module manufacturer is already in place since last year, 1st April 2024. And the approved list of cell manufacturers will get implemented from 1st June 2026. And I think it has already been extended. It's earlier for sales, it was 1st April '26. Now it has been extended to 1st July 2026. And I don't expect that this will get extended beyond that.

Mohit Kumar : And when do you expect this first list of the approval list to get published and notified?
Praveer Sinha : I think they have already started visiting various plants, and the ministry is carrying out the due diligence exercise. They definitely do it much before the 1st June 2026 time line.
Mohit Kumar : Understood. My last question is, sir, what is revenue reversal in EPC business during the quarter? Can you please help us?
Sanjeev Churiwala : Okay. I think this is more about going up the accounts. As you are aware, that our EPC business, which was a separate legal entity, has now become a merged entity. Per say, the intercompany delegate is not happening. And as such, the revenue is lower because we have kind of cooled up

about INR 300-odd crore s to replace the correct accounting principles post-merger . That has no implications on the profitability.
Mohit Kumar : Sir, margins are looking very high, sir, 16% in the quarter. Is that -- I think...
Sanjeev Churiwala : Yes. Optically, that's correct because the top line is lower, but the profitability still continues to be there. The best way to look is at the y ear to date number, which reflects the right position, and they're kind of in the range of 5% to 7% on EPC margin, which has always been our guidance.
Mohit Kumar: Understood. Thank you and all the best. Thank you. I will take if offline.
Moderator: Thank you. The next question is from the line of Sumit Kishore from Axis Capital. Please go ahead.
Sumit Kishore : Sir, the first one is on the renewables cluster result. The elimination within renewables for revenue at about INR1,806 crores appears to be higher than solar or the TP Solar revenue for the quarter. Even in EBITDA, the elimination number is higher than the enti

re EBITDA contribution of TP solar. How should we read these elimination numbers? And what was the third -party sale that you did in TP Solar during the quarter? So if you could sort of explain the breakup of this elimination and how sh ould we read it?
Sanjeev Churiwala : Yes, that's good question, Sumit. I think let me kind of simplify and answer your questions right as everyone else. Higher the level of internal work that happens, higher the elimination. For example, this quarter, our cell modules have gone live, and we h ave the models also being realized full production is happening.
This module entails, by and large, is sold internally to TPREL, and that gets eliminated.
Similarly, all the EPC in -house work that we do, the profit also that gets eliminated. Now elimination, we have unfortunately only show in one line because otherwise, there will be multiple eliminations shown at each of the levels, that might not be useful.
So if you see the investor deck that is circulated, there is detailing around that. And I think you can see Slide #53, which would give you, let's say, detailing of the requirement with respect to how much of the work was intended and how much was third pa rty, we can possibly send you out separately.

Sumit Kishore : Okay. So just a follow -up on this. Still the ALMM-2 is implemented by June 2026. Is there an opportunity to make higher profit by selling your backward integrated modules, which have sales made in -house to third -party customers rather than using them in -house?
Sanjeev Churiwala : Yes. As of now, a large chunk of this production is tied up for our in -house large -scale projects that we have already tied up. We have a large order book already in position as well as we have third -party order books that we need to also commission the pr ojects. But yes, going forward, we will be opportunistic to see wherever the opportunity is there as and when the ALMM-2s picking , in to sell some of this cells and modules to third party as well. So we'll do the balancing act.
Praveer Sinha : Yes. But we have already got some orders and they are under execution. We've got 1 of order recently, which is for ALM M. Last year, we had got an order for DCR. So as and when we get the opportunity, we definitely look at it. And so there will be a mix of supply only of modules.
There will be a mix of using it in our own projects, and there will be a bit of supplying it fo r rooftop and the third party and EPC.
So we will always be ensuring that based on the production capacity and the type of modules which are required because these modules also are of different capacities and sizes. So they are 540, 570, and 590. So depending upon the requirements, so we can le ave and manufacture...
Sanjeev Churiwala : As Dr. Sinha was speaking, you see already those coming in that Tata Power has won solar in the sake is option for supply in 400 megawatt of domestically manufactured solar modules. So very clearly, we already see that happening next quarter with the sale as well as in -house.
Sumit Kishore : Well, I think I couldn't have expected a faster delivery on expectation. So one more question is on the increase in Mundra Coal and shipping Q3 FY '25 EBITDA. So what explains that? And on the other hand, this gets taken away by the steep drop in others, i ncluding Tata Power, Nelco and inter cluster elimination, which has dropped in Q3 FY '25 versus Q3 FY '24.
In general, the intersegment elimination volatility in quarterly disclosures over the last several quarters has been hampering predictability or the understanding of Tata Power financial and some way to remedy that would be very helpful ?
Sanjeev Churiwala : Yes, sure. We can. We'll definitely see what other things we need to do to try and improve the disclosures. But of course, we have put a complete separate slide on there, which has l

ine -wise items on additions and the deletions, which kind of gives a bette r understanding. But coming to

your question, on the one -off that you see possibly in the current year as well as in the previous year.
For our generation business, we had some one -off upside, which is close to about INR330-odd crores. Similarly, previous year, we had about INR311 crores of dividend to dividend from one of our foreign subsidiaries, right? But both of them are getting netted off with a similar amount.
Sumit Kishore : 3.3 billi on is what I heard. The one -off.
Sanjeev Churiwala : INR311 crores.

Sumit Kishore : Growth in Mundra Is how much?
Sanjeev Churiwala : INR332 crores.
Sumit Kishore : INR32 crores. Okay. Just one quick question, if I may, the transmission auction bids, as you have shown in your presentation for India, have gone up quite sharply, 2.3x over FY '24. Tata Power share off late is still a very small fraction, this opportunity. Is the bidding to o aggressive or the suboptimal o r are you already full in terms of how many you want?
Sanjeev Churiwala : Our total operating lines plus under construction is a little over 6 – 7k Ckm . And of course, we are also very selective in our bidding. We don't want to go and bid out everywhere where we think t hat the returns are suboptimal o r we think the territory, the geography and the complexities are very high, but it could be very, very high.
So yes, we have been very selective. But in this selectiveness, we're also trying to see that we only bid for projects where we get good returns.
Sumit Kishore : I meant the transmission auction bids?
Sanjeev Churiwala : I'm also talking about the transmission auction, our total capacity -- exactly I use the word read at Circuit kilometers. So about 7,030 circuit kilometers is what we have operation and in pipeline.
Sumit Kishore: Got it. Thank you and wish you all the best.
Moderator: Thank you. The next question is from the line of Apoorva Bahadur from IIFL. Please go ahead.
Apoorva Bahadur : Sir, would request some more help on the accounting for solar cell module business, right? How should we think about it, especially, say, going ahead if -- once the manufacturing arms start supplying modules for the rooftop business, then where will exactl y will you be capturing this profitability both for internal sales and then for external sales? And what proportion?
Sanjeev Churiwala : See, I will not be able to tell you the proportion right now. But your question is very valid. In principle, whatever is sold outside will get captured in the manufacturing division's profitability and that will fully get consolidated in the Tata Power ren ewable books as well. So whereas whatever is done in -house, would ultimately get eliminated.
Since this particular quarter, we are just ramping up our cell production, it will not give us complete true understanding on how this manufacturing and sales profitability will look like.
Maybe from next quarter onwards, we'll try and bring in a little mo re clarity on how we kind of grow it proper reporting with respect to investors, so you get a better clarity.
And what we will do is, we'll open our date for the next quarter. We will also reach out to you separately and so want to have a better understanding as to how the specific accounting will happen.

Apoorva Bahadur : That will be helpful. Also wanted to check about the stabilization of our cell capacity. Have we managed to stabilize the plant? And what was the output for this quarter?
Praveer Sinha : As I mentioned to you, the 2 gigawatt cell line was commissioned in the month of November, that has got stabilized. It's now nearly at 90% capacity. The second 2 gigawatts got commissioned in January. And we expect that in end of February, it sh

ould get st abilized. So
that's the existing plan and the full benefit of operating it at more than 95% to 98% capacity will happen in the next financial year.
Apoorva Bahadur : So reach there by FY '26. And sir, where are we using these cells for our internal projects? Or are we selling them to third parties?
Praveer Sinha : I explained just now, again, you are repeating the same question. I told you that there are 3 ways of using it, third -party sales, third -party EPC projects, our own EPC projects and using it in rooftop.
Apoorva Bahadur : No, sir, I wanted to check if you can share for this quarter, if you can share where the cells were

sold?
Sanjeev Churiwala : Yes. We can provide that to you separately, not a problem. But I think it will be better to wait for the results for the next quarter. But this quarter, as is ramping up, it will not give you a complete representative for your model ling as well.
Apoorva Bahadur : Understood. Understood. Sir, last question was on the ordering for wind turbines. Have we locked capacity for our complex projects?
Praveer Sinha : So as we have shared with you, 1,000 megawatts, we had already, in fact, 1,100 -odd megawatt, we have already done. Those wind turbines are already under implementation. And all of them will get commissioned in the next 3 months to 12 months. There's anothe r 1.6 gigawatts that we will be ordering. All this ordering will happen in the next 6 0 days .
Apoorva Bahadur: Okay. Thank you so much.
Moderator: Thank you. The next question is from the line of Puneet from HSBC. Please go ahead.
Puneet : My first question is on renewables. Can you give some sense of what is the capacity installation plan for FY '26 and '27?
Sanjeev Churiwala : Sorry, could you just repeat your question once again?
Puneet : Yes. What is the capacity installation plan for FY '26 and '27?
Praveer Sinha : In this presentation. I think we have given that in the November analyst meeting, we have given the details.
Puneet : Individua lly for '26 and '27 if you have?

Praveer Sinha : It's there in terms of...
Sanjeev Churiwala : Puneet, so I think Puneet, just to kind of recall on a discussion granted, normally, what you have said, our intention is to have about rough definitely 2 gigawatt of installations every year.
Praveer Sinha : 2 to 2.5.
Sanjeev Churiwala : 2 to 2.5 gigawatt of installations every year. Of course, we cannot give you a specifically what we are doing next year and thereafter. And we have indicated this is the number that we're targeting.
Puneet : Yes. So what's resulting in a little slowness here, right? I mean you're probably going to do what is the plan for Q4, but it looks like you might just see about 1.2 to 1.3 gigawatts, any thoughts how to think about what's driving the slowness currently?
Praveer Sinha : So we have already this year added 865 megawatt, which is highest among all this in the country. And we have a large number of projects lined up, I think, about 600 megawatts is lined up in this previous quarter. And then we expect also projects for third -party you see to be implemented in this project -- in this quarter.
So all those details have been shared with you. And as Sanjeev mentioned, in FY '25 -- '26 and '27, about 2 to 2.5 gigawatt of renewable projects, which will be a mix of solar and wind that we will implement.
Puneet : Okay, understood. And on TPDDL side, there seems to be a little softness in profitabilit y. Anything to know would there?
Praveer Sinha : It is doing consistent of profit in this quarter also, if you compare -- compared to last year, it has done a little bit higher. So it's a very consistent performance that have been shown by TP.
Puneet : And lastly, if you can give some update on the pump storage project. Have you placed an order, what is the progress there?
Praveer Sinha : So the

three project activities has already started and basic site civil work has started. The order for civil will be finalized within this month, and we also expect the last of clearances. And full - fledged work will start from next month. The work in the hydro proje ct in Bhutan has started in January and it is going at full pace at all the locations t hat is the pump house as well as the dam as well as the surge shaft.
So I think we are all set to complete it within the target time line. And so also the pump hydro we wi ll finish it in the target time line that we have shared.
Puneet : So specifically for Bhivpuri, which was the first one is financial project done now?
Praveer Sinha : We have already tied up money for the initial project and the financial project will be done by next month.

Puneet: Okay. That’s very helpful. Thank you so much and all the best.
Moderator: Thank you. The next question is from the line of Ketan Jain from Avendus Spark. Please go

ahead.
Ketan Jain : Sir, my question is on the UP di stribution bid , on which you can provide us with some flavor on what's the time line of the bid? And will we be bidding for it something about that?
Praveer Sinha : I also do not know the time line. When I come to know, I'll let you know. What I can tell you is that there is an intention by UP to go ahead and do public private partnership for two DISCOMs.
We are actively pursuing that and -- or we will actively pursue that because we have excellent experience of carrying out similar type of work in Odisha, where we were able to cater to both urban and rural consumers which no other utility has exp erienced in the country.
And as and when the bids come, we will definitely bid and we expect that we'l l be able to be successful in these bids.
Ketan Jain: Thank you. That's it.
Moderator: Thank you. The next is from the line of Satyadeep Jain from Ambit Capital. Please go ahead.
Satyadeep Jain : First, I wanted to understand, are on all these eliminations. You reported separately EBITDA for the module in cell line. If I look at the EBITDA, it seems like for EBITDA for cell also, it is assuming it is sold for DCR, look at the margin. So whatever yo u're doing internal or external, it seems to be a complaint. But when we look at Y -o-Y, if I strip out EBITDA from module in cell line, there is no increase in overall RE EBITDA.
What could be -- which is what I think some of the earlier questions were also trying to understand? So I just wanted to see why is there no Y -o-Y growth in the overall RE business if we take out certain module line?
Sanjeev Churiwala : I think the cell line module line is an integrated part of the overall business unlike many other businesses, which will set up or cell or a module only to cater to third parties. Our cell -in module is part of our integration plan where there caters to a l arge extent of in -house requirement with respect to a large -scale development that we do and as well as the third party.
So yes, to that extent the production of cell, which is largely around DCR, has gone to in -house production as well and as well as some content of the third party. But your question is, can we skip that and see separately. I don't think that we'll have any useful by stepping out separately.
Satyadeep Jain : No, I was trying to understand if you look at cluster -wise performance for the entire RE business, if you look at Y -o-Y increase in EBITDA for that business, it's about INR230 crores to INR240 crores, which is the EBITDA for the module in cell line. So it's the entire EBITDA increase Y -o-Y is because of module and cell line. So why are the other businesses?

Why is there not generally, I would have assumed the EBITDA increase would be higher than that contribution from sola

r cell line modules, there would be higher generation EBITDA, higher EPC, but on a cluster -wise, the Y -o-Y increase is only INR230 crores to INR240 crores?
Sanjeev Churiwala : Yes. So we'll have to see the elimination, because when you look at the separate clients, those are basically gross contribution of the respected units. You want to put it together and then you eliminate the cost billing that is happening. So that way it is a net billing content. On a Y -o-Y basis as compared to almost INR750 crore s of EBITDA that we gained previous year, this quarter, we are almost very close to INR1,000 crores. So to that extent, there have been about INR240-odd crore s of increase in the EBITDA.
And also, if you look at Slide #54, you will see the renewable separate business is coming in the elimination as well. But my sense is to get very specific to what we are bidding, we will be getting time with us, and we'll be able to help clarify that bett er.
Satyadeep Jain : Sure, sure. So secondly, this nuclear opportunity, I wanted to understand, if I look at the retender bid, which is out there from, it seems like this is mainly targeted at high energy -intensive industries like steel, cement and data centers, which these cu stomers put up the capital and the asset is actually owned and operated by NPCIL.
So how does a developer fit into this picture? Is it like going to be similar to a group which we have for RE where the customer puts up 26% equity. Is that the understanding? And then how initially, if you look at evaluate this, I know it's far out in the future, but in terms of economics and all, any preliminary idea how this looks like?
Praveer Sinha : I think the big document, which came from NPCIL was before the announcement by the Finance Minister. And I am not very sure that whether it really go through now in this cha nged circumstances because at that time, they had no plans to offer private sector being participated accepting that. They give the lease and the nuclear island will be owned and operated by NPCIL.
So I think the whole arrangement is go ing to change now with the announcement from the Finance Minister. And I think we should wait and watch for what eventually because now the game has changed fully because they'll allow private sector to come in and what sort of arrangement it will be that whethe r they will allow foreign participants or foreign technology or it will only be Indian technology. So I think let's wait and watch and get more details before we

are able to take a call on it.
Satyadeep Jain : And any sense on economics at all or too early to say?
Praveer Sinha : It would be very good, but a little early to say that initial numbers that we have seen, it will be very good.
Satyadeep Jain : Just one more question, if I can squeeze on the EPC business. There was no new order inflow for third -party utility, including the captive book, what is the strategy there? And on solar rooftop, you're assuming 3 million households in the next year. That seems lik e a big step -up from where you are, both in terms of market share and overall opportunities.

So how much is the solar rooftop as a country, what is the execution so far? What is our market share for Tata Power? And what mix you think that this 3 million is achievable. So a 2 -part question on the overall third -party utility book and then on rooftop solar?
Praveer Sinha : So we have a very large third -party EPC book, including DCR modules where we have to supply. Most of them are getting executed in this year and part of it will get executed in the next financial year. We have undergone a change in the way we were doing EPC . We now do pure EPC without land. Again, we used to acquire land also for the EPC projects.
So we do not do that. Secondly, we wanted to execute all these projects before we take more orders and plan as a

part of our order book. We already also have now large in -house order book, where we have plans of adding more than 2 gigawatt per year. So we will be very cautious and careful i n terms of taking third -party EPC orders.
We will more concentrate on our own EPC projects under our group captive as well as utility scale. And secondly, we also have opportunity to sell modules, especially the DC R modules, where we can get better margins. So we will decide on what's is the mix of capacity EPC, our own EPC and the module supply and then take a call.
Sanjeev Churiwala : Request, if you could refer to Slide #32 of the uploaded deck that has bid amount of details of the breakup.
Praveer Sinha : This is obviously rooftop opportunity as well.
Sanjeev Churiwala : Slide 32 or 37.
Satyadeep Jain : But FY '25 so far that in terms of overall rooftop execution in the country and how much it seems like a big step up if you look at your own target for 3 million in the next few years?
Praveer Sinha : See, this was announced by the Prime Minister in January, and it took time for all these state governments and others to come to speed. So I think FY '25 next sort of enabling provisions have not happened in some of the states, the state government support orders have only come in November or January.
So let's see whether the various entities and also the state governments have created necessary infrastructure for executing these or not. And I think that has been done very well, you will see a great amount of push in the coming year than many of these w here people have registered will get executed in the com ing year.
Satyadeep Jain: Thank you so much and wish you all the best.
Moderator: Thank you. The next question is from the line of Anuj Upadhyay from Investec. Please go ahead.
Anuj Upadhyay : And many of my questions have been answered. It's just a follow -up question which I have on two aspects. One is your Renewable generation business. In spite of 25% of facility additions from 4.2 gigawatt to 5.2 gigawatt of commissioning, profitability growth hasn't been much. I understand the PLFs were down, but it was marginally by 60, 70, 80 as such.

So are these profitability numbers which have been report ed? Are there run rate numbers o r is just a timing which has led to an underperformance in terms of profitability?
Sanjeev Churiwala : So you're right, there are 2 points to it. And definitely, this is not a run rate. Quarter 3, normally, our weaker quarter for every solar company because the radiations are low. And to the extent the average radiation that we kind of factored in this time was also low. And that to extent has impacted some of our margins.
And of course, there was a slight delay in some of our projects because of various reasons that has been factored into the pack. But go forward, that's not what we have envisaged, run rate would definitely be much better than this. You can refer to Slide # 62 of the uploaded deck that has the breakup of all these elements.
Praveer Sinha : Also, how -- if you see on a 9 -month basis, the generation is much higher than compared to last year. So what we have to see is because also of the weather factor changes like this year, the

monsoon was much extended, was right up to October. So many of the solar plants would not generate, which they could have otherwise down. So I think what is important is to see a 12 -month rolling plan rather than just going on in quarter -to-quarter basis.
Anuj Upadhyay : Fair point, sir. Secondly, on the nuclear segment. Any ballpark figure which you can throw on the capex per megawatt on this added or maybe plant nuclear capacity and what anticipated tariffs for unit? I know it's premature, but still any approximate figure would be helpful, sir?
Praveer Sinha : I cannot throw any figure on this. See, what happens is that these

are all dependent on where
you are getting the technology, what is the capacity of the plant and what is the efficiency of the plant. The efficiency of these plants has gone from 70% to 90% . So it all depends on what is the commitment that the supplier or the technology partner is getting in this.
And secondly, apart from the capex, what is important is this is the flip of the fuel. So from where you will uranium, what is the cost at which is it bilateral government to government basis.
So there are a whole lot of unknown things, which are there at this present. And I would not lik e to hazard a guess on these numbers at this stage.
Anuj Upadhyay : Okay. And any update on the section -11 continuation f or Mundra p lant?
Praveer Sinha : As I mentioned to you that there is a huge demand of power, and I expect that to meet this additional demand of power, all the imported coal -based plants will be asked to continue operations. And we do expect that government will take the call on this in the later part of this month.
Anuj Upadhyay : Okay. And just a last one, sir, on the debt across WREL project. It has been zeroed in the current quarter. That has been completely paid up or it's been realigned to some other segment, sir?
Sanjeev Churiwala : Yes. So about 25 companies have now been merged with TPREL and that merger is effective from 1st of April. So the financials that you see is from.
Anuj Upadhyay : Okay. So the WREL that has been now move to TPREL?

Sanjeev Churiwala : So WREL is basically a GENCO , generating company and as part of our strategy, we have moved it and merged with TPREL, which is also has a large portfolio of GENCO . So we didn't want to h ave separate for separate GENCOs , most of the numbers together. WREL itself what about 22 -odd companies.
So if you see Slide #66, you kind of find the details between quarter 3 and quarter 2. Quarter 2 of F '25 was there, if you kind of give you a good reflection of the merged entities.
Anuj Upadhyay: Got it, sir. That’s helpful and thanks for the opportunity. Wish you best of luck.
Moderator: Thank you. The next question is from the line of Rajesh Majumdar from B&K Securities. Please go ahead.
Rajesh Majumdar : So my first question, I may have missed this earlier, but what is the impact of the APTEL claim on the third quarter results from Mundra. Is there -- did you give a number and may I missed it?
Did you -- You mentioned the note number 3 on the APTEL order and some claim provision has been made in the third quarter. What is that figure?
Sanjeev Churiwala : Maybe I will not have it off hand, but to write it to us separately or providing the details.
Rajesh Majumdar : Okay. So it is not INR322 crores, as you mentioned earlier on some figures, this is not the same number, right? Not INR322 crores.
Sanjeev Churiwala : Also, there is a combination of things over there. Now question is very, very specific to a litigation . So we were very, very clear on what we're providing you.
Rajesh Majumdar : Okay. So I just wanted to assess the impact of that is a onetime on the stand alone performance has been significantly higher this quarter?
Sanjeev Churiwala : No, because I think I had mentioned earlier that there is a one -off now, which is INR332-odd crore. And there was a one -off last year of INR311 crores. So by and large the one -off gets netted off, so first, the number that you see is already a like -for-like number.
Rajesh Majumdar : All right. So it's netted about INR20 crores only, that's it?
Sanjeev Churiwala : Yes.
Rajesh Majumdar : Okay. Sir, my next question is on the Odisha discom. If you look at the 9 -month run rate of the Odisha DISCOMs, we are going at a run rate much significantly lower than last year. And at the same time, last year, we were having a run rate of nearly somewhe re around INR200-odd crores.
And now

it's about INR150 crores at the PAT level.
So we had a target of hitting a INR250 crore s kind of PAT level in the discom, except for CESU, all the other -- I mean South and West are particularly lagging. Is there any reason for this? And when do we see some kind of change in these numbers?

Praveer Sinha : What typically happens in Odisha or has happened in the last year. In the first quarter, we could not do much because there were elections in Odisha and because of that reason, a lot of action on billing collection could not be done. It has got up in the l ast quarter. And the last quarter, that is the present quarter, you will see a substantial improvement on building efficiency, collection efficiency, which has the impact on the. So we'll definitely do much better than what you see now, and there will be substantial improvement going forward.
Rajesh Majumdar : And secondly, sir, are you bidding for any other discom in terms of the opportunities that are coming up now in India, what the Finance Minister spoke about any circles that you're bidding for, which could be there in the near future?
Praveer Sinha : See, we are definitely looking at opportunities. Bids have not come. So as and when the bids come, we'll definitely be looking to bid very aggressively and take few of the discoms.
Rajesh Majumdar : And just on this note, could you break up your capex , say, for the next 2, 3 years into the different areas? Like how much will be from the own generation, how much will be for other things and so on and so forth? The capex breakup of you say is roughly INR20,000 crores per annum that you've outlined?
Praveer Sinha : I think we have shared it earlier in our analyst presentation. Rajesh will be able to mention to you which slides are there. If you see Slide 43 of the analyst presentation, you will be able to get the full details. It brings out everything of where in tha t traditional generation, pump storage, transmission, distribution, renewable. Slide 43.
Rajesh Majumdar : Right, sir. I'll take a note then. If I could just have another question on this regard is that on the FDRE projects that you like won, are you seeing any traction in terms of the PPA, et cetera o r do you foresee delays in it? What is your own internal assessment, this segment of the business? Is it going to be like a big part o f the overall scheme of things o r is going to be slow, and there are issues with this?
Sanjeev Churiwala : I don't know if we have any issue around the F DRE project.
Praveer Sinha : We don't have any issue at all.
Rajesh Majumdar : So where is the PPAs expected on this on the 2 projects that you won in FDRE?
Sanjeev Churiwala : PPA is there. And I think everything is fine. We had also shared in our December presentation that we have PPA for 90% of the project.
Rajesh Majumdar : So that means 1.3 gigawatt SJV and FDRE is going to get commissioned in FY '26. Is that correct?
Sanjeev Churiwala : Yes. So only the NTPC project is waiting for PPA, rest all the projects are PPA in this.
Rajesh Majumdar: Okay. Thanks so much.

Moderator: Thank you. The next question is from the line of Mithil Bhuva from Unlisted India.com . Please go ahead.
Mithil Bhuva : Congratulations on the good set of numbers. On the contrary to the peers, I feel the presentation is excellent. I mean the presentation on the results, giving breakup of so many companies with excellent presentation, sir. Just I had a doubt on Slide #52. S o when we see the numbers for Tata, that is the Delhi discom, we own only 51% stake here, but the numbers shown here, the EBITDA and the revenue is 100%, right, actually ?
Sanjeev Churiwala : Yes, you're right.
Mithil Bhuva : Yes, even in the Odisha discoms, you are only 51%. So is it kind of a wrong presentation becaus

e
we own actually only 51% of it. So only half of it belongs to us ?
Sanjeev Churiwala : So performance basis, the overall number comes in, and the minority interest is then eliminated below. So if you really see, whatever is consolidated, we do that. And for each of the point, you've also given a chart to explain our share around that. So I t hink it's very transparently given us well.
Mithil Bhuva : Okay. So the elimination includes those th ings, I mean, the 51%? .
Sanjeev Churiwala : Whereby it’s a subsidiary. Of course, the entire thing is getting consolidated . It's only in case of joint ventures, party minority interest, we only take that respective share.
Mithil Bhuva : But isn't that kind of wrong presentation because we own only 51% in it and you're showing the 100% number. So the overall EBITDA number looks bigger, but we own only 51% actually ?
Sanjeev Churiwala : That's the accounting standard. We have to consolidate, it is a subsidiary for us.
Mithil Bhuva : Yes. But in the presentation, at least we can give only the 51% number, I mean not according to the accounting standard, but at least for the presentation?
Sanjeev Churiwala : Yes, we can, but that will not really serve any purpose because what happens is the way I would expect the investors to look at it. I think how is the performance of this company overall and not

the performance of the 51% share that we have. So even the mo st if you see the accounts very clearly, the profit is kind of executed broken up into for the equity shareholders and for the non - controlling interest. That's the bid breakup is also there in the accounts.
Mithil Bhuva : Okay. Sir, also another question is that are we looking to do any fundraising, equity fundraising to repay our high -cost debt or anything for the future bid? I mean our peers have been doing that. That's why ?
Sanjeev Churiwala : I don't know what the peers, but we don't have high -cost debt.
Mithil Bhuva : Like the current stock price is good enough to raise funds right at lower rates and to repay the high-cost debt. So isn't that a good opportunity?

Praveer Sinha : Thank you for your advice.
Mithil Bhuva : We have used one. I mean the retail investors just love Tata Power. So if we can do your fundraising and repay our high cost that's well. That's the idea.
Praveer Sinha : Mithil, we'll have a separate chat come over, and we'll talk to each.
Mithil Bhuva : Okay. So one more doubt, sir. And the coal mining, are we profitable there? Are we looking to get back to coal plants because our peers have been looking to buy coal plans? So are we looking at the coal and the power busines s -- the thermal business again, a nything on the actual business on the thermal power plant?
Sanjeev Churiwala : I think we are very cl early focusing right now on our energy transition business. And as you have heard earlier speakers say they want to see more growth in the renewable sector. So I think we should focus on over there.
Mithil Bhuva : One last question, sir.
Moderator: Sorry to interrupt to move on to the next.
Mithil Bhuva: Okay. Thank you.
Moderator: The next question is from the line of Swati Jhunjhunwala from JM Financial PMS. Please go ahead.
Swati Jhunjhunwala : Thanks for taking my question. S o most of my questions have been answered. Just one on the PM Surya Ghar Yojana . So just wanted to understand what is the average revenue per megawatt that you were seeing here that you can make given that we have such a big target of 3 million households? And secondly, what is the kind of IRR you are looking at in this sola r rooftop business? Just these two for now?
Praveer Sinha : So basically, the cost of 1 kilowatt of rooftop is about INR60,000 to INR65,000 depending upon the location. And this is on a sale basis. So that means there is no IRR in this, but there is a profit mar

gin that we have. And those profit margins, we have shared with you in rooftops business, what sort of profit margins.
We not really get and then you can see from there. So that's what we are looking at. But the numbers that you typically end up doing huge numbers, you would do in a year, say 1 lakh rooftop solar of say, 3 kilowatt or 5 kilowatt and you can imagine the typ e of capacity add and the type of returns we'll get from that.
And the numbers that we are seeing and the opportunity that we are seeing for ourselves based on the agreement or MoUs that we have signed in few of the states shows that we will be doing a huge number of such rooftops in the coming years.

Swati Jhunjhunwala : Understood. And sir, just one more. So is there any target plan that you have yet decided for how you are going to ramp up to 3 million in 3 years? Is there any plan there that you can share right now?
Praveer Sinha : The 3 million means 30 lakhs in 3 years means average 10 lakhs per year. It can be more also. So it all depends on how quickly, we are able to streamline our processes and implement them.
Swati Jhunjhunwala: Understood. Sure. Thanks.
Moderator: Thank you. We have no further questions, ladies and gentlemen. I would now like to hand the conference over to Dr. Praveer Sinha for closing comments. Over to you, sir.
Praveer Sinha : Thank you all for joining for this analyst call. If you have any more queries, please connect with my colleagues from Investor Relations. We have tried to give as much of information as possible in our presentations, b ut we continue to look forward for your comments so that we can further improve the presentation quality both in terms of content and detailing . And we would be more than happy to connect with you offline also and respond to your queries. Thank you. Once again for joining us.

Moderator: Thank you, sir. On behalf of Tata Power, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: May 2025

May 16, 2025

BSE Limited Corporate Relationship Department 1
st Floor, New Trading Ring
Rotunda Bldg., P. J. Towers
Dalal Street, Fort Mumbai – 400 001. Scrip Code: 500400 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No. C/1, G Block
Bandra-Kurla Complex
Bandra (East) Mumbai – 400 051. Symbol : TATAPOWER

Dear Sir/Madam,
Earnings Call Transcripts

Pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, the transcript of the audio call recording of the Company's Analyst Call held on May 14, 2025, on the Audited Financial Results (Consolidated and Standalone) of the Company for the quarter and year ended March 31, 2025 is attached herewith.

The transcript of recording can also be accessed on the Company's website using the following link:
https://www.tatapower.com/investor-resource-center#tabs-76324829de-item-26b1f57887-tab
You are requested to take the same on record.

Yours Sincerely,
For The Tata Power Company Limited

Vispi S. Patel
Company Secretary
FCS 7021

Encl - As above

"The Tata Power Company Limited
Q4 & FY '2 025 Earnings Conference Call "

May 14, 2025

MANAGEMENT : DR. PRAVEER SINHA – CEO & MANAGING DIRECTOR ,
THE TATA POWER COMPANY LIMITED
MR. SANJEEV CHURIWALA – CHIEF FINANCIAL
OFFICER , THE TATA POWER COMPANY LIMITED
MR. J.V. PATIL – GROUP FINANCIAL CONTROLLER ,
THE TATA POWER COMPANY LIMITED
MR. KASTURI SOUNDARARAJAN – CHIEF TREASURY &
INVESTOR RELATIONS , THE TATA POWER COMPANY
LIMITED
MR. RAJESH LACHHANI – HEAD INVESTOR RELATIONS ,
THE TATA POWER COMPANY LIMITE D

Moderator: Ladies and gentlemen, good day, and welcome to the Tata Power Q4 FY '25 Earnings Conference Call.
As a reminder , all participant s' lines will be in the listen -only mode . And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*", then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Dr. Praveer Sinha – CEO & Mana ging Director of Tata Power. Thank you, and over to you.
Dr. Praveer Sinha: Thank you, Yashashri . Good evening, everyone . And thank you for joining for the analyst call.
I am joined today by my colleagues, CFO – Mr. Sanjeev Churiwala , Mr. J.V. Patil , Group Financial Controller , Mr. Kasturi Soundararajan , Chief Treasury & Investor Relations , Mr. Rajesh Lachhani , Head Investor Relations and few other members from our Finance Team.
Let me first put the perspective of the power sector :
Last year the growth of power demand for the whole year has been nearly 5%, and in the March quarter it was nearly 4%. And we expect that this year also the growth will be in the range of about 5%. Though in the month of April we have only seen 2% growth , we do expect that this year the peak demand will increase to something like 270 gigawatts. A nd the way the power sector is geared up, I think we will be able to meet that additional load. From Tata Power 's side also , all our plants will be operating at full capacity, so that whatever is our commitment in terms of supply we will be able to meet.
Coming to our performance :
This is the 22nd successive quarter in which our PAT has grown. Our reported PAT is nearly 25% higher in the March quarter, which is at Rs. 1,306 crores , while the adjusted PAT is 16% higher at Rs. 1,288 crores compared to last year's Rs. 1,109 crores. Our Q4 EBITDA has also increased 14% to Rs. 3,829 crores compared to last year's Rs. 3,358 crores.

Coming to the full year :
FY '25 has been a historic year where for the first time the Company has posted a PAT in excess of Rs. 5,000 crores , and underlying EBITDA has been more than Rs. 15,000 crores , while the reported revenue has gone up by 5% to Rs. 64,502 crores. The PAT before exceptional has gone to Rs. 5,197 crores, which is a 26% increase on year -on-year basis . And the underlying EBITDA has increased by 10% to Rs. 15,261 crores.
This achievement has been possible because many of our core businesses have performed exceedingly well . Our existing generation business has done very well, transmission and distribution has also done well , and similarly our renewable business has also done very well . And as we had shared with you last year, we are on track to double our PAT and EBITDA by FY '30.
For the year FY '25, the renewables business, we could achieve a capacity add of 1,026 megawatts. A nd for the first time we have been able to add capacity of more than 1 gigawatt . We also in the quarter commissioned 166 gigawatts of capacity . And over the years we have seen that our capacity adds has been growing. We also have a very good pipeline of our renewables business where nearly 5.5 gigawatts of capacity will get added in the next six months to 24 months, where land for most of the projects have been acquired as also the connectivity .
And we do hope that our target to have nearly 70% clean and green energy by 2030 will be possible, not only with the renewables projects that we are setting up , but also the pumped hydro project where the work has already started in the 1,000 megawatts Bhivpuri project and work in 1,800 megawatts Shirawata pumped hydro will start in the later part of the year. Our project in Bhutan, the 600

megawatts Khorlochhu project,
the work has already started from 1 January, and we expect that by November '29, the project will be completed.
In our solar business, especially the solar rooftop business, our revenues have gone up by 40% in the quarter to Rs. 865 crores and EBITDA has gone up by 72% to Rs. 132 crores. For the full year , our rooftop business had sales of nearly 782 megawatts peak with a revenue of Rs. 2,210 crores and PAT of Rs. 209 crores. And in the coming year, that is FY '26, we expect that this will nearly double considering that huge initiatives are being taken by us along with the government PM Surya Ghar project, especially in

the states of Odisha, UP, Rajasthan, Assam and Maharashtra. We, in fact, continue to be number one in rooftop solar with our presence in more than 700 cities.

Coming to our manufacturing of solar cell and module :

The plant is now fully operational at Tirunelveli, and they are operating at more than 90% each. In this year though we started production a little late, in the whole year we have supplied nearly 3,300 megawatts of modules. In this quarter, we could supply 913 megawatts of modules and 650 megawatts of cells. And the reported revenue of this quarter was Rs. 1,500 crores and the EBITDA margin has gone up to 27%.

For the full year , TP Solar has reported revenue of Rs. 5,337 crores, EBITDA of Rs. 875 crores and PAT of Rs. 422 crores. With both the cell and module line fully operational, we do expect that in the coming year we will cross the 3,700 megawatts of production of both cells and modules.

In our T&D business also, which actually has shown record performance this year, in the quarter our revenue was Rs. 9,590 crores, PAT of Rs. 616 crores. For the full year, the revenue of T&D business is Rs. 39,122 crores and a PAT of Rs. 2,000 crores. This has been possible because of excellent performance by all our distribution companies, including Odisha Discoms, where the PAT has gone up by more than 3 x for the whole year. In fact, in Odisha Discoms, our PAT increased to Rs. 439 crores from Rs. 307 crores in the previous year. And we do expect that with the operations stabilizing and a whole lot of work that has been done in improving the quality of service, this performance will further improve in the coming year.

With all our distribution business, whether it is in Odisha, Delhi, Mumbai and Ajmer doing very good, the Company is also looking at the opportunities to expand, especially in some of the states where the distribution bidding process will start in the latter part of this month . And we do expect that, especially in UP where the big process is starting, we will be able to increase our footprint.

Our balance sheet with all these investments continues to be very , very strong. We had a CAPEX of Rs. 4,100 crores in the last quarter, and in the whole year we had a CAPEX of Rs. 16,200 crores. And in the coming year we have a plan of having a CAPEX of Rs. 25,000 crores. In spite of such a large CAPEX , we have been able to have the net debt at Rs. 44,700 crores . And our net debt to underlying EBITDA continues to be less

than 3, it is actually at 2.93 , and our net debt to equity is at 1.0 compared to 1.1 in the previous quarter.

And because of these reasons, we continue to get the best ratings in corporate India and in the power sector. In fact, Moody's has recently upgraded the outlook on Tata Power from Ba 1 stable to Ba1 positive. Tata Power is committed to go for very calibrated growth and our CAPEX plan not only for FY '26 but for subsequent years is on track. And we do believe that our investments in hydro projects in Bhutan, pumped hydro projects in our existing hydro businesses, T&D investments in our transmission lines and distrib

ution projects , as well as in our renewables will help us to sustain the good performance of the Company and maintain the track record of growth in profit for next few quarters.

We believe that this is possible because there is a very strong foundation for the business and our growth plans are very well defined and calibrated. We look forward for your continued support.

And with this, I will return to Yashashri to open the floor for questions -and-answers.

Moderator: Thank you, sir. Ladies and gentlemen, we will now begin the question -and-answer session. We will take our first question from the line of Sumit Kishore from Axis Capital. Please go ahead.

Sumit Kishore: Good evening, sir. My first question is in relation to CAPEX . On the 3rd Quarter call you had expressed confidence that the Company would be able to achieve its target of Rs. 210 billion of CAPEX that you had set for yourselves , and which would have implied nearly Rs. 9,000 crores to Rs. 10,000 crores of CAPEX in Q4. So, what led to the shortfall on CAPEX ? And even in the December Analysts Meet we spoke about 588 megawatts of renewable capacity addition in Q4 against which 166 megawatts have got added. So what are the challenges here which delayed your CAPEX and your capacity addition targets given that they were just three months out? That's the first

question.
Dr. Praveer Sinha: So our CAPEX for the whole year is Rs. 16,200 crores, for the 4th Quarter it was Rs. 4,000 crores plus. There were some delays in execution of projects. One was in the renewables, some of the locations, the transmissions , and evacuation system, which is

being done by the other companies, they could not be set up . And because of those delays we could not complete the project in time and evacuate the power.
The second is some of the transmission lines that we were doing, those also got delayed because of right of way issues. We have been able to sort that out . And whatever we could not complete in the last quarter , we will be able to meet all those in this quarter. So, it's not that they have been deferred but it's just that the implementation timeline has got a little delayed for various reasons . And we are on track to make up in the coming quarter s.
Sumit Kishore: Sure. So the transmission evacuation issues are largely sorted to commission 2.5 gigawatts plus of renewable in FY '26 like you targeted?
Dr. Praveer Sinha: Yes. This year we will commission nearly 2.5 gigawatts to 2.7 gigawatts of renewable project s. Last year we actually completed the 2.3 gigawatts of projects .
Sumit Kishore: Yes. My compliments on your very strong performance in the solar cell business operationally , both for very high levels of capacity utilization and the ramp up in cell production see n soon after commissioning. But it seems that the margin performance is also very strong, and it appears to be driven by a third -party sale of modules which are integrated with cells in the 4th Quarter . So, is this something that is likely to continue at this scale in FY '26 where you said you will have almost 3,700 megawatts of module and cell production ? So, how should we think about the third -party mix ? And any volat ility through the year that you expect because of your internal requirements , if you could talk about that?
Dr. Praveer Sinha: So, as you are aware we commissioned the cell plant in the last quarter, and it has ramped up now to full capacity. You will only see improvement of it because in Q4 we produced 6 50 megawatts while in FY '26 we are expecting more than 3.700 megawatts . So, you can expect the full impact of production coming in the financial year. Similarly , the module line also has now stabilized, and you will see much better performance in the coming year. So you can assume that the plant will work at full capacity for w

hich al l the steps have been taken by the Company .
Sumit Kishore: Sir my question was on, what will be the proportion of third -party sale in your solar module and cell business, because that is not going to get eliminated on consolidation?

Dr. Praveer Sinha: I think we have huge backlog of orders that we need to execute. We ourselves have large projects and it's for our own Company . In addition to that, we have some third - party EPC obligations which we need to complete in the next six months. So, at least till this 3rd Quarter we do not have any excess capacity. In addition to that , as I mentioned to you , we are going to increase the supply to rooftop solar . And again, nearly 1 gigawatt will be required over there. So I think that we have a huge pipeline of ord ers to be executed . And most of these cells and modules that we will produce will get consumed ourselves. Maybe in subsequent years we might have some extra capacity for third -party.
Sanjeev Churiwala: And j ust to add to what Dr. Sinha said, when we say in -house consumption, even our third -party EPC that we do, finally the profit will also boil down to the consolidated profit of the renewal businesses. So kind of if you look at a console basis, all the DCR cell that goes to third -party EPC businesses that we are doing and we do have a backlog of that, that will add up to the profits.
Sumit Kishore: Okay. So your third -party order backlog is how big right now for module cells?
Sanjeev Churiwala: I think next year for sure we may have about the delivery of 1 gigawatt or around so, to be done for the third -party EPC.
Sumit Kishore: Beyond the solar Rooftop?
Sanjeev Churiwala: Yes, Sumit , it's beyond solar Rooftop.
Dr. Praveer Sinha: Yes.
Moderator: Thank you. We will take our next question from the line of Mohit Kumar from ICICI Securities. Please go ahead.
Mohit Kumar: Yes. Good evening, sir. Thank s for the opportunity. My first question was, there was

a news in the media that you are rethinking about exiting coal business , is that true? If
true, are you also exploring organic growth?
Sanjeev Churiwala: Yes. I think there are mixed reactions that you see in the papers and all. I think as Dr. Sinha said, we will be opportunistic. If some opportunities come, we will see. But as of now, we are kind of more determined to ensure our capital allocation goes to our growth businesses, which is in the renewa ble and transmission and distribution.

Mohit Kumar: Understood. Sir, my second question is, there is a Note Number 2 which talk s about some adjustment from the C ERC judgment. What is the impact of that Note Number 2 in this particular quarter?
Sanjeev Churiwala: There is no impact in this quarter. This pertains to the earlier quarter, which we have already discussed , the CERC order dated 3rd January 2003.
Mohit Kumar: Yes. They say they issued the final order in claim of , so you have trued up the amount. So that is what it says, that's why I am trying to chime in.
Sanjeev Churiwala: This order is kind of more supporting us in terms of collecting our receivables.
Mohit Kumar: So there is no material impact in this quarter , is that right?
Sanjeev Churiwala: Yes. So there is no impact on the P&L, because to that extent, as and when we are selling, we have also been booking as per the MOP orders. So , there is no impact on the P&L.
Mohit Kumar: My last question is, is it possible to break up the CAPEX layout across the various businesses for FY '26?
Sanjeev Churiwala: We have about a CAPEX layout of close to about Rs. 25,000 -odd crores for next year. And if I do a breakup, around 60% of the layout allocation will happen in our renewable businesses . Given that we are also growing our transmission and distribution, CAPEX

of about 30% odd will go there and the remaining are there. But this will remain dynamic. This is a broad allocation that we are starting the year. But depending upon the situation on the ground, the allocation might change.
Mohit Kumar: Understood, sir. Thank you. And all the best, sir. Thank you.
Moderator: Thank you. We will take our next question from the line of Apoorva Bahadur from IIFL Capital. Please go ahead.
Apoorva Bahadur: Hi, sir. Thank you for the opportunity. A couple of questions, sir, firstly on the cell module manufacturing business . I see in your presentation that we have commissioned a TOPCon pilot line as well , would you mind throwing some update on that? I mean, when do we intend to upgrade our PERC capacity?

Dr. Praveer Sinha: So, right now we will continue with the 4 gigawatts of Mono -PERC and 300 megawatts of TOPCon. So that whatever technology we have used and the efficiency that we are getting, we maximize on that. Whenever the opportunity and the market demand is there for TOPCon, we will examine it at that stage. But right now, we will continue with the operation of these lines.
Apoorva Bahadur: Okay, sir. And sir, given the strong utilization which we are seeing for our cell module line, is there any plan to add capacity over here?
Dr. Praveer Sinha: We keep on examining these types of proposals. At the right time we will take a call.
Apoorva Bahadur: Okay. Lastly, I wanted to understand our strategy for Tata Projects. I think we have been holding this business for quite some time, have been getting diluted here , twice there has been a rights issue. So, how do we sort of look at this business? The intent is to hold it till a possible listing or maybe a sale to the parent at some time?
Dr. Praveer Sinha: So, as you are aware that Tata Projects came up with rights issue. And since we are now focusing on our core businesses, we have not subscribed to that. And we want to use our money for our own CAPEX growth, which we have planned. As far as Tata Projects is concerned, they have an ambitious plan. And hopefully in the next one to three years, they will perform very well and start making a profit . And maybe at the appropriate time Tata Projects ' management will take a decision on what they need to pursue to make it more robust in terms of a listing or whatever they have to do.
Apoorva Bahadur: Great, sir. One last question, if I can squeeze it in , and this is regarding the ordering for the wind plants. Wanted to know if we are through with all the orders that could be placed?
Dr. Praveer Sinha: Yes. In the final stages, hopefully in the next three to four weeks.
Apoorva Bahadur: Understood, sir. Thank you so much. All the best.

Dr. Praveer Sinha: Thank you.
Moderator: We will take our next question from the line of Satyadeep Jain from Ambit Capital. Please go ahead.

Satyadeep Jain: Hi. Thank you. First, Mr. Sinha, just a clarification question. My question is to what you responded to Mohit's question on the media articles around thermal. It seems you indicate that if there's an opportunity that comes along, you may look at it. Is that a strategic change? Because the earlier target was that you will phase out all the coal plants that you have by 2045 or something. Is there a change in that strategy that you might be opportunistic, and you may not phase out all the coal plants, you may look at coal? I know the word opportunistic, but that means you are open to evaluating different opportunities if there's a change in strategy , just want to understand that.
Dr. Praveer Sinha: So, our end date of 2045 continues to be there. So , it's the end date of where we will divest or we will close down the plants by 2045 for all the coal -based plants where we have the PPAs. But as

I mentioned to you, if there's some stressed asset or some asset which is there, and typically they would have been in operation for some period, we can look at that. But these are, again, very speculative at this stage. There's no plan per se that we are immediately going for anything like that.
Satyadeep Jain: Okay. Just on the RE, I know you acquired more IS TS connectivity, and there have been some delays in transmission evacuation. Now, what is your intent , you are acquiring more transmission connectivity ? And given your targets, given the issues we have seen in transmission ROW, is that why you are holding off on maybe more aggressively building pipelines beyond the next two years? What’s the thought there, and what's driving that strategy, whatever may be exercising caution on building future pipeline?
Dr. Praveer Sinha: So, as you are aware, there are challenges in acquisition of land and getting evacuation permission. So, as a long -term investment strategy, we continue to acquire land in various places, a nd also keep on applying for connectivity, so that we do not have to start looking for it when we win the project. And as you are aware, we do a large number of projects, not only utility -scale, but also under group captive for various industries as also for many of the group companies in Tata Group. So we definitely would be quite aggressive in the acquisition of land , as also getting the necessary connectivity from these locations.
Satyadeep Jain: Okay. Just one question if I can squeeze on very high margins you report in rooftop solar , and also Odisha Discoms I think there is some ECL provisioning write back is done. Just wanted to understand that ECL provisioning and what basically drove the profitability in Odisha , and also the rooftop solar ? Thank you.

Dr. Praveer Sinha: So, Odisha Discoms is a different business and that has nothing to do with the rooftop, excepting for the fact that they do support rooftop initiative that we take in Odisha. So I think we need to look at both of them separately rather than at once.
Satyadeep Jain: No, sir. Separately, but just want to understand what happened in those two different businesses? Just what led to high profitability in solar rooftop in that quarter? And also separately , Discom also reported very high profit, and it seems like there is some ECL provisioning write back , just wanted to understand two different businesses what led to the good performance here.
Sanjeev Churiwala: So I think you are right, there are two different businesses. On Odisha, of course, as you can see there is a continuous reduction in the AT& C losses, better efficiencies has come in, better billing and better collection have happened . And back on this we have better profitability. They are having some ECL provisioning in terms of clearing up some of the past dues . But even after providing for those ECL provisioning we delivered a very good set of numbers in Odisha . And hopefully , we have created a good baseline to kind of grow from here. So that's on Odisha.
On the rooftop businesses, I think the 4th Quarter has been a phenomenal quarter for us where we have delivered good growth. When you look at the numbers of rooftop for the quarter we have kind of delivered close to about Rs. 860 crores, Rs. 870 crores in terms of the top line revenues with a very healthy PAT margin . And that demonstrates our ability to penetrate the market, capturing the market share, getting a premium for our product based on a high amount of trust that the consumer has. We

are kind of operating with 600 -plus channel partners and we want to ensure that the growth that we have in the 4th Quarter we can continue this growth in the coming quarters as well.

Satyadeep Jain: Okay. Thank you so much. And wish you the best.

Moderator: Thank you. We will take our next question from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: Yes. Hi. Thanks for the opportunity. Sir one clarification is that, the Government of India has come out with the new Shakti Scheme, which allowed imported coal-based power plant to source coal from the domestic sources. Do you think it makes sense for Mundra to tie up the domestic coal in the long term?

Dr. Praveer Sinha: The Mundra plant is designed for imported coal, and imported coal has different chemical characteristics. It's not just the heat rate but what is the sulfur content, nitrogen content, what is the ash content. So there are a whole lot of chemical characteristics that it needs to comply to. So we need to consider all these aspects when we go for change in coal. So , because of that reason, for us it does not make sense to go for domestic coal. Secondly, the cost of coal if we get from eastern part of India, especially in terms of the transportation cost, is very high. And for us, until and unless we are able to have a very differentiated arrangement which brings down the cost of coal, and also brings down the transportation cost, it will not make real sense to move to any other coal than what we are using at the moment.

Mohit Kumar: Understood. The second question is, is there any update on the financial closure of the Pumped Storage Power Plant which you are building up the facility with 1,000 megawatts ?

Sanjeev Churiwala: So, yes, we are working on financial closure. The discussions are happening with the banks. We have just started the work , so we still have a few months to close that.

Dr. Praveer Sinha: Yes. But the work is going on at the pumped storage project. So , notwithstanding the financial closure s, the internal accrual is supporting the investment that is required for the project.

Mohit Kumar: Understood, sir. Thank you. And all the best, sir. Thank you.

Moderator: Thank you. We will take our next question from the line of Rajesh B hojani from NSG Tech. Please go ahead.

Rajesh Bhojani: Yes. Thank you, ma'am, for the opportunity. I was interested if the Company is expanding in battery energy storage system?

Dr. Praveer Sinha: Yes. We set up those projects as a part of the complex renewable projects. So, we arrange source batteries from suppliers and combine it with solar and wind projects that we set up. So, it's a part of the hybrid solution that we are implementing.

Rajesh Bhojani: Yes, sir. And are there any challenges in the renewable sector in point of view with the government policy?

Dr. Praveer Sinha: No, there are no challenges , nothing like that .

Rajesh Bhojani: Okay, sir. Thank you.

Moderator: Thank you. We will take our next question from the line of Bharanidhar from Avendus Spark. Please go ahead.

Bharanidhar: Okay. Just wanted to understand some operational and financial metrics on the Mundra Coal and Shipping line item in the cluster -wise performance slide, where we have seen a very good improvement in profitability and PAT in FY '25 versus FY '24, meaning Rs. 57 crores of PAT going up to Rs. 107 crores. So, what is driving this ? And some color on how much spreads we are making per unit in Mundra and what would be the outlook for '26? That would be great.

Sanjeev Churiwala: So, if you are looking at the full year PAT, there are a couple of things there. A, suppose last year and this year the plant continues to run on Section -11, last year one unit was down so we were running on four units , this year we are running on the five units, so to the extent there's better contribution coming through. And that's the key reason. And there we have one of the regulatory upside coming in for Mundra, which was pending for the last almost a decade now, which has been repor ted in the earlier quarters, almost at a figure of Rs. 332-odd crores. So that is because of that.

Bharanidhar: Understood. So, what would be the outlook for '26, sir, regarding Section -11?
Sanjeev Churiwala: It all depends. It's too difficult for us to predict the outcome for the entire year. As of now, Section -11 has been extended for two months. And we are also trying to very amicably work along and get into a revised PPA with them, with the government. So, it's too early for us tom kind of comment as to how '26 will look like. But we are working towards the resolution.
Bharanidhar: Understood. And some updates on the UP privatization of Discoms and where is it at and when it is likely to be opened the bid, that would be helpful.
Dr. Praveer Sinha: UP have appointed a consultant to work on the bid process for two Discoms. We are also part of it, and hopefully, we would like to do something out there. But I think we are still working for good.
Bharanidhar: Okay. Thank you so much. And all the best.

Moderator: Thank you. We will take our next question from the line of Atul Tiwari from JPMorgan. Please go ahead.
Atul Tiwari: Yes, sir. Thanks a lot. Sir, again on the pumped storage plants where you have started the work, what is the status of long -term PPAs there? Are you looking at something? And in case the PPA is not there, do you think financial closure will be possible from financial institution side?
Dr. Praveer Sinha: So, pumped hydro is being developed to basically give bundled power along with solar and wind. This will be done for both the utility -scale projects as well as for many of our C&I customers. This is a work in progress. This will take at least six more months for us to get finalized, so that we have maximum value for the investment that we are making in this project. As you know that many of the companies have to go for 24/7 renewable power as well as many of the Discoms are wanting to do that. Pumped hydro has a unique ability to give this power 365 days for eight hours every day. So, I think we need to position it in such a way that whether industries or utilities, they want certainty on the pumped hydro plant, they will be going for this along with the other renewable sources.
Atul Tiwari: Okay, sir. Thanks.
Moderator: Thank you. We will take our next question from the line of Anuj Upadhyay from Investec. Please go ahead.
Anuj Upadhyay: Yes. Hi. Thanks for the opportunity, sir. Sir, firstly on the EPC margin excluding the rooftop segment, it still struggles to cross 5% at EBITDA level EPC for the Q4. So, the reason behind that ? And secondly, your wind PLF continues to struggle to cross 20% kind of a level , so what actually has been impacting the wind performance out here?
Sanjeev Churiwala: So, I think if you see the presentation that has been uploaded, I will just tell you the slide number. And if you see the EBITDA margin and PAT margin, PAT margin is consistent about 5% and EBITDA margin is beyond that, closer to 8% to 9%. And that's the targeted range we want to be in. So I think we are doing absolutely fine with respect to margins in our businesses.
Anuj Upadhyay: So, I guess the consol margin comes at around 8% to 9%, but the EPC is still in the range of 5% to 6% ? I am referring to your slides only, sir.

Sanjeev Churiwala: Yes. EPC business, if you look at it, we are delivering a margin of close to 5%.
Anuj Upadhyay: Yes. So, I mean, initially the sense was that the EPC segment, excluding the rooftop I am saying, could scale up a level of around 7 % to 8%. So that time we had this concern that we had orders which were at a low margin business, and we had actually executed those low margin EPC work , so the upcoming orders would be of a healthy margin. But

still we see the margins to struggle somewhere in the range of 5% to 6% only.
Sanjeev Churiwala: I do not know where we are kind of missing your expectation. In slide number 62, for the quarter, for the EPC we delivered less than 3%. For the full year as well, we are delivering at 5%. And throughout the EPC business, and I think for the last couple of years we have said that we kind of want to maintain a margin profile of 5%. So that has been very consistent as well. And it's kind of done better than the previous year now. You see, for the last full year , when the margin was 3.3%, I very clearly remember we said that we are targeting 5% , and this year we are delivering 5%.
Anuj Upadhyay: Fine, sir. I will take this offline. And on the wind side?

Sanjeev Churiwala: On the wind side ?
Anuj Upadhyay: Wind PLF which continues to be at around 20% PLF.
Dr. Praveer Sinha: So, see, what happens is whether it is wind or solar, what we need to ensure is the availability of the plant. And the availability of all these plants has been in the 99 -plus range. The PLF is dependent upon the wind speed or what is the solar level. So , last year the wind speeds in many places were not very good. And that is why the wind PLFs are low. But our plant availability continues to be very high in all places.
Sanjeev Churiwala: Yes. And I think to be very precise, slide number 61 of the presentation has the full detail. And normally when we look at the wind PLF, we are in the zone of 19.5% to 20%. And that is what perhaps is the right zone.
Anuj Upadhyay: Okay, sir. And lastly sir, of the Rs. 1,078 crores of PAT which we have recorded for Mundra coal and shipment category, can you specifically mention how much was contribution from Mundra in it?
Sanjeev Churiwala: It's a combination of various things, but we can tell it to you separately.

Moderator: Thank you.
Anuj Upadhyay: Fine, sir. That's helpful.
Moderator: We will take our next question from the line of Aniket Mittal from SBI Mutual Fund. Please go ahead.
Aniket Mittal: Yes, sir. Thank you for the opportunity. My first question is on the cell and module operations. So just to understand, could you talk about what sort of realizations you will be getting in the market for these external sales, both for DCR and non -DCR module sales? And secondly, sort of heading into FY '26, what sort of EBITDA margin do you think this entity can make ?
Dr. Praveer Sinha: See, as I mentioned to you, we are not selling these DCR modules as such. A very small quantity we sell , depending upon the timelines in which it is required. Mostly it is being used in -house for our in -house projects or for the third -party EPCs that we are executing, for which we already had an order earlier with us . So, to that extent, we may not be able to share what sort of price will be applicable for the sale of just the DCR modules. You can see the margins which is there , the Q4 ma rgin is just an indication. Going forward, it will further improve because the efficiency and the yields are improving. So , you can consider much better returns and a much better margin in the future projects.
Aniket Mittal: Okay. And just one bookkeeping question , for your Tata Power Solar EPC arm, what's the overall order book currently?
Sanjeev Churiwala: It should be about close to Rs. 11,000 -odd crores.
Aniket Mittal: This includes rooftop?
Dr. Praveer Sinha: Rooftop is separate , this is the large utility scale.
Aniket Mittal: Okay. Rs. 11,000 crores. And about Rs. 1,000 crores rooftop.
Dr. Praveer Sinha: Yes.
Aniket Mittal: Just to clarify, of this Rs. 11,000 crores, how much would be external? How much would be for own Tata Power?

Dr. Praveer Sinha: Around Rs. 4,000 crores would be external and remaining would be our own.
Aniket Mittal: Got it. Thank you. Those were my questions.
Moderator: Thank you. We will take our next question from the line of Rajesh Majumdar from B&K Securities. Please go ahead.
Rajesh Majumdar: Yes. Good evening, everyone. So I have another question Odisha Discoms, we have seen a sharp jump in the profitability in Q4 as well as for the year for Odisha Discoms. So how sustainable is this ? And what would be a kind of long run kind of PAT we can assume from this? Will it be slightly lower than this or will it be slightly higher than this?
Dr. Praveer Sinha: So Odisha Discoms had their huge challenges because there were a lot of issues regarding billing, collection, meters . And they were also large, old outstanding. We have been able to take care of all those things , including ECL provision. And what you have seen in Q4, a similar trend you will observe because the whole process has now been streamlined . And the performance in the future quarters will be consistent to what sort of performance you have seen in Q4.
Rajesh Majumdar: Yes. And sir, a related question on this , I mean , we have seen a lot of other Discoms

also being bid by some other companies, but we have not seen the kind of success in the other Discom privatization s as we have seen in the case of Odisha Discoms. So what is going on so good for you guys that is not going on so well for the other people that is distinguishing it? Any qualitative color on this?

Dr. Praveer Sinha: If you come here and spend some time, we will explain to you what we do. It cannot be replied in two minutes. You have to come and understand what we do and how we are unique and different than anyone else.

Sanjeev Churiwala: Yes, I think still better , you can take a visit to Odisha , we can facilitate that.

Rajesh Majumdar: Right. And sir, also because you are also bidding for other Discoms now , are we going to be having the same kind of returns in UP Discoms as well ? Because as I said again , the peer group experience is not as great as what we have seen in the Odisha Discoms.

Dr. Praveer Sinha: So you should know that today we are the biggest private Company in distribution. And we are the sum total of all the others put together. And no one has the type of

experience and the domain knowledge as we have , because we have done work in urban areas as well as in rural areas. So we have a huge edge compared to anyone else.

Rajesh Majumdar: Right. And sir, my other question is a bit of a general question for you , because you have always said in the last couple of calls that the peak demand is likely to hit 270 this year. But so far the demand trends are not suggesting anywhere near that number. So I know last year we had a base effect kind of impact on the power demand , is there any risk of the power demand again being in low -single -digits this year?

Dr. Praveer Sinha: So, last year we had the peak of 250 and this year, based on the data that we have from IMD, we are expecting that it will go to 270. So, it all depends. The summer has just started, and we normally have a long summer right up to August. So, let us wait and watch.

Rajesh Majumdar: The peak demand was hit in May, if I am not mistaken last year , and we are already in the middle of May now. That's why I asked this question.

Dr. Praveer Sinha: Yes. But there have been situations where peak demand have been in July also and in October also. So, it depends on how the weather condition is there. And apart from the heat, it is also humidity which has a huge factor on the usage of electricity. So, let's wait and watch.

Rajesh Majumdar: Thank you, sir. Thank you.

Moderator: Thank you. We will take our next question from the line of Sumit Kishore from Axis Capital. Please go ahead.

Sumit Kishore: Thanks for the opportunity again. My first question is t

o Dr. Sinha , you had articulated the opportunity and keen interest that Tata Power has in the nuclear and SMR market that is likely to open up to private sector. Has there been any progress in terms of any tender invited by the government for private sector participatio n? We were reading that there were some companies which had immense interest , has that moved forward?

Dr. Praveer Sinha: So, we are waiting for the change in the law wherein the government has to amend the law in allowing private sector participation in nuclear power plants , also the civil liability law. And once we get more clarity on that, we can share with you our plan to implement SMRs and other type of nuclear plants.

Sumit Kishore: And just a follow -up question on this UP privatization , we are hearing that five circles are going to be demarcated for private sector participation. So, is there any condition that one private player cannot take more than one or two circles or can take more than?

Dr. Praveer Sinha: We are still waiting for the bid documents. They have appointed a consultant. And what I understand , by the end of this month the bid documents will come and we will get some better clarity on that.

Sumit Kishore: Sure. Thank you so much and wish you all the best.

Dr. Praveer Sinha: Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Dr. Praveer Sinha for closing comments. Over to you, sir.

Dr. Praveer Sinha: Thank you very much. And it was a pleasure interacting with all of you. If you have any further questions, you can please connect with my colleagues, Rajesh and Kasturi. And also, if some of you want to visit Odisha Discom what changes we have made, what technology interventions, customer engagement and customer services that we are offering, and I would request if -- plan the same. Also, at any stage, if you want more data, more information, please do not hesitate to connect with us, and we will take your feedback to improve the quality of presentation and also to provide you more data which will help you to make your reports more objective. Once again, thank you to all for joining us.

Moderator: Thank you, sir. On behalf of Tata Power, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Aug 2025

August 6, 2025
BSE Limited
Corporate Relationship Department
1st Floor, New Trading Ring
Rotunda Bldg., P. J. Towers
Dalal Street, Fort
Mumbai – 400 001.
Scrip Code : 500400 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No. C/1, G Block
Bandra -Kurla Complex
Bandra (East)
Mumbai – 400 051.
Symbol : TATAPOWER
Dear Sir/Madam ,
Earnings Call Transcripts
Pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, the transcript of the audio call recording of the Company's Analyst Call held on August 1 , 2025 , on the Audited Standalone Financial Results and Unaudited Consolidated Financial Results of the Company for the quarter ended June 30, 202 5 is attached herewith.
The transcript of recording can also be accessed on the Company's website using the following link:
https://www.tatapower.com/investor -resource -center/analyst -call-transcript -tab#analyst -call-transcript -tab
This is for your information and records.
Yours Sincerely ,
For The Tata Power Company Limited
Vispi S. Patel
Company Secretary
FCS 7021
Encl - As above

"The Tata Power Company Limited
Q1 FY '26 Earnings Conference Call "

August 1, 2025

MANAGEMENT : DR. PRAVEER SINHA – CEO & MANAGING DIRECTOR ,
THE TATA POWER COMPANY LIMITED
MR. SANJEEV CHURIWALA – CHIEF FINANCIAL
OFFICER , THE TATA POWER COMPANY LIMITED
MR. J. V. PATIL – GROUP FINANCIAL CONTROLLER ,
THE TATA POWER COMPANY LIMITED
MR. KASTURI SOUNDARARAJAN – CHIEF TREASURY &
INVESTOR RELATIONS , THE TATA POWER COMPANY
LIMITED
MR. RAJESH LACHHANI – HEAD INVESTOR
RELATIONS , THE TATA POWER COMPANY LIMITED

Moderator : Ladies and gentlemen, good day and welcome to the Tata Power Q1 FY '26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that thi s conference is being recorded.

I now hand the conference over to Dr. Praveer Sinha, CEO & Managing Director of Tata Power for his opening remarks. Thank you and over to you, Sir.

Dr. Praveer Sinha: Thanks, Reyo and good evening to everyone and thanks for joining for the Analyst Call. I am joined today by my co lleague, Sanjeev Churiwala – CFO , J. V. Patil – Group Financial Controller , Kasturi Soundararajan – Chief Treasury & Investor Relations and Rajesh Lachhani - Head Investor R elations and some other colleagu es from the Finance Department.

Let me give you a little background about the power sector :

After many years, we had a quarter in which the power consumption declined by nearly 1.3%. We have not seen for at least last 5 -6 years and this was because of the early onset of monsoons where we saw the monsoon coming around mid of May and this has continued till now. But we do expect now that with the rains going from most of the central an d western part of India and northern part, we will have again high temperature along with humidity which will again lead to higher power demand in the later part of Au gust and September. This quarter also we saw a huge capacity addition that have taken place. Many of them were capacity additions which should have happened in last year, last financial year but got spilled over to this financial year and we do expect that some of it will continue in the subsequent quarters.

On Section -11, all of you are aware that the Section -11 was valid till 30th of June and since then it has not been extended. We are since then in a very detailed discussion with all the 5 procurer states and all the details, papers have been shared with them and we do expect that we will be able to conclude t o an arrangement acceptable to all the 5 procurers and us within August and we continue to work with them on finalizing this so that this becomes the template for the supply of power for next 13 years u p to 2038.

As all of you are aware with these lower coal prices, international coal prices, the cost

of Mundra Power is very attractive in the merit order and we do expect that this price will continue to be softer at least for next few years and hence the attractiveness of Mundra plant is there.

We have already shared with you the financial performance of Tata Power wherein our EBITDA has gone up, our PAT has gone up and even if we consider the one -off that we had last year in the same quarter, if we remove that our PAT has gone up substantially m ore, the details are already shared with you. I wanted to share with you that all our businesses have done exceedingly well, the generation business continues to be the cash cow, continues to have very steady performance as thermal, gas and hydro generatio n have performed exceedingly well and have been meeting the yearly and quarterly targets. Our transmission distribution business also have been very steady. We have seen that our transmission projects which are under implementation and which will get commissions, 2 of them in this quarter and the balance in next 3 to 4 quarters will again help in the improvement of the performance of the company. There is huge amount of CAPEX which is happening in transmission projects in Mumbai considering that there is a huge increase in demand in Mumbai city and to augment the capacity of transmission, capital expenditure

is being made on a yearly
basis of nearly Rs. 600 crores to Rs. 700 crores.

Our distribution business has done well. Odisha distribution have now been able to clean up all the earlier challenges in terms of the billing issues and some of the so - called customers who were not there, the ghost customers, all that has been cleaned and that is why you have seen huge improvement in the performance of Odisha Disco m and you will see further improvement as we go in the subsequent quarters. Our renewable business have done very well. Four areas that I would like to mention, f irst is our EPC business. We have commissioned this quarter a record 652 megawatt which is nearly double of the quantity that was commissioned in last year's same quarter and out of which 560 is for third party and 92 is for our own utility scale. We expect the third party order that we have will get more or less completed in Q2 and little bit in Q3 and thereafter all the projects that will come up will be for our own utility scale. We expect nearly 1 ,600 megawatt of own utility scale projects to come up in the next three quarters and that will help us in enhancing the operating capacity of the renewable business. Our manufacturing plant has done very well. Nearly 950 megawatts of module and 900 -odd megawatt of cell has been done. This has now further stabilized and we do expect that this quarter will be much higher than the last quarter because of better yield and efficiency. Our rooftop business again has done exceedingly well. It

has shown a huge increase in terms of the number of units we have been supplying as also in terms of megawatts and this has also demonstrated in higher revenue and higher PAT . Going forward , this will only increase because the supply chain has been further streamlined and the number of units that we have started supplying per month are very, very high numbers and this is further going to increase in next two quarters.

We have also done exceedingly well in all our other areas including in our EV charging business where the performance has been again very good and much better than last year. This is because of higher utilization of our public charger as well as the bus charging infrastructure that we have created and our home charging continues to increase because we are virtually partners with all the OEMs who are operating in the market. So, we are seeing a huge improvement in each of our business performance and that is why you would see that our core business performance has improved substantially compared to the previous year and going forward that will be the trend that you would be seeing that some of the one -offs and some of the other business incomes that we were g etting from our coal mining or others will not make a substantial difference in the overall performance of the company. Our balance sheet is very sturdy in spite of the increase in CAPEX . We spent in this quarter Rs. 3,700 crores against our full year plan of Rs. 25,000 crores and we are on track to implement all those projects. Our net debt has gone up by nearly Rs. 2,900 crores to Rs. 47,578 crores and in spite of this increase in net debt compared to the previous quarter, our leverage ratios have been very, very stable. Net debt to underlying EBITDA is 2.93 and net debt to equity is 1.08 which is I think one of the best in the industry . We are also committed that existing performance will not only continue but will also improve in the subsequent quarter c onsidering that there is large amount of capital expenditures that we are doing and the returns of all that will start coming in the subsequent quarters.

We have already started work on our pumped hydro project in the last quarter and we expect that this will get commissioned by 2028 -29. Similarly, the work on the Bhutan project started in January this year that wi ll also get c

ommissioned in 29.

With all this, we are now getting ready to supply 24x7 clean power to our customers and these type of tie -ups are now happening with many of our C &I customers and also with this firm. We do look forward that this sort of sustainable business model that we have, which we have implementing now will help us to improve the performance in the subsequent quarters. We look forward to your continued support and we will be more than happy no w to respond to your questions.

I would request Reyo to open the floor for questions.

Moderator: Thank you. We will now begin the question -and-answer session. First question is from Puneet from HSBC. Please go ahead.

Puneet: Thank you so much and congratulations on good numbers. It is very impressive to see your performance on Odisha side. My first question is actually on Odisha. What are the levers still left with you to drive such strong perfor mance on Odisha Discom, i f you can elaborate a bit more on that, it will be very helpful ?

Dr. Praveer Sinha: So, as you are aware, we have carried out a huge amount of improvement in reducing the AT&C losses, which is the technical and commercial losses. We are still in some places in 17 %-18% range. We do expect that in the next 3 years, we will bring down to about 10% range and the type of reductions that we have seen in last 4 years, this trend will continue and that will help us in getting better returns. We also have a huge amount of capital expen diture that is happening and the return on eq uity will start flowing in all the capital expenditures that we have implemented. Our collection efficiency again is improving and many of the quarters we end up doing 100%. Sometimes because of weather reasons, weather conditions or because of certain extraneous reasons, the collections have got impacted. We do expect that this will consistently become 100% as we see in Delhi and Mumbai, where we have our distribution setup. So, I think there are a whole lot of opportunities to further improve and you will see substantial improvements considering that many of the legacy issues

which were there in Odisha, we have been able to overcome and the NCL provisions
is no more required that we had been doing in the previous year. Cleaning of the
customer data sets and customer information has been done. Huge amount of changes
in meters have taken place. We have actually put nearly 25 lakh meters in last 4 years
and now large scale smart meters are being sold there. So, I think you will see huge
improvement in Odisha i n the coming years.
Puneet: Okay, that is very interesting. Second question is on your module business. Would it
be fair to assume that all modules that you are selling would be in the DCR market
with your own cells?
Dr. Praveer Sinha: You are 100% right. Right now, very small quantity of imported cells we are using in
some of the older projects. But other than that everywhere we are using our own cell
and module. Rooftop business practically 100% is now our own cell and module DCR

and also in many of our projects we are using our own cell and module. So, I think
going forward you will see more and more of these type of projects happen ing with
DCR cells and modules.
Puneet: In that context, why is the realization so low? It seems like Rs. 16.70 for a DCR module
seems a bit low compared to what we hear in the market. Any comm ents here?
Dr. Praveer Sinha: So, these are for our own internal use. So, there is a transfer pricing that we do when
we do internal projects.
Puneet: Okay, so that is why it is low. And if you can also talk a bit about what is the status on
your Mundra plant given section 11. You talked about detailed discussion but is the
plant running? Will you continue to run it for a while, pending discussi

ons or is there
a plan to take some maint enance shutdowns etc .?
Dr. Praveer Sinha: So, we have taken maintenance shutdown for all the units and some of the work relating
to FGD is going on. We do expect that as soon as the SPPA (Supplementary PPA) is
finalized, we will be in a position to operate all the 5 units continuously for the balance
of the year. So, we are waiting for this finalization of the SPPA before we start the
plant.
Puneet: And if I can ask the last one, in your presentation you talk about lower merger benefit
due to MYT. If you can talk a bit about that it will be helpful.
Management: So, that is basically from the current year starting from 1st of April, the m ulti year tariff
has been implemented in Maharashtra and that is a slight dispute going on in terms of
the tax that is applicable on the tariff side and the regulatory side and hence that has
been disclosed separately.
Moderator: Thank you. The next question is from Sumit Kishore from Axis Capital. Please go
ahead.
Sumit Kishore: Good evening. Sir, very strong performance in the renewables cluster. The question is,
in your press release it is specified that the company sold 107 megawatt of module and
54 megawatt of cells to third party in Q1 FY '26. This appears to be a small proportion
of the 949 megawatt of solar module and 904 megawatt of solar cells in Q1 FY '26 that
you manufactured. Yet the EBITDA elimination is a much smaller number as a

proportion to the renewables manufacturing EBITDA for Tata Power Solar. Am I
reading this right or what is the clarification on the elimination?
Management: So, third party Solar EPC, in the beginning we said the total execution was 652
megawatt. Only 90 megawatt was internal. So, rest was all third party EPC as a result
of which the elimination is not happening.
Sumit Kishore: Okay. So, I think there is a mention in your press release BSE filing which says 107
megawatt of module and 54 megawatt of cell was sold to third party. So, what does
that mean?
Management: That is not part of the usage that we do in the last project . It is over and above that.
Sumit Kishore: Okay , got it. Second question is in relation to the UP Discom privatization, is there any
progress there? And there was also some news flow regarding you are consideri ng
acquiring stake in Resurgent? Is that something that you would like to speak about in
terms of strategy reg arding Resurgent going forward?
Management: So, as far as UP is concerned, the process of discussion within the UP government and
UP Regulatory Commission has been going on and they are expected to come with
their bid some time in this month. We are very keen to pursue that. But we will do that

once we see the bid documents and the terms and conditions for that. As far as the Resurgent platform, that is still under discussion. As you know that we have partners over there. So, we are still discussing with them. If there is any progress, we will let you know.
Sumit Kishore: So, this is one last point regarding Mundra, while you have given ample clarification , but in terms of your strategy, in case, given the past track record of arriving at a resolution with the procurer, till what time are you prepared to wait before you restart the plant and start supply ing in tune with your contract?
Dr. Praveer Sinha: So, we had number of discussions in last one month and there is a consensus that is building because one is that Mundra in merit order is very competitive and it makes sense for everyone to procure this power rather than buy from exchange or from other sources at a much higher source. And since the coal prices have come down and it is expected to be in the same range, going fo rward also it will remain very, very competitive. So, it is a win -win for everyone and I do expect that there is a huge pressure amongst these procur

ers also that they need to conclude this quickly .

Sumit Kishore: Thank you. That is very clear. Thank you and wish you all the best.
Dr. Praveer Sinha: Thank you.
Moderator: Thank you. The next question is from Satyadeep Jain from Ambit Capital. Please go ahead.
Satyadeep Jain: Hi, thank you. Just want to clarify when you are selling supplying module to for rooftop and all, would that also be at similar price that we see or would that be a different DCR realization? Just trying to understand the arm's length.
Dr. Praveer Sinha: See, every pricing is based on the market demand and supply. Rooftop has a different demand and supply and a different price range in which they operate d and you need to compete over there vis -à-vis other players with similar types and quality of modules. So, those prices are at arm's length and is independently negotiated between both businesses.
Satyadeep Jain: So, if I am understanding correctly, the realization for the internal IPP would be different for the module business and that for solar for the rooftop would be different, right? Both arm's length dependent on supply demand in each market ?
Dr. Praveer Sinha: Absolutely, right.
Satyadeep Jain: Okay. Just on the commissioning, I am not sure if I missed in the prepared part. The commissioning, as you can understand, there is a spillover but overall industry saw a lot of significant increase in commissioning in this quarter, possibly some spillover from fourth quarter. What led to relatively muted commissioning for Tata Power in this quarter compared to the entire industry? Just generally trying to understand was there specific one -off reasons?
Dr. Praveer Sinha: See, we have commissioned much more than what we had commissioned last year. Last year, we were at about 350 and this year we have done 652. So, we have done nearly double of what we had commissioned last year. So, we need to look from that perspective that what is our pipeline and our readiness to commission this and we have been able to successfully implement nearly 650 megawatt in this quarter and have plans to substantially increase in the coming quarter. So, our yearly plan, whatever we have based on the projects that we have in our pipeline will get implemented and we are fully geared up for that in terms of the equipment and land that is required.

Satyadeep Jain: Okay. One quick question if I can squeeze or follow up to Mundra. Just trying to understand that not running the plant, obviously, the under -recovery on fuel front, given where coal prices are, would be lower than the recovery on the fixed cost. So, this is a strategy that then there is supplementary PPA, you will not operate. Just clarifying, I think you mentioned in the last answer, but that would be a strategy no matter what happens, you will not operate the plant till the supplementary PPA is signed. And any maybe indication of what that based on the conversat ions, what are the timelines are we looking at as we look at the supplementary PPA and in what form and shape would it look like? Would that be different in terms of profit sharing or any other metric under -recovery? Just trying to see where are the negotiations on profit sharing or on under -recovery?
Dr. Praveer Sinha: So, one is that this will get finalized hopefully within August because as I mentioned

to you, lot of discussions have happened and there is a general consensus that is building on what is good for both sides. Secondly, this will definitely be much more than the PPA, otherwise there is no need of doing the SPPA and it will also protect us from any increases in cost of pool that happens in future. And to that extent, the consistency of supply going forward will be ensured. This will be eit her something like what we get in Section -11

or a little lower than that, but it will be in that range that it would be there.

Satyadeep Jain: Okay, thank you . Wish you the best.

Moderator: Thank you. Next questio n is from Atul Tiwari from J.P. Morgan. Please go ahead.

Atul Tiwari: Yes, thank you and congrats on good set of number s. So, my question is on the strategy regarding coal based power generation. So, now obviously as we have seen multiple other players in the industry, both on the government and the private IPP side, they are very aggressively getting into expanding the coal based capacity organically. So, what is your strategy regarding the same? You are not looking at that space anymore or you are also getting into expansion of your coal based condition capacity?

Management: So, Atul, I will only say that we have a huge pipeline of projects that we are implementing. We have renewable projects. We have nearly 5.5 gigawatt of renewable projects that we have. We also have a pipeline of 2 ,800 megawatts of pumped hydro project and 1 ,000 megawatt already work has started, 1 ,800 megawatt work will start in 9 months and then we have the hydro plants in Bhutan where already work has

started on the 600 megawatt and we have plans to increase it to nearly 5 gigawatts in next few years. So, we are already over committed in all these projects which we are investing in. These projects will give us either similar or better returns than what we will do in any other type of coal project or any other project. So, I think we need to prioritize in terms of what sort of investment we need to do and how committed we are in those investments and if it meets our overall objective of moving towards cle an energy. So, that is where we are at present and we continue to work on those areas.

Atul Tiwari: Okay, thanks.

Moderator: Thank you. Next question is fr om Anuj Upadhyay from Investec. Please go ahead.

Anuj Upadhyay: Hi sir. Thanks for the opportunity and congrats on good set of numbers. Sir, again a follow -up question on your rooftop business. While we see even in the previous quarter where our cell plant is more partially operational, we did close to around 13 %-14% kind of a margin and considering the fact that the DCR supply has been quite constrained off late, the people who have access to it are meeting a very high margin by selling it to the third party. So, just want to get a sense on your rooftop business by using our own DCR cell and modules. Is there a probability that our margins in the rooftop segment can go further northward from 14 %-15% or it would be passed on at a pricing level so as to gain more market share? Just to get your sense into it.

Dr. Praveer Sinha: We are not looking at market share but we are definitely looking at improving our reach in the market. And today our reach in the market has improved and it is further getting enhanced as we continue to add more of channel partners and market segments in which we are supplying. We are making good returns in that and I think we will continue to make the type of returns that you have seen. What you will see is that the volume will increase tremendously because there is a huge demand and as you rightly mentioned there are not many players who are able to cater to that. And this is a brand and a demand for this product that we are building in the market so that we become number one or we are already number one but become number one with a much better service and quality of supply in this.

Anuj Upadhyay: That is helpful , sir. And secondly on your underperformance across the JV segment, has it largely to do with the coal underperformance in Indonesia or some other element to it?

Dr. Praveer Sinha: So, basically the coal prices in Indonesia has come down and that is why our performance over there is mu

ted. But other than that all the others are doing very well.

Anuj Upadhyay: Thanks , sir. That is helpful and I wish you good luck.

Moderator: Thank you. Next question is from Mahesh Patil from ICICI Securities. Please go ahead.

Mahesh Patil: Congrats on a good set of numbers. Sir, m y first question is on the renewable generation. So, you have mentioned that I think only 100 megawatts of solar capacity has been commissioned this quarter, right?
Dr. Praveer Sinha: Yes, you are right.
Mahesh Patil: And you mentioned that over the next three quarters around 1 ,600 megawatts additional capacity will be commissioned. Is that correct?
Dr. Praveer Sinha: That is our own internal p roject that we will commission.
Mahesh Patil: Okay. So, around 1.7 gigawatts target for FY '26, correct?
Dr. Praveer Sinha: Yes.
Mahesh Patil: Yes. And we can assume this would be the 100 going forward, let us say around 2 gigawatt of commissioning?
Dr. Praveer Sinha: More than that. This year itself we will be doing more than 2 gigawatt of commissioning. So, now that we do not have too much of orders for third party, subsequently as you will see much higher capacity that we get that commission and those will be for our own internal utility scale project.
Mahesh Patil: Okay. So, 1.7 gigawatt and next year onwards 2 plus gigawatt . Okay, sir?
Dr. Praveer Sinha: More than 2. Maybe in 2.5-gigawatt range.
Mahesh Patil: Next year onwards?
Dr. Praveer Sinha: Yes.

Mahesh Patil: Okay. And sir, in terms of let us say PPA signing or transmission connectivity, are there any challenges in terms of even for the installed projects, let us say transmission availability, are there some challenges? We have heard about some issues in this quarter.
Dr. Praveer Sinha: Those are the localized issues in terms of land or evacuation and all that. Those are things that we keep on addressing as we implement these projects.
Mahesh Patil: Okay, sir. And sir, in this development, the issue with Kleros Capital Partners, would you like to share some update on this?
Dr. Praveer Sinha: So, we have already given in the notes, and you can see that since the matter is sub - judice , we cannot speak much on that. So, whatever we have provided in the notes, that is our stand .
Mahesh Patil: Thank you. Thank you so much.
Moderator: Thank you. Next question is from Apoorva Bahadur from IIFL Capital. Please go ahead.
Apoorva Bahadur: Hi, sir. Thank you for the opportunity and congratulations on the results. A couple of questions. I first of all wanted to check that recently the list of cell suppliers under ALMM -II was released. I think there were 5 or 6 players which are identified. Can you give any color why we were not on that list?
Dr. Praveer Sinha: On the cell, because they have not completed the inspection. I am told that they are inspecting next week. So, as and when they complete the inspection of plants, they keep on adding. So, they will add as soon as they complete the inspection.
Apoorva Bahadur: Sure, sir. That is helpful. I also seen in your presentation where you comment on individual businesses , so for the standalone business, a reason for decline in revenue has been attributed to change in the annual availability assumptions at Mundra. So, can you share what is the overall impact of these changes on the revenue? How much is the under recovery we are assuming at Mundra?
Dr. Praveer Sinha: We are not assuming any under recovery because in the first quarter, we already had 90% availability. And we expect that on an overall year basis, we will have 80% availability on which we get 100% capacity charge.

Apoorva Bahadur: So, in that case, why is it impacting our standalone revenue?
Dr. Praveer Sinha: No, revenue will be less depending up

on the scheduling of power. During the first quarter, because of the early monsoon, the scheduling of power took place less. But the availability of power was always there. So, availability was say 90%. But scheduling they do only 60%. Then that is why the revenue. And the second is of course, the coal prices were soft.
Apoorva Bahadur: Sure. Sir, last question from my side. I see in your renewable portfolio, there has been a decline in solar PLF. Can you pinpoint like what is the reason for this decline?
Management: So, as I mentioned to you, during the last quarter, because the radiation was less

because of early rainfall and all that, the generation was less in solar. But the wind capacity, you see there was more generation in the wind. So, weather changes impact all these things.

Apoorva Bahadur: Sure, sir. Thank you so much.

Moderator: Thank you. Next question is from the line of Subhdeep from Nuvama . Please go ahead.

Subhdeep: Good evening and thank you for the opportunity . Subhdeep, here. I joined the call a little late. I'm sorry if this is a repeat question. Just wanted to get an understanding that on the Mundra project, in the given situation where the plant is not operational, what is the annual fixed cost, cash cost perspective that we are looking at?

Dr. Praveer Sinha: As I mentioned to you, we need to declare availability of the plant. Based on what we operated in first quarter and what is our plan to operate in the rest of the year once the SPPA is finalized, we will be doing 80% on which we get 100% fixed cost. And we don't expect any under -recovery.

Subhdeep: But that's under the assumption that the supplementary PPA is signed. And in case there are delays, then one could expect some under -recoveries between them ?

Dr. Praveer Sinha: Yes, but since we are expecting that this is in final stage, it should hopefully be finalized.

Subhdeep: Understood. Thank you. Lastly, on Tata projects, is it possible to share what is the share of profit or loss in this particular quarter?

Dr. Praveer Sinha: So, that detail is already provided. We have considered a loss of Rs. 65 crores from our...

Management: Subh adeep , the loss was Rs. 65 crores this quarter compared to Rs. 8 crores profit last year.

Subhdeep: Understood. Perfect. Thank you so much.

Moderator: Thank you. Next question is from Avish from Chanakya Capital. Please go ahead.

Avish: Yes, thank you for the opportunity and congrats on the good set of numbers. Just wanted some color on any plans to expand the current module capacities considering the huge demand and the margins are so accretive in this business. So, any color on that?

Dr. Praveer Sinha: We always keep on looking on opportunities. So, continue to consider anything which will help us improve our performance based on the demand supply and how many other plants are coming, similar plants are coming. So, this is definitely under discussion.

Avish: Okay. Thank you so much.

Moderator: Thank you. Next question is from Aniket Mittal from SBI Mutual Fund. Please go ahead.

Aniket Mittal: Yes, thank you. A couple of questions on EPC front. So, when I look at the third -party utility scale order book that has come down fairly drastically this quarter, just to understand, is this like a conscious decision where we do not want to take these utility scale projects now or how do I look at that piece going forward?

Dr. Praveer Sinha: We have a pipeline of 5.4 gigawatt of our own projects in which we are the developers. So, for us, the focus is that how do we first cater to this 5.4 megawatt. So, in next 2 years, we want to complete all this and then see if we have capability to take up third - party projects. So, that is why we have taken a pause on that and we will first complete our project and then look at outside orders.

Aniket Mittal: Fair.

That is very clear. The second question was just to delve a bit into the rooftop market. We continue to see very good orders over here. Let us say if you were to take

a 3 to 5 year view on this segment, how do you look at annual sort of installation happening within the rooftop segment and if you can break that up between both C &I and residential that would be great ?

Dr. Praveer Sinha: Just to give you an idea that last year March, we supplied 1 ,000 units. This year, March, we supplied 8 ,000 units. This year, June, we supplied 20,000 units and hopefully later part of this year, we will supply 40 ,000 to 50,000 units per month. So, the demand is humongous. The country, you know PM Surya Gha r, has said 1 crore households. We have actually in the country 25 crore households. So, whatever we will do will be still very small compared to the total market opportunity which is t here. So, I would leave it to you to guess and estimate that what sort of demand will be there for next 5 -10

years. I think it is humongous.
Aniket Mittal: Just one clarification regarding this. When we talk about the DCR applicability, this is currently applicable only on the residential spaces. The DCR is not ther e for C &I rooftops. Is that correct?
Dr. Praveer Sinha: So, the anything where the government funding is there or subsidy is there, so whether it is rooftop or it is PM, the KUSUM program, there you have to, also there are number of projects which insist on DCR model. So, we are executing number of projects which have prescribed that it should be only Indian made cells, DCR cells and models should be there. But effective 1st June 20 26, for all projects you will require DCR cells and models.
Aniket Mittal: Even on the C &I site?
Dr. Praveer Sinha: Yes, everywhere.
Aniket Mittal: Thank you. Those were the questions.
Moderator: Thank you. Next question is from Satyadeep Jain from Ambit Capital. Please go ahead.
Satyadeep Jain: Hi. Thank you for the follow -up. Just on the Bhivpuri PSP, now that you have commenced construction, historically you were open to the idea of keeping this entire capacity open till maybe later stages. Are you still holding on to that thought? Keep it open and you will maybe look at signing agreements as you get closer to commissioning?

Dr. Praveer Sinha: No. We are already in active discussion with large number of C &I customers and I think the whole 1 ,000 megawatt will get tied up very quickly and that is why we are now also looking at starting work on the another 1 ,800 megawatt. So, there is a huge demand especially for all companies who want to have signed under RE100 or want to supply their products to countries in Europe and UK which have the cross -border carbon tax. So, I think we will be able to tie up all the quantities with variou s subsidies.
Satyadeep Jain: So, just somebody like Tata Steel, I know all these RE -RTC would be relevant for steel and aluminum and all. Could Tata Steel be a potential customer for this? Because we have not seen a ny steel company tie up PSP yet. So, I am just trying to understand.
Dr. Praveer Sinha: Because the PSPs have not come to that extent. But yes, we are in discussion with Tata Steel as also with many other Tata Group c ompanies.
Satyadeep Jain: Okay. Thank you.
Moderator: Thank you. Next question is from Sushil Choks ey from Indus equity Advisors. Please go ahead.
Sushil Choksey: Congratulations on very stable result. So, my first question is on solar cell capacity. Where are we today and what is the efficiency of Mono PERC and TOPC on? And second thing is what is the run rate on module 2?
Dr. Praveer Sinha: So, we have already shared with you that how much of cell and module we have supplied in the first quarter and now the plant

has got further stabilized and we will see further improvement in the performance of the plant. And right now most of it is the Mono PERC . But soon we will start supplying even modules using TOPCon cells. And I think there is a huge demand for all this and we will continue to meet the requirement of the market.
Sushil Choksey: So, your own statement is that demand is not a problem keeping in mind 1 crore or 2 5 crore house which you expect all of us to assume based on demand. But what is your predictability in terms of 4 gigawatt of your capacity on Mono PERC going to rise if I take a 3 or 5 outlook and also on TOPCon once your current plant whenever it starts and stabilizes?
Dr. Praveer Sinha: So, we are still working on all those things. So, once we decide we will let you know.

Sushil Choksey: And can you give an estimate on your production capacity utilization for the year or still it is on a ramp up stage on the second phase of 2 gigawatt?
Dr. Praveer Sinha: We are at around 94 %-95%.
Sushil Choksey: On the 4 gigawatt capacity?
Dr. Praveer Sinha: Yes.
Sushil Choksey: And module is at 100% ?
Dr. Praveer Sinha: No, they are all in 95 %-97%.
Sushil Choksey: Okay. What is your , based on the new rules which are effective 1st of June next year, what kind of demand India will have for cell requirements?

Dr. Praveer Sinha: There are lot of consultant reports which are there. We can share with you some of those consultant reports.
Sushil Choksey: But if you just throw a ballpark number?
Dr. Praveer Sinha: I do not know the ballpark number. But I can share with you the reports which are there in the news.
Sushil Choksey: How a re you seeing the demand on rooftop solar and KUSUM scheme from our perspective and competition?
Dr. Praveer Sinha: Yes, I mentioned to you there are whole lot of reports which are there. You can get in touch with Rajesh. He will be able to share some reports with you.
Moderator: Thank you. Next question i s from Vishal Periwal from Antique Stock Broking. Please go ahead.
Vishal Periwal: Yes, sir. Thanks for the opportunity. Sir, on the start of our Delhi distribution entity, the slide talks about there has been a lowe r demand which led to decline in revenue. But what would be the reason that it is slowing through a PAT, the decline? Because what we understand is, it is a regulated business and the PAT should matter much. So, if you can explain?

Dr. Praveer Sinha: Last year, we had a one -off order of Rs. 164 crores. So, on a like -to-like, if you see, we have done much better in this quarter. So, if you remove 164 from 287, it becomes 123. Against that, we have done 134.
Vishal Periwal: Okay, got it. In terms of our EBITDA growth, we have started at a good growth rate this year. But once a base is stabilized, maybe like the solar cell and module for this year, next year, I mean, according to you, what could be a growth driver for us that we can visualiz e?
Dr. Praveer Sinha: There are a whole lot of things that we are doing. We still have to start getting the cells from the TOPCon line, the CAPEX that we are doing in our transmission business, in our distribution business, in our new renewable projects that we are setting up. So, all those will start getting reflected next year.
Vishal Periwal: Okay. Sure, sir. I think that's all from my side.
Moderator: Thank you. Next question is from Arul Selvan from Bajaj Allian z Life. Please go ahead.
Arun Selvan: Hi, just a quick question. With respect to the awards, I think t hat you are considering all options. I just wanted to check if, have we actually filed either an appeal or an application to set aside the quantum award? And any estimates on what would be the timeline for the higher court to take a de cision on that?
D

r. Praveer Sinha: So, we are given 90 days to file the appeal. The order was dated 1st July. So, we have time till 30th of September and we find that much before. Normally, it takes about 6 to 9 months for the matter to be heard and decided. So, that's the timeline that we are expecting.
Arun Selvan: Okay. Second, I want to ask, what is our policy on when we would be recognizing this liability? As in, would we wait till we order is passed ?
Dr. Praveer Sinha: So, as we have written in that notice, once the decision is taken, then we can take a call on that.
Arun Selvan: No, what I meant was, you know, you will have multiple options, right? There will be one setting aside order and then at a later stage you can always conte st this when they are enforcing this…

Dr. Praveer Sinha: Yes, so let's see when and what sort of order we get in the high court and then we can decide on it.
Arun Selvan: Okay. Thank you.
Moderator: Thank you very much. That was the last question. I would now like to hand the conference over to Dr. Pravee r Sinha for closing comments.
Dr. Praveer Sinha: Thank you very much to all of you and to join the call. If you have any other queries, please connect with my colleagues, Rajesh and Kasturi and we will be more than happy to provide you the details. Also, if there are any inputs, any suggestions on improv ing the type of presentation that we have shared or more details that you require, we will be happy to incorporate that and improve the quality of presentation which is being shared with all of you. Once again, thank you and all the best and have a great weekend.
Thank you.

Moderator: Thank you very much. On behalf of Tata Power Limited, that concludes this conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Call: Dec 2025

Nov
ember 16, 2025
BSE Limited
C
orporate Relationship Department
1st Floor, New Trading Ring
Rotunda Bldg., P. J. Towers Dalal Street, Fort
Mumbai – 400 001.
Scrip Code: 500400 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No. C/1, G Block
Bandra-Kurla Complex
Bandra (East)
Mumbai – 400 051.
Symbol : TATAPOWER
Dear Sir/Madam,
Earnings Call Transcripts
P
ursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, as amended, the transcript of the audio call recording of the Company's Analyst Call held on November 11, 2025, on the Audited Standalone Financial Results and Unaudited Consolidated Financial Results of the Company for the quarter and half year ended September 30, 2025 is attached
herewith.
The transcript of recording can also be accessed on the Company's website using the following link:
https://www.tatapower.com/investor-resource-center/analyst-call-transcript-tab#analyst-call-transcript-tab
This
is for your information and records.
Yours Sincerely,
For Th
e Tata Power Company Limited
Vispi S. Patel
Company Secretary
FCS 7021
Encl - As above

"The Tata Power Company Limited
Q2 & H1 FY'26 Earnings Conference Call "

November 11 , 2025

MANAGEMENT : DR. PRAVEER SINHA – CEO & MANAGING DIRECTOR ,
THE TATA POWER COMPANY LIMITED
MR. SANJEEV CHURIWALA – CHIEF FINANCIAL OFFICER ,
THE TATA POWER COMPANY LIMITED
MR. J.V. PATIL – GROUP FINANCIAL CONTROLLER ,
THE TATA POWER COMPANY LIMITED
MR. KASTURI SOUNDARARAJAN – CHIEF TREASURY &
INVESTOR RELATIONS , THE TATA POWER COMPANY
LIMITED
MR. ANSHUL VERDIA – HEAD INVESTOR RELATIONS ,
THE TATA POWER COMPANY LIMITED

Moderator: Ladies and Gentlemen, Good Day, and Welcome to the Tata Power Q2 & H1 FY26
Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to "Dr. Prav eer Sinha, CEO and Managing Director of Tata Power for his Opening Remarks ." Thank you and over to you, sir.

Dr. Praveer Sinha: Thank you very much. Good evening everyone and thanks for joining for the call. I am joined by my colleagues, Sanjeev Churiwala - CFO, J.V. Patil – Group Financial Controller, Kasturi Soundararajan , who is the Chief of Treasury and Investor Relations and Anshul, who is the Head of Investor Relations.

We have already shared with you the Presentation of the Quarter Performance . As all of you would have seen, this is the 24th consecutive quarter in which we have shown growth in our PAT; o ur pa t has grown by 14% compared to last year.

A couple of points :

• One is, last quarter was a tough quarter , in the sense that we had a very long monsoon and because of that, the demand of power was less ; secondly , because of that, we also could not run Mundra under Sec .11 and while we are discussing with Government of Gujarat to finalize, which we expect that we are in the last stage and hopefully maybe within this month, we will be able to close it.

• We also saw that many of our renewable projects could not get completed because the sites where these projects were supposed to come up were virtually inundated and access to these sites was very difficult, especially to the wind sites w here carrying such heavy wind turbines and the blades was the challenge.

Three big things from this quarter :

• One is our performance of Odisha Disco ms have now come to age and we saw a PAT of Rs.174 crores compared to previous year 's PAT growth of 362%. Similarly, our half yearly PAT for the Odisha Disco m is Rs.279 crores and we do expect that this will be the template going forward because most of the initial issues have been sorted out.

• Similarly, our solar cell and module manufacturing plant has done exceedingly well, has stabilized production, the cost of production has reduced, we have been able to optimize lot of costs including the input material cost and that is why our PAT has gone to Rs.240 crores, which is a 262% increase from the previous year and our H1 PAT is Rs.340 crores and you can again see this happening in future quarters also.

• Another big area that has happened in the last quarter is our rooftop PAT which has grown to Rs.123 crores and which is a 390% increase over the previous year , and on H1 basis it is Rs.213 crores. We also saw for the first time the rooftop sales crossing Rs.1,000 crores in a quarter and I think going forward you will see many of these type of new benchmarks that will be set in the rooftop business.

• We have also for the first time in the quarter crossed an EBITDA of Rs.4,000 crores and again this is in back of excellent performance from all our businesses in spite of the fact that we had los s in Mundra because the plant was not operating. So, what you can see is that even without Mundra we continue to grow on back of excellent growth performance.

All our other businesses will continue to perform better in the subsequent quarters. In fact, we have huge target to add capacity in renewable projects, especially for our own utility projects in 3th and 4th Quarter and we are expecting about 700-megawatt capacity add in the 3rd Quarter and 600 megawatts in the 4th Quarter . So, at the end of the year you will find

that we would have crossed nearly 7 gigawatts of our operating renewable assets.

A few points I wanted to mention that in today 's Board meeting we decided that we will do investment in the 1,125 -megawatt Dorjilung project. It will be on similar terms as was done for the 600 Kho rlochhu project where 60% stake will be from the Bhutan government -owned DGPC and we will have 40% stake and that will continue. The initial work on this project has already started wherein access roads, bridges, colony, construction , power is all getting tied up , and we expect that the financial closure of this

project will be achieved by mid of next year by when we start the work also. We will have World Bank financing and they will of course come in consortium with IFC and some of the other banks and they will syndicate the loan and we do expect that this will be again a record in terms of the implementation of the project at a very fast pace as we have seen in the existing Kh orlochhu project where the work started nearly a year back on 1st January 2025. So, all in all I think lot of good things are happening.

Also, at some stage we are at evaluating the 10-gigawatt plant for manufacture of in got and wafer. We are in discussion with various state governments as to what sort of state subsidy they will provide as also the Government of India PLI and we will be finalizing this in the next few months .

And we do expect that many of these initiatives will start showing the type of results that we had presented to you in the last analyst meet that we had in our 4 gigawatt manufacturing plant in Tirun elveli.

Our balance sheet continues to be very strong in spite of the capital expenditure. We invested nearly Rs.7,349 crores in this year and as we have mentioned to you we plan to spend Rs.25,000 crores in this financial year.

Our debt increased by Rs.6,400 crores reaching Rs.54,000 crores . However, even with this rise in debt our leverage ratios are very good. Our net debt -to-underlying EBITDA remains 3.3 and our net debt -to-equity is 1.2, which is very competitive, especially in the infrastructure industry.

Having said that we continue to get one of the best credit ratings in corporate India with S&P Global Upgrade of Outlook from BBB -/ positive to BBB Stable and I think this will help us to further improve the interest rates for our borrowings that we have at present.

So, we do expect that our performance in future quarters will become more robust and will substantially improve once we are able to sort out the issue of Mu ndra and also with more capacity adds in renewable that is expected in this quarter and the subsequent quarter and all our other existing operations will continue to perform very well.

So, I will take a pause over here and look forward to respond to your questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. We will take a first question from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: Good evening, sir, and thanks for the opportunity. My first question is on the solar manufacturing . I think I alluded to that you are going to set up 10-gigawatts of ingot and wafer. My question is that are you looking to set up this 10-gigawatt cumulative capacity of ingot, wafer, cell and module, everything? And are you expecting another PLI , because you mentioned the PLI ?

Dr. Praveer Sinha: So, it will be 10-gigawatt of wafer and ingot. We already have the 4.3 gigawatt of cell and module and another 250 in Bangalore. So, we already have 4.55 gigawatts of cell and module. But the new investment will be only in wafers and ingot.

Mohit Kumar: Only wafer and ingot of 10-gigawatt , right, sir?

Dr. Praveer Sinha: Absolutely right.

Mohit Kumar: Understood, sir. Are you expecti

ng any PLI for wafer and ingot separately?

Management: Yes, we are expecting. Government is very keen that this type of plans come up quickly and also the overall requirement of the country is large and very little capacity is there right now. So, to encourage that, they will be coming up with the PLI to support this sort of investment. This requires a lot of technology as well as large investment for huge capacity.

Mohit Kumar: Understood. S ir, my second question is, as you mentioned, that there is some progress on Mundra resolution with Gujarat. Is it fair to expect that we will be able to close the new arrangement with all the off-takers or are you expecting only Gujarat to go ahead for time being?

Dr. Praveer Sinha: We will start with Gujarat and then we will, of course, take it up with all the states and close it.

Mohit Kumar: Are you expecting this resolution to happen by the fiscal year end with all the states? Is that a fair assumption?

Dr. Praveer Sinha: No, no. Much before that we are in final stages and hopefully within this month we will be able to do.

Mohit Kumar: Understood, sir. Thank you and all the best. Thank you.

Moderator: We will take our next question from the line of Puneet from HSBC. Please go ahead.

Puneet : Yes, thank you so much and congrats on good performance. My first question is actually on your investments in Bhutan. How much investment do you intend to commit in Bhutan? I see there are at least three more projects on the hydro side that are listed in your presentation. How much investment should one look at between the first two and then the next two?

Dr. Praveer Sinha: So, the first project was about Rs.6,800 crores. This is about Rs.13,000 crores and these projects require a lot of detailed analysis. Engineering has to be finalized , access arrangements have to be made to the site , and also we need to carry out many other studies relating to the type of water flow is there, environment issues, forest issues. So, these projects require lot of time in development. So, first project , already construction work is started. The second one of 1,125, we expect the construction work to start by mid of next year. Already initial work, pre -project activities are already going on at this point of time .
Management: I will just add to a bit to what Dr. Sinha also said. Since you asked about the investment, in both the projects, the earlier Kho rlochhu one, we have a 40 % partnership over there our equity contribution would be about Rs.830 crores , and in the second one, which is Rs.13,000 crores CAPEX plan, we also have a 40 % equity over there and our investment there would be about close to Rs.1,500-1,600 crores. Both these projects put together, our total equity from Tata Power side will be about Rs.2,400 crores. Given that we have a 40 % equity here, the financials of those two companies will not get consolidated with Tata Power. Tata Power will be show ing these as investment in the books .
Puneet: And would you be guaranteeing the debt that will need to go into these projects?
Management: No, the debt is taken in those companies, not in Tata Power.
Puneet: And there is no recourse to Tata Power?

Management: Yes.
Puneet: Okay, that is helpful. Secondly, your Odisha performance has been extremely good. So, just if you can elaborate a bit more on whether these numbers should be sustainable or there were some collections, etc., that got included this time?
Dr. Praveer Sinha: There is no co rrection . In fact, you will see much better performance in the subsequent quarters.
Puneet: That is very helpful. Thank you so much and all the best.
Moderator: We will take our next question from the line of Sumit Kishore from Axis Capital. Please go ahead.
Sumit Kishore: Good evening and thanks for the o

pportunity. My first question is in relation to your ingot wafer 10-gigawatt plant. So, what is the ballpark investment timeframe?
Moderator: I am sorry, you are sounding muffled. Sumit, can you just repeat the question, please?
Sumit Kishore: I was asking about a 10-gigawatt ingot wafer. What are the CAPEX that you will be looking for setting this up and over what timeframe do you expect to start commissioning this capacity and when does it reach peak capacity? That is my question.
Dr. Praveer Sinha: We are examining the proposal. As I mentioned to you, we are in discussion with various state governments to understand what sort of subsidy and support they will provide and also from Government of India, the PLI scheme. So, that will give us an idea based on that what sort of eventual cost of the project will be there. So, I think we need to wait for some more time. In principle, we have decided that we will go ahead but we need to firm up some of these numbers in the nex t two months.
Sumit Kishore: Sure. So, in the first half of the year, how much CAPEX has Tata Power incurred?
Dr. Praveer Sinha: We have incurred about Rs.7,300 crores and our plan is Rs.25,000 crores. We are on track. You will see huge amount of those investments happening in Quarter 3 and Quarter 4.

Sumit Kishore: Okay. And on the cell and module plant numbers that you have shown, the EBITDA margin seems to be better this time around, around 26% or so, is this sustainable and what was the mix of module cell sale to third -party and in -house use this time around?
Dr. Praveer Sinha: So, typically, the prices of modules and cells are governed by two things -- one is demand /supply and the other is what is the input cost where we import the wafers and what price we get wafers and some of the other input materials. So, it will vary to certain extent , but what is important is that the plant operation has stabilized and many of the efficiencies in plant operation, those get reflected in the cost of production and those benefits will be there to come.
Sumit Kishore: Sure. Just one final clarification or a question on what is the status of the bidding for the UP disco m privatization and what are the expected timelines here?
Dr. Praveer Sinha: So, we are also waiting for the bidding process to happen. Every time they have told us that it will happen very quickly. So, let us hope it happens in the next few weeks.
Sumit Kishore: Okay. Thank you and wish you all the best.
Moderator: Next question is from the line of Atul Tiwari from JP Morgan. Please go ahead.
Atul Tiwari: Yes, sir. Thanks a lot. Sir, in first half, your consol net debt has gone up by almost Rs.10,000 crores versus the CAPEX of Rs.7,300 crores . So, two questions here. Is there

some other cash usage in addition to the CAPEX that you have done in the first half? And the second thing is that obviously you are now embarking on very large CAPEX programs. So, what kind of debt -equity maximum or debt -to-EBITDA you will be comfortable with going ahead?
Management: Just to give some context here, the company has a rating of AA Plus, which is kind of a debt-to-EBITDA about 4x. If you see the balance sheet of the company as a whole, we are presently at a net debt -to-equity of about 1.2 and net debt -to-underlying EBITDA of 3.3. So, we have a very healthy ratio and the healthy balance sheet and that should cater to our future requirements of the CAPEX as well.

Atul Tiwari: Okay. So, the 4x will be the upper limit , that is what you are trying to say, debt -to-EBITDA number , is that right understanding or you will even add on that ?
Management: So, we are trying to work on that guardrails, but depends upon what kind of project comes in, what kind of cash flow comes in, we will have to just monitor that every y

ear.
Atul Tiwari: Okay. But there is no hard upper limit that you have in mind at this point ?
Management: So, as I said, we are trying to keep a guardrail to ensure that we stay in a AA kind of environment always. And for that, around 4x is what it is. You can go slightly up and down, but by and large, w e are looking at a net debt -to-EBITDA of about 4x.
Atul Tiwari: Okay. S ir, my second question is on your plans for solar , ingot s and wafers. So, obviously, in the first half, we have seen pretty sharp reduction in the solar project award and obviously power demand has been quite weak. And it looks like that even the government is rethinking the pace of capacity addition on the pure solar side. So, what is your take on the top -down landscape , I mean, do you think that this is just a very temporary situation and we will soon revert back to the pace of award that we saw in the previous two years? And if not, then what is the thought process behind committing more CAPEX on the manufact uring side?
Management: No, I do not think that the pace will slow down ultimately. We have seen a temporary pause where there have been issues around land and connectivity, but most of the players in the market have been announcing capacity. So, to that extent, I think we are all working towards the government's ambition of reaching the target. Now, in some way, there could be less or more, but I think the trend will only pick up.
Atul Tiwari: Okay. Thank you.
Moderator: We will take our next question from the line of Apoorva Bahadur from IIFL Capital. Please go ahead.
Apoorva Bahadur: Hi, sir. Thank you for the opportunity. So, we are seeing a lot of state government bids for thermal power projects. I would be interesting to know your thoughts if there is any intention of adding Greenfield or Brownfield thermal capacity over here.

Dr. Praveer Sinha: We are examining all these opportunities, and we will take a call depending upon what sort of land we have, what sort of tariff one would be in a position to bid. So, it is something that we keep on continuously evaluating.
Apoorva Bahadur: Understood, sir. Also, any update on the Delhi regulatory asset liquidation ? There was a Supreme Court order.
Dr. Praveer Sinha: So, already, the regulatory assets in Delhi has been going down for the last two years. And this year also nearly, I think, Rs.600 crores of regulatory assets have got reduced. Last year also, there was a huge reduction. And now that the Supreme Court has asked the D ERC to amortize it within the seven -year period from the time they have been accrued . I think that will get completed. So, we do expect that there will be a good trajectory of regulatory asset reduction over a period of time. Also, some of the regulatory assets we have in Mumbai and all, everything will get liquidated.
Apoorva Bahadur: Understood, sir. S ir, lastly, on parallel distribution licenses, we understand Tata Power had applied in a couple of circles, if you can provide some color on that ?
Dr. Praveer Sinha: That electricity act amendment proposal has come and they had asked for comments. We have given our comments. I do expect that this will go to the parliament and of course, it has to go through the process of select committee to examine it and all. Hopefully, in the budget session, I expect that this may get passed.
Apoorva Bahadur: Sure, sir. Thank you so much.
Moderator: We will take our next question from the line of B haranidhar Vijayakumar from Av endus Spark. Please go ahead.
Bharanidhar Vijayakumar: Good evening. So, my first question is on the media news on a discom bailout package by government to the tune of around Rs.1 trillion. My first question is whether

this is finalized and what is the likely timeline when this will be implemented , and if so, how will Tata Power be benefiting because of this

?

Dr. Praveer Sinha: So, we have also read in the newspaper that the government has such a plan. From whatever I know, it is still not finalized. Government has to take a decision on this. But considering

that there is so much of debt as also losses of discoms, it will be necessary for some action to be taken. The nature of the action of course will depend on what the government decides. We do expect that we will open up more opportunities for Tata Power in doing the PPP of distribution as we have done in Odisha and Delhi and also the parallel license opportunity. So, I think Tata Power will play a very, very active role in power distribution in the coming years.

Bharanidhar Vijayakumar: Okay. My second question is on our renewable addition targets. We had some time back given a 2.6 gigawatt of addition target for ‘26 and about 2.3 for ‘27. Where are we to achieve that target? If not, could you highlight some of the reasons why there are challenges or delays -- is it because of PPAs not being in place or connectivity or transmission infrastructure not being placed or any other challenges?

Dr. Praveer Sinha: So, our capacity addition in H1 has been 205 megawatts . We expect that in Q3 and Q4, we will do about 1.3 gigawatt. This is based on the availability of transmission line and the land and all that. Whatever will get missed out in this financial year, we will try to complete it within the next financial year. So, hopefully by end of financial year ‘27, you will see that our overall target that we have set, we will be able to achieve.

Bharanidhar Vijayakumar: So, what I am hearing is 2.6-gigawatt target in ‘26, now, we will mostly read as 1.3 gigawatt plus 2 gigawatt already comes in around 1.5 gigawatt .

Dr. Praveer Sinha: Agree.

Bharanidhar Vijayakumar: Okay. My final question is on say Mundra plant . Two parts, one , on supplementary PPA you alluded to decision by Gujarat government getting finalized, but can you give broad contours of what we can expect given one bone of contention on this supplementary PPA was how much of the profit that the mining segment is doing will be knocked off from the proposed tariff , so, any contours you can give on what could be the primary tariff ? And also what is our thoughts on when Sec. 11 if at all can be brought back by the government, is it likely that next year when demand increase s it will be back?

Dr. Praveer Sinha: So, Sec. 11 is an emergency section whenever there is a shortage of power, the government has a right to call upon plants which are not operating to operate at full capacity. This year because of the monsoon coming early and a longish monsoon it was not imposed dur ing

summer months. Hopefully, it will be imposed next year . But in any case, we want to have a long -term resolution rather than going year -after-year on Sec. 11. So, we have been in discussion with the government of Gujarat and hopefully we should be able to come to some arrangement. The details are still getting finalized and it has to go to the government approval process , and once it is finalized we will be in a position to share.

Bharanidhar Vijayakumar: Thank you , sir. All the best.

Moderator: We will take our next question from the line of Satyadeep Jain from Ambit Capital . Please go ahead.

Satyadeep Jain: Hi, thank you. I just want to firstly ask on the decision or thought process to go long on ingot wafer versus cell. So, you are looking at 10-gigawatt ingot wafer versus cell line, what is the thought process there and does it mean that incrementally we should look at Tata Power as getting bigger on the third -party sales of cell module wafer, which currently most of the capacity is tied to internal, but it looks like increasingly that is the path we are going to choose ?

Dr. Praveer Sinha: So, based on the

demand /supply and the plan ts which are under implementation, we feel that there will be enough supply of cell and module. T hat is why we are doing the backward integration going for the wafer and ingot and we feel that the 10-gigawatt capacity will be good capacity to not only supply wafers for our plants, but also for other cell and module plants. This is under finalization and hopefully in the next two months we will be in a position to finalize and share the details.

Satyadeep Jain: Are you suggesting that the barriers to entry for wafer and ingot would be higher , so, incrementally not many players will be able to add ingot wafer, is that what you are trying to say?

Dr. Praveer Sinha: Yes, it has not only the technology, which is very sophisticated, but also in terms of the ability of many people to execute such a complex project. Today , we have virtually very small capacity, just 2 gigawatts in the country , and the country will require about 50 to 60 gigawatts of wafer and ingot manufacturing capability in the next two, three years. So, we feel we are very well poised for this sort of investment opportunity.

Satyadeep Jain: Yes, fair enough sir. Sir, secondly, I wanted to ask on one of the questions around thermal. I just want to allude to the recent podcast and case study that you had with the HBR. It seemed like you may look at the focus would be on renewable, but opportunistically you may look at some stress assets and you also have that 2045 net zero target. Are you suggesting you are still open to looking at some Greenfield assets also for thermal? Because initially the impression was that maybe Brownfield , maybe more of stress assets that anyway will retire by 2045 given the target ?

Management: No, we do not have any determined clear plans as yet now. We are kind of looking at opportunities, but as of now we are absolutely committed to grow our green portfolio. But as soon as those opportunities come, we will keep on evaluating them.

Satyadeep Jain: Okay. Just one quick question on the renewable energy addition for Tata Power in the first half. Just overall when we look at the industry, it seems like there is a spurt in commissioning maybe 27–28-gigawatt commissioning in the first seven months and 200 megawatt seems like less than 1% share. Is it ta king really long and other players have succeeded , what exactly is going on in terms of, because some we are hearing challenges on transmission and all, but when you look at the entire indust ry commissioning, there is a jump , what exactly is going on, sir?

Dr. Praveer Sinha: What has happened is in the first two quarters, we had commitment of third -party EPC projects and these were DCR cells and modules that were to be used. We focus on completing all of them so that hereafter we will be in a position to execute only our proje ct. So, that is the whole plan, and you will see that that is why there will be a lot of capacity additions in Q3, Q4 and in the next financial year, which will primarily cater to our own internal requirements and very little of third -party.

Satyadeep Jain: Okay. Thank you so much and wish you all the best.

Moderator: We will take our next question from the line of Anuj Upadhyay from Investec. Please go ahead.

Anuj Upadhyay: Hi, sir. Thanks for the opportunity. Sir, first question is on the rooftop sustainability. So, how big are we anticipating this market to be and are we directly tying up any of the states to supply the rooftop? Likewise, we have few new entrants who directly enter into

agreement with certain states to install a rooftop of around say 700 megawatts plus kind of a capacity. So, are we looking out for similar kind of an opportunity here?

Dr. Praveer Sinha: So, rooftop, I think it is just tip of the iceberg. Only 20 lakh rooftops have been installed till September, and my expectation is that in this country at least 5 crores homes will have a rooftop and so there is a long way that we have to go to cater to the country 's requirements. So, this is a very good opportunity. We are one of the best in the country with maximum market share of more than 20% and this is going to be a very sustained effort from Tata Power side for many more years in future.

Anuj Upadhyay: Okay. And next is on the Mundra, sir. Sorry, I guess you have already mentioned that initial phase you would no t be able to comment on the resolution as such, but as you mentioned that Gujarat would be the first state with whom we are negotiating as such , so, how long basically would it take for the entire 4 gigawatt capacity to get resolved? Earlier we used to have close to around 2 gigawatt or 1.5 gigawatt with Gujarat. So, is the only those capacity with which we are having a resolution or the quantum could be much higher than that?

Management: I think as Dr. Sinha said, we are in active discussions and trying to resolve and get to an understanding just within November. And with a couple of states, we are also discussing, we are kind of ensuring that post discussion with Gujarat, we also close with the remaining states. The idea is to close that as fast as possible, but on the call today, probably we cannot commit a particular tim eline, but the idea is that we resolve it sooner than later.

Anuj Upadhyay: And can you split across the balance CAPEX , the Rs.17,500 crores across various segments? You mentioned that roughly, the renewable capacity would have at least close to Rs.7,500 crores of CAPEX . The balance 10,000 would be spent across which segment if you can elaborate, that would be helpful, sir ?

Management: You are talking about the full year?

Anuj Upadhyay: For the balance year.

Management: So, whatever is there, almost 50% to 60% of the balance will definitely go in the renewa ble, plus, we have a commitment to our transmission business , and plus, we are kind of already

doing our pump ed storage businesses , and the balance will go in thermal. So, you can assume 60% of the balance. So, if we are about 25,000 now for the full year, and we have only done let us say 7,500, we are still talking about Rs.17,000 -odd crores , you assume 60% of that will go into the renewa ble, and the remaining in the rest of the businesses.
Anuj Upadhyay: Fair point, sir. And lastly, anything on the green hydrogen, sir. Just want to understand the group's view out here, because we are going very aggressively on the equipment side for solar , but are we planning or thinking anything to get into the green hydrogen as well?
Dr. Praveer Sinha: No plans as of now. But we keep on evaluating opportunities.
Anuj Upadhyay: Thank you, sir. Thanks for the opportunity.
Moderator: We will take our next question from the line of Vishal Periwal from Anti que. Please go ahead.
Vishal Periwal: Yes, sir. Thanks for the opportunity. Sir, in your slide of the cluster -wise performance, the coal SPV, Mundra and shipping -
Moderator: I am sorry to interrupt. Can you use your handset mode, please, Vishal?
Vishal Periwal: Sir, in your slide, which has cluster -wise performance, the Mundra , coal, and then shipping, it has contributed negatively to our PAT of almost like Rs.360-odd crores. The Mundra contribution could be how much? This is just to understand on a quarterly basis, what kind of negative contribution may come in ?
Management: We report that basically on a cluster basis because Mundra and coal both go hand -in-hand. And of course, because the Mundra has been shut because of overhauling and various reasons for the entire quarter, there have been losses there. So, what the number that you see is a combination of all of them put together. I think the slide #51 of the deck has that

breakup , you can have a look at it.
Vishal Periwal: Okay. But then I think one of the slide s also has a negative contribution from coal investments, almost like Rs.70-odd crores. So, the remai ning is Mundra , is that fair to understand?

Management: You can construct that, but there are pluses and minuses. Yes.
Vishal Periwal: Okay. Got it. And then in terms of our pipeline, again, one slide has almost like 5.8 gigawatts of project, which includes FDRE, solar, wind, hybrid combined as a pipeline. So, in this, what sort of projects have PPA tied up as of now?
Management: We have the entire PPA tied up. We do not have any open position. It is just for the one or two small quantities here and there , but normally, we would have the entire thing.
Vishal Periwal: Okay. Okay. Got it. And maybe one last thing. I think you did mention the solar rooftop is probably a growth engine for us and also for industry. But sir, at one point of time, there are untied solar PPA, which are there in the market. And again, the solar rooftop, again, it is not getting accounted. But do you not think like at some point of time, the state will put some sort of regulations around that, which as of now, it is quite open for anyone to install?
Management: That will take a long time because if you see the solar rooftop penetration is very small. It does not really impact the overall PPA and other things. So, I think this is a discussion probably we will have to have three or four years down the line.
Vishal Periwal: Okay. Sure, sir. I think that is all from my side. Thank you.
Moderator: We take our next question from the line of Mahesh Patil from ICICI Securities. Please go ahead.
Mahesh Patil: Yes. Thank you, sir. So, my first question is on the RE capacity addition. So, for this year, you have mentioned around 1.3 gigawatt in H2, so around 1.5 gigawatt overall in FY26. So, what is the target for FY27?
Management: I mean, we kind of plan on a runway to do about 2 to 2.5 gigawatt every year. As of now, we have already installed 5.7 and we have almost 5.8 in the pipeline. So, I think we will be kind of tracking quite well with respect to the overall target that we have set for ourselves.
Dr. Praveer Sinha: In fact, this year, if you consider third -party, then we would be doing nearly 3 gigawatt.

Mahesh Patil: Okay, sir. And, sir, second related question, as you mentioned, close to 4 to 5 gigawatt we are planning to do over the next two years. So, what about some bi dding projects , what are your thoughts on that , because I think the b idding has been slower , I mean , what about adding more to the pipeline?

Dr. Praveer Sinha: So, we are looking at bidding projects such as FDRE and RTC and all that. As we had mentioned to you earlier, we are now in the process of constructing our pump hydro project, which will also be operational by 2029. So, a lot of planning will be done in such a way that we package this as a solution of RTC power or peak power for consumers and this can be disco ms as well as industrial and commercial consumers. So, it will not only be just bidding for the discoms but also tying up with C &I customers.
Mahesh Patil: Okay. And one observation . Your third -party PC order book has come down to around 19 billion from around 27 billion. So, is this because we are focusing more on our own projects? So, is this why the contribution from third -party EPC will go on to go down and rooftop will go up to ?
Management: So, it is a mix and match depending upon the supply and demand. But of course, our execution overall pipelines will happen in Quarter 3 and Quarter 4 as well. So, when you look at the full year's number, this quarterly variat ions will be taken care.
Mahesh Patil: Okay, sir. Thank you.
Moderator: We will take our nex

t question from the line of Rajesh Basu Ma jumdar from 36 0 One B&K. Please go ahead.
Rajesh Basu Majumdar: Yes, good evening, sir. And thanks for the chance. I just had a question on renewables. What is the capacity addition we have seen in 1H and what is the outlook for 2H in terms of the total additions for the year?
Management: So, we have added about 205 megawatts in H1 and as Dr. Sin ha mentioned earlier, we have planned to execute another 1.3. So, for the full year, you will see about 1.5 on the large - scale utility. But when you look at our rooftop installation, we have already done close to 650 and most likely will be closer to 1.4-gigawatt rooftop as well, plus the third -party PC.

So, I think unlike pure Genco capacities, we have to look at the capacity installing across EPC, rooftop, and Genco . All three put together will be a significant high number.
Rajesh Basu Majumdar: That is fair. That is fair. And, sir, if you look at your quarterly EBITDA run rate and the fact that now we are entering the lean season and Mundra is unlikely to contribute to the second half, does it mean that we will see a fall in the pockets at least for this year till t he PPAs or etc ., are signed and that is coming into the season starting from March , so, is that a fair assumption to make?
Management: I do not think that is a fair assumption to make, because even in Quarter 2, we are delivering a 14% PAT growth in spite of the impact at Mundra. So, of course, many of our projects that we are doing, including the transmission, the recovery that we see in the distribution in Odisha, also solar rooftop manufacturing, all of them will be contributing significa ntly. In fact, if you really look at the co re businesses, they have significantly delivered in Quarter 1 and Quarter 2, and those delivery will continue in Quarter 3 , Quarter 4 as well.
Rajesh Basu Majumdar: Okay. Thank you.
Moderator: We will take our next question from the line of Puneet from HSBC. Please go ahead.
Puneet : Yes, thanks. So, on your 1.3-gigawatt future capacity addition in the second half, is it possible to break down between how much solar and how much wind would that be?
Management: We wo uld no t have that number readily available, but a significant part of that would be solar.
Puneet: Okay. Understood. Thank you so much.
Moderator: Ladies and gentlemen, that was the last question. I would now like to hand the conference over to Dr. Pravee r Sinha for closing comments. Over to you, sir.
Dr. Praveer Sinha: Thank you, everyone, for joining for this call. And if you have any queries, you can always get in touch with my colleagues, Kasturi and Anshul, and we will be more than happy to provide you all the required information. Thank you and take care.

And Kasturi, you have informed everyone about that visit?
Kasturi Soundararajan: Yes, we have started informing them. If you want, you can go ahead .
Dr. Praveer Sinha: Okay. The next Analyst Meet is in Bhubaneswar on 15th of December. My colleagues will get in touch with you and provide you more details and the agenda.
Moderator: On behalf of Tata Power Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2026

February 9, 2026

BSE Limited
Corporate Relationship Department
1st Floor, New Trading Ring
Rotunda Bldg., P. J. Towers
Dalal Street, Fort
Mumbai – 400 001.
Scrip Code: 500400 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No. C/1, G Block Bandra-Kurla Complex
Bandra (East)
Mumbai – 400 051.
Symbol : TATAPOWER

Dear Sir/Madam,
Earnings Call Transcripts

Pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, the transcript of the audio call recording of the Company's Analyst Call held on February 4, 2026, on the Audited Standalone Financial Results and Unaudited Consolidated Financial Results of the Company for the quarter and nine months ended December 31, 2025 is attached herewith.

The transcript of recording can also be accessed on the Company's website using the following link:

https://www.tatapower.com/investor-resource-center/analyst-call-transcript-tab#analyst-call-transcript-tab

This is for your information and records.

Yours Sincerely,
For The Tata Power Company Limited

Vispi S. Patel
Company Secretary
FCS 7021

Encl: As above

"The Tata Power Company Limited Q3 FY'26 Earnings Conference Call"

February 4, 2026

MANAGEMENT : DR. PRAVEER SINHA – CEO & MANAGING DIRECTOR,
THE TATA POWER COMPANY LIMITED
MR. SANJEEV CHURIWALA – CHIEF FINANCIAL
OFFICER, THE TATA POWER COMPANY LIMITED
MR. J.V. PATIL – GROUP FINANCIAL CONTROLLER,
THE TATA POWER COMPANY LIMITED
MR. KASTURI SOUNDARARAJAN – CHIEF TREASURY
& INVESTOR RELATIONS, THE TATA POWER
COMPANY LIMITED
MR. ANSHUL VERDIA – HEAD INVESTOR RELATIONS,
THE TATA POWER COMPANY LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Tata Power Q3 FY'26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity to ask questions after the presentati on concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

Please note that this conference is being recorded.

I now hand the conference over to Dr. Praveer Sinha – CEO and Managing Director of Tata Power for his opening remarks. Thank you and over to you, sir.

Dr. Praveer Sinha: Thank you very much and good evening to everyone and thanks for joining the call.

I have my colleague, Sanjeev Churiwala – CFO, J.V. Patil – our Group Financial Controller, Kasturi, Chief – Treasury and from Investor Relations we have Anshul and some of my other colleagues from the finance department.

Before I share with you some of the salient features of the quarter performance, just to give you a little background, the power demand during the Quarter 3 and 9-months for the last financial year has been, I would say, not very high, muted this year but saw 7% growth in recent months.

But I think when we look at both the demand increase in December and January, it looks like we will have a rebound in this year, especially with summer expected to be a little more warmer than last year. We do expect that our peak demand will be in the 270-280 gigawatt range, and we can expect a very large increase in the demand of power in the coming months.

In the last nine months, we have seen huge capacity add especially in renewable space, and while our overall capacity has reached 514 gigawatt of installed capacity, nearly 45 gigawatt was added in this fiscal, out of which 38 gigawatt is renewable capacity. So, huge capacity additions have happened, and we do expect that going forward this momentum will be continued.

Looking at the financial performance of the Company for the quarter, we have given a very strong operational and financial performance with the EBITDA increase of nearly 12% year-on-year at Rs. 3,913 crores compared to the previous year. Similarly, the PAT has increased marginally to Rs. 1,194 crores, despite Mundra being non-operational for the quarter and having a substantial hit because of that. For the 9-months, the EBITDA has jumped 12% year-on-year to Rs. 11,874 crores as compared to Rs 10,639 crores. Similarly, the PAT is up by 7% for the 9-month period to Rs 3,702 crores.

This quarter, what we have seen is many of our new businesses have come to age, whether we look at our solar cell and module manufacturing, where there has been a huge increase in our plant profit after tax, which has gone up to nearly Rs. 251 crores in the quarter compared to Rs.

112 crores last year. For the 9-month period, the plant has delivered a PAT of Rs. 592 crores, which is an increase of 154% compared to Rs. 233 crores in the last year 9-months. Similarly, our rooftop has done exceedingly well. We crossed one gigawatt in the 9-months period and in Q3, in this quarter, we executed 372 megawatt compared to 173 MW in the previous year. The rooftop PAT has increased in the quarter to Rs. 111 crores compared to Rs. 60 crores last year.

In the 9-month period, it has gone to Rs. 324 crores compared to Rs. 110 crores in the previous year 9-months. Similarly Odisha Discoms have done very well. The profit of Odisha Discoms has gone up to Rs. 226 crores in the quarter compared to Rs. 86 crores last year. And in the 9-month period, it has gone to Rs. 505 crores compared to Rs. 164 crores in the previous year, 9-months. I think what is important is that many of our new businesses have now started showing results and in the future quarters, they will further stabilize and produce muc

h better results than
what we have seen in the previous quarters.
We also have seen that many of our other businesses, including the transmission businesses,
have started showing results. We were able to commission some of our TBCB projects such as
the 400 kV Koteshwar-Rishikesh transmission line. Similarly, we were able to complete some of the other projects which were under impl ementation. And some of the projects will get
completed in this quarter also. We also got a letter of intent in the last quarter for the Hinjewadi
line and we are expecting some more projects in this quarter also.
Last quarter, we had a huge challenge because Mundra was not operating. We have been able to
now conclude the arrangement with Gujarat on all the issues of the SPPA, except one point. We
hope that in the next 2-3 weeks, we will be ab le to close that. And on a similar basis, we will
parallelly start discussing with the other states so that we are in a position to start operation of
the plant, maybe by the end of this month. As there is now a huge demand of power that is coming up, we should be ready for the summer months requirements of these states. Work on
all our other businesses, especially our PSP project in Bhivpuri and our hydro plant in Bhutan are going at full swing and they will meet the timelines that have been set by us for both these
projects. These are very ambitious timelines that we have set for PSP and the Bhutan project and
we are very confident with the pace of work that is going on that we will be able to complete.
On our distribution business, we expect that some changes will happen by way of the Electricity
Act Amendment and we are expecting that once the Electricity Act Amendment is put in the Parliament for approval in this budget session, we will get many more opportunities on parallel
licensing in the country. Similarly, we are expecting some more announcements on the
distribution sector in the next 6 to 9 months wher eby certain more states will come up for public-
private partnerships based on some of the other incentives and concessions to be provided to
them, especially to states which have huge financia l losses in their distribution business. We also
expect that many of the new initiatives of the government including nucl ear power and all that
will bring more clarity in terms of the technolo gy transfer, in terms of sourcing of fuel and in
terms of the opportunity that will come up to set up these nuclear plants, especially the small
modular nuclear plant in various parts of the country for which we are in continuous discussion

with the government, Department of Atomic Energy and NPCIL as also with NITI Aayog, so
that these are put in practice quickly and some of the projects can start work in the next 24 months. We are always working towards improvin g our performance and to that extent you will
see that our financial metrics are very, very conservative and we continue in spite of the type of CAPEX that we are incurring, we continue to have a net debt to underlying EBITDA of 3.4 and
a net debt to equity of 1.2 and we expect that the type of calibrated growth we have will continue
in future quarters also.
So, with this I will hand over back to you for your questions and me and my colleagues are here
to respond. Thank you.
Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and-answer session. We will
take a first question from the line of Mohit Ku mar from ICICI Securities. Please go ahead.
Mohit Kumar: Good evening, sir and congratulations on the strong numbers in solar manufacturing and solar
rooftop especially. My first question is on Mundra . Of course, you are tryi ng to resolve with the
Gujarat and you will subsequently go to the other procurers. My question is, till the time we get the final resolution from the other pr ocurers, is it fair to assume that you'll be able to r

un the
capacity which you only link to Gujarat in the interim?
Dr. Praveer Sinha: This is all under discussion. We had a few m onths back a joint meeting of all the procurers
during which it was agreed that Gujarat will take the lead in fi nalizing the SPPA term. Now that
the SPPA is agreed with Gujarat, leave one point, we will be circulating this to other states and
once we get their in-principle approval, we will try to start operating the plant and scheduling it
to them based on their acceptance. So, hopefully in the next few weeks, we should be able to
find out the comfort level of the other procurer state and then we will start scheduling the power.
Mohit Kumar: Understood. My second question is, how do you think about the renewable capacity addition
over the next three months? I think the target we have set for ourselves was 2-2.5 gigawatt, if I remember correctly. I think you added on 600 megawatt if I am not wrong in the last nine
months. Do you think we will still be able to meet that 2-gigawatt target?
Dr. Praveer Sinha: So, our target this year was that we will set up 2.6 gigawatt which included third party and
ourselves. We have already done 1.9 gigawatt which includes third party and also it includes 600 megawatt of our own capacity addition. We have another 400 to 500 megawatt of project
which we are pursuing which we expect to complete in this quarter and then we have projects which will come up in 2027,

wherein most of the projects will be our own because all our so-
called third party projects have got over including the SJVN, MSEDCL, NHPC. So, all the new
projects that will come up will be catering to ou r own department.
Mohit Kumar: Thank you and best of luck. Thank you.

Moderator: Thank you. We will take our next question from the line of Sumit Kishore from Axis Capital.
Please go ahead.
Sumit Kishore: Good evening, sir. When I look at the Q3 FY'26 EBITDA to Q3 FY'25 the delta of Rs. 432
crores, it is almost entirely explained by the bu mp up that has happened in the Delhi distribution
business. Although the Delhi distribution business has seen a 2% decline in power purchase and sale, there seems to be
some regulatory adjustment there which has bumped up the EBITDA.
So, why hasn't it been properly called out in accounts in the presentation and what are the details
there because it seems to be explaining the whole growth for the quarter?
Dr. Praveer Sinha: What you have to do is this. You have to see the increase in EBITDA considering that last year
we had EBITDA impact from Mundra where there was a positive EBITDA of Rs. ~300 crores.
That is not there this year and that is being compensated from our rooftop business, from our manufacturing business and our
Odisha business. There is a one-off that we have got in Delhi
Discom because of the regulatory order that we got for truing up of our tariffs for 2022-2023.
But notwithstanding that also, there has been increase in our existing portfolio of businesses and
that has helped us for the increase in EBITDA for this quarter.
Sumit Kishore: That is very clear, sir. The trueing up amount has just become congruous in a quarter where you
have had the big Mundra impact. What is the amount for the quarter?
Sanjeev Churiwala: Mundra, there are various provisions that we have to do. I think in the next quarter when we do
the complete true up, we will be able to give you the complete picture.
Sumit Kishore: Okay, but what is the impact for 9-months that you have trued up in your numbers, if not the 3
rd
Quarter?
Sanjeev Churiwala: I think all put together when we look at 9 months, it is closer to about Rs. 800 odd crores of
losses that we have booked.
Sumit Kishore: Which is losses for Mundra?
Sanjeev Churiwala: For Mundra only, yes. Because Mundra has been shut for 6 months now and of course when the
plant is shut, we do not get the capacity char

ges. Now 6 months, the plant is still there. So to that extent the Rs. 800 crores have been booked as a loss.
Sumit Kishore: This is at the EBITDA level or the PAT level?
Sanjeev Churiwala: At the PAT level because for Mundra and other thermal power plants, PAT level matters the
most.

Sumit Kishore: Okay, asking is for Delhi distribution, for the 9-month period, what is the true-up benefit that
you have taken in numbers?
Sanjeev Churiwala: For 6 months, which again to your earlier point, we have been reporting that in the earlier quarter
and this quarter, the total regulatory impact at TPDDL is about Rs. 344 crores. We also had a
similar true-up impact last year of Rs. 333 cr ores. That is there, plus in the last year,
corresponding same period, we had the order impact for Mundra at Rs. 332 crores. All of that have been appropriately
reported in the accounts.
Sumit Kishore: It is still not clear to me what is the benefit that you have booked in the 3
rd Quarter?
Sanjeev Churiwala: You wanted YTD or 3rd Quarter only?
Sumit Kishore: 3rd Quarter only also. Because you are saying that the 6-month number was clearly mentioned.
Sanjeev Churiwala: In the third quarter, PAT impact is about Rs. 344 crores on TPDDL regulatory impact.
Sumit Kishore: And that is flowing from revenue to profit or is there any other benefit at the EBITDA level?
Sanjeev Churiwala: So, this is net of taxes, of course.
Sumit Kishore: So, the EBITDA benefit is more?
Sanjeev Churiwala: Yes, so it is Rs. 460 crores at the EBITDA level.
Sumit Kishore: How much? 464?
Sanjeev Churiwala: 460.
Sumit Kishore: 460 crores, I heard. Okay.
Sanjeev Churiwala: In fact, if you see the notes on accounts, Sumit, that is a complete disclosure around that. You
will get the full numbers.
Sumit Kishore: Okay. That is clear. The second question is, typically, you have elimination in the renewable
cluster under others, which is a negative number. This time, it is a small positive number. So, typically, our understanding
over the last few quarters was that because you do some internal intra-transfers, there is some elimination. Why is the

elimination positive this time?
Sanjeev Churiwala: So, you are right. The elimination that is done, whether it is a positive number or a negative number, everything has to be eliminated. So, whenever there is an intra-transfer and there is some positive number, that is eliminated. So, you see a negative elimination. And whenever

there is an intra-transfer loss, that is also elimin ated to a positive number. So, the idea is that at the PAT level, there is no impact. And this is basically a true-up on a quarterly basis. So, the way you have to read it is net of elimination. When you look at Rs. 912 crores, you can look at the slide number 52, which has been uploaded. It shows the cluster-wise performance. The break-up is there.
Sumit Kishore: Yes, I am looking at the cluster-wise performance. So, because you are doing projects which Tata Power is setting up on its own books, I am assuming that part of the modules are going from your manufacturing facility to your own projects. So, which is why the elimination needs to happen on consolidation because it is being consumed by your own entity. So, why is the elimination a positive number?
Sanjeev Churiwala: That is what I am saying. So, if you look at the renewable, you have this Genco, Solar EPC, TP Solar. So, TP Solar will provide services to the Genco in terms of supply of modules. Similarly, the Solar EPC will also do the services for Genco and as well as the third party. So, of course, there are many, many projects within that. However, if any project is having a negative loss because of the contractual nature of the agreement, that also needs to be eliminated. So, one of the projects could be a negative P

AT margins for most likely for the Solar EPC, which now has been eliminated for positive Rs. 60 crores.
Sumit Kishore: There was a loss which you have made in the Solar EPC business because the elimination has then become a positive thing.
Sanjeev Churiwala: As you can see, Solar EPC overall PAT is Rs. 183 crores. It is positive. But let us say there are 100 different projects happening, which include in-house supply. So, as per the accounting standard, any contract which even has a loss for in-house supply also needs to be eliminated. So, as a result, Rs. 60 cror es is in elimination.
Sumit Kishore: This is very clear. Just one last point. There is some positive impact for FGD recovery in Q3 and 9 months for Maithon, which also seems to be bumping up the number quite dramatically on a year-on-year basis in Q3 particularly. So, what is that impact? That is my last question.
Sanjeev Churiwala: So, we have commissioned the FGD for Maithon. And given that this is a regulatory asset, we are getting the regulatory returns. So, that impact of that is about 15 odd crores. And you will see that reckoning happening in the subsequent quarters now.
Sumit Kishore: So, Rs. 50 crores in every quarter it will come?
Sanjeev Churiwala: 15 crores.
Sumit Kishore: Thank you and wish you all the best.

Moderator: Thank you. We will take our next question from the line of Apporva Bahadur from IIFL Capital. Please go ahead.
Apporva Bahadur: Hi, sir. Thank you for the opportunity. Sir, you briefly mentioned about more opportunities on the distribution from the PPP side, possibly due to some sort of a package for the discoms. Can you give some more color on that? What sort of package are we posing over here?
Dr. Praveer Sinha: So, there are many states who have huge financial losses. And so, some of those states will be given the opportunity of a long-term loan at zero ra te of interest. But there will be certain caveats in terms of they need to go for PPP and only against that they will be given. So, those are states which are already identified in te rms of the type of financial loss es they have. And it is expected that once that is announced, we will have a few states who will be availing that opportunity and going for PPP.
Apporva Bahadur: So, when should we expect this around, any timelines?
Dr. Praveer Sinha: I think in the next 6 to 9 months, this should happen.
Apporva Bahadur: Okay. Understood. Sir, I also wanted to sort of understand our strategy on the rooftop side. Commendable, I mean, the improvement that has happened and the growth and profitability. But has it reached some sort of a peak revenue or a peak profit or do we foresee more growth here? And secondly, any plans of cross-selling more, especially on the storage side?
Dr. Praveer Sinha: Well, this is the tip of the iceberg, I would say. And the opportunity is phenomenal. What we are seeing is, again, the Prime Minister's Surya Ghar program, 1 crore houses were supposed to be done. We have already done only 25 lakhs. So, there is a huge number. In this budget, another 50 lakhs have been added, 5 m illion has been added. So, there is a huge opportunity with the type of financial support that is being provided. Without the financial support also, we are

finding that a lot of C&I customers are also goin g as also customers who want larger capacities, 10 kilowatt and above. So, I think this is a business which is going to be there for a very, very long time. We would also find that people will, those who have put up smaller capacities will augment it in future based on their increase in energy requirement. And this business, I do feel it is something which is very futuristic and will keep on improving going forward.
Apporva Bahadur: Okay, sir. Sir, lastly, one theoretical question. Now that we are close to solving Mundra in terms of the supplemental PPA, in

case the government again sort of implements Section 11, because the last time it implemented, it was not just for Tata Power, but for all the imported coal-based assets. So, does Section 11 supersede the supplementary PPA or will we be kept out of the purview?

Dr. Praveer Sinha: Section 11 is imposed when there is a shortage of power. And hopefully, before that happens, we should be in a position to close this arrangement because this power is required by all the procurer states and if they go for Section 11, they have to pay more. So, it makes more sense for them to go ahead and finalize the SPPA rather than going to Section 11.
Apporva Bahadur: Okay, sir. Thank you so much. All the best.
Moderator: Thank you. The next question is from the line of Puneet from HSBC. Please go ahead.
Puneet: Thank you so much. My first question is, you talked about one point which is missing in Mundra. Can you elaborate where is the point or difference still?
Dr. Praveer Sinha: There is one point. Let's wait for that clarity to come from the government.
Puneet: Okay. Secondly, on the Delhi distribution side, there was this talk about reducing regulated assets. But in this quarter, the number has gone up again. Any progress that you're seeing there or it's a slow outcome?
Dr. Praveer Sinha: So, the regulatory asset per se has gone down. But what has happened is that there is one more order that has come. The true-up order has come for 2022-23, which has given another Rs. 400 crores additional regulatory assets to the compan y. So, that's why it's looking high. But in actual, during the quarter, it has come down by Rs. 460 crores. So, it's come down by Rs. 460 crores.
Puneet: Okay, understood. And lastly, if you can talk about which are the big renewable projects that you will commission in FY'27?
Dr. Praveer Sinha: I think some of the Tata Steel projects, we already commissioned 198 megawatt wind project. There are some more wind projects which will get commissioned in this quarter. So, I think many of the wind projects will get commissioned, as also some solar projects will get commissioned between this quarter and the next quarter.
Puneet: Understand. And what should be the run rate for the year that we should assume for your own and separate?
Dr. Praveer Sinha: So, this year, we will do something like another 500 megawatts. But next year, the so-called 2.5, we will do 100% for ourselves.
Puneet: Okay. So, FY'27 onwards.
Dr. Praveer Sinha: Yes.
Puneet: Understood. That's very helpful. Thank you so much and all the best.

Moderator: Thank you. We will take our next question from the line of Ketan Jain from Avendus Spark. Please go ahead.
Ketan Jain: Thank you. Good evening, sir. Congratulations on a strong performance in rooftop and module manufacturing. Just on the rooftop side, what's your outlook on the rooftop addition in India? I think, year-to-date, we have ad ded around 7 to 7.5 gigawatts. W ill this continue going forward in '27 and '28?
Dr. Praveer Sinha: I think if you look at the stage of rooftop addition in the country, as also by us, it has increased tremendously with much better supply chain, much better channel partner, much better arrangement to supply and erect information. I do expect that the speed will go much further. Also, the government has come up with a new scheme, which is the state discoms have been asked to go ahead and implement it. We are doing it in Odisha, which is known as the ULA scheme, utility-led scheme, which is there. And I think the capacity adds that you are seeing last year, at least 50% to 60% more will happen in this year and we will continue to see the increase going forward.
Ketan Jain: Understood. Thanks, sir. So, my next question is on the module manufacturing. I could see that we have sold around 9

60 megawatt of modules. And we have also produced 960 megawatt of cells. So, is it right to assume that al l of these cells are DCR module cells?

Dr. Praveer Sinha: So, in the last quarter, we had some ALMM, that is, imported cells we had used, because the order was for supply of imported cells with domestic modules. But I think in the next two quarters, we will have more of our own cells and our own modules, because from 1
st June only
DCR cell and DCR modules are utilized. So, you will see more or less that whatever cell that we produce is fully consumed internally.

Ketan Jain: Understood, sir. So, the 962 megawatt is all the external sales which we have done?

Sanjeev Churiwala: Largely, as mentioned for Rooftop and our own businesses. And the rough breakup is a small quantity of about 168 megawatt peak for ALMM and DCR we have done 795 megawatt peak . Both put together is about 962.

Ketan Jain: So, external would be just 20%-25%?

Sanjeev Churiwala: External would be even smaller than that. Very small percentage.

Ketan Jain: So, the realization is a blended realization of the DCR and non-DCR module, both?

Sanjeev Churiwala: Yes.

Ketan Jain: And what would be the current realization, sir, in the market for a DCR and a non-DCR?

Dr. Praveer Sinha: It's very difficult to... It depends on the type of it because they are 540 and 580 and also which ones are Mono PERC, which ones are not.

Sanjeev Churiwala: I think it's difficult for us to give a breakup because a large quantity of that is in-house consumed in our various businesses. But if you look at th e P&L, which is also up loaded, we will have an EBITDA margin of close to 28% for the quarter. And for 9 months, we are delivering close to 24% of EBITDA margin.

Ketan Jain: Correct. Okay. So, my last question is on the renewal execution part. You mentioned 2.5 gigawatt next year. So, 2.5 gigawatt in FY'27 is the target, right, sir? For our own capacity?

Dr. Praveer Sinha: Our own capacity.

Ketan Jain: And just one addition to this is, what are the challenges are we facing in execution of our own capacity? Or is it a strategical call that we are first finishing our third-party order book and then focusing on our existing, our own capacity or is there any challenges you're facing in execution?

Dr. Praveer Sinha: This was timing issue on ly. So, the third-party orders we had received much earlier. And our own capacity, our orders that we got last year. So, based on the timelines that have been agreed with, these are getting executed.

Ketan Jain: Understood, sir. Thank you and all the best.

Moderator: Thank you. The next question is from Satyadeep Jain from Ambit Capital. Please go ahead.

Satyadeep Jain: Hi, thank you. Sir, I just wanted to ask on renewable energy execution once again. I know you're looking at 1 gigawatt broadly commissioning this year. In the last nine months, it's been 600 megawatt against industry at 38 gigawatt. Even if you strip out solar rooftop, that's about 30 gigawatt, 2% market share for Tata Power. And that 1 gigawatt that you're looking at now is despite third-party execution, the initial expectation was 1.5 to 2 gigawatt. So, there seems to be a miss and we are seeing it across the board for some of the larger players, misses in terms of execution. But the industry is still adding a lot of capacity, which means it's a long, very long tail. In case you do meet the target next year, either mathematically, if you look at the market share, the industry commissioning has to more than double or some smaller players lose market share. Just want to understand, if you do take market share, how is that going to play out? Why should smaller players commission less or take less market share next year in the overall, not just Tata Power, just trying to understand this entire long tail, how will that shrink?

Dr. Praveer Sinha: If you look at Tata Power this year, we have already commissioned 2.2 gigawatt of projects. And that means that we have inherent capacity to execute such large capacity and we will add another 500 megawatt in this quarter. So, 2.7 gigawatts we will be doing in this financial year.
If we look at next year, we have a capacity to execute 2.7. We may do more than 2.5 while we have taken the initial estimate of 2.5, we can go up to 3 gigawatts of capacity add. As you are aware, we have a pipeline of nearly 5.5 gigawatts of projects, which we need to execute. So, within the next two years, we will execute. Also , it's not just executing the project, but also the timeline when the transmission line comes up. As you are aware, many of the transmission lines got delayed and we are now timing the project co mpletion with the transmission line completion so that it should not be that these projects are left stranded and unutilized when the transmission lines are not available. So, I think it's a question of better planning, better phasing, and staggering it in such a way that it is able to produce as soon as they are implemented and the power can be executed.

Satyadeep Jain: Let me ask it another way. When the year started, obviously, you're looking at 1.5-2 gigawatts if it roll back one year ago. So, at that time al so, you had the third party order book. So, is it not some delay in execution, transmission or is it purely that compared to initial expectations, you prioritized third party book? And the delay in co mmissioning transmission has been an industry-wide phenomenon. But despite that, we are looking at 38 gigawatts capacity for the entire industry. But still, are you saying the delay in commissioning for capacity delayed capacity commissioning for certain players more than it did for others? Just in the context of overall addition, trying to understand compared to the earlier targets you had?

Dr. Praveer Sinha: You need to understand that many of the projec ts are either intrastate projects or interstate projects. The intrastate projects, the challenge of transmission lines is not so much. But in interstate transmission lines, there have been challenges. Our projects that we were doing for third parties were synchronized with the commissioning of those transmission lines. For our internal projects, again, it was synchronized. Some places, some of the lines which were supposed to come last year have got delayed and they are expected by March this year, or maybe it may go up to May, June this year and some by December. So, that's why the project completion has to be staggered in such a way that it meets the timeline for evacuation. Otherwise, there's no point in setting up of the plant if the power cannot be evacuated.

Satyadeep Jain: Perfect. Sir, one more question on Odisha. Just we are seeing increase in income. Largely, it seems to be reduction in ECL losses. Just wanted to understand what is driving that reduction in ECL and is it also reflected in actual increase in cash profit? Is it mainly accrual or actually your cash receipts have also increased significantly in Odisha and what has led to that ECL reduction?

Dr. Praveer Sinha: Well, I think our collection efficiencies have improved. Our billing efficiency has improved. And the performance of Odisha discoms have improved tremendously. If you track it in last three years, the performance has been improving every quarter. And the coverage of billing has

been better. Loss reduction has happened. Spilling of electricity which was there has reduced drastically. So, I think overall the performance of all the 4 discoms has been very good. And we need to acknowledge that the type of work that they have done to bring about a turnaround, not only financially, but also operationally is phenomenal. And that i

s why you are seeing a much better performance in this quarter as we ll as in the 9-month of this year.

Sanjeev Churiwala: And to add to your question whether it is conver ted to cash, absolutely if you look at Quarter 3 itself, when we look at the distribution cash flows, largely Odisha, we have earned about close to Rs. 800 crores of cash only for the quarter.

Satyadeep Jain: Okay. That's great. Thank you so much.

Moderator: Thank you. We will take our next question from the line of Girish Achhipalia from Morgan Stanley. Please go ahead.

Girish Achhipalia: Thank you, sir. So, my question was on your Wafer and Ingot plan, where are we right now and what is the size and any state incentives? That was the first question, sir.

Dr. Praveer Sinha: This is under discussion. We are examining the technology, equipment, size, all those things. And we will take some more tim e to take the final decision.

Girish Achhipalia: Okay. And from China, we are seeing wafer and polysilicon prices increase. Currently, we have, I think, more than 5 gigawatts under construction. So, how much of an equity IRR impact does this cost? Because you would be sourcing some of the raw materials from there, if you can quantify?

Dr. Praveer Sinha: So, if the input materi al cost goes up, the output material cost also, because this is true for everyone who is manufacturing the modules in the country. So, by these phenomena, we will get highest price realization.

Girish Achhipalia: Yes, I mean, but your EBITDA for your utility scale projects remains the same, but your gross block increases, right? So, I wanted to understand the equity IRR impact. Is it like 300 bps, 400 bps, or is it lower?

Dr. Praveer Sinha: It is not having a great impact because we also have a mix of solar and wind in most of our projects. So, from whatever we know, there is not going to be any substantial impact.

Girish Achhipalia: Okay. And if I heard you correctly, sir, for excluding third party, next year you are targeting 2.5 gigawatt and FY'28 another 2.5 gigawatt. Is that the way it will happen in terms of your…

Dr. Praveer Sinha: 2.5, more nears up to 2-3 gigawatt.

Girish Achhipalia: Okay. Thank you.

Moderator: Thank you. Next question is from the line of Anuj Upadhyay from Investec. Please go ahead.

Anuj Upadhyay: Hi, sir. Thanks for the opportunity. The first is on the margin front across your EPC and the rooftop. So, during the quarter, the margin has fallen across both the segment. And probably I was of an opinion that with the complete operatio n of your cell and module capacity, this margin

volatility across the EPC should come down significantly. So, could you just explain the reason
for this fall in EPC margin and rooftop?
Sanjeev Churiwala: I think on the EPC side, we kind of target PAT margin of close to 5% to 6% every quarter. But
if you look at within quarter-to-quarter, dependi ng upon the true-up, there could be challenges.
But by and large, that's what we have been targ eting. Because if you look at the overall solar
EPC margins, it's a very healthy margin overall. Solar rooftops, about 14.5% and then we look
at large projection rooftops, it is close to about 9.1%. And PAT margin, we are kind of delivering
on a consol basis which is about close to 8%.
Anuj Upadhyay: Okay. So, this is what it should be on a sustainable basis?
Sanjeev Churiwala: That's what we think. Because even Quarter 3, when we look at the Quarter 3, PAT margin is
7.6 and 9-months is also 7.8.
Anuj Upadhyay: Okay. And secondly, on a debt profile, sir, I can understand on the regulatory side where debt
can go up. But say for companies like Maithon and your Coal SPV, the debt across the respective
businesses has largely remained stagnant. So, any timeline on when can we expect the debt
reduction happening over there?
Sanjeev Churiwala: I think the debt, what we see fro

m a console basis, we have a debt equity of 1.2, a debt to
underlying EBITDA of 3.4. So, we are on a very comfortable journey, given that we will be spending close to 15,000
crores-20,000 crores -25,000 crores of CAPEX every year. We will
have debt in the books, but we want to ensure that we maintain our debt equity and debt to
EBITDA profile on a very conservative basis.
Anuj Upadhyay: Okay, fine, sir. I mean, like on a console, no issue. But just on these two segments, I wanted to
have your view. Whether we should expect any kind of a debt reduction happening from here
on, or it would largely remain at a similar level?
Sanjeev Churiwala: You are referring to which segment?
Anuj Upadhyay: For Maithon and Coal SPV.

Sanjeev Churiwala: Maithon is a regulatory asset. We are not doing any CAPEX. So, as per the regulatory asset, we
will keep on earning the cash over there and to that extent, the debt will only reduce.
Anuj Upadhyay: Fair point, si r. No issues.
Moderator: Thank you. We will take next question from the line of Aniket Mittal from SBI Mutual Fund.
Please go ahead.
Aniket Mittal: Actually, I had a question more at a sector level to understand. So, we have obviously seen
renewable awarding pretty much dry up. And there seems to be some sort of deadlock here with 40 gigawatts of PPA
unsigned. Just to unders tand your thoughts, what's the pushback that
Discoms are having on signing PPAs? And when do you think renewable awarding in the
country can sort of come back?
Dr. Praveer Sinha: I think the renewable projects are getting delayed because of the connectivity issue. And in such
time, new evacuation lines are set up. The pace at which the renewable projects are coming up.
it will be a little slower. So, all the existing co nnectivity approvals have been given and there is
no fresh approval being given. And until that happens, there's no point in tying up new renewable
projects. So, I think we will have to see how quickly some of the big sum up and some of these
new lines are awarded, so that the project pipeline can be sufficiently developed.
Aniket Mittal: In that context, how do you look at certain country level, let's say, renewable addition
happening? Obviously, last year has been a fairly good year for India, but do you see this to that number sort of slowing down
for the next couple of years?
Dr. Praveer Sinha: I think at least for the next two years, we have a lot of renewable projects as also transmission
line projects which are under implementation. So, to that extent, I don't think this will slow down
to a very large extent. And we should see a good momentum at least for the next year.
Aniket Mittal: Fair. Just one confirmation I want to have. So, for all the renewable projects that let's say Tata
Power builds on their books, you will be using your own manufactured cells. Is that
understanding correct?
Dr. Praveer Sinha: Absolutely right.
Aniket Mittal: Okay. And within that, so 2.5 gigawatt of renewables expected to get commissioned next year,
how much would solar be out of that?
Dr. Praveer Sinha: I think it's now about 50-50.
Aniket Mittal: Okay. Got that. So, those are my questions. Thank you.

Moderator: Thank you. We will take our next question from the line of Nikhil Bhandari from Goldman
Sachs. Please go ahead.

Nikhil Bhandari: Hi. Thank you. Thank you for the opportunity. I just want to ask about the cell and the module business. The profitability currently is, of course, phenomenally pretty high. And I understand many of the other companies have not been able to ramp up their cell plants with a good yield on time. But how do you see the su stainability of these margins, le t's say, beyond next 6 months to 12 months? And a connected question would be for your rooftop solar business margins as well. How much of

your rooftop solar margins ar e currently benefiting from this policy support of the ALMM requirement for the cells, because you have your own cells. So, probably that positions you to make a higher margin. How much of that margin strength is because of this benefit? And how do you see the durability of this advantage if the cells become more widely available in the market? Thank you.

Dr. Praveer Sinha: Very short answer for your long question. And this will be much, much better going forward. Once we have learned how to run the plant, it will only improve. It will not become worse.

Nikhil Bhandari: Understood. Thank you.

Moderator: Thank you. We will take our next question from the line of Girish Achhipalia from Morgan Stanley. Please go ahead.

Girish Achhipalia: Thanks for the follow up. If you can just help us currently, how's the Indonesian law situation evolving? Have they levied the export tax and who's kind of bearing it because the market realization, I mean are you passing it on? Are the producers taking some impact on the margins? How is it brewing through in Q4 now?

Dr. Praveer Sinha: There is no impact. At least we have not hear d or seen anything. So, we are not expecting any impact.

Girish Achhipalia: Okay, sir. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the conference over to Dr. Praveer Sinha for closing comments. Over to you, sir.

Dr. Praveer Sinha: Thank you, everyone. During the last one hour, we heard a lot of questions on renewable, but very few questions on distribution. I think we had taken all of you to Bhubaneswar and shown you the type of work and the phenomenal improvement that has been there. We will need to consider it because there are not many players in this country who have this sort of skill set, knowledge and experience. Considering that a lot of distribution opportunity will come in the future, I think suitable justice shou ld be done to distribution business in your analysis. So, please

consider that also. We should not just get carried away by a few areas where there are too many players and I think margins are a challenge. With that advice, I would like to close. Thank you all. If you have any queries, please connect with Anshul and Kasturi and any questions you have, please ask them. We will try to respond to you. Thank you.

Moderator: Thank you, sir. On behalf of Tata Power Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2026

May 15, 2026

BSE Limited
Corporate Relationship Department
1st Floor, New Trading Ring
Rotunda Bldg., P. J. Towers
Dalal Street, Fort
Mumbai – 400 001.
Scrip Code: 500400 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No. C/1, G Block Bandra-Kurla Complex
Bandra (East)
Mumbai – 400 051.
Symbol : TATAPOWER

Dear Sir/Madam,
Earnings Call Transcripts

Pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, the transcript of the audio call recording of the Company's Analyst Call held on May 12, 2026, on the Audited Financial Results (Consolidated and Standalone) of the Company for the quarter and financial year ended March 31, 2026 is attached herewith.

The transcript of recording can also be accessed on the Company's website using the following link:

https://www.tatapower.com/investor-resource-center/analyst-call-transcript-tab#analyst-call-transcript-tab

This is for your information and records.

Yours Sincerely,
For The Tata Power Company Limited

Vispi S. Patel
Company Secretary
FCS 7021

Encl: As above

"The Tata Power Company Limited
Q4 & Year Ended FY '26 Earnings Conference Call"
May 12, 202 6

MANAGEMENT : DR. PRAVEER SINHA – CEO & MANAGING DIRECTOR ,
THE TATA POWER COMPANY LIMITED
MR. SANJEEV CHURIWALA – CHIEF FINANCIAL
OFFICER , THE TATA POWER COMPANY LIMITED
MR. J.V. PATIL – GROUP FINANCIAL CONTROLLER ,
THE TATA POWER COMPANY LIMITED
MR. KASTURI SOUNDARARAJAN – CHIEF TREASURY &
INVESTOR RELATIONS , THE TATA POWER COMPANY
LIMITED
MR. ANSHUL VERDIA –HEAD INVESTOR RELATIONS ,
THE TATA POWER COMPANY LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Tata Power Q4 and Full Year FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Dr. Praveer Sinha, CEO and Managing Director of Tata Power for his opening remarks. Thank you, and over to you, sir.

Praveer Sinha: Good evening, everyone, and thank you for joining for this call. I have with me my colleagues, Sanjeev Churiwala , CFO; J.V. Patil , Group Financial Controller; Kasturi , Chief Treasury & Investor Relations; Anshul , Head Investor Relations and other colleagues from Finance and Corporate Communications.

Before I share with you some of the major highlights of the Q4 performance of the year, let me just quickly share with you our understanding of the power sector in the past few months and as of now. We saw in the last quarter that the increase in demand was very modest of 2%.

And we are now seeing from April onwards that the demand has gone up by 5% to 6%. And the peak power also has touched 256 gigawatts. We do expect that in next 1 to 2 months, this will cross about 270 gigawatts. And this is because of the heat wave that we see across the country. And also, because of the prediction that we will have a severe impact because of El Nino.

So, we do expect that the demand will increase both in terms of peaking requirement and energy requirement. And we are already seeing in many places, Mumbai has crossed 4,600. Delhi is more than 6,500. And so also many other places that we are finding that the demand is going after. Fortunately, in our country, our power systems are very stable.

The increased demand is met mainly by our coal -based plants and hydro plants and also renewable solar and wind supporting them during solar hours and wind hours. We have also seen that for our imported coal -based plants, there has been no impact per se. Th ere is adequate supply of coal that is coming. There is, of course, a small increase in the prices of coal and shipping but those are very, very nominal increases that has been seen in the last 2 months.

Coming to the financial performance, I think Tata Power has posted a very strong financial and operational performance in FY '26. This is in spite of the fact that Mundra did not operate for 9 months. And we have, for the first time, have reported a full y ear PAT of nearly more than INR5,000 crores. And the EBITDA, which has also gone up by nearly 11% to INR16,090 crores because of the strong performance of our existing businesses of generation, transmission, distribution and renewables.

During the quarter also, we have seen our EBITDA has jumped by nearly 10% to INR4,216 crores compared to INR3,829 crores last year. PAT has gone up by 8% to INR1,416 crores compared to INR1,306 crores last year in the same quarter.

This, of course, has been driven by all our businesses. I have been sharing with you that our solar cell and module manufacturing plant is doing exceedingly well. We have stabilized the operations of the plant, and the yields are very good. We have seen during the year, the plant has delivered a PAT of INR857 crores, which is more than double

of the previous year. Similarly, rooftop solar has done exceedingly well with doubling of the installations.
And we have also seen not only in the quarter but through the year, the performance has been exceedingly well with a PAT of nearly INR500 crores, INR499 crores. Odisha DISCOM has done exceedingly well.

In the previous year, the whole year PAT was
just INR439 crores. This year, we have a PAT of INR809 crores. In our utility scale renewable, we have been able to commission a large number of projects and in -house projects which have been commissioned have started yielding results.
And we do expect that the nearly 5 gigawatt of projects which are under implementation, and these are all in -house projects. 50% of it will be completed in this financial year and the balance 50% in FY '28. So, a very robust pipeline of projects, and we are on top of them in terms of implementing and start generating power from all those plants in the coming 2 years. We did have a challenge of Mundra. And because of that, we had issues about the shipping profit also.
But that is a thing of the past. We have now concluded the SPPA with Gujarat, and we are in the process of finalizing it with all the other 4 states, which we expect in next 4 to 6 weeks, we will complete. We are in very advanced stage of approval in the government. We are already operating the plant under Section 11 but with the understanding that the tariff will be as per the SPPA, and that has been accounted for in our quarterly results. And going forward, it will be accounted for in our operations.

Our distribution business everywhere will continue to grow, and we will have large capital expenditure as planned in our large utility scale projects as also in our hydro projects in Bhutan and the pumped hydro project that we are implementing in Bhivpuri.
We have informed you that we are going to start work in our new 10 gigawatt of wafer and ingot plant in 2 phases, and that will cater to our existing operations of cell and module plant, which will require Indian made wafers from 1st June 2028 onwards.
So, we do feel that all our businesses, which have now stabilized, will give very good performance in the coming quarters. On the balance sheet also, I find that our debt is at appro ximately INR56,000 crores. And this is in spite of a capital expenditure of nearly INR13,000 crores in the last financial year.
Our leverage ratios are very stable. Our net debt to underlying EBITDA is 3.3 and our net debt to equity is 1.2, which is very competitive for infrastructure and power industry. And we do expect that we will maintain similar discipline while going forward with our new investments in the coming years.
As we have been sharing with you, we believe in growing but the growth has to be very calibrated so that the financial discipline and the balance sheet discipline is maintained. And we are committed to enhance our generation capacity has also enhance our transmission distribution and hydro generation facilities in the country and also in Bhutan. And we will continue to perform exceedingly well in the coming quarters.
With this, I will conclude my part of sharing my thoughts on the company and also on the power sector. I do look forward to hear from you and take your inputs as also take your questions and respond to them. So, we can please start asking the questions.
Moderator: Thank you very much. We will now begin with the question -and-answer session. First question comes from the line of Sumit Kishore from Axis Capital. Please go ahead.
Sumit Kishore: Good evening, Dr. Sinha. You mentioned in your opening remarks that the capex for the financial year has been INR130 billion . This is meaningfully below the guidance that you had given to us in November in Odisha, which was INR250 billion. So , what really led to that guidance with 4 months remaining in the fiscal seeing such a sharp decline? And what is your guidance -- realistic guidance for FY '27? And what will it comprise in terms of the end projects? That's my first question.

Praveer Sinha: Yes, Sumit, so I agree that our gui

dance was, I don't think INR25,000 crores, but it
was, I think, about INR22,000 crores. We have fallen short because some of the

projects that we were planning to execute in the last quarter could not happen. And these p rojects are typically relating to the large utility scale projects, solar projects or wind projects or the transmission line projects. Many of the places, the right of way got delayed. Many of the places, the transmission system was to be don e by someone else under the TBCB.

We were supposed to use that transmission system for evacuating, that got delayed, and you have seen there have been a large number of reports of many TBCB projects, especially ISTS projects getting delayed. We are now in this quarter, trying to complete some of the projects around 600 megawatts of large utility scale.

Similarly, in the pipeline are some of the transmission projects that we are executing as the ROW issues are resolved. So , these are not that these will not come. It's just that the phasing has got impacted. And those which we missed out in the last year, we will complete all of them in this financial year. So that's why our target of yearly investment continues to be the sam e. And there may be certain deferment by a quarter or 2. But otherwise, we are very much on track.

Sumit Kishore: No, sir, I was referring to the slide in your Bhubaneswar presentation, which shows INR25,000 crores of capex. So the second question is on the Delhi distribution business, where in the last 2 quarters, there have been regulatory favourable prior period regulatory orders. The quantum was INR4.6 billion in Q3. It was INR3.2 billion in Q4 at the EBITDA level and the profit level positive impacts have also been shown. So can you -- can Mr. Sanjeev sort of clarify what is the entire benefit that you have taken because of prior period regulatory orders at EBITDA and profit level in FY '26 and FY '25, how much is expected? It is very difficult to predict.

But what sort of claims do you think are rightfully yours, which are yet to materialize because these are meaningful deltas in the quarterly results. So let us say for FY '27, is there any expectation that we should have or we should budget for a decline in reported numbers for Delhi distribution?

Sanjeev Churiwala: Yes. So I think what you're saying is relevant, but give a little context to that. The good part is whenever you see the regulatory upside, those are pertaining to matters a few years back, either those regulatory approvals were denied or deferred. So as a result , we are very happy that many of those past regulatory clearances are now coming in.

And this is not the first time that we are getting the clearances. This happens every year.

In fact, if you look at F Y '25, we had about INR333 crores of regulatory approvals coming in. This year, as you rightly picked up, INR783 crores is reflected. Next year, too, we will have something. But to quantify at this stage, it might be very, very difficult because there are a pipeline of regulatory assets that we are kind of contesting and discussing.

And as you are aware, it's very difficult to predict an outcome on a regulatory settlement or regulatory clearances. But yes, we would expect some amount to materialize. Now whether that is lower or higher, sitting today is very difficult. But my sense is as and when every quarter passes on, we should be able to give you a better understanding on that.

Sumit Kishore: Sure. Just one last bookkeeping question. What is the IPP RE capacity that you expect to add in FY '27? What will be the phasing of that capacity? And would it be right to expect that for the solar component there is the module and cell would be supplied from Tata Power's own manufacturing unit?

Sanjeev Churiwala: The second question is very clear forward. That's the whole purpose why we have put up the cell and module manufacturing. And I think that we are kind of quite integrated that we are able to kind of have the entire line -up of cells modules locked in on al l the pipelines. And as you can see, we have about 5 gigawatts of pipeline as we speak. And a lot of things will start materializing this time around from quarter 1 onwards. So from a capex phasing point of view, I think you will see in t he current year, a lot of consistency coming in.

Praveer Sinha: Also, Sumit, last year, we did a huge amount of third -party projects. This year, we don't have third party. So everything that we will do will be in -house. And last year, we did about 2,500 megawatt of total project implementation. So you can imagine that 2,500 will be virtually internal that we will carry out and maybe a little more.

Sumit Kishore: So if you deliver, for instance, 2 gigawatt of solar project, then the requirement of module cell will be 2 into 1.4, the multiplying factor. about 2.8 out of your capacity

will go into -- in this example, it will go into your own capacity addition. Is th at the
right understanding?

Praveer Sinha: Exactly. And then we have rooftop. So whatever we are going to manufacture, we are going to meet our own requirements.
Sumit Kishore: Sure. So the intrasegment elimination should basically reflect that in FY '27?
Sanjeev Churiwala: Yes. And that is largely around the RPT compliance in terms of the margins but are very, very consistent. So that should not be posing a problem for you to kind of do your modelling as well. But I think you kind of alluded to the 2 gigawatt of commissioni ng next year, which is kind of a ballpark number that we're also looking at. And if everything goes well, maybe it could be slightly higher than that.
Praveer Sinha: No. But everything is not solar.
Sumit Kishore: Solar and wind combined.
Sanjeev Churiwala: Yes. So solar and wind combined is there. So solar would be about 1.5 to 1.8.
Sumit Kishore: Got it. Thank you so much, and thanks for the wonderful disclosures. Thank you once again.
Moderator: Thank you. The next question comes from the line of Puneet Gulati from HSBC. Please go ahead.
Puneet Gulati: Yes, thank you so much, and congrats on good performance. My first question is on Odisha, where you've been giving phenomenal performance year -after-year. Do you still see room for more efficiencies, or should we sort of pencil in future growth more from regulated equity growth only?
Praveer Sinha: We get to see much better than this in the next financial year. And I think next financial year possibly will be the best year for Odisha DISCOMS because many of the initiatives that we had taken in the last few years have started showing results. Some of the initiatives were taken last year. And the impact of it, you will see in this year. I think Odisha performance next year should possibly peak in terms of the type of results you would see.
Puneet Gulati: Okay. That's very interesting. And second is on the hydro side. You started taking large exposures to hydro now. And is the PPA already in place or would you be looking to sign PPA in some time?

Praveer Sinha: It is in advanced stage of approval. As you know that while the PPA is agreed, it has to go through a regulatory approval process. And that process is in the final stages, and we do expect next few months that approval will come in.
Puneet Gulati: Understood. And lastly, if you can comment on the regulatory asset wind down in Delhi DISCOM. Supreme Court had indicated an intention to wind this down. Any progress there?
Praveer Sinha: Yes. So both the Supreme Court and APTEL are monitoring that. And the regulatory commission has promised that this will be amortized over 6 years up to 2032. And we are closely monitori

ng that. They have already given an affidavit under which they will amortize it. And we expect that it will get implemented as per the affidavit that they have provided.
Moderator: Your next question comes from the line of Apoorva Bahadur from IIFL Capital. Please go ahead.
Apoorva Bahadur: Can you provide some colour on the Gujarat SPPA? What is the agreement over there if you are sacrificing any profit -- sharing any profitability on coal, what's the quantum?
Praveer Sinha: So Gujarat SPPA details we have already shared. And since it is also under discussion with the other 4 procurers, more details finally what is agreed, we'll share once everyone signs on the dotted line.
Apoorva Bahadur: Okay, sir. And in your disclosure for renewable business, we see that the PLF for solar is lower due to lower resource availability. And also there's a comment on curtailment.
Can you quantify the impact of curtailment in FY '26 and your expectation in FY '27?
Praveer Sinha: So the curtailment are happening in a few places. That also is not on a continuous basis. So very difficult for us to say that how much of curtailment will happen. Also, some of the lines have been commissioned. So it is not that there is full curtailment part of -
- so in some cases, at least 60%, they have allowed to evacuate.

In some places, they have allowed 80%, in some places, it is at 20%, 25%. So it's a
moving target, which is there. And we continue to work with the transmission
companies and CTU to ensure that the curtailment is reduced, and we are able to
evacuate all t he power. In cases where we have the GNA and curtailment takes place,
there, of course, we are reimbursed the cost on the supply basis.

Apoorva Bahadur: And sir, for next year, FY '27, the target we have for adding solar capacity, do we have permanent GNA for all those substations or some of it is still on temporary GNA.
Praveer Sinha: So now we are being extra careful, and that is why some of our capex, which we had planned last year got deferred because we do not want to set up the plant and be on temporary GNA. So we have been very cautious now, and we are only commissioning or compl eting the project if we have certainty on the transmission line and the permanent GNA happening. So that action has been taken now.
Apoorva Bahadur: Makes sense, sir. Sir, lastly, if you can provide some colour on the Indonesian coal prices, especially after the West Asian war, the index is backward looking. So what's your take over there? How the prices should move this year as well as there was some news flow around potential tax imposition by the Indonesian g overnment on coal mining. So if we can have some view on that as well would be very helpful?
Praveer Sinha: So one is on the coal prices, there has not been too much of movement. And we expect that prices will be within plus/minus 5% in that range. We're not expecting lot of deviation. The second is that we are hearing that there will be some more taxes that will be imposed on export of coal. But this has been under discussion for the last many months. So, let's see what eventually gets decided.
Sanjeev Churiwala: We have shared some details on the thermal coal prices, also including Indonesian coal prices in Slide 24, the analyst presentation, which is uploaded. We'll have a look at that if you want.
Praveer Sinha: It will be virtually flat for Indonesian coal.
Apoorva Bahadur: Sure, sir. Sir, lastly, I mean, if I may just squeeze in one more. In your cash flow statement, there's an item of movement in balance related to service concession agreement. So, what is this regarding because we see it has been a drag on cash flow for this year?
Sanjeev Churiwala: Capex related to HBA, TBCB project.
Management: Capex related to TBCB project, it is there in the working capital.
Apoorva Bahadur: So it's a drag bec

ause revenues have not been recognized.
Management: It is related to capex spend on the service concession arrangement. It's onetime of capex only, which is shown in the capex in the presentation of investor presentation.

Apoorva Bahadur: Okay. So I believe it should be added to capex. Understood.
Moderator: Apoorva sir?
Apoorva Bahadur: No, I am good. Thank you. I will get back in the queue.
Moderator: The next question comes from the line of Ketan Jain from Avendus Spark . Please go ahead.
Ketan Jain: Sir, my first question is on the Mundra plant. Is the entire plant operating under the supplementary PPA terms? Or is it only the Gujarat part? Is the rest under operating on the section level?
Praveer Sinha: The full plant is operating all the 5 units. The Section 11 is to facilitate the operation of the plant and give time to the procurers to get the necessary approval. The billing that is being done is being done as per the SPPA, as per the overall understa nding that has been reached with them as well as with Ministry of Power.
Ketan Jain: Understood. So my next question is on the key growth drivers, which segments do you see to contribute most in the coming next 2 years for EBITDA growth?
Sanjeev Churiwala: Key growth drivers for the next 2 years.
Praveer Sinha: Next 2 years, I've explained to you, all these businesses will give good profit and good returns. So generation, transmission, distribution, renewable and renewable manufacturing, rooftop, utility scale. So each of these businesses are doing very good. We had a drag on Mundra that also is behind us. So you will see excellent performance going forward.

Moderator: The next question comes from the line of Satyadeep Jain from AMBIT Capital.
Satyadeep Jain: Sir, first question on the supplementary PPA and the coal mines. In the past, I think we were meant to understand that once you sign the supplementary PPA, then maybe you look to monetize the coal assets. Is that thought process still intact? And let's sa y, if you sign the supplementary PPAs in the next few months with other states, would you look to start the sale process sometime this year? Just trying to understand where you are on that coal monetization?
Praveer Sinha: It also depends on what sort of opportunity is there, what sort of valuation we get. If the coal market is good and we get a good valuation, we can always look at that. But

it's a little premature. Let us first sign with everyone and then how the market is there. And at the right time, we'll take the decision, which is benefiting us.
Satyadeep Jain: Okay. Fair enough. Sir, just a clarification on the RE captive use of modules and cell that you mentioned. As per the order, any new tender after 1st September, the developers have to use domestic cell but there is no mandate before that. So, given the tariffs that you bid for don't reflect that the domestic cell requirement, why would you look to use domestic cell in your FY '27 commissioning, given I believe this year, you would be commissioning projects that were awarded before September '25, right? Just trying to understand there. And secondly would be solar rooftop. So, you executed 1.7 gigawatts, which means almost 40% market share. Is that something you are looking at in terms of FY '27 also, that market share has remained intact despite competition. Just trying to understand what is the opportunity you're looking at n ext year and what's the market share you're targeting?
Praveer Sinha: So we are definitely looking to enhance our market share. And our target is that in next 3 years, we will do 20%. And having said that, we expand our rooftop business. So, you have seen last year, it has grown by 100%. And I definitely expect in this year also, it will grow substantially more tha

n what is expected from the market at this time.
So, I do expect that in FY '27, the rooftop market, the rooftop business will grow, if not by 100%, at least by 50%, 60%. So, you will see exceedingly good performance from rooftop business going forward. I also expect that most of our rooftop and you know that for rooftop, if you have to get the government subsidy, then it has to use Indian -made cell and module. That will be catered from our existing manufacturing plant.
Also going forward, effective 1st June 2026, you have to use only Indian -made cell. And many of the projects are not grandfathered. So, some of the projects, which will get implemented in FY '27 will require Indian -made cells and modules. So, I think our manufacturing plant is very well positioned to cater to large utility scale as well as to rooftop solar.
Moderator: Thank you. The next question comes from the line of Atul Tiwari from JPMorgan. Please go ahead
Atul Tiwari: Yes. Sir, I missed the FY '27 capex guidance. Could you please repeat it?

Praveer Sinha: It's about INR25,000 crores. That is what we are expecting. As I mentioned to you, those projects, which we missed out last year, we'll ensure that those get completed in this financial year. And these are a range of projects. These are not just large uti lity scale, but it is also including the distribution projects and the transmission projects and the hydro projects where work is going .
Atul Tiwari: Okay, sir Thanks.
Moderator: Thank you. The next question comes from the line of Mohit Kumar from ICICI Securities. Please go ahead.
Mohit Kumar: My first question on the Note number 5 of the consolidated P&L. There is an amount mentioned of INR250 crores deferred tax assets. Can you clarify whether we need to adjust or increase the taxes by INR250 crores to arrive at the profit for the quarter?
Sanjeev Churiwala: So, as you are aware, this is a deferred tax noncash. So basically, given our future profitability projections, so I think that will give you some genesis as to where it is coming from. We have, of course, carry forward losses. And of course, when you loo k at the stand -alone book, everything has to be adjusted against the stand -alone to fully

recognize this. We have better visibility of profits in the subsequent years now. And we feel that some of the carry forward losses can now be utili zed within the time frame. And as such, from a statutory purpose , we have to recognize the deferred tax in the books, which we have done in quarter 4 now.

Mohit Kumar: So, this has impacted our consol profit also, right? Consol profit positively.

Sanjeev Churiwala: Yes, of course.

Mohit Kumar: My second question is the Tata Projects. It has been making losses for -- it was making losses prior to FY '24, I guess. And '24 was the first year, I think, where we have started making profit. FY '26 again, I think there' a loss. FY '25, they loss. FY ' 26 again, they a loss. What is your outlook on the same for as we enter FY '27, '28? Do you think the losses will get restricted now?

Praveer Sinha: What has happened in Tata Projects is they had legacy projects such as the dedicated freight corridor project from the refining project in Barmer and some other projects which are there. Fortunately, all those projects have now been completed and very li ttle of it is left. And we expect that those legacy projects impact will be very minimal going

forward. The subsequent projects that Tata Projects have got have good margins. And I do expect that in FY '27, it will be back, and it will start making profit from FY '27.

Mohit Kumar: One more question, if I can squeeze in. We haven't seen accretion to the under - development RE portfolio for a long time. How are you thinking about bidding for new assets fo

r renewables given the, of course, the structural headwinds right now? Do you still want to remain on the pause? Or do you think we can start adding to the portfolio from FY '27 onwards?

Praveer Sinha: Yes. So, as we mentioned to you that many of the places, there were 2 challenges. One was the transmission lines have got delayed and there is no point in taking a project and not able to implement it because the transmission system or the power evacuatio n system is not ready. Secondly, we have now come up with a unique solution where we can offer renewable projects along with the storage projects, the pumped hydro project. And going forward, we are looking for that sort of arrangement.

These types of arrangements are not only with utilities but also with large C&I customers, steel companies. We are in discussions with Tata Steel and some of the other large data centres , which are coming up. And we do expect that going forward, we will not do pure solar or pure wind, but it will be hybrid with storage. And those will be much attractive in terms of the returns compared to the type of projects, which have been bid out in t he last 2 years.

Moderator: Thank you. The next question comes from the line of from Rupesh Rai from PL Capital. Please go ahead.

Rupesh Rai: Sir, in terms of commissioning, you have mentioned -- yes, sorry. So, in terms of commissioning, I think you mentioned we'll be adding 2.5 gigawatts this year and 2.5 similar number next year and further like 1.5 to 1.7 gigawatt is solar. But if I look at the pipeline, then solar number is pretty small, like 600 -odd megawatts only. So, is this -- I mean, like are we adding FDRE or complex FDRE, I think if you can give colour or maybe a breakup of 2.5 between this?

Praveer Sinha: So those details are there. In which slide it is there? In Slide 7, we have given the breakup. And those are the type of projects that you would see, which will be a combination of solar and wind. I agree that there are large number of wind projects, which are there.

And for that, we have already tied up all the wind turbines, which have to go, and we are going to implement all those wind projects apart from the solar project. But these are all hybrid projects. These are not stand -alone solar or stand -alone wind but these are all part of the hybrid FDRE projects that we are.

Sanjeev Churiwala: In case you are only referring to this and looking at pure solar, you also look at FDRE and hybrid. They will also have component of solar as well.

Rupesh Rai: Okay. But is it fair to say that a large part of maybe like 1.6, 1.7 gigawatt will be FDRE in this commissioning?

Sanjeev Churiwala: It will be a combination of all of this, but larger chunk would be towards hybrid and

FDREs.
Rupesh Rai: Okay. Got it. And then in terms of commissioning, I think last year for our business, we have added the 1 -odd gigawatt. And now we are seeing like probably a pickup for us.
So, I mean, is it fair to say probably the issues on transmission and other infra -related issues that are kind of behind us and probably things are much better?
Praveer Sinha: Not everything is behind us. But yes, some of the areas where it has got delayed, they are now coming up so those projects are coming up, and we should be in a position to match our project implementation with the power evacuation timeline.
Rupesh Rai: Okay. And maybe one last thing. Anything that we can share that we are doing at Tata Power for nuclear as such? And anything that you're seeing any traction that is happening on the ground? That's my last question, sir.
Praveer Sinha: So, on nuclear, we have shared with you that we have working with 3 state governments. We have identified the land. We have also taken up for water allocation for which necessary approvals have been given to us and are in pipeline. We are

also
carrying ou t detailed geotechnical studies of each of these.
And then nuclear plants require different types of geotechnical studies. Those are under progress. We are now doing detailed DPR of projects to be set up, and this will be done in collaboration with NPCIL. These are small modular 2 x 220 megawatt plants.
And we do expect that some of them, especially some of the states, we will be able to do DPR in next 6 months' time. And we are also parallelly working on some of the

other aspects, which needs to be finalized with Nuclear Power Corporation. So quite detailed discussions but it will take some more time for us to finalize the arrangement.
Rupesh Rai: Okay. But when you say -- I mean, DPR, so probably in terms of megawatt and all, it's still not -- it's still kind of WIP as of now, that is.
Praveer Sinha: I told you 2 x 220 megawatts, so 440 megawatt.
Rupesh Rai: Okay. Fine. Yes, I think, thanks for answering all the questions. Sir, thank you.
Moderator: Thank you. The next question comes from the line of Nikhil Nigania from Bernstein. Please go ahead.
Nikhil Nigania: Hi. Thank you. I had just one question. I know the company has taken a stance to not add any new coal -based generation capacity. I wanted to check if there is any change in that view given so many states are coming up with coal -fired power plant tenders?
Praveer Sinha: We are examining that. If there is a good opportunity and we find that the tariff is attractive and it's a bankable PPA, we'll definitely look at those.
Nikhil Nigania: Got it. Understood. And if I may ask just one more question. I think an earlier question on the use of domestic, the cells you are producing. I understand the use for the rooftop solar segment.
But on the utility scale side, most of your tenders are pre the 2025 dates. So, I believe they should not be needing DCR cells. So, anything I'm missing there?
Praveer Sinha: I think some of them do require domestic. So, we are working on that because they will bid under those conditions that you will be using domestic cell and modules. So out of the projects that we have, we find that majority are with domestic cell and modul es.
Nikhil Nigania: Okay, thank you . Those are my questions.
Moderator: Thank you. Your next question comes from the line of Rajesh Majumdar from 360 ONE Capital. Please go ahead.
Rajesh Majumdar: Yes, good evening, sir. And thanks for the opportunity. I had a couple of questions. On your Slide 7, the current operational capacity is 16.7 gigawatts and including pipeline is 26.3, which means an addition of 10 gigawatts. So, is this the FY30 figure, 26.3 or how should we take this figure? That was the first question.

Praveer Sinha: This would be, I would say...
Sanjeev Churiwala: A current pipeline, which will go ahead.
Praveer Sinha: Yes. So, this is the current pipeline. So, this includes the 2,800 -megawatt pump hydro at Shirw ata, where the work will start in this financial year. And all the existing, that means the Bhutan hydro, 600 plus 1,125 where we have already signed the financing

arrangement with World Bank.
So, this takes care of all. Some of them will come up in 2031, '32, that is the 1125 Bhutan project will come in that year. Some will come in '30, '31. So -- but of course, all these solar and wind projects will come by 2030.
Rajesh Majumdar: And sir, your capex figure of INR25,000 crores, if you take an addition of 2 gigawatts per annum, then the capex is roughly about, say, on the higher side, maybe INR12,000 crores to INR15,000 crores. Does this mean that INR10,000 crores of regulated capex will happen in FY27?
Sanjeev Churiwala: No, I think it's not about regulated capex, but a combination of all the capex that Dr. Sinha spoke about. Of course, 2.5 gigawatt of solar

and wind, that as you rightly said, that INR15,000 crores.
But then you have capex coming up in pumped storages, capex coming up in pure hydro, so a combination of all of this -- transmission as well, so I think a combination of all of this, next year is INR25,000 crores, our sense is probably going forward also, we'll have a similar kind of capital outlay.
Rajesh Majumdar: For FY28 as well, you're saying?
Sanjeev Churiwala: Yes.
Rajesh Majumdar: And sir, my last question is, we have signed the SPPA with Gujarat, of course. But now if there is an export duty or royalty, which comes from Indonesia, then how does that work with the SPPA, and how does it impact the negotiations with the other states going forward?
Praveer Sinha: Coal cost is pass-through . So, whatever is the cost of coal will be paid for. So that's the type of arrangement that we have.
Rajesh Majumdar: Including a major royalty change?

Praveer Sinha: It's a coal cost, FOB cost, it has to be passed through what is included in that.
Rajesh Majumdar: All right. Thank you.
Moderator: Thank you. The next question comes from the line of Anuj Upadhyay from Investec. Please go ahead.
Anuj Upadhyay: Yes, Hi Sir, Thanks for the opportunity. Sir, need one clarification on how should we read Slide 7 and Slide 32 together? Because Slide 7, where we have highlighted 5 gigawatt of renewable capacity, of which, I guess, 1 gigawatt is a combination of plain wind and solar capacity?
Whereas we have 4 gigawatt a combination of, I guess, 2.5 of FDRE and rest the hybrid project at the RTC. But if I see your FY32 slides, where we have highlighted the time line of the FDRE and hybrid wind getting commissioned, the contracted capacity comes only to the tune of 1,200 megawatt.
So does the 5,000 gigawatt of renewable capacity is the actual installed capacity or the contracted installed capacity? Because to the prior question, you have mentioned that we'll be adding 2.5 gigawatt each of IPP projects. So, this is the contracted 2.5 or the actual capacity?
Sanjeev Churiwala: This is the installed capacity. Installed capacity given the Slide 34.
Praveer Sinha: Installed capacity there in the third row.
Anuj Upadhyay: Sorry?
Management: Slide 32, Anuj, we have given the installed capacity and the heading gives the contracted capacity. So contracted will be lower than the installed. When we give the guidance, we gave it on the installed capacity.
Anuj Upadhyay: Exactly. So Anshul, when you -- we have mentioned that 4 gigawatt of hybrid and FDRE, so does that translate to around 1,200 megawatt of contracted capacity? Is my understanding correct? Or we are -- there are a few more capacity for which the details are not here because the PPA or the approval are yet to be received?
Management: [inaudible 00:48:06].
Anuj Upadhyay: Okay. And my second question belongs to your Odisha projects. Again, to a prior question, you mentioned that next year probably we'll be peaking out in terms of the

performance. So apart from Northern circle, I believe other areas still have in the range of 18% kind of an AT&C?

So, what kind of loss reduction trajectory we can assume for the other 3 circles and to what level it can go? I mean, like North Odisha is already at around 10%, whereas others are already at 18%. So, to what level we can expect the loss to further go down and by what timeline , sir?
Praveer Sinha: There is a trajectory that has been agreed with the Odisha regulator. And based on that, we do expect that all of them will come in 12% to 13% range in the next 4 to 5 years. So, you can expect that you will reduce about 2% every year in that sort of redu ction will be a ballpark number.
Anuj Upadhyay: Okay. You mentioned around 4 to 5 years, right, sir?
Praveer Sinha:

Yes.
Anuj Upadhyay: Okay. Thank you, sir. That's it from my end. Thanks for the opportunity.
Moderator: Thank you. The next follow -up question comes from the line of Apoorva Bahadur from IIFL Capital. Please go ahead.
Apoorva Bahadur: Thank you. Sir, I had a bookkeeping question. In your Q4 profitability for IEL, we see an increase of almost INR63 crores. And then similarly for Mumbai Transmission as well of around INR50 crores. Given the nature, regulatory nature of these businesses, is it safe to assume that there was a significant asset capitalization? Or are there any one-offs?
Management: This is more the deferred tax part, right? One of the plants got commissioned. So, it's an asset, which has been added because of that.
Apoorva Bahadur: In IEL?
Praveer Sinha: Yes.
Apoorva Bahadur: Okay. So, this increase is recurring for transmission business?
Sanjeev Churiwala: No, that depends upon the asset capitalization timing and the deferred tax that is created because of that. So yes, I think it's not a yearly phenomenon but depends upon the asset capitalization and the profitability of that particular plant.

Apoorva Bahadur: Okay. And same thing in IEL as well?
Sanjeev Churiwala: I'm talking about IEL.
Apoorva Bahadur: Okay. And Mumbai Transmission?
Praveer Sinha: It's based on capex only. That is also capex.
Management: That is based on capex, pure capex. It is recurring.
Praveer Sinha: Mumbai transmission adds every year INR1,000 crores of capex. So, on a 70 -30, you will have a return on equity on 30%. So that's what you need to consider plus certain O&M.
Apoorva Bahadur: Very clear, sir. Thank you.
Moderator: Thank you. Ladies and gentlemen, we will take that as our last question for today. I now hand the conference over to the management for closing comments.
Praveer Sinha: Thank you, everyone. And if you have any other questions, please connect with Kasturi and Anshul and we'll be more than happy to respond to that. Also, if you have any suggestions on improving the quality of presentation or any more details are required, please reach out. We'll try to make it more analyst -friendly in terms of giving you more information and data. Thank you. Thank you all of you, and take care.
Moderator: Thank you. On behalf of Tata Power's, that concludes this conference. Thank you, everyone, for joining us, and you may now disconnect your lines.

Call: Jul 2026

J
uly 31, 2026
BSE Limited
Corporate Relationship Department
1st Floor, New Trading Ring
Rotunda Bldg., P. J. Towers
Dalal Street, Fort
Mumbai – 400 001.
Scrip Code: 500400 National Stock Exchange of India Limited Exchange Plaza, 5
th Floor
Plot No. C/1, G Block Bandra-Kurla Complex Bandra (East)
Mumbai – 400 051.
Symbol : TATAPOWER
Dear Sir/Madam,
Earnings Call Transcripts
P
ursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, the transcript of the audio call recording of the Company's Analyst Call held on Tuesday, July 28, 2026, on the Audited Standalone Financial Results and Unaudited Consolidated Financial Results of the Company for the quarter ended June 30, 2026 is attached herewith.
The transcript of recording can also be accessed on the Company's website using the following link:
https://www.tatapower.com/investor-resource-center/analyst-call-transcript-tab
This
is for your information and records.
Yours Sincerely,
For Th
e Tata Power Company Limited
Vispi S. Patel
Company Secretary
FCS 7021
Encl: As above

"The Tata Power Company Limited
Q1 FY27 Earnings Conference Call "
July 28, 202 6

MANAGEMENT : DR. PRAVEER SINHA - CEO & MANAGING DIRECTOR ,
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MR. SANJEEV CHURIWALA - CHIEF FINANCIAL
OFFICER , THE TATA POWER COMPANY LIMITED
MR. RAJESH DAGA - GROUP FINANCIAL CONTROLLER ,
THE TATA POWER COMPANY LIMITED
MR. KASTURI SOUNDARARAJAN - CHIEF TREASURY &
INVESTOR RELATIONS , THE TATA POWER COMPANY
LIMITED
MR. ANSHUL VERDIA - HEAD, INVESTOR RELATIONS ,
THE TATA POWER COMPANY LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Tata Power Q1 FY27 Earnings

Conference Call. As a reminder, all participant lines will be in the listener mode and there will be an opportunity to ask questions after the presentation concludes. Should you need assistance in the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note, this conference is being recorded.
I now hand the conference over to Dr. Praveer Sinha, CEO and Managing Director of Tata Power for his opening remarks. Thank you, and over to you, sir.
Praveer Sinha: Thank you very much. Good morning, everyone, and thanks for joining us over the call. We normally do call after the quarter results around 6:00. But this time, I was told that all of you are tied up in another event, and that's why we thought we'll do it on the next day in the morning. So thank you all for j oining.
I'm joined by my colleagues, CFO Sanjeev Churiwala ; Rajesh Daga - Group Financial Controller; Kasturi Soundararajan - Chief Treasury; Anshul Verdia; and all my other colleagues who are here from the finance department.
Before I delve into the quarter performance, let me share with you some information on the power sector. The power demand growth has been very strong in the first quarter. It was nearly 8.5% increase. In fact, in the month of May, it was nearly 11% and Jun e was 9.8%. We continue to see similar demand in this month also, July has been consistently in the range of 260 to 270 gigawatts. Rains have been delayed and wherever it has happened, it has been very inadequate.
So, I think we can expect a longish summer this year and with very little of rain in the most of the parts of the country, which is leading to cooling requirement, and that's why you see a large in crease in consumption of power.
We also see that going forward, there will be a large increase in demand because it's not only the cooling, but also industrial growth has picked up, and there is good demand in the industrial sector. So I think it's good for the power sector, especially with the type of investment and capacity add ition that is taking place all over the country.
Moving to the financial performance of the company. Tata Power has done exceedingly well, INR 1,401 crores of PAT in the quarter, which is an 11% increase. And so also the EBITDA increase has been 8% to INR 4,249 crores. And also we have shown increase in revenue.

But what is important is, and I thought that this time, I will take the opportunity to share with you that this is not a one -off sort of thing. This is the 27th consecutive quarter where we have seen increase in our PAT and EBITDA. And that is because there is a very strong foundation of our existing operations and the new businesses that are getting added.
In fact, I was looking at some of the numbers, and we have shared with you in Slide 19 to 21 that how over a period of time, if we compare whether it was the Q1 of FY 2024 or 2025 or 2026, we have consistently every year shown an increase in revenue, increase in EBITDA and an increase in PAT. In fact, the CAGR revenue is 8%, EBITDA is 12% and PAT is 7%. And this, again, if we break into different components, you will see that we have done exceedingly well.
Let's look at the transmission business, how it has performed again in last 4 years, each quarter, it has done -- again, you will see that the transmission business has shown a revenue increase of 45% CAGR, 19% in EBITDA, and 27% in PAT. Mumbai Transmissio n itself has shown 7% CAGR in revenue , 11% in EBITDA and 21% in PAT.
And this will continue because we have a huge pipeline of investment, which is there in Mumbai transmission, nearly INR 10,000 crores of investment will happen in the next 5 years.

And this is on a regulated basis. So we not only get the regulated, but also certain upsides because of better performance on the efficiency and availability of this transmission system.
Similarly, on TBCB projects, which are getting implemented, some are now in the final stages of completion. One will get completed, the Jalpura -Khurja line in the next few days. The other one, the Bikaner -Neemrana line will also get commissioned by October . So again, huge pipeline of projects, and you will see the benefits of that accruing in the subsequent quarters.
Let's look at our distribution business. Again, consistently, we have done very good. If we look at the total distribution business, the revenue has gone up, the EBITDA has gone up and so also the PAT has gone up. And this, we are seeing consistent

perform ance.
And typically, in distribution business, Q1 is not the best of the quarter because of the huge challenges which one has, especially in summer months in terms of billing and

collection. But I think what is important is that how consistently, even in quarter 1, we have been showing an improvement in all these parameters.
Similarly, if we see our renewable cluster, it has done exceedingly well on an overall basis. The revenue has gone up by 22%, the EBITDA by 23% and the PAT by 37%. But it's important that when we talk of revenue of renewable cluster, we also go and see whe re exactly this benefit is coming from.
The generation business, we have seen revenue grow by 11% on a CAGR basis, EBITDA by 10% and PAT by 2%. And mind you, we have not been setting up a large number of our own projects because we were tied up in doing third party projects .
Now this year, we will set up 2,500 megawatt to 2,700 megawatt. Already 200 was commissioned and another 500 will get commissioned in the next few weeks. The delay was not from our side. We were ready on 30th June, we had done all the testing. The transmission system got delayed and now that has been commissioned one of them and the testing is going for commissioning our plant and the balance wil l happen by next 2 weeks' time.
So I think you will see huge capacity add ition in the renewables and its impact. Right now, we are at 6.7 gigawatts. We add 2.5 gigawatts. We'll cross 9 gigawatts by the end of this financial year. And the impact of it will start being seen in the subsequent quarter a nd also in FY28.
Rooftop business has done exceedingly well. Our revenue has grown from last year to this year by nearly 100%. If you see CAGR of 4 years quarter one , it's nearly 58% for Revenue . Our EBITDA has grown by 68% and our profit has also grown by more than 67% in the last 1 ye ar. On a CAGR basis, PAT is 84% for last 4 years .
So again, and rooftop business will continue. In fact, every year, we have seen, in fact, the rooftop business doing exceedingly well. In fact, last year, we grew by 100%, and this year also, we have plans to grow by about 60% to 70%. And that's the type o f demand which is there for us will be marketed and the channel partner and the supply chain that we have tied up and the IT systems which su pport them after sales as well.
So I think the rooftop business, again, you will see huge improvement in this year and now that we have added to rooftop battery storage, especially for residential and industrial purpose, you will see the impact of that also coming in the combined solutio n.

On manufacturing, we started 2 years back, our cell and module plants are now operating at full capacity. For the first time, our module plant we crossed 1,000 megawatt in the first quarter, and we expect that we have virtually peaked over there or peaking over there in terms of our module production, our cell production is still catching up.
And we have seen that

how in the last few years our revenue, EBITDA and PAT has
grown, this year has been a record PAT. And that has been on back of many steps that we have been taking to improve the yield efficiency and also the manufacturing cost of the cell and modules and a lot of engineering goes in all these things.
So what I wanted to share with you is that we are in a very good position of doing consistently good performance quarter -on-quarter. And this is not a one -off. This is not something that has happened just for 1 quarter, but has been happening right across last many years. And this tre nd will only keep on improving.
So typically, we see that the first quarter by the end of the year, it is not just multiplied by 4, but sometimes it is more like 4.5x to 5x that you will see at the end of the year. And that's what we are expecting this year also.
Now coming to some of the other areas, Mundra, we have concluded SPPA with Gujarat. The plant is operating, though it is operating under Section 11 for the purpose of scheduling. The tariff we are charging the procurers as per the SPPA. We are in very advanced stage of getting approval from 3 states, expecting that in the mo nth of

August.
So we should have the cabinet approval for 3 states and the fourth state will happen in September. All of the procurers are taking full capacity from the plant, and they are 100% convinced that this is the most sustainable plant in the long run in terms of its tariffs and in terms of merit order. And we are very confident that we will run this plant continuously now up to 2038.
Some of the newer businesses, especially on the pumped hydro and Bhutan hydro, very good progress in the pumped hydro project. We are doing very good construction work over there. And we expect that beginning of calendar year 2029, we will be in a position to commission the plant. And since there are 3 units, they will get commissioned with a gap of 2 months for each unit.

We have been fortunate to win a bid through SECI with a very attractive tariff and for 1 unit of 330 megawatt. And for the balance 2, we are in discussions with Tata Steel and other procurers to supply to them.
As also, we are expecting now new bids to come from NTPC and others, NHPC, NTPC for pumped hydro. We will start work on the 1,800 megawatt Shirwata PSP in the later part of this year, we are in the process of getting all the approvals. And once we have the approvals in place, we will take the approval of the Board and go ahead and start the construction activity on that.
We have also tied up the PPA for 600 megawatt of Bhutan project, the Khorlochhu project with UPPCL . And the PPA has been signed with them, and it has got the regulatory approval. Again, it meets the returns that we had planned, in fact, better than that. And we do expect that this plant will also become operational in the calendar year 2030.
We expect to start work on the 1,125 megawatt Dorjilung project where World Bank is financing, and we are in the process of completing the financial closure in the next 2 months' time with PFC, IFC and some of the other lenders. So I think we have a very good pipeline of projects, a very stable portfolio of projects.
And all these projects are under implementation, and we do expect we'll be in a position to implement all of them within the cost and within the time lines that we have set for ourselves. And these are long -term projects, the pumped hydro and hydro project s, we are talking of 40 years of PPA.
And what is good is that these are being done in areas that is known to us. So I'm very confident that these will become very big and good assets for Tata Power going forward, like many of the existing assets which have been there for many years, like the hydro plants, which are there for more than 110 years.
On the capital expenditure, for the fi

rst time, we spent INR 5,300 crores in the first quarter. And we expect that the INR 25,000 crores that we have lined up for this year, we'll be able to implement. 50% of that INR 25,000 crores will be for renewable project s where we have clear line of sight, the balance is divided between our FGD projects as well as the transmission and distribution projects, which are also in pipeline.

So all are known. It is not that we have to go to unknown areas and do the investment and our confidence is very high that we will implement this and the returns will start coming to us thereafter.
So we understand that when you do such large investment, the leverage ratios have to be good. Our net debt to underlying EBITDA is 3.41 and our net debt to equity is 1.25. This is within the guardrails that we have set for ourselves for the investment. And I think we will work within those guardrails.
Great opportunity for us for doing many more projects -- but as informed to you, we do it on a calibrated basis. We are looking at new opportunities, including nuclear where a lot of preliminary work has happened. But I think once these rules are notified by the government, we'll be in a positi on to come up with a firm plan.
But from our side, we are working on land and the geotechnical studies and water availability and things like that. So I think when you look at Tata Power, you need to look at it from the various businesses and how each one of them is contributing to the

overall profitability and sustained performance over a period of time.
So with that, I will take a pause and look forward to hear your questions.
Moderator: Thank you, sir. We will now begin the question -and-answer session. First question comes from the line of Mohit Kumar with ICICI Securities.
Mohit Kumar: Good to see progress on various businesses. Sir, my first question is on the -- what explains the muted growth in Odisha in this quarter? And can you please also touch upon the fact that the Tata Projects continues to make losses and the losses got only widened in this quarter?
Praveer Sinha: Yes. So Odisha, we had 3 issues in Odisha. One was that there were some government payments which got delayed, especially from Panchayati Raj departments for drinking water and street light and others. And that was because the allocation from the state government and the central government got delayed. We expect to collect all of them in this quarter.
The second is because of acute heat wave, the government asked that don't disconnect supply up to 15th of June and these payments are not made. That period is over and now we are collecting all the payments. So the collection efficiency will be improving in this quarter.

Thirdly, typically in the summer months, there's huge demand of power. And when you do the billing, there's a 1 -month cycle, which is there. So that will get billed in the subsequent month. And we expect that in this quarter, many of that issues will get covered. So in distribution, we should always look at 12 months rollover rather than seeing on a quarter -to-quarter basis because it's all dependent on the consumption based on the temperature and the weather pattern.
So you will see a huge amount of improvement in Odisha DISCOM. These are only timing issues, which has nothing to do primarily with the business arrangement. On the Tata Projects, we are in the final stages of closing some of the legacy projects. We earlie r used to have a large number of legacy projects, which were losing money and very few which were profitable projects. Now most of the legacy projects, which we are losing money have got over.
We are at something like just 10% of the legacy projects in last stage there and cost to correction takes place because of that reason. And you wil

l find that possibly maybe
one more quarter will have an impact on Tata Projects. And thereafter, we will see the performance of Tata Power -- Tata Projects improving in terms of their financia l performance.
And they have a very good pipeline of excellent projects, marquee names globally who have given them orders. And you will see a huge turnaround in the performance of Tata Projects going forward.
Sanjeev Churiwala: I could also add to what Dr. Sinha spoke about Odisha so that we get the complete perspective. Because of the couple of reasons that Dr. Sinha mentioned, yes, the collection got deferred by a few months here and there. But on an operating perspective, I th ink the Odisha DISCOM still did excellently well. You' ll find it in the deck as well.
Purely from a reported PAT perspective, we grew by about 6%, more or less what we are also planning in quarter 1. And in quarter 1, our total million units sold in Odisha increased 10.4% because of possibly the hot summer. So I think in together, the financial performance has been great. It is just from an operations side, some of the payments got delayed, but that is something that will recover in quarter 2.
Mohit Kumar: Understood. My second question, is it possible to quantify your losses due to curtailment in this quarter? And what do you make of the transmission bottlenecks for

your projects? Are you seeing progress on the transmission project, which can be in the curtailment and also ensure that our RE projects get commissioned on time?
Sanjeev Churiwala: So I think on the first question, I think when we generally look around, including our project, there's been a general curtailment of roughly about 5%. And that we think is also the industry trend. But given that a lot of transmission lines and evacuation lines are in fast progression, we think that this curtailment will settle in, in the next few

quarters. But yes, I think for the first quarter, generally, this has been an overall pain for the industry.
On the RE perspective, I think we have made a good progress when it comes to land and connectivity that's there. As we speak, while in the first quarter, we have commissioned 226 megawatts, but we already have a line of sight for 500 megawatts where the pr oject is almost ready. We are just in the final phase that will happen in a week or 2 week s. So I think quarter 2 will see a huge and big ramp -up in our commissioning.
Moderator: The next question comes from the line of Sumit Kishore with Axis Capital.
Sumit Kishore: It was good to see the pickup in capex in Q1 and very useful slides in the financial highlights section this time to decipher the results. My first question is in relation to the renewable energy auction volume, which after peaking in FY25 came off in FY26. I mean, in your presentation on Slide 12, the towers for Q1 FY27 is also implying a relative slowdown. So what is your outlook in terms of how renewable energy auction volumes and their complexion is likely to pan out in FY27 and maybe the medium term?
Praveer Sinha: So the renewable auctions have been muted because, as you know, there were a large number of PPAs, which were auctioned by with the central agencies like SECI , NHPC and NTPC. Those have not been tied up with the state governments. And now there is a growing awareness amongst state DISCOMs that they should do bidding themselves rather than having a central agency.
Secondly, they now want the FDRE or RTC bids to happen and not just solar or even the hybrid that have been taking place. So they are now coming out with much customized bids for the state's requirement rather than standard bids that used to take place at the central level. So you will see that sort of -- secondly, there are a large number of projects which are coming up like we a re coming up with pump storage.

So I need a huge capacity first for pumping up water and second, for bundling that power because I need to bundle that with the pumped hydro project. So there will be a lot of similar type of investments that will come up rather than the pure vanilla solar or wind or even hybrid projects, which were coming up by the states -- by the central government agencies.
Sumit Kishore: Sure. In relation to your pump storage hydro projects, would you look to tie them up into long -term contracts in terms of rupees million per megawatt per month or would you try to fashion something around feeding it renewable power and structuring it to sell on some bilateral arrangement?
Praveer Sinha: So it will be a mix of that. Right now, like for 1,000 megawatts, there are 3 units of 334 megawatts. The first one we have tied up through a bid process on an annuity base. And there are another 2 which we are in discussions with industries. So one is wit h Tata Steel, the others are a number of other steel and cement industries who are in discussions .
So I think we will see that it will be a mix and match. It will not be one single solution, partly on direct basis, either to DISCOMs or to central agencies and partly we will be on bilateral basis with some of these C&I customers, the large C&I customers.
Sumit Kishore: Got it. Just one last clarification. In your cluster -wise results, when I look at TBCB projects line item, the EBITDA margin, which is implied is just 13% for Q1 FY27. Typically, TBCB projects should have much higher EBITDA margin given the asset profile and the depreciation that comes below the EBITDA line. What am I missing here?
Sanjeev Churiwala: So yes. It's a good observation, but I think the context is slightly different. For us, when we look at TBCB, right now, all our TBCB are under construction, right? So the revenues in the PAT are more from a lease accounting perspective rather than the actual sharing of EBITDA. The actual EBITDA that comes to us is from a regulatory business, which is MO transmission, which is again a regulated business.
So over there, we look at from a return perspective. And then we have a share of profit from some of the transmission assets that we have in the resurgent platform. So I think we'll have to look at from that different perspective. Each of the 3 cannot be p ut together in the same bucket. We can, if required, share separately with you to get the context.

Sumit Kishore: Okay. So none of the TBCB projects is commissioned now and is contributing on a line-by-line basis as it would normally do?
Sanjeev Churiwala: Yes. So you will start seeing that commissioning happening from quarter 2 onwards. So the revenues -- 2 projects will get commissioned in H2 -- in quarter 2 and then next is quarter 3, quarter 4. So those revenues and the EBITDA and the PAT will start flowing in. As of now, we don't have the pure -play EBITDA and PAT from TBCB is more about construction revenue booking.
Moderator: The next question comes from the line of Apoorva Bahadur with IIFL Capital.
Apoorva Bahadur: Sir, it's heartening to see the progress on pump storage. Would be great if you can share our plans for further capacity addition beyond this 2,800 megawatts. I believe we had quite a few sites available?
Praveer Sinha: Yes. We have quite a few sites where we have the water reservoir. We are carrying out the DPR of some of those projects. I think in next 12 months, we will come out with the next set of projects because we have these 2,800 megawatts, which is coming up in 2029 and 2031. We want to have gaps for their implementation so that the implementation focus is there, and we are able to execute these projects on time and cost.
Apoorva Bahadur: Understood. We'll look forward to that. Secondly, sir, there was a

lso this ALMM -II
implementation and then rollback, which happened during the quarter. towards the end of it. Sir, how do you see this? I mean, does this have any impact on the realizations which DCR manufacturers were charging given that there's a 6 -month delay now? And secondly, how does this policy sort of flip flop impact maybe industry's commitment towards investing in the in building out ingot and wafer capacity for ALMM -III?
Praveer Sinha: So it is not that there is a rollback. The ALMM -II continues to be there for rooftop and utility scale projects. This is only a special proviso which has been made for projects which have very limited open access arrangements or are behind the meter. So I would say that this whole thing is a very small component of the overall utilization, which has to be done under DCR.
So it would be maybe 10% of the total requirement. So I think majority continues to be under the ALMM -II arrangement. And that is not actually moving the needle or having any impact as far as we are concerned.

Apoorva Bahadur: Okay, sir. So the commitment towards ingot and wafer for us remains on track?
Praveer Sinha: Yes.
Apoorva Bahadur: Okay. Sir, also, when I see your rooftop business, and you had shared a lot of granular data over there. So for example, in this quarter, the revenue billed and the total watt -peak installed, right, if I calculate, I believe the realization is about INR 36, INR 37 per watt -peak.
Now when I compare that with the order inflow, on the same metric, it comes to around INR 28 per watt -peak. So how should we decipher this? I s this a decline in realization or there's some other nuance in accounting and billing that we are missing?
Praveer Sinha: He's saying that, we are implying a reduction in realization for rooftop.
Sanjeev Churiwala: Could you just repeat your question? Maybe I think we are interpreting it differently …
Apoorva Bahadur: Yes, yes. So the revenue we billed for rooftop business this quarter was about INR 1,350 crores and the megawatt installed was around 371. The order inflow, so that is about INR 36 per watt -peak of realization. The order inflow, which we have depicted in the slide is about INR 1,091 crores and 387 megawatts.
So that's about INR 28 per watt -peak. So is it just the change in realization or is it when we actually build there is an additional margin, which is available, which we're not capturing in the order inflow?
Praveer Sinha: No, there are 2 parts of this. One is different places. So 1 kilowatt, we supply a large quantity under the ULA scheme of the government. So that's a different type of modules. Then you have other places where you supply a higher capacity, different module s. So we need to look at it whether they are 450 square mm modules of 580 or 630 and all that. So that's why the pricing difference you are seeing. So average will be very, very wrong interpretation of what sort of realization.
Apoorva Bahadur: Okay. So there's a mix impact basically?

Praveer Sinha: Yes, absolutely.
Apoorva Bahadur: Understood, sir. Understood. Sir, also, if I may ask about the coal business profitability, we are seeing it has started improving due to the increase in international coal prices. Can you give us some sort of guidance on the trend that you're seeing in terms of

Indonesian coal prices going ahead given the on -off situation in Hormuz? And also about this change in export -- coal export regime in Indonesia, if that has any impact on our ability to export or the prices?
Praveer Sinha: So one is that coal prices have gone up, but not very much. I would say about 5% to 7%. So in that range, the coal price increase. And we don't expect too much of changes happening. But yes, up to 5% over the next 9 months, you can expect.

Secondly, we do not expect or have seen any impacts per se. Of course, there are certain conditions that you need to first supply for domestic market. And after meeting the domestic obligation only you can export it. So those are the type of requirements. Fortunately, the KPC is the first one to have complied with that requirement. So we are not expecting any major changes to happen in the Indonesian coal market because of the new regulations.
Apoorva Bahadur: Okay. Sir, lastly, if I can ask about the breakdown for capex in this quarter between, say, renewables, distribution business and pump storage?
Sanjeev Churiwala: Almost 40% to 45% will be going in renewa bles and the remaining in other businesses. Of course, the PSP, the work has started. It will only accelerate in the coming quarters. But yes, you can assume in our quarter 2 also, we're kind of looking at a capex plan of probably higher than INR 6,000 crores. Maybe if everything goes well, it will be closer to INR 6,500 crores.
Almost half of that will go in the renew able business because as we mentioned, we're trying to commission almost 800 megawatts to 900 megawatts in quarter 2. So that will consume a lot of capex . PSP work is also accelerating, we'll be putting there. Plus, we already have in the pipeline that 2,000 kilometre plus of transmission. So a good amount of capex will also go over there.
Apoorva Bahadur: Sure, sir. Very helpful. And sir, our Mumbai transmission plan has been approved by the regulator?
Praveer Sinha: Yes. So the whole lot of projects are under implementation. So what happens is every year, we get large number of approvals, and they keep on getting accrued and getting implemented based on the timeline of the network.
Moderator: The next question comes from the line of Satyadeep Jain with Ambit Capital.

Satyadeep Jain: Mr. Sinha, I wanted to ask on rooftop. You've taken some strategic calls, including leaving the PSP untied is now paying dividends from higher realization. But on rooftop specifically, you've been bullish. Just trying to understand this market has been growing at a very strong pace consistently quarte r-on-quarter for past few quarters. Whereas initially, it seemed like it was less than 3 -kilowatt segment. Where are you seeing this growth? And I believe you in annual reports have been talking about INR 30,000 crores of rooftop revenue for you by 2030. I'm not sure if we read it correctly. But where do you see this rooftop going for you for the industry?
Because it has negative implication for some of the other businesses which cannibalizes some of the other business you are in. So how do you see strategically this segment? And how do you prepare for that future if you're very bullish on rooftop?
Praveer Sinha: Rooftop, what we have done in the country as such is just 40 lakh consumers. India has 250 million consumers, 25 crore consumer. So the market potential is humongous. And this is a product which is going to the poorest of the poor to take 1 kilowatt unit. And then it goes to others who take 2, 3, 5, 10, 20, and this is a phenomenal product in terms of giving independence to people to generate their power.
And now that we are giving them battery also, so it makes them self -sufficient in terms of their power requirement. The cost has come down. So it is also making economic sense. It is good for the environment.
So, my feeling is that what we have given cumulative INR 30,000 crores is possibly a little less. We have been growing at a very, very high pace. Last to last year, we were

INR 2,300 crores. Last year, we did INR 4,800 crores. This year, you can imagine what sort of -- so I think we will cross cumulative INR 30,000 crores maybe in 2029 itself, not in 2030.
So that's where -- and you see the type of growth. Every month, I'm seeing that it is becoming better than

the previous month. So I think there is a huge potential. We are the biggest in the market. We have -- we command premium in the market. And we have developed the whole supply chain, channel partners, after -sales service, the digital solutions that we provide. So no one can match us in this rooftop.
Satyadeep Jain: Mr. Sinha, if you look at quadrupling compared to more than quadrupling, so basically, what you're suggesting is by 2029, 2030, keeping battery aside, I know battery is also going to be some component, but we're looking at 40 gigawatt -- 30 gigawatt, 40

gigawatt of annual rooftop installation. Is that what -- because that's how you get to with your market share of 20%. Is that kind of market is what you're foreseeing by 2029, 2030 for the industry as a whole?
Praveer Sinha: I will also increase my market share from 12%, 13%, I will become 25%. So I will be one of the biggest in the market and by a huge margin. In fact, the number 2 in the market is just 2%. So -- and this is a cash and carry business. So I think we'll be one of the biggest -- 2 years back, I used to do 1,000 units a month.
Now I do 30,000 units a month. So there is a huge change that has happened. And for doing that, the whole back -end process systems have been implemented and in place. So I think this will be a game changer going forward, not only for us, but also in the country in terms of how power will be produced etc.
Satyadeep Jain: And does it not bother you for -- if, let's say, rooftop grows so phenomenally for the next 3 years...
Praveer Sinha: Please restrict yourself for 2 questions because we have a few more people and have to -- there's a hard stop at 12.
Satyadeep Jain: Just a follow -up and just one on transmission that 2.5 gigawatt, what kind of visibility do you have for transmission connectivity this year. But rooftop, does it bother you about your distribution and IPP business if we see such phenomenal growth? Those are the questions?
Praveer Sinha: So those are -- in 10 years, those are certain changes which will happen in the market. So one has to be ready for those. But you will still require the distribution network, you will still require devices, you will still require technology for managing mu ltiple supplies and multiple usage of that power. So the nature of business will definitely undergo. You come and spend some time with me. I'll tell you what will happen in detail.
Moderator: Mr. Satyadeep, I would request you to please come back in the queue for further questions. The next question comes from the line of Anuj Upadhyay with Investec.
Anuj Upadhyay: Congrats on a good set of numbers. Sir, first one on the solar EPC side. So I believe that the third -party EPC is no more a focus area, but it's the second quarter where we have posted a loss on an EBITDA level. Could you just explain, sir, why exactly at a loss at the EBITDA level itself?

Sanjeev Churiwala: On the solar EPC, I think we have also mentioned last time that we would want to focus on our in -house execution plan. We already have 5.5 gigawatts in pipeline plus some of the solutioning along with P SP that is required. We'll put in a lot of amount of effort on that. So as a result, we have decided to repurpose our EPC workforce and EPC resources to in -house development. So we have discontinued doing the EPC third party.
So per se, last -- previous year, we were doing some EPC work. We had about INR 100-odd crores of PAT coming through that. But this year, we are kind of wrapping up some of the remaining work. And as a result, we have booked some losses. So the slide that you see, 48 is a combination of solar rooftop plus solar EPC. If you take out th e EPC separately. EPC we have stopped. So on a like -for-like basis, yes, from a previous base

, usually remove INR 100-odd crores of PAT.
Anuj Upadhyay: Okay. So there -- sir, or do we still have some kind of a portion in the order book left as on date?
Sanjeev Churiwala: No, we don't have new order book. We're just completing whatever the remaining work is there. And of course, most of them are almost in the completion stage. This is the performance reviews, some large spending work in terms of punch points, final bidding, final collections. So yes, towards the no major groundwork and no major capex now executed over there. It's just completing the remaining work.
Anuj Upadhyay: Sir secondly is on the TP solar, our manufacturing business, where because of the change in the clientele mix, I believe this quarter, we did a lot of third -party sale. Our margin escalated significantly. So how should we look at this? I mean like that was a quarterly event or going ahead as well, we will be having a similar kind of sales mix for the segment?
Praveer Sinha: It was a very small quantity, not that we take a very large quantity of sale of cell. So typically, what happens is you have orders for module and some of them are DCR, some of them you can do with imported cell. So in those cases, we have some of our own manufactured cell, which is available, and we take that market benefit. But -- it's not that there is a large quantity.
And going forward, it may be there for a few more quarters where we may have some additional quantity of sale because there is still certain ALMM, certain imported cells you can use in some of the projects like open access consumers and group captive. But other than that, we will not be doing too much sale in subsequent quarters.

Anuj Upadhyay: Okay. Okay. And if may I just ask another question. Sir, this is a follow -up to the previous participant where you mentioned that the discussions are around probably that to do away with the intermediaries like SECI and all in signing a PPA. So how exactly should we look at it? Would the concentration be more towards the C&I and data center signing PPA or even on the DISCOMs side, there would be more on a bilateral arrangements?
Sanjeev Churiwala: Sorry, your voice was breaking. Could you just repeat it once again?
Anuj Upadhyay: Okay. Sir, this was a follow -up question, sir, on previous participants where you mentioned that the discussion to do away with the intermediaries like SECI in signing new PPAs. So as a strategy going ahead, are we focusing more on signing PPAs towards C&I and data centers or even on a DISCOM side, probably we can have a more bilateral discussions in signing a PPA? How exactly we are looking at it?
Praveer Sinha: Right now, what we are seeing is solar and wind or even for that matter, hybrid projects, the demand through the central agencies is much less. So we are also avoiding that sort of arrangement, and we are directly bidding to the states, except for pumped hydro, where this is a new storage solution that is being provided. But other than that, we are not looking at doing too much with the central agency.
Moderator: We'll go to the next question. It's from the line of Bharani with Avendus Spark.
Bharani: So the question I have is regarding Mundra's supplementary PPA. So though the power is being scheduled under Section 11, we are billing based on the supplementary PPA. Could you give me the details of how this tariff and how much of profits from the coal sales in Indonesia is getting knocked off when we are completing the tariff. Some color on the supplement ary PPA tariff would be helpful?
Praveer Sinha: So presently, the supplementary PPA is on actual cost of coal, and all parameters, including heat rate, also will be on actual. So it's more towards cost reimbursement and cost reflective without any margin to be made from the plant. So that's the type of arrangement, overa

ll arrangement that we have.
Bharani: So how is this different or how was this different earlier under the supplement -- sorry, Section 11 mechanism, say, 1 or 2 years back?
Praveer Sinha: So Section 11 also gave you cost reflective, but it also protected your fixed cost to the extent. Here, the fixed cost is also on a normative basis so that you do not lose money, but also that there is no return on equity that you will get.

Bharani: So how much would be the fixed cost per unit right now in this plant?
Praveer Sinha: That keeps on again changing. So it's very difficult at this stage to say, but we are still

working out the modality there.
Bharani: So as I understand, the fixed cost is not being cover ed under this supplementary PPA?
Praveer Sinha: I didn't say that. I said fixed cost is covered, but it is cost reflective. That means whatever is your fixed cost for operating the plant, you will get that paid, but you will not get a return on equity.
Bharani: Sorry, yes, that's what I meant. Okay. That clarifies.
Moderator: The next question comes from the line of Uma Menon with Bernstein.
Uma Menon: My first question was on the Delhi DISCOM. I understand that on Odisha DISCOM, it was due to the collection -- reduction in collection. Is that the same for Delhi DISCOM as well?
Praveer Sinha: Yes. As I mentioned to you, typically, in summer months, you have very large consumption and you do the billing after the end of the month and it comes after a month. So that's why your collection during that month is a little less. So just for example, Ju ne, I will collect what I billed in May. But June, there's a huge billing that takes place and that only I will get in July.
So if you look on a 12 -month basis, you will find that we are on track. But if you look at on just a quarterly basis, and this is true for all these throughout the year, winter months, you will have very less. So you will -- it will not be again reflective . So I think you need to look at it on a 12 -month cycle, and you will see that we are very much on track.
Uma Menon: Understood, sir. My second question is on the Rithala Plant. I see that it's not listed in the capacity this quarter. Any particular reason why, sir?
Praveer Sinha: Rithala Plant was closed a long time back in 2016. So that's why it's not an operating plant. It had issues on tariff and its depreciation issues and all that. And that has now been finalized and we have made provision for that.
Moderator: The next question comes from the line of Sagar Parekh with Renaissance Asset Managers.

Sagar Parekh: Firstly, on this -- if I look at the cluster -wise numbers that you have shared on the coal Mundra -- I mean, Mundra Coal and Shipping, so we see your EBITDA has declined, but your PAT has actually grown. So if you can give us a breakup of that number of INR 2,732 crores of top line and INR 225 crores of PAT, how much came from the coal and how much the losses from Mundra?
Sanjeev Churiwala: We don't give a separate split here, but we can get in touch with you through Anshul separately and give you some breakups. But suffice to say that the increase in the PAT that you see is because of a higher share of coal profits.
Sagar Parekh: But Mundra would be under loss es, right? You have to say that?
Sanjeev Churiwala: Mundra, yes, depending upon the quarter, as Dr. Sinha already said, the way the SPPA is devised that you kind of get your coal pass -through plus you get your fixed cost. And of course, to that extent, there will be some under recovery. But the effort is to kind of ensure that we don't lose anything on t he ROE perspective.
Sagar Parekh: Right. And secondly, sir, on the TP solar business, your volumes are already running at full capacity, right? So you will be ar

ound 3,800, 3,900 broadly in that range for the full year…
Moderator: Mr. Sagar, we are unable to hear you. Could you please repeat your question again?
Sagar Parekh: Can you hear me now?
Moderator: Yes.
Sagar Parekh: So my question was your overall volumes in modules and cells have been declining Y -o-Y. How should we read into this for the full year? And secondly, in terms of margins in TP solar, you are at about 25%, 26% margins. Now I understand that in the next 6, 8 months, a lot of capacities are coming up across the industry. So how do you read the margin scenario going forward? Will the supply -- demand supply...
Praveer Sinha: There are 2 parts of it. One is that the modules production has increased. For the first time, we have crossed 1,000 megawatt in the quarter. Secondly, the cell has reduced because there was a line change that happened. But you have to look at it from -- one is cost of production and the efficiency that has come. The second is also the products that we are making is having higher efficiency.

So because of that, there was a little bit of a sacrifice on the yield, and that is why -- and when you have higher efficiency of the cell, then you can command a premium on that. So that's how the margin is there. We are trying to ensure that our -- both yield as well as efficiency now peaks and possibly in quarter 2, you will see that sort of result.
Sagar Parekh: And in terms of margins overall for the industry and for you also, we are at about 25% broadly for TP Solar, and it has been consistently doing well since last 2, 3 quarters. How do you read this as new capacities come in?
Praveer Sinha: You will see that we are one of the highest in terms of margin, and you will see consistency in this quarter. Now that the plant has stabilized, you will see that. I know that we are rushing through it because we have another meeting at 12. But all those, if you have any further queries, please get in touch with Anshul and Kasturi, and we'll respond to you with all details. We've made this time the presentation, more details have been provided, but we do look for your feedback. If anything ex tra is required, we can provide. So thank you, everyone.
Moderator: Thank you. On behalf of Tata Power, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.